

In
Tribute.
With
Gratitude.

Annual Report 2021

Amāna Bank 

It's *Your* Bank

In Tribute. With Gratitude.

As we look back in gratitude at the milestones we have achieved and celebrated over the past decade, we are truly grateful for the trust and confidence placed on us by all our stakeholders, helping us make an impact towards enabling growth and enriching lives through our unique model of people friendly banking.

We are happy to have been able to touch the lives of diverse individuals, strengthen and support various enterprises while also extending ourselves to uplift segments of society who are in need.

Entrenched in the values of goodness and people friendliness, we will continue to serve passionately. In a ceremonial year such as this, we take honour in highlighting our people, a dedicated and well engaged team that has enabled our success, sharing their stories of strength, determination and dedication.

Having been recognized amongst the top 50 strongest non-interest based banks in the world, we pay tribute with gratitude to all our stakeholders for aiding our cause.

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<https://www.amanabank.lk/investor-relations/annual-reports.html>



10 years
of people friendly banking

Our Vision

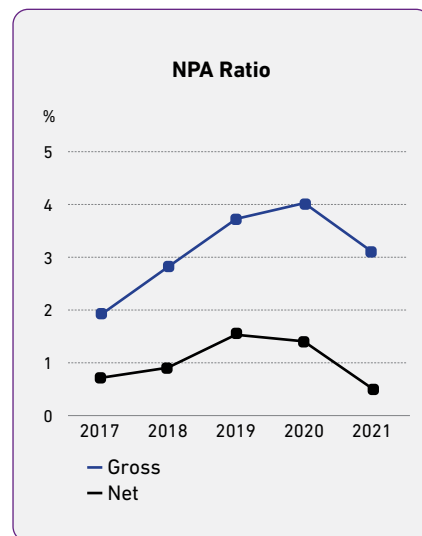
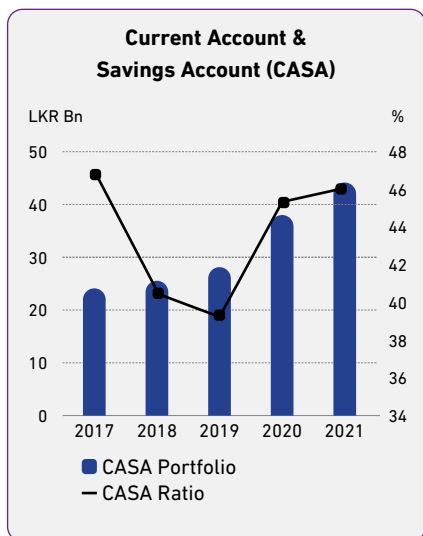
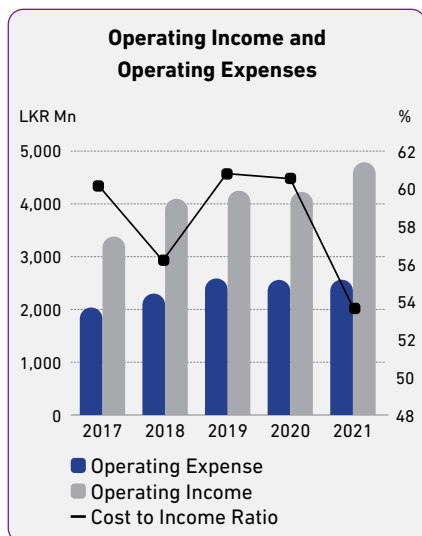
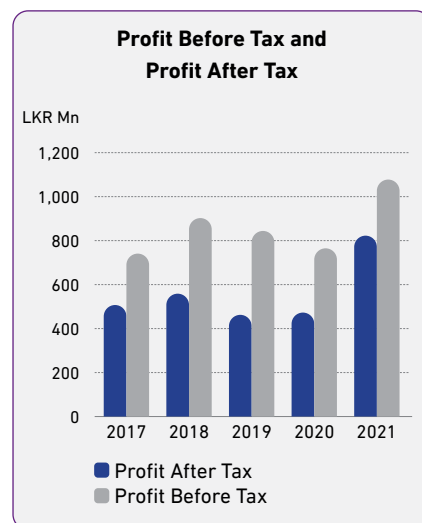
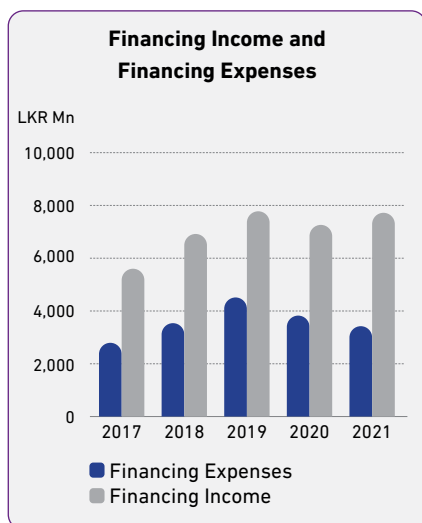
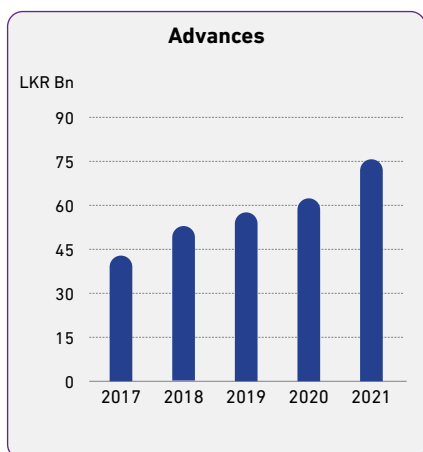
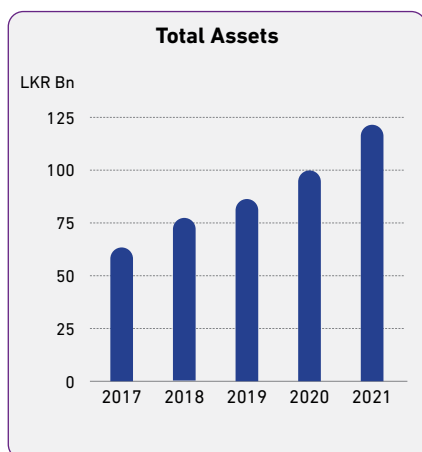
To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.

Our Mission

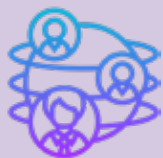
To adopt a unique and people friendly approach in banking with a passion for continuous improvement, enabling growth and enriching lives.

Financial Highlights

	2021	2020	Change %
Operating Results for the Year - LKR '000			
Financing Income	7,674,187	7,211,643	6
Financing Expenses	3,418,693	3,757,313	(9)
Total Operating Expenses	2,569,405	2,565,418	0
Operating Profit Before Value Added Tax on Financial Services	1,444,645	1,154,616	25
Profit Before Tax	1,081,013	761,449	42
Tax Expenses	256,315	297,753	(14)
Profit for the Year	824,698	463,695	78
Assets and Liabilities - LKR '000			
Total Assets	121,908,903	100,172,368	22
Advances	75,816,397	62,566,964	21
Deposits	96,157,776	83,554,241	15
Shareholders' Funds	13,638,634	12,467,278	9
Key Ratios - %			
Net Financing Margin	3.8	3.7	
Return on Assets (before Tax)	1.0	0.8	
Return on Equity	6.3	3.8	
Dividend Yield	2.3	2.4	
Net Non Performing Advances Ratio	0.5	1.4	
Gross Non Performing Advances Ratio	3.1	4.0	
Impaired Financing and Advances (Stage 3) Ratio	1.7	N/A	
Impairment (Stage 3) to Stage 3 Financing and Advances Ratio	35.6	N/A	
Investor Information - LKR			
Net Assets Value Per Share	5.07	4.79	
Market Value Per Share - as at 31 December	4.40	3.40	
Earnings Per Share - Basic / Diluted	0.31	0.17	
Dividend Per Share	0.10	0.08	
Regulatory Ratios - %			
Capital Adequacy Ratios			
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7%)	13.7	15.6	
Tier I Capital Ratio (Minimum Requirement - 8.5%)	13.7	15.6	
Total Capital Ratio (Minimum Requirement - 12.5%)	15.7	17.4	
Leverage Ratio (Minimum Requirement - 3%)	7.4	8.0	
Statutory Liquid Asset Ratio - %			
Domestic Banking Unit (Minimum Requirement - 20%)	26.9	23.3	
Offshore Banking Unit (Minimum Requirement - 20%)	45.3	25.1	
Liquidity Coverage Ratio - %			
Rupee (Minimum Requirement: 2021 - 100% ; 2020 - 90%)	165.2	483.0	
All Currency (Minimum Requirement: 2021 - 100% ; 2020 - 90%)	118.5	340.3	
Net Stable Funding Ratio (Minimum Requirement: 2021 - 100% ; 2020 - 90%)	191.5	205.7	



Other Highlights



NO. OF CUSTOMERS

415,361 / **380,695**
2021 / 2020



NO. OF BRANCHES

33 / **32**
2021 / 2020



NO. OF SELF BANKING CENTRES

19 / **19**
2021 / 2020



NO. OF POINTS FOR WITHDRAWALS

5,559 / **5,297**
2021 / 2020



NO. OF POINTS FOR DEPOSITS

948 / **900**
2021 / 2020



NO. OF GOLD SAFEKEEPING UNITS

31 / **30**
2021 / 2020



NO. OF AWARDS WON

18 / **09**
2021 / 2020



EXTERNAL RATING

BB+(lka)
2021 / 2020



LMD TOP 100 RANKING

85 / **85**
2021 / 2020

Chairman's Message



“10 years in to our growth journey, we remain firmly rooted to our core foundational values as Sri Lanka’s only licensed commercial bank to fully operate on non-interest based banking principles.”

It is with immense pleasure that I present to you the Annual Report and Audited Financial Statements of Amāna Bank PLC for the year ended 31 December 2021.

The year 2021 carried with it the continued effects and challenges of the pandemic. For Amāna Bank PLC the year 2021 marked a decade since the Bank first opened its doors for Business. Fittingly it also became the year in which the Bank crossed a key milestone in its journey of profitability.

A Decade of People Friendly Banking

With the grace of Almighty, 10 years in to our growth journey, we remain firmly rooted to our core foundational values

as Sri Lanka’s only licensed commercial bank to fully operate on non-interest based banking principles.

The unique people-friendly banking model adopted by the Bank serves as the guiding light to align the strategic focus of the Bank towards the SME sector which is the backbone of the Sri Lankan economy, along with the Retail sector. This is well articulated in the Bank’s board approved strategic plan. The SME & Retail composition of our advance book which is 64% stands testament to the success of our efforts in this direction.

Chairman's Message



“With the demands of the pandemic and the new normal, the safety and wellbeing of our staff took center stage and was always the highest priority.”

Through the delivery of consistent financial results we have been able to build a strong track record of profitability and dividends. Testimony to this, Amāna Bank was ranked amongst the Top 50 Strongest Islamic Banks in the World by The Asian Banker in 2021, an accolade which signifies the Bank's stability and growth achieved over the past decade amidst a host of challenges.

Macroeconomic Recap for 2021

The global economy did appear to show signs of moving purposefully towards the new normal. Similarly for the Sri Lankan economy too the year 2021 was seen as an inflection point signaling the end of two consecutive years of GDP deceleration. According to the Central Bank of Sri Lanka, the economy is expected to have grown by 4% compared to the contraction of 3.9% reported in 2020 and only a marginal 2.3% growth in 2019. It is commendable that Sri Lanka was able to record this growth despite the Country being placed under lockdown for several months in 2021.

The economic revival in 2021 can be largely attributed to acceleration of the Covid-19 vaccination drive by the Government. The relatively low market interest rates for most of the year under review also provided the impetus for private sector credit expansion, while the continuation of import restrictions especially on non-essential goods paired with higher export earnings saw the Country's trade deficit narrowing towards the latter part of 2021, on a month on month basis.

Meanwhile the Rupee which had depreciated by approximately 9% by September 2021 since end-December

2020 achieved greater stability following Central Bank's decision to establish a clear rate range of LKR 200 – LKR 203 per US dollar for transactions.

Exchange rate volatility in the first half of the year on the back of depleting foreign reserves raised some concerns along with the downgrade of the Country's sovereign rating by global rating agencies.

Strategy and Focus in 2021

Having consolidated our position in 2020, Amāna Bank approached 2021 on a strong footing. We had adequate liquidity to execute our strategy and meet contingencies. We sought to expand our core banking activities, while being cautious and prudent on our risk appetite, owing to the challenging economic environment. We also focused relentlessly towards improving efficiencies and managing costs effectively.

As always our commitment to stand by our customers remained unchanged, as we moved quickly and decisively to bring relief to those entitled to the moratorium extensions granted by the Government. Beyond this we rolled out our own initiatives, including deferred payment options and flexible repayment solutions to help our customers to tide over the difficult times brought on by the pandemic-induced economic slowdown. Recognizing the difficulties our customers had to endure due to travel restrictions and other Covid-19 protocols, we also focused on upgrading our digital channels to make them more user friendly with augmented features including improvements in IT security.

With the demands of the pandemic and the new normal, the safety and wellbeing of our staff took center stage and was always the highest priority. Refer CEO's review on page 21 for further details on measures adopted by the Bank.

Despite the challenges, we also ensured the continuity of OrphanCare, under the stewardship of its independent Board of Trustees, where we completed 9 rounds of disbursements during 2021, to cover 3,000+ orphans representing 85 orphanages across Sri Lanka.

Key Performance Highlights 2021

Backed by the solid operational performance during 2021, Amāna Bank PLC recorded several major milestones in terms of financial performance in the year under review. PBT for the financial year 2021 crossed the landmark of LKR 1 billion denoting YoY growth of 42%. At LKR 825 million PAT for FY 2021, reflects a 78% increase compared to the previous year.

Total assets meanwhile grew by 22% from the figure reported at the end of 2020 to cross LKR 120 billion as of 31 December 2021. These are all significant achievements, which I believe reinforces the relevance and resilience of Amāna Bank.

The Bank has in place a robust risk management framework and I must say that the Board Integrated Risk Management Committee has been providing close oversight and advice on all aspects of Risk Management whilst ensuring that the Bank remains resilient especially to the shocks experienced due to the pandemic. As

a result of such monitoring, coupled with prudent portfolio management and prompt customer engagement, the Bank's net and gross non-performing ratios remained well below the industry average as it stood at 0.5% and 3.1% respectively.

Honouring its tradition of consistent dividends payments, Amāna Bank shareholders were rewarded with a scrip dividend totaling to LKR 260 million in 2021. The decision to issue scrip dividend complies with regulatory guidelines pertaining to the restriction on payment of cash dividends. Might I add that this is the fourth consecutive annual dividend pay-out made by Amāna Bank, which I am sure you will readily agree is an extraordinary achievement for a Bank as young as we are.

Further validating Amāna Bank's resilience and stability during this time of extreme turbulence, Fitch Ratings reaffirmed the Bank's external rating of BB+(lka); with a Stable Outlook, a status we have succeeded in maintaining following the upward revision in June 2020.

Governance and Stewardship

Amāna Bank has always reinforced good governance as one of its key foundational principles. As such special emphasis has always been placed on the strength and quality of the highest governing body of the Bank - its Board of Directors. Amāna Bank's current Board is made up of a panel of eminent senior bankers and others with vast experience which gives us a considerable advantage. Several of our Directors are also highly acclaimed

Chairman's Message

specialists in accounting, IT, law and marketing, and their expertise and know-how in their respective fields provide diverse perspectives driving effective decisions.

As part of ongoing efforts to enhance the Bank's overall governance mechanism, in 2021 the Board sanctioned the appointment of the Board Technology Committee to provide leadership in strengthening the Bank's IT and IT Security aspects to be future ready.

While on the topic of governance I would like to confirm that, the Amāna Bank Board and its sub committees have taken all necessary measures to function in the best interest of all stakeholders concerned in full compliance with all regulations and directions issued by various regulators during the year under review. Let me also assure you that the Board remains committed to uphold good governance and ethical practices whilst promoting a culture of transparency across the Bank.

Future Plans

While lower foreign reserves together with the downgrade of the Country's sovereign rating may result in increased challenges in the short term, the proposed foreign exchange inflows targeted by the Government, the gradual pick up in tourism, higher inflows from exports and successful vaccination drive for all citizens are some key factors, which I believe will pave the way for stronger economic recovery in the next 12 months.

Amāna Bank remains committed and geared to support the Country's post-pandemic economic recovery. In doing so, the next steps would be to create a framework to significantly enhance the scale of our operations over time. We have already taken some important measures in this regard by reviewing and updating the Bank's Board approved Strategic Plan to chart Amāna Bank's progress over the next 5 years. I can confidently say that these ambitious plans will continue to revolve around the Country's vision to develop the SME sector as the nerve center of economic growth in the coming years.

We also intend to complete the Bank's capital augmentation exercise to meet the Central Bank mandated Minimum Capital Requirement of LKR 20 billion before the stipulated timeline of December 2022.

As pioneers of the people friendly banking model in Sri Lanka, we firmly believe that this unique model of Banking can benefit humanity and society at large crossing boundaries of ethnicity, religion and geographical location. In this regard, Amāna Bank intends to engage with several overseas institutions by providing advisory and consultancy services to introduce this concept of banking in their respective countries. Through this arrangement, Your Bank will look at possible expansion of its franchise at a regional level, with special focus on emerging markets.

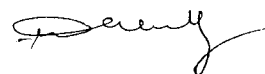
Appreciations

As I conclude my review, I would like to take this opportunity to thank my colleagues on the Board for the guidance and wise counsel extended to me at all times. My sincere gratitude is also extended to the Sharia Supervisory Council for their direction and support.

A special word of thanks to our dynamic CEO - Mohamed Azmeer, the management team and employees at all levels for their dedication and commitment in driving Amāna Bank to new heights even amidst unprecedented challenges.

I also wish to express my heartfelt appreciation to the Governor and officials of the Central Bank of Sri Lanka for their support and guidance at all times.

Finally, I would like to thank our valued customers, shareholders and all stakeholders for their long standing trust and confidence on Amāna Bank over the past decade and invite you to be part of the accelerated growth journey which would unfold in the 2nd decade of the Bank's existence starting from 2022.



Asgi Akbarally
Chairman

19 February 2022
Colombo

සභාපතිතුමාගේ පණිවුඩය

2021 දෙසැම්බර් 31 දිනයෙන් අවසන් වූ වර්ෂය සඳහා වූ අමානා බැංකුවේ වාර්ෂික වාර්තාව සහ විගණනය කරන ලද මූල්‍ය ප්‍රකාශය මා ඔබ වෙත ඉදිරිපත් කරනුයේ ඉමහත් සතුටිනි.

2021 වසරද කොවිඩ්-19 වසංගතයේ අඛණ්ඩ බලපෑම් සහ අභියෝග පිරිහිය වසරක් වුවද එය අමානා බැංකුවට ඉතාමත් වැදගත් වසරක් වූයේ බැංකුව ගනුදෙනු සඳහා එහි දොරටු විවෘත කර දශකයක් සනිටුහන් කිරීම හේතුවෙනි. එයට සමගාමීව බැංකුව සිය ලාභදායී ගමනේ ප්‍රධාන සන්ධිස්ථානයක් පසුකළ වසරක් බවටද 2021 වර්ෂය පත් විය.

දස වසරක මානුෂ හිතවාදී බැංකුකරණය
දෙවියන්ගේ සියළු ආශීර්වාදය ඇතිව, අප ආ දස වසරක සංවර්ධන ගමනෙහි, අපගේ මූලික වටිනාකම්වලට ගැඹුරු අභිනාලමක් දමමින් ශ්‍රී ලංකාවේ පොලී රහිත බැංකුකරණ මූලධර්මයන් මත ක්‍රියාත්මක වන එකම බලපත්‍රලාභී වාණිජ බැංකුව වශයෙන් කටයුතු කරන්නෙමු.

ශ්‍රී ලංකාවේ ආර්ථිකයේ ජීවනාලිය වන සුළු හා මධ්‍යම පරිමාණ ව්‍යාපාර ක්ෂේත්‍රය සහ පාරිභෝගික වෙළඳාම් ක්ෂේත්‍රය සම්බන්ධයෙන් ක්‍රමෝපායික අවධානය යොමුකිරීමට අපගේ මූලික මග පෙන්වුම් සලකුණ වූයේ අපගේ සුවිශේෂී මානුෂ හිතවාදී බැංකුකරණ ආකෘතියයි. බැංකුවේ අධ්‍යක්ෂ මණ්ඩලයේ අනුමැතිය හිමි ක්‍රමෝපායික සැලසුමෙහි මේ බව පැහැදිලිව විදහා දක්වා තිබේ. අපගේ මූල්‍ය සම්පාදන සේවාවන් වලින් 64% ක් ම සුළු හා මධ්‍යම පරිමාණ ව්‍යාපාර සහ පාරිභෝගික වෙළඳ ව්‍යාපාර වෙනුවෙන් වෙන් වී තිබීම, මේ අරමුණ සම්බන්ධයෙන් අප අත්කරගෙන ඇති සාර්ථකත්වයට මනා සාක්ෂියකි.

අඛණ්ඩව සාර්ථක මූල්‍ය ප්‍රතිඵල වාර්තා කිරීම ඔස්සේ, ලාභදායීත්වය හා ලාභාංශ සම්බන්ධයෙන් ඉතාමත් හොඳ ප්‍රගති වාර්තාවක් පවත්වා ගැනීමට අපට හැකි වී තිබේ. The Asian Banker විසින් 2021

වසරේ ලොව ශක්තිමත්ම ඉස්ලාමීය බැංකු 50 අතරට අමානා බැංකුවද නම් කර තිබීමෙන් මෙය තවදුරටත් තහවුරු වේ. මෙම ඇගයුම, අභියෝග රාශියක් හමුවේ පවා පසුගිය දශකය තුළ අමානා බැංකුව අත්පත් කරගැනීමට සමත් වී ඇති ස්ථාවරත්වය හා වර්ධනය මැනවින් සංකේතවත් කරයි.

2021 වසර සම්බන්ධ සාර්ව ආර්ථික සමාලෝචනය

පසුගිය වසරේදී ලෝක ආර්ථිකය 'නව සාමාන්‍යයකරණය' යටතේ සාර්ථක ලෙස ඉදිරියට ගමන් කරන බවත් පෙනී ගියේ ය. මීට සමගාමීව ශ්‍රී ලංකාවේ ආර්ථිකයද, වඩාත් සුභදායී ප්‍රවණතා පෙන්නුම් කළේ පසුගිය වසර දෙක තුළ පහළ ගිය දළ දේශීය නිෂ්පාදිතය නැවතත් ඉහළ දමමිනි. ශ්‍රී ලංකා මහ බැංකුවට අනුව, 2021 වසරේදී 4% ක වර්ධනයක් අපේක්ෂා කරන අතර මෙම වර්ධනය වාර්තා වනුයේ 2019 වසරේදී ශ්‍රී ලංකාවේ ආර්ථිකයේ සිදුවූ 2.3% ක නාමික වර්ධනය සහ 2020 වසරේදී සිදු වූ 3.9% ක පසුබෑමෙන් අනතුරුවය. වසරේ මාස කිහිපයක් පුරා සංවරණ සීමාවන් පනවා තිබූ පසුබිමක් තුළ මෙම වර්ධනය අත්පත් කරගැනීමට ශ්‍රී ලංකාව සමත් වීම ඉතාමත්ම ප්‍රශංසනීය ය.

2021 වසරේදී සිදු වූ ආර්ථික පුනර්ජීවනයට ප්‍රධානතම හේතුව, ශ්‍රී ලංකා රජය විසින් ක්‍රියාවට නංවන ලද කොවිඩ්-19 එන්නත්කරණ වැඩසටහන බව පැවසිය හැක. මෙම සමාලෝචනයට අදාළ වර්ෂයේ වැඩි කාලයක් තුළ පැවති අඩු පොලී මට්ටම්, පොද්ගලික අංශ ණය වර්ධනය වීමට යහපත් ලෙස බලපෑ අතර, අත්‍යවශ්‍ය නොවන භාණ්ඩ ආනයනය සම්බන්ධයෙන් සීමාවන් පනවනු ලැබීම සහ අපනයන ආදායම ඉහළ යාම නිසා, 2021 වසරේ අවසාන භාගයේදී රටේ වෙළඳ හිඟය මාසිකව අඩු විය.

2020 දෙසැම්බර් මාසයේ අවසානයේ සිට 2021 සැප්තැම්බර් මාසය දක්වා 9% කින් පමණ අවප්‍රමාණය වූ රුපියලේ අගය, ගනුදෙනු සඳහා ඇමරිකා එක්සත් ජනපදය

ඩොලරයේ අගය ශ්‍රී ලංකා රුපියල් 200 - 203 පරාසය තුළ පවත්වා ගැනීමට ශ්‍රී ලංකා මහා බැංකුව ගත් තීරණය නිසා, 2021 අවසන් කාල පරිච්ඡේදයේදී වඩාත් ස්ථාවර විය.

වසරේ මුල් භාගයේ විනිමය අනුපාත වල අස්ථාවරත්වය සහ විදේශ සංචිත ක්ෂය වීම මත යම් යම් ගැටලු මතුවූ අතර, ඒ ඔස්සේ ගෝලීය ශ්‍රේණිගත කිරීම් නියෝජිතයාගත විසින් රටේ ස්වෛරීත්ව ණය ශ්‍රේණිගත කිරීම පහත හෙළීමට කටයුතු කරන ලදි.

2021 වසරේ ක්‍රියාත්මක කළ ක්‍රමෝපායන් හා අවධානයන්

2020 වසරේදී ගොඩනගාගත් ස්ථාවරත්වය තවදුරටත් තහවුරු කරගනිමින් අපි ශක්තිමත් පදනමක් මත 2021 වසරට පිවිසුණෙමු. අපගේ ක්‍රමෝපාය ක්‍රියාවට නැංවීමටත්, අනාගත තත්වයන්ට සාර්ථක ලෙස මුහුණ දීමටත් ප්‍රමාණවත් තරම් ද්‍රවශීලතාවක් අප සතු විය. අපගේ ප්‍රධාන බැංකුකරණ ක්‍රියාකාරකම් තවදුරටත් පුළුල් කරගැනීමට අප කටයුතු කළ අතර, පවතින අභියෝගකාරී ආර්ථික වාතාවරණය සැලකිල්ලට ගනිමින්, අවදානම් සම්බන්ධයෙන් වඩාත් ප්‍රවේශම්සහගත වූවෙමු. එමෙන්ම කාර්යක්ෂමතාවන් වැඩිදියුණු කරගැනීමටත්, එලදායී ලෙස පිරිවැය කළමනාකරණය කරගැනීමටත් අපගේ අවධානය යොමු විය.

ගනුදෙනුකරුවන්ගේ යහපත උදෙසා අප තුළ ඇති කැපවීම එලෙසින්ම පැවති අතර, ඒ ඔස්සේ, රජය විසින් පිරිනමන ලද සහනයන් ඒ සඳහා සුදුසුකම් ලබන ගනුදෙනුකරුවන් වෙත නොපමාව පිරිනැමීමට අපි කටයුතු කළෙමු. මීට අමතරව අප විසින් ගනුදෙනුකරුවන්ගේ යහපත වෙනුවෙන් විශේෂිත වැඩසටහන් පෙළක්ද ක්‍රියාවට නංවන ලදි. කොවිඩ්-19 හේතුවෙන් ආර්ථිකය මන්දගාමී වීම ඔස්සේ ඇති වූ දුෂ්කරතා වලට මුහුණ දුන් ගනුදෙනුකරුවන් වෙනුවෙන් හිඟ මුදල් සඳහා සහන සහ නායකීය ආපසු ගෙවීම් විසඳුම් හඳුන්වා දීම ආදිය මීට ඇතුළත් විය. සංවරණ සීමාවන් සහ අනෙකුත් කොවිඩ්-19 විධිවිධාන නිසා

සහාපතිතුමාගේ පණිවුඩය

අපගේ ගනුදෙනුකරුවන්ට මුහුණ දීමට සිදුවූ දුෂ්කරතාවන් සැලකිල්ලට ගනිමින්, අපගේ ඩිජිටල් මාර්ගගත සේවාවන් වඩාත් පහසුවෙන් භාවිතා කළ හැකි පරිදි වැඩිදියුණු කිරීමටත්, තොරතුරු තාක්ෂණ සුරක්ෂිතතාව තීව්‍ර කිරීමටත් අපි පියවර ගත්තෙමු.

කොවිඩ්-19 රෝග ව්‍යාප්තිය සහ ඒ හා බැඳුණු 'නවසාමාන්‍යය කරණය' සැලකිල්ලට ගනිමින්, අපගේ කාර්ය මණ්ඩලයේ ආරක්ෂාව හා යහපැවැත්ම සඳහා ප්‍රමුඛත්වය ලබාදෙන ලදී. මේ සම්බන්ධයෙන් බැංකුව විසින් ගන්නා ලද පියවර පිළිබඳව වැඩිදුර තොරතුරු 21 පිටුවෙහි දක්වා ඇති ප්‍රධාන විධායක නිලධාරී තුමන්ගේ සමාලෝචනයෙහි අඩංගු වේ.

අභියෝග හමුවේ පවා, ස්වාධීන භාරකාර මණ්ඩලයේ මෙහෙයවීම යටතේ OrphanCare වැඩසටහන අඛණ්ඩව ක්‍රියාත්මක වූ අතර, 2021 වසර අවසාන වනවිට අරමුදල් බැරකිරීම් වාර 9 ක් සම්පූර්ණ කරන ලදී. මේ යටතේ ශ්‍රී ලංකාවේ ළමා නිවාස 85 ක වෙසෙන, මාපිය රැකවරණය අහිමි දරුවරුන් 3,000 කට අධික පිරිසකට ප්‍රතිලාභ හිමි විය.

2021 වසරේ ප්‍රධාන කාර්යසාධන තොරතුරු
2021 වසරේදී පෙන්නුම් කළ ශක්තිමත් මෙහෙයුම් ක්‍රියාකාරීත්වයේ පිටුබලය සමගින්, මෙම සමාලෝචනයට අදාළ මූල්‍ය වර්ෂය තුළ, මූල්‍ය ක්‍රියාකාරීත්වය සම්බන්ධයෙන් ප්‍රධාන පෙළේ සන්ධිස්ථානයන් කිහිපයක් සනිටුහන් කිරීමට අමානා බැංකුව සමත් විය. 2021 මූල්‍ය වර්ෂයේ බදු-පෙර ලාභය රු. බිලියනයේ සීමාව පසුකළ අතර, එය පසුගිය වසරට සාපේක්ෂව 42% ක වර්ධනයකි. 2021 වසරේ රු. මිලියන 825 ක් වූ බදු-පසු ලාභය, පෙර වසරට සාපේක්ෂව 78% ක වර්ධනයක් පෙන්නුම් කරයි.

මේ අතර 2020 වසරේ දෙසැම්බර් මාසයේ වාර්තා වූ අගයන්ට සාපේක්ෂව, අමානා බැංකුවේ සමස්ත වත්කම් වටිනාකම 22% කින් වර්ධනය වී 2021 දෙසැම්බර් 31 වනවිට රු. බිලියන 120 සීමාව පසුකර තිබේ. මේ සියල්ල සැලකිය යුතු ජයග්‍රහණයන් වන අතර, ඒවා අමානා බැංකුවේ සාර්ථකත්වයට සහ

අභියෝග වලට මුහුණ දීමේ හැකියාවට සාක්ෂි දරන බව මම විශ්වාස කරමි.

අමානා බැංකුව මේ වනවිට ශක්තිමත් අවදානම් කළමනාකරණ වැඩ රාමුවක් හඳුන්වා දී ඇත. අවදානම් කළමනාකරණයේ සියලුම පැතිමානයන් සම්බන්ධයෙන් සමීපව නිරීක්ෂණය කරමින් උපදෙස් ලබාදීමටත්, විශේෂයෙන්ම කොවිඩ්-19 වසංගත තත්ත්වය නිසා ඇති වූ කම්පනයන් හමුවේ බැංකුවේ ශක්තිමත් බව තහවුරු කරගැනීමටත් අපගේ අධ්‍යක්ෂ මණ්ඩලයට අනුබද්ධ අවදානම් කළමනාකරණ කමිටුව කටයුතු කළ බවද මෙහිදී සිහිපත් කරමි. මෙවැනි අධීක්ෂණයන් සමග, ශක්තිමත් අත්තිකාරම් සේවා කළමනාකරණය සහ නොපමාව ගනුදෙනුකරුවන් සමග සම්බන්ධ වී අවශ්‍ය පියවර ගැනීම තුළින්, බැංකුවේ ශුද්ධ හා දළ අක්‍රීය අත්තිකාරම් අනුපාතයන් ක්ෂේත්‍රයේ සාමාන්‍ය අගයන්ට වඩා පහළින්, පිළිවෙළින් 0.5% ක් සහ 3.1% ක් ලෙස පවත්වා ගැනීමට බැංකුවට හැකි වී තිබේ.

අඛණ්ඩව ලාභාංශ ගෙවීමේ සම්ප්‍රදාය තවදුරටත් පවත්වා ගනිමින්, 2021 වසරේදී රු. මිලියන 260 ක වටිනාකමකින් යුත් කොටස් ලාභාංශ තම කොටස්කරුවන් වෙත ඉකුත්කිරීමට අමානා බැංකුව කටයුතු කළේ ය. මුදල් වලින් ලාභාංශ ගෙවීම සීමා කරමින් හඳුන්වා දී ඇති නියාමන මාර්ගෝපදේශ අනුව මේ ආකාරයට කොටස් ලාභාංශ ඉකුත්කිරීමක් සිදුකරන ලදී. මෙය අමානා බැංකුව අඛණ්ඩව සිදුකරන ලද 4 වැනි ලාභාංශ ගෙවීම වන අතර, එය අමානා බැංකුව වැනි කෙටි ඉතිහාසයක් සහිත බැංකුවක් විසින් වාර්තා කරගන්නා ලද සුවිශේෂී ජයග්‍රහණයක් බවට ඔබද එකඟ වනු ඇතැයි මම විශ්වාස කරමි.

මේ අභියෝගාත්මක කාලසීමාව තුළ පවා අමානා බැංකුව පෙන්නුම් කළ ශක්තිය හා ස්ථාවරත්වය තවදුරටත් තහවුරු කරමින්, ෆිච් රේටිංස් ආයතන නැවත වරක් අමානා බැංකුවේ බාහිර ශ්‍රේණිගත කිරීම 'BB+(lka) with a Stable Outlook' ලෙස තහවුරු කළේ ය. 2020 ජූනි මාසයේදී අපගේ ශ්‍රේණිගත

කිරීම් ඉහළ දමනු ලැබීමෙන් අනතුරුව මේ දක්වාම මෙම ශ්‍රේණිය පවත්වා ගැනීමට අපට හැකියාව ලැබී ඇත.

පාලනය සහ භාරකාරත්වය
අමානා බැංකුව සෑම විටම එහි ප්‍රධාන මූලධර්මවලින් එකක් වන ආයතනික යහපාලනය ශක්තිමත් කිරීමට පියවර ගෙන ඇත. මේ යටතේ, බැංකුවේ ඉහළම පාලන මණ්ඩලය වන අධ්‍යක්ෂ මණ්ඩලයේ ශක්තිය හා ගුණාත්මක භාවය ඉහළ නැංවීම සඳහා සෑම විටම විශේෂ අවධානයක් යොමුකෙරේ. අමානා බැංකුවේ වර්තමාන අධ්‍යක්ෂ මණ්ඩලය, ප්‍රමුඛ පෙළේ ජ්‍යෙෂ්ඨ බැංකුකරුවන් සහ වෙනත් ක්ෂේත්‍ර කිහිපයක ප්‍රවීණයන් පිරිසකගෙන් සමන්විත වන අතර, එය අපගේ ක්ෂේත්‍රයේ අනෙකුත් සමගාමී ආයතන සමග සැසඳීමේදී අපට ඇති වාසිදායක තත්ත්වයකි. අපගේ අධ්‍යක්ෂවරුන් කිහිප දෙනෙකු ගිණුම්කරණය, තොරතුරු තාක්ෂණය, නීතිය සහ අලෙවිකරණය පිළිබඳ ඉහළ පිළිගැනීමක් ඇති විශේෂඥයින් වන අතර, අදාළ ක්ෂේත්‍ර සම්බන්ධයෙන් ඔවුන් සතු එම විශේෂඥ දැනුම හා අත්දැකීම් සම්භාරය නිසා අපට විවිධාකාර දෘෂ්ටිකෝණයන් ඔස්සේ කරුණු සමාලෝචනය කරමින් වඩාත් නිවැරදි තීරණ ගැනීමට හැකියාව ලැබී තිබේ.

බැංකුවේ සමස්ත පාලන යාන්ත්‍රණය වැඩිදියුණු කිරීමේ අඛණ්ඩ උත්සාහයේ කොටසක් වශයෙන්, අනාගතයට සූදානම් වීම සඳහා බැංකුවේ තොරතුරු තාක්ෂණ සහ තොරතුරු තාක්ෂණ ආරක්ෂණ අංශයන් ශක්තිමත් කිරීමට නායකත්වය සැපයීම සඳහා අධ්‍යක්ෂ මණ්ඩල තාක්ෂණ කමිටුවක් පත් කිරීමට 2021 දී අධ්‍යක්ෂ මණ්ඩලයේ අනුමැතිය හිමි විය.

ආයතනික පාලනය සම්බන්ධයෙන් ගත් විට, සමාලෝචිත වර්ෂය තුළ විවිධ නියාමන ආයතන විසින් නිකුත් කරන ලද සියලුම රෙගුලාසි සහ උපදෙස් වලට පූර්ණ වශයෙන් අනුකූලව වෙමින්, සියලුම පාර්ශ්වකරුවන්ගේ යහපත වෙනුවෙන් කටයුතු කිරීම සඳහා අවශ්‍ය සියලු ක්‍රියාමාර්ග ගැනීමට අමානා

බැංකුවේ අධ්‍යක්ෂ මණ්ඩලය සහ එහි අනුකමිටු පියවර ගෙන ඇති බව තහවුරු කිරීමට කැමැත්තෙමි. එමෙන්ම බැංකුව තුළ විනිවිදභාවය මුල්කරගත් ආයතනික සංස්කෘතියක් ප්‍රවර්ධනය කරන අතරම, ආයතනික යහපාලනය සහ ආචාරධාර්මික පරිවයන් ආරක්ෂා කරගැනීම සඳහා අධ්‍යක්ෂ මණ්ඩලය කැපවී සිටින බවද මම අවධාරණය කරමි.

අනාගත සැලසුම්

විදේශ විනිමය සංචිත පහළ යාම සහ රටේ ස්වෛරීත්ව ශ්‍රේණිගත කිරීම් පහළ දමනු ලැබීම මගින් කෙටිකාලීනව මුහුණ දීමට සිදුවන අභියෝග වැඩි වීමට ඉඩ ඇති නමුත්, රජය විසින් විදේශ විනිමය ආකර්ෂණය කරගැනීම සඳහා යෝජිත ක්‍රියාමාර්ග, සංචාරක කර්මාන්තයේ ක්‍රමානුකූල පිබිදීම, අපනයන ආදායම ඉහළ යාම සහ එන්නත්කරණ වැඩසටහන සාර්ථක වීම වැනි ප්‍රධාන සාධක ඔස්සේ, ඉදිරි මාස 12 ක කාලය තුළ ආර්ථික පුනර්ජීවනය වඩාත් ශක්තිමත් වනු ඇතැයි මම විශ්වාස කරමි.

වසංගත තත්ත්වය පහව යාමෙන් අනතුරුව රටේ ආර්ථිකය යළි ගොඩනැංවීම සඳහා අත්වැලක් වීමට අමාත්‍ය බැංකුව කැපවී සිටී. මෙම උත්සාහයේ මිළඟ පියවර වන්නේ, අපගේ මෙහෙයුම් කටයුතු ක්‍රමානුකූලව සැලකිය යුතු මට්ටමකින් වැඩිදියුණු කරගැනීම සඳහා අවශ්‍ය වැඩ රාමුවක් නිර්මාණය කිරීම ය. මේ යටතේ, බැංකුවේ ඉදිරි වසර 5 ක කාලය තුළ අපේක්ෂිත ප්‍රගතිය සම්බන්ධයෙන් අධ්‍යක්ෂ මණ්ඩලයේ අනුමැතිය හිමි වී ඇති ක්‍රමෝපායික සැලසුම නැවත සමාලෝචනය කිරීමට සහ යාවත්කාලීන කිරීමට අපි දැනටමත් කටයුතු කර ඇත්තෙමු. ඉදිරි වසර කිහිපය තුළ, රටේ ආර්ථිකයේ ජීවනාලිය වශයෙන් සුළු හා මධ්‍යම පරිමාණ ව්‍යාපාර දියුණු කිරීම ඉලක්ක කරගත් ජාතික දැක්ම මත පදනම්ව, අපගේ අභිලෂකාමී අනාගත සැලසුම්ද සකස් වනු ඇති බව මම විශ්වාසයෙන් යුතුව පවසමි.

2022 දෙසැම්බර් මාසයේ නියමිත කාලසීමාවට පෙර, ශ්‍රී ලංකා මහ බැංකුව නියම කර ඇති රුපියල් බිලියන 20 ක අවම ප්‍රාග්ධන අවශ්‍යතාව සපුරාලීමේ ක්‍රියාවලිය සම්පූර්ණ කිරීමටද අපි අදහස් කරමු.

ශ්‍රී ලංකාවේ මානුෂ හිතවාදී බැංකුකරණ ආකෘතියේ පුරෝගාමීන් වශයෙන්, ජාති, ආගම් හා භෞමික සීමාවන් අතික්‍රමණය කරමින්, සමස්තයක් ලෙස මානව වර්ගයා හා සමාජය වෙත විශාල යහපතක් සිදුකිරීමේ හැකියාව මෙම සුවිශේෂී බැංකුකරණ ආකෘතිය සතු බව අපි දැඩි ලෙස විශ්වාස කරන්නෙමු. එබැවින් විදේශීය ආයතන කිහිපයක් හා සම්බන්ධ වෙමින්, මෙම බැංකුකරණ සංකල්පය එම රටවලටද හඳුන්වා දීම සඳහා උපදේශන හා මාර්ගෝපදේශ සේවාවන් ලබාදීමට අමාත්‍ය බැංකුව අපේක්ෂා කරයි. මෙම උත්සාහය තුළදී, නැගී එන වෙළඳපොළවල් සම්බන්ධයෙන් විශේෂ අවධානයකින් යුතුව, කලාපීය මට්ටමින් ව්‍යාප්ත වීමට අමාත්‍ය බැංකුව අපේක්ෂා කරයි.

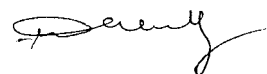
ස්තූතිය

මෙම සමාලෝචනය අවසානයේ, මා වෙත ලබාදුන් උපදෙස් හා මගපෙන්වීම් වෙනුවෙන්, මා හිතවත් අධ්‍යක්ෂ මණ්ඩල සාමාජිකයන් සියලු දෙනාට මාගේ ස්තූතිය ප්‍රකාශ කර සිටිමි. එමෙන්ම අප වෙත ලබාදුන් මගපෙන්වීම් හා සහයෝගය වෙනුවෙන් ශරියා අධීක්ෂණ සභාවටද මාගේ කෘතඥතාව හිමි වේ.

අනපේක්ෂිත අභියෝග හමුවේ පවා අමාත්‍ය බැංකුව පෙර නොවූවරු සාර්ථකත්වයක් කරා රැගෙන යාමට දැක්වූ උනන්දුව හා කැපවීම වෙනුවෙන්, අපගේ ප්‍රධාන විධායක නිලධාරී මොහොමඩ් අස්මීර් මහතා, කළමනාකරණ මණ්ඩලය සහ කාර්ය මණ්ඩලයේ සියලුම දෙනා වෙත මාගේ විශේෂ ස්තූතිය පිරිනමමි.

එමෙන්ම සෑම විටම අප වෙත ලබාදුන් සහයෝගය හා මගපෙන්වීම් වෙනුවෙන්, ශ්‍රී ලංකා මහ බැංකුවේ අධිපති සහ එහි කාර්ය මණ්ඩලයටද මාගේ කෘතඥතාව හිමි වේ.

අවසාන වශයෙන්, පසුගිය දශකයක කාලය තුළ අමාත්‍ය බැංකුව කෙරෙහි තැබූ නොසැලෙන විශ්වාසය වෙනුවෙන් අපගේ වටිනා ගනුදෙනුකරුවන්ට, කොටස් හිමියන්ට සහ අනෙකුත් සියලුම පාර්ශ්වයන්ට මාගේ ස්තූතිය පිරිනමන අතර, 2022 වසරෙන් ඇරඹෙන අමාත්‍ය බැංකුවේ දෙවන දශකය තුළ අත්පත් කරගැනීමට නියමිත වඩාත් වේගවත් වර්ධනයේ කොටස්කරුවන් වන මෙන් ඔබ සැමට මෙලෙස ආරාධනා කර සිටිමි.



අස්ඞි අක්බර්අලි
සභාපති

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කොළඹ

தலைவரின் செய்தி

2021 டிசம்பர் 31 ஆம் திகதியுடன் நிறைவடைந்த நிதியாண்டுக்கான அமானா வங்கி பிஎஸ்சியின் வருடாந்த நிதி அறிக்கை மற்றும் கணக்காவ்வு செய்யப்பட்ட நிதிக் கூறுகள் ஆகியவற்றை மிகவும் மகிழ்ச்சியுடன் உங்களுக்கு சமர்ப்பிக்கின்றேன்.

கொவிட் தொற்றுப் பரவலின் தொடர்ச்சியான சவால்கள் மற்றும் தாக்கங்கள் 2021 ஆம் ஆண்டிலும் தொடர்ந்திருந்தன. 2021 ஆம் ஆண்டில் அமானா வங்கி பிஎஸ்சி தனது வர்த்தக செயற்பாடுகளை ஆரம்பித்து ஒரு தசாப்த காலப் பூர்த்தியை எய்தியிருந்தது. அதற்கமைவாற்போல், இலாபகரத்தன்மையை எய்தும் தனது பயணத்தில் இவ்வாண்டு முக்கியமான மைல்கல்லை எய்திய ஆண்டாகவும் அமைந்திருந்தது.

மக்களுக்கு நட்பான வங்கிச் சேவைகளின் ஒரு தசாப்தம்

இறைவனின் அருளால், எமது வளர்ச்சிப் பயணத்தில் 10 வருடத்தை நாம் பூர்த்தி செய்துள்ளதான், வட்டிசாராத வங்கி மாதிரியை அடிப்படையாகக் கொண்டு முழுமையாக இயங்கும் இலங்கையின் அனுமதிப்பத்திரம் பெற்ற ஒரே வணிக வங்கி எனும் வகையில், எமது ஸ்தாபிப்புப் பெறுமதிகளை தொடர்ந்தும் நாம் பின்பற்றுவதில் உறுதியாக எம்மை அர்ப்பணித்துள்ளோம்.

வங்கியினால் பின்பற்றப்படும் பிரத்தியேகமான மக்களுக்கு நட்பான வங்கியியல் மாதிரி, இலங்கையின் பொருளாதாரத்தின் முதலெழும்பாகத் திகழும் சிறிய, நடுத்தரளவு தொழில் முயற்சியாண்மைத் துறைக்கும், நுகர்வோர் வங்கித் துறைக்கும் பொருத்தமான வகையில் தனது மூலோபாய நோக்கத்தை மாற்றியமைப்பதற்கு வழிகாட்டியாக அமைந்துள்ளது. வங்கியின் பணிப்பாளர் சபையினால் அனுமதிக்கப்பட்ட மூலோபாய திட்டத்தில் இது முறையாக கட்டமைக்கப்பட்டுள்ளது. எமது நிதிவசதி முற்பண்பு புத்தகத்தில் 64% ஆக காணப்படும் சிறிய நடுத்தரளவு தொழில்முயற்சியாண்மை மற்றும் நுகர்வோர் வங்கித் துறை என்பது, இந்தப் பிரிவில் எமது வெற்றிகரமான செயற்பாடுகளுக்கான எடுத்துக்காட்டாக அமைந்துள்ளது.

தொடர்ந்தும் நிலையான நிதிப் பெறுபேறுகளை வெளியிட்டுள்ளதனூடாக, இலாபகரத்தன்மை மற்றும் பங்கிலாபங்கள் தொடர்பான உறுதியான பதிவுகளை எம்மால் கட்டியெழுப்பு முடிந்திருந்தது. இதனை உறுதி செய்யும் வகையில், 2021 ஆம் ஆண்டில் த ஏசியன் பாங்கர் சஞ்சிகையினால் உலகின் உறுதியான 50 இஸ்லாமிய வங்கிகளில் ஒன்றாக தரப்படுத்துவதற்கும் இது உதவியாக அமைந்திருந்தது. பல்வேறு சவால்களுக்கு மத்தியில் கடந்த தசாப்த காலத்தில் உறுதியான வளர்ச்சியையும் ஸ்திரத்தன்மையையும் எய்தியிருந்தமையை, இந்த கௌரவிப்பு மேலும் உறுதிப்படுத்தியுள்ளது.

2021 ஆண்டுக்கான பாரிய பொருளாதார மீளாய்வு

உலகப் பொருளாதாரம் தற்போது புதிய வழமையை நோக்கி நகர்வதை அவதானிக்க முடிகின்றது. அதுபோன்று இலங்கையின் பொருளாதாரமும் 2021 ஆம் ஆண்டில் மாற்றுப் போக்கை வெளிப்படுத்தியிருந்தது. தொடர்ச்சியான இரண்டாவது வருடமாகவும் மொத்தத் தேசிய உற்பத்தி சரிவுப் பெறுமதியைப் பதிவு செய்திருந்தது. இலங்கை மத்திய வங்கியின் பிரகாரம், பொருளாதாரம் 4% வளர்ச்சியைப் பதிவு செய்திருக்கும் என எதிர்பார்க்கப்படுகின்றது. 2020 ஆம் ஆண்டில் இந்தப் பெறுமதி 3.9% ஆக காணப்பட்டது. 2019 ஆம் ஆண்டில் 2.3% தேறிய வளர்ச்சியைப் பதிவு செய்திருந்தது. 2021ஆம் ஆண்டில் சில மாதங்கள் நாட்டில் முடக்கநிலை காணப்பட்ட போதிலும் இவ்வாறான வளர்ச்சியைப் பதிவு செய்ய முடிந்தமை என்பது பாராட்டுதலுக்குரியது ஆகும்.

2021 ஆம் ஆண்டில் பொருளாதார மீட்சியில், அரசாங்கத்தினால் முன்னெடுக்கப்பட்ட கொவிட்-19 தடுப்புச் சிவமங்கும் திட்டம் பெருமளவு பங்களிப்பாற்றியிருந்தது. மீளாய்வுக்குட்படுத்தப்பட்ட ஆண்டின் பெரும்பாலான பகுதியில் குறைந்தளவான வட்டி வீதமும் தனியார் துறையின் கடன் விரிவாக்கத்தில் பங்காற்றியிருந்தது. அத்தியாவசியமற்ற பொருட்களுக்கு தொடர்ந்தும் இறக்குமதிக் கட்டுப்பாடு காணப்பட்டதும், உயர் ஏற்றுமதி வருமானங்கள் பெறப்பட்டிருந்தமை

போன்றனவும் 2021ஆம் ஆண்டின் பிற்பகுதியில் மாதாந்த அடிப்படையில் நாட்டின் வர்த்தக பற்றாக்குறையை நிவர்த்தி செய்ய ஏதுவாக அமைந்திருந்தன.

2020 டிசம்பர் மாதத்தின் இறுதி முதல், 2021 செப்டெம்பர் மாதம் வரையில் இலங்கை ரூபாயின் மதிப்பு சுமார் 9% இனால் வீழ்ச்சியடைந்தது. ஆனாலும் இலங்கை மத்திய வங்கியின், அமெரிக்க டொலருக்கு நிகரான இலங்கை ரூபாயின் மதிப்பை ரூ. 200 - ரூ. 203 இடையில் பேணுவது எனும் தீர்மானத்தின் பிரகாரம், ரூபாய் பெருமளவு உறுதிப்பாட்டை எய்திருந்தது.

முதல் அரையாண்டு காலப்பகுதியில் நாணயமாற்று வீத தளம்பலுடன், அந்நியச் செலாவணி இருப்பில் வீழ்ச்சி பதிவாகியிருந்தமை போன்றன, சர்வதேச தரப்படுத்தல் முகவர் அமைப்புகளினால் நாட்டின் இறையாண்மை தரப்படுத்தல்களில் இறக்கத்தை ஏற்படுத்த ஏதுவாக அமைந்திருந்தன.

2021 ஆம் ஆண்டின் மூலோபாயம் மற்றும் நோக்கம்

2020 ஆம் ஆண்டில் தமது நிலையை உறுதி செய்திருந்த அமானா வங்கி, 2021 ஆம் ஆண்டை உறுதியாக ஆரம்பித்திருந்தது. எமது மூலோபாயத்தை நிறைவேற்றவும், அவசர நிலைகளை நிவர்த்தி செய்வதற்கும் எம்மிடம் போதியளவு திரள்வு தன்மை காணப்பட்டது. சவால்கள் நிறைந்த பொருளாதார சூழ்நிலையில், எமது இடர் நிலைமை தொடர்பில் அதிகளவு எச்சரிக்கையுடனும், முன்னேற்பாடாகவும் திகழ்வதுடன், எமது பிரதான வங்கிச் செயற்பாடுகளை விரிவாக்கம் செய்வதற்கு நாம் எதிர்பார்த்தோம். வினைத்திறனை மேம்படுத்துவது மற்றும் செலவுகளை நிர்வகிப்பது தொடர்பிலும் நாம் தொடர்ந்தும் கவனம் செலுத்தியிருந்தோம்.

அரசாங்கத்தினால் அறிவிக்கப்பட்ட கடன் சலுகைக் கால அறிவிப்பைத் தொடர்ந்து, அதற்கான தகைமையைப் பெற்றிருந்த வாடிக்கையர்களுக்கு துரித கதியில் முக்கியத்துவம் வாய்ந்த நிவாரணங்களைப் பெற்றுக் கொடுத்திருந்ததனூடாக, எப்போதும் போன்று எமது வாடிக்கையாளர்களுடன்

சேர்ந்து இருப்பதற்கான எமது அர்ப்பணிப்பு மாற்றமின்றி பேணப்பட்டது. கொவிட் தொற்றுப் பரவல் காரணமாக ஏற்பட்டிருந்த பொருளாதார மந்த நிலையினால் எழுந்த கடினமான காலப்பகுதியில் வாடிக்கையாளர்களுக்கு உதவக்கூடிய வகையிலமைந்த நெகிழ்ச்சியான மீளச் செலுத்தும் தீர்வுகள் மற்றும் தாமதமான மீளச் செலுத்தும் தெரிவுகள் போன்ற எமது சொந்த ஏற்பாடுகளையும் நாம் மேற்கொண்டிருந்தோம். பயணக் கட்டுப்பாடுகள் காரணமாகவும் இதர கொவிட்-19 விதிமுறைகள் காரணமாகவும் எமது வாடிக்கையாளர்கள் எதிர்நோக்கியிருந்த அசௌகரியங்களை கவனத்தில் கொண்டு, எமது டிஜிட்டல் கட்டமைப்புகளை மேம்படுத்துவதிலும் நாம் கவனம் செலுத்தியிருந்ததுடன், அவற்றை பாவனையாளர்களுக்கு இலகுவாக நட்பான வகையில் மாற்றியமைத்து, தகவல் தொழில்நுட்ப பாதுகாப்பு கட்டமைப்பில் மேம்படுத்தல்களையும் மேற்கொண்டிருந்தோம்.

கொவிட் தொற்றுப் பரவல் மற்றும் புதிய வழமையின் காரணமாக எழுந்திருந்த கேள்விகள் காரணமாக, எமது ஊழியர்களின் பாதுகாப்பு மற்றும் நலன் தொடர்பில் நாம் அதிகளவு முக்கியத்துவமளித்திருந்தோம். வங்கியினால் பின்பற்றப்பட்ட தவிர்ப்பு ஏற்பாடு தொடர்பான மேலதிக தகவல்களை, பிரதம நிறைவேற்று அதிகாரியின் மீளாய்வு பக்கம் 21 ஐ பார்வையிடவும்.

சவால்களுக்கு மத்தியில், சுயாதீன நம்பிக்கைக் காப்பாளர் சபையின் வழிகாட்டலின் கீழ் OrphanCare இன் தொடர்ச்சித் தன்மையை நாம் உறுதி செய்திருந்தோம். 2021 ஆம் ஆண்டில் மொத்தமாக 9 நிதிப் பகிர்ந்தளிப்புகளை நாடு முழுவதையும் சேர்ந்த சுமார் 85 அநாதை இல்லங்களின், சுமார் 3000க்கும் அதிகமான அநாதரவான சிறுவர்களுக்கு வழங்கியிருந்தோம்.

2021 ஆம் ஆண்டின் பிரதான வினைத்திறன் முக்கியம்சங்கள்

2021 ஆம் ஆண்டில் உறுதியான நிதிப் பெறுபேறுகளுடன், அமானா வங்கி பிஎஸ்சி பல முக்கியத்துவம் வாய்ந்த நிதியியல் மைல்கற்களையும் சாதனைகளையும் பதிவு செய்திருந்தது. 2021 நிதியாண்டுக்கான

வரிக்கு முந்திய இலாபம் ரூ 1 பில்லியனை கடந்திருந்தது. இது முன்னைய ஆண்டின் இதே காலப்பகுதியுடன் ஒப்பிடுகையில் 42% அதிகரிப்பாகும். 2021 நிதியாண்டில் வரிக்குப் பிந்திய இலாபம் ரூ. 825 மில்லியன் ஆக பதிவாகியிருந்தமை முன்னைய ஆண்டுடன் ஒப்பிடுகையில் 78% அதிகரிப்பாகும்.

2020 ஆம் ஆண்டின் நிறைவில் பதிவாகியிருந்த மொத்த சொத்துக்களின் பெறுமதியுடன் ஒப்பிடுகையில் 2021 டிசம்பர் 31ஆம் திகதியுடன் நிறைவடைந்த நிதியாண்டில், வங்கியின் மொத்த சொத்துகளின் எண்ணிக்கை 22% இனால் அதிகரித்து ரூ. 120 பில்லியனாக பதிவாகியிருந்தது. இவை அனைத்தும் முக்கியத்துவம் வாய்ந்த சாதனைகளாக அமைந்திருப்பதுடன், அமானா வங்கியின் மீட்சி மற்றும் ஏற்புடைமை ஆகியவற்றை மீள உறுதி செய்வதாக அமைந்திருப்பதாக நான் நம்புகின்றேன்.

வங்கி உறுதியான இடர் முகாமைத்துவ கட்டமைப்பைக் கொண்டுள்ளதுடன், பணிப்பாளர் சபையுடன் ஒன்றிணைக்கப்பட்ட இடர் முகாமைத்துவ குழுவினால் ஆழமான ஆய்வுத் தகவல்கள் வழங்கப்படுவதுடன், இடர் முகாமைத்துவம் தொடர்பில் சகல ஆலோசனைகளும் வழங்கப்பட்டு, தொற்றுப் பரவலின் தாக்கம் உணரப்படும காலப்பகுதியிலும் வங்கி தொடர்ந்தும் மீண்டெழும் நிலையில் காணப்படுவதை உறுதி செய்துள்ளது. அவ்வாறான ஆலோசனை வழங்கலுடன், கடுமையான இலாகா முகாமைத்துவ நடவடிக்கைகள் மற்றும் முறையான வாடிக்கையாளர் ஈடுபாட்டு பணிகள் போன்றவற்றினால், வங்கியின் தேறிய மற்றும் நிகர நிதி வசதித் தொழிற்படா விகிதங்கள் தொழிற்துறையின் சராசரியை விட குறைவாக காணப்பட்டதுடன், முறையே 0.5% மற்றும் 3.1% ஆக பதிவாகியிருந்தன.

தொடர்ச்சியான பங்கிலாபம் வழங்கல் எனும் தனது வழமையைப் பின்பற்றி, அமானா வங்கியின் பங்குதாரர்களுக்கு 2021ஆம் ஆண்டில் ரூ. 260 மில்லியன் பெறுமதியான மேலதிக பங்குகள் பங்கிலாபமாக (scrip dividend) வழங்கப்பட்டிருந்தது. நிதிப் பங்கிலாபம் வழங்குவது தொடர்பில்

காணப்படும் கட்டுப்பாடுகளின் போது, ஒழுங்குபடுத்தல் வழிகாட்டல்களில் தெரிவிக்கப்பட்டுள்ளதற்கமையாக மேலதிக பங்குகள், பங்கிலாபமாக (scrip dividend) வழங்குவது தொடர்பான தீர்மானம் மேற்கொள்ளப்பட்டிருந்தது. அமானா வங்கியினால் தொடர்ச்சியாக நான்காவது முறையாக வருடாந்த பங்கிலாபம் வழங்கப்பட்ட சந்தர்ப்பமாக இது அமைந்துள்ளதுடன், எம்மைப் போன்ற இளம் வங்கியைப் பொறுத்தமட்டில் இது மிகவும் சிறந்த சாதனை என்பதில் என்னைப் போன்று நீங்கலும் உடன்படுவீர்கள் என நான் உறுதியாகக் கருதுகின்றேன்.

அதிகளவு தளம்பல்கள் நிறைந்த இந்தக் காலப்பகுதியில் அமானா வங்கியின் மீண்டெழும் நிலை மற்றும் உறுதித் தன்மை ஆகியவற்றை மேலும் உறுதி செய்யும் வகையில் ஃபிட்ட் ரேட்டிங்ஸ் தரப்படுத்தல்களின் மூலமாக வங்கியின் புறத்தோற்ற தரப்படுத்தல் BB+(lka) நிலையான தோற்றப்பாடு என வழங்கப்பட்டிருந்தது. 2020 ஜூன் மாதத்தில் நாம் பதிவு செய்திருந்த உயர்ந்த தரப்படுத்தல் மீளாய்வைத் தொடர்ந்து இந்த தரப்படுத்தலைப் பெற்றுள்ளமை குறிப்பிடத்தக்கது.

ஆளுகை மற்றும் வழிநடத்தல்

அமானா வங்கி தனது பிரதான ஸ்தாபக கொள்கைகளில் ஒன்றாக, சிறந்த ஆளுகையை தற்போதும் பேணி பின்பற்றி வருகின்றது. வங்கியின் அதியுயர் ஆளுகை கட்டமைப்பான – அதன் பணிப்பாளர் சபையின் வலிமை மற்றும் தரம் என்பதில் எப்போதும் விசேட கவனம் செலுத்தப்படுகின்றது. அமானா வங்கியின் தற்போதைய பணிப்பாளர் சபையில், புகழ்பெற்ற சிரேஷ்ட வங்கியாளர்கள் மற்றும் இதர பெருமளவு அனுபவம் வாய்ந்த நிபுணர்கள் அங்கத்தவர்களாக உள்ளனர். இதனால் எமது போட்டியாளர்களுடன் ஒப்பிடுகையில் எமக்கு பெருமளவு அனுபவம் சேர்ப்பதாக அமைந்துள்ளது. எமது பணிப்பாளர்களில் சிலர் கணக்கீடு, தகவல் தொழில்நுட்பம், சட்டம் மற்றும் சந்தைப்படுத்தல் போன்ற துறைகளில் அதிகளவு பாண்டித்தியம் பெற்றுள்ளதுடன், அவர்களின் துறைகள் பற்றி தாம்

தலைவரின் செய்தி

கொண்டுள்ள பரந்த நிபுணத்துவ அறிவினூடாக, சிறந்த தீர்மானங்களை மேற்கொள்வதில் அதிகளவு முக்கிய பங்கை வகிக்கின்றனர்.

வங்கியின் ஒட்டுமொத்த ஆளுகைக் கட்டமைப்புகளை மேம்படுத்தும் பணிகளின் அங்கமாக, 2021 ஆம் ஆண்டில் பணிப்பாளர் சபையினால் வங்கியின் தகவல் தொழில்நுட்பம் மற்றும் தகவல் தொழில்நுட்ப பாதுகாப்பு அம்சங்களை மேம்படுத்துவதற்கு அவசியமான தலைமைத்துவத்தை வழங்குவதற்கு பணிப்பாளர் சபை தொழில்நுட்பக் குழுவொன்று நியமிக்கப்பட்டது.

ஆளுகை கட்டமைப்பு தொடர்பான தலைப்புகளில், மீளாய்வுக்குட்பட்ட ஆண்டில் பல்வேறு ஒழுங்குபடுத்தும் அமைப்புகளால் வெளியிடப்பட்டிருந்த சகல ஒழுங்குபடுத்தல்கள் மற்றும் வழிகாட்டல்களை முழுமையாக பின்பற்றி இயங்குவதை அமானா வங்கியின் பணிப்பாளர் சபை மற்றும் அதன் உப குழுக்கள் போன்றன மேற்கொண்டிருந்தன. சிறந்த ஆளுகை மற்றும் ஒழுக்கச் செயற்பாடுகளை பின்பற்றுவதற்கு பணிப்பாளர் சபை தொடர்ந்தும் தன்னை அர்ப்பணித்துள்ளதடன், வங்கியினுள் வெளிப்படைத் தன்மை எனும் கலாசாரத்தை ஊக்குவித்துப் பின்பற்றுகின்றது என்பதை நான் உங்களுக்கு உறுதியளிக்கின்றேன்.

எதிர்காலத் திட்டங்கள்

குறைந்தளவு அந்நியச் செலாவணி இருப்புக்குடன், நாட்டின் இறையாண்மை தரப்படுத்தல் என்பதும் தரவிறக்கம் செய்யப்பட்டிருந்தமையால், இது குறுங்கால அடிப்படையில் சவால்களை அதிகரிக்கச் செய்துள்ளது. அரசாங்கத்தினால் இலக்கு வைக்கப்படும் அந்நியச் செலாவணி வருமானமீட்டும் நடவடிக்கைகள், சுற்றுலாத் துறையின் படிப்படியான மீட்சி, ஏற்றுமதியின் மூலமாகக் கிடைக்கும் உயர்ந்த வருமதிகள் மற்றும் சகல குடிமக்களுக்கும் வெற்றிகரமாக தடுப்பூசி வழங்கப்படுகின்றமை போன்றன, அடுத்த 12 மாதங்களில் உறுதியான பொருளாதார மீட்சிக்கு வழிகோலுவதாக அமைந்திருக்கும் என நான் நம்பிக்கை கொண்டுள்ளேன்.

கொவிட் தொற்றுப் பரவலுக்கு பின்னரான நாட்டின் பொருளாதார வளர்ச்சிக்குப் பங்களிப்பு வழங்குவதற்கு அமானா வங்கி தன்னை தொடர்ந்தும் அர்ப்பணித்துள்ளது. அவ்வாறான பணிகளில் அடுத்த படிமுறைகளாக, எமது செயற்பாடுகளை மேம்படுத்தும் கட்டமைப்பொன்றை ஏற்படுத்திக் கொடுப்பது அமைந்துள்ளது. அடுத்த 5 வருட காலப்பகுதியில் அமானா வங்கியின் முன்னேற்றத்தை கட்டமைத்து காண்பிப்பதற்கு பணிப்பாளர் சபையினால் அனுமதியளிக்கப்பட்ட முலோபாயத்திட்டத்தை நடைமுறைப்படுத்தியுள்ளதனூடாக, இந்த விடயம் தொடர்பில் முக்கியமான ஏற்பாடுகளை நாம் மேற்கொண்டுள்ளோம். எதிர்காலத்தில் நாட்டின் பொருளாதார வளர்ச்சியில் பிரதான அங்கமாக அமைந்திருக்கும் சிறிய நடுத்தரளவு தொழில்முயற்சியாண்மை துறையை கட்டியெழுப்பும் நாட்டின் நோக்கத்தை சார்ந்ததாக இந்தத் திட்டங்கள் அமைந்துள்ளன என்பதை என்னால் உறுதியாக தெரிவிக்க முடியும்.

2022 டிசம்பர் மாத இறுதியினுள் ஆகக்குறைந்த மூலதன தேவைப்படான ரூ. 20 பில்லியனை கொண்டிருப்பது எனும் இலங்கை மத்திய வங்கியின் நிபந்தனையை நிவர்த்தி செய்யும் வகையில் வங்கியின் மூலதன ஒதுக்கீட்டுப்பணிகளும் முன்னெடுக்கப்படுகின்றன.

இலங்கையில் மக்களுக்கு நட்பான வங்கி முறைமையின் முன்னோடிகள் எனும் வகையில், இந்த பிரத்தியேகமான வங்கி முறைமையினூடாக நாட்டின் சகல இனங்கள், மதங்கள் மற்றும் பகுதிகளைச் சேர்ந்த சமூகத்துக்கு மற்றும் மனித நேயத்துக்கும் பாரியளவில் அனுகூலமளிக்கக்கூடியதாக இருக்கும் என்பதில் நாம் உறுதியான நம்பிக்கை கொண்டுள்ளோம். இதன் அடிப்படையில், வெளிநாடுகளைச் சேர்ந்த நிறுவனங்களுக்கு தமது நாடுகளில் இந்த வட்டசாராத நிதி முறைமையிலமைந்த வங்கியியல் செயற்பாடுகளை மேற்கொள்வதற்கான ஆலோசனை மற்றும் வழிகாட்டல் சேவைகளை பெற்றுக் கொடுக்கவும் அமானா வங்கி எதிர்பார்த்துள்ளது. இந்த ஏற்பாட்டினூடாக, பிராந்திய மட்டத்தில் தனது பிரசன்னத்தை மேம்படுத்துவதற்கு வங்கி எதிர்பார்ப்பதுடன்,

வளர்ந்து வரும் சந்தைகளில் விசேட கவனம் செலுத்தக்கூடியதாகவும் இருக்கும்.

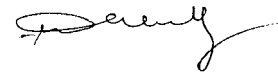
பாராட்டுதல்கள்

எனது மீளாய்வை நிறைவும் செய்யும் நிலையில், சகல சந்தர்ப்பங்களிலும் அவசியமான வழிகாட்டல்கள் மற்றும் ஆலோசனைகளை வழங்குகின்றமைக்காக பணிப்பாளர் சபையைச் சேர்ந்த எனது சக அங்கத்தவர்களுக்கு இந்தத் தருணத்தில் நன்றி தெரிவிக்கின்றேன். அத்துடன், ஷரீஆ மேற்பார்வை சம்மேளனத்தினால் வழங்கப்படும் வழிகாட்டல்கள் மற்றும் ஆதரவுக்காக அவர்களுக்கு நன்றி தெரிவிக்கின்றேன்.

சவால்களுக்கு மத்தியிலும் தமது அர்ப்பணிப்பான பணிகளினூடாக அமானா வங்கியை மேலும் வளர்ச்சியை நோக்கி வழிநடத்திச் செல்கின்றமைக்காக, எமது பிரதம நிறைவேற்று அதிகாரி மொஹமட் அஸ்மீருக்கும், நிர்வாக அணியினர் மற்றும் ஊழியர்களுக்கு விசேடமாக நன்றி தெரிவிக்கின்றேன்.

இலங்கை மத்திய வங்கியின் ஆளுநர் மற்றும் அதிகாரிகளுக்கும் சகல சேவைகளிலும் வழங்கும் ஆதரவு மற்றும் வழிகாட்டல்களுக்காக நன்றி தெரிவிக்கின்றேன்.

இறுதியாக, சகல பெறுமதி வாய்ந்த வாடிக்கையாளர்கள், பங்காளர்கள் மற்றும் பங்குதாரர்களுக்கும், அமானா வங்கியின் மீது கடந்த ஒரு தசாப்த காலமாக கொண்டிருக்கும் அத்தீ நம்பிக்கை மற்றும் வழங்கும் ஆதரவுக்கும் நன்றி தெரிவிப்பதுடன், 2022 ஆம் ஆண்டு முதல் ஆரம்பித்துள்ள, மேலும் துரிதமான வளர்ச்சியை எய்தும் வங்கியின் இரண்டாம் தசாப்த காலப் பயணத்தில் கைகோர்க்குமாறும் அனைவரையும் அழைக்கின்றேன்.



அஸ்கி அக்பரலி
தலைவர்

19 பெப்ரவரி 2022
கொழும்பு

10 years
of people friendly banking

Name

Arshad Jamaldeen

Designation

Assistant Vice President – Deposits
and Digital Innovation

No. of years at Amāna Bank

10+ Years

Highlights

CEO Award winner in 2016

Member of the Bank's Mid-Com

Authored the book 'Road to Billionaire'

"Having joined the Bank prior to commencement of operations, I was fortunate to attain the exposure of a start-up bank, where I was involved in setting up business units and launching new products. With limited resources and expertise at that time, the challenges I faced moulded me to be who I am today, where the Bank provided me the platform to apply my knowledge and innovative ideas.

I was given the opportunity to lead the launch of many products while also being at the helm of setting up the Bank's direct sales units, the self-banking centre project and other initiatives. It was based on this exposure, that I was able, with the support of my team, to ensure the Bank sustains an above industry growth in deposits, touching the lives of many through our people friendly banking solutions."

Name

Rajendra Jayasinghe

Designation

Assistant Vice President – Corporate
Banking

No. of years at Amāna Bank

9 Years

Highlights

CEO Award winner in 2016

Member of the Bank's Mid-Com

“I joined Amāna Bank in the year 2012 as part of setting the Business Banking Division as a Senior Relationship Manager and since then I have been instrumental in financing many large-scale businesses along with structuring flagship projects in diverse fields, such as aircraft financing, renewable energy, export-oriented business, aquaculture & local industries, etc.

I am fortunate to have been exposed to a unique ethical banking model, which has facilitated me in providing a more holistic service to my clients. As a result of the Bank recognizing my performance in a very challenging environment, I was entrusted with various responsibilities such as the Head of SME - Western Region, then as Head of Corporate/FCBU-Western Region and was given the task of setting up the Bank's Refinance Unit. I am grateful to Amāna Bank for the opportunities that have been presented and supporting me along with the necessary empowerment and guidance.”

Chief Executive Officer's Review



“It is truly heartening to witness and reminisce how the Bank has resiliently evolved over the period and emerged to what it is today.”

2021 is the year in which Amāna Bank celebrated a decade of progress in the cause of people friendly banking. It is truly heartening to witness and reminisce how the Bank has resiliently evolved over the period and emerged to what it is today. The source of our success has been our discipline of having and duly delivering, on a clear 5 year strategic plan while reviewing and building on it year on year with ownership and accountability. Our focus has always been on building customer loyalty amongst our 415,000+ customers while growing and transforming the Bank in alignment with the evolving needs of the market and macroeconomic environment.

This disciplined approach towards planning and execution has brought us the results we enjoy today where we are not only being recognized as one of the fastest growing institutions within the local banking industry but also as one of the Top 50 strongest non-interest based banking institutions in the World.

We have always been mindful about ensuring our growth is sustainable and responsible, fulfilling our purpose of enabling growth and enriching lives while earning and strengthening the trust and confidence of all stakeholders. In this journey of sustainable and responsible growth, we are happy to have facilitated job creation and entrepreneurship, thereby helping citizens to make a positive impact to our nation.

Chief Executive Officer's Review



“Our focus as an equal opportunity employer has always been on helping our staff to find and pursue their passion within the Bank, thereby helping them emerge as leaders in their respective fields empowered with trust and confidence.”

Our focus as an equal opportunity employer has always been on helping our staff to find and pursue their passion within the Bank, thereby helping them emerge as leaders in their respective fields empowered with trust and confidence.

The consistent trend of rewarding our shareholders through dividends during the last 4 years, despite the challenging times, is something we are very pleased with and are keen to maintain and grow.

We recognize that there is much more to be done. Therefore, we will not allow our success make us complacent and instead we will choose to build on the results and the scale we have achieved to cross further boundaries.

Year in Review

As we focus on the particular year in review, it is clear that from the almost muted conditions in the previous year, the year 2021 brought with it some hope, as economic activity started to gradually resume aided by aggressive vaccine rollouts by Governments. Nevertheless, the evolvement of virus variants, resulted in the pandemic continuing to be a hindrance to economic progress, as lockdowns and other restrictions imposed from time to time throughout the year served to be a constant reminder that Covid-19 was far from over.

Amāna Bank for its part, having demonstrated its resilience against the Covid-19 impact in 2020, started 2021 from a position of strength. We made steady progress in delivering our growth strategy notwithstanding the mounting challenges that came our way.

Our clear vision, agile business model and strong risk fundamentals combined with prudent planning, ethical business principles and strong customer engagement allowed us to further enhance our performance track record financially and operationally, for which I am delighted to note that the Bank for the first time in its short history, surpassed the LKR 1 billion milestone in Profit Before Tax.

Supporting Customers

The past few years have certainly brought countless challenges to our customers and their businesses. However, our people friendly banking model has allowed us to continuously support our customers through flexible solutions and other bespoke offerings to meet their varied needs. In addition to participating in the government-led moratorium schemes, not restricting our efforts to the stipulated eligibility criteria, we also initiated our own measures to bring relief to customers who did not qualify for the above scheme. In each case, we went beyond the call of duty to deepen relationships with our customers and truly understand their unique circumstances in order to guide them through difficult times, following the UYC or 'Understand Your Customer' approach.

Operational Highlights

Through the above engagements especially with our SME customers in line with our strategic focus we were able to yield positive results, enabling us to reach the highest ever annual Customer Advances growth of LKR 13.2 billion, reflecting a growth of 21%.

Our deposit portfolio, despite the decline in market liquidity, grew by a commendable 15%. Our focused efforts and long term strategies towards growing the CASA portfolio, has benefited the Bank to effectively manage its cost of funds. Testifying to the cohesive efforts put in by all relevant business divisions towards this goal, I am pleased to report that the Banks overall CASA ratio improved to 46% in 2021.

Meanwhile, having crossed the landmark of LKR 100 billion in Total Assets last year, the Bank in the year under review, went on to grow its asset book by a further 22% to close at LKR 122 billion.

Leveraging on its Balance Sheet strength, the Bank went on to achieve a commendable topline performance, with Net Financing Income reaching LKR 4.26 billion, reflecting a YoY growth of 23% which was supported by sustaining a healthy financing margin of 3.8%. Having successfully maintained operating expenses at last year levels, as a result of the continued focus on cost containment, the Bank achieved a noteworthy growth of 25% in Operating Profit before VAT on Financial Services to reach LKR 1.44 billion. This led the way for the Bank to cross the PBT milestone of LKR 1 billion and record a PAT of LKR 825 million. Echoing the Bank's bottom line performance, the Bank went on to improve its Earnings Per Share from 17 cents to 31 cents, which will permit the Bank to duly reward its shareholders.

Further, we have been constantly working towards fortifying our backend

IT infrastructure to improve stability and security while optimizing the quality of customer experience. With the pandemic calling for new ways of working based on greater digital adoption, we increased our investments in robotic process automation towards improving and simplifying our processes. We also invested in improving the efficacy of our data tracking and business intelligence architecture.

Safety and Wellbeing of Employees

Keeping our people safe and healthy, remained our key priority. As was the case in 2020, thanks to the well-placed contingency planning measures, we were able to effectively ensure the wellbeing of our teams, while minimizing operational hindrances and inconveniences to our customers. Wherever possible and practical we implemented work from home arrangements to minimize the staff exposure to the spread of Covid-19.

The Bank continued with its succession planning and leadership development efforts across the Bank, with some key appointments, aimed at building a stable talent pool to drive the future. Acknowledging the consistent work we have put in over the years, by creating a robust and challenging work environment, and testifying our team's passion and commitment to serve our mission of continuous improvement in enabling growth and enriching lives, I am sincerely honoured that Amāna Bank was declared as one of Asia's Best Employer Brands in 2021 by World HRD Congress. This award further entrenches the Bank's position as an employer of choice.

Chief Executive Officer's Review

Caring for the Community

Despite all the challenges faced in the core business areas, we did not lose sight of our commitment to care for the community. The Amāna Bank sponsored OrphanCare initiative continued its benevolent efforts in 2021, marking the completion of 9 rounds of fund disbursements benefiting 3,000+ orphans in 85 orphanages across Sri Lanka. In addition to the periodic fund disbursements, OrphanCare continued to identify and profile orphans who have reached the age of 18 through a structured qualitative support process. This involves taking into consideration the skills and career aspirations of the orphans and matching their requirements with support partners of both individual and institutional capacity.

Amāna Bank also continued to serve the community through various other endeavours. Contributing towards the installation of a 10 kWa rooftop Solar System for the Eastern Cancer Care Hospice and donating ventilators and other essential Covid-19 treatment equipment to several key state hospitals across the country, were few of such projects embarked upon.

Towards Sustainability

Having grown and evolved substantially over the past decade, we have always assigned great importance to ensure the aspect of sustainability, in everything we do, which is an inherent feature of the unique people friendly banking model we follow.

Our operational mandate and commitment to the UN Sustainable Development Goals (UNSDG) was further strengthened in 2021, with the

formation of a focused cross functional team, who will champion selected SDGs, towards finding meaningful solutions to resolve key economic, social and environmental challenges impacting the world. The Bank is also honoured to be a participant of the UN Global Compact which signifies an important and valued landmark in the Bank's journey towards sustainability.

The Bank aligns its sustainable initiatives to 3 key areas, namely; Core Business, focusing on SMEs; Infrastructure & Operations; and CSR. Based on this Amāna Bank is aligning to the Sri Lanka Banks' Association's Sustainable Banking Initiative, as a principal signatory thereby promoting ESG as an integral part of the Banking operations while also aligning to selected UNSDGs, which can be further referred to in pages 80 to 82 in this Annual Report.

Future Outlook

Looking ahead, how long the prolonged hindrances and effects of the pandemic will continue, remains to be an uncertainty. Nevertheless, having proven itself to be a resilient Bank able to rise against the odds, I am confident that Amāna Bank is well placed to navigate through the challenges that lie ahead. The acceleration of our digital footprint via novel digital solutions is bound to give us the leverage and the agility to capitalize on emerging opportunities through the growing digital adoption among customers.

We will keep striving forward to realize our full potential and ensure all our stakeholders and especially our shareholders benefit from a rewarding journey of growth and prosperity.

Acknowledgements

I would like to place on record my sincere appreciation to the Chairman, the Board of Directors and Board Advisors for the visionary leadership that has steered Amāna Bank to new heights of success, even in the midst of a pandemic.

My sincere appreciation also extends to the Sharia Supervisory Council for their advice and guidance at all times and likewise to the OrphanCare Trustees for their passion and dedication in steering this virtuous initiative to greater heights.

I wish to take this opportunity to thank the Management Committee and the entire Amāna Bank team for their passion and commitment this past year as always. I am deeply proud of your resilience, your strong loyalty and dedication towards the Bank and our customers.

Last not but least, my gratitude goes out to all our customers, shareholders and other stakeholders for contributing to our journey over the past decade. I believe we will continue to have your trust and confidence and that you will continue to remain invested in Amāna Bank's success in the years ahead.



Mohamed Azmeer

Chief Executive Officer

19 February 2022
Colombo



Profile of Chief Executive Officer

Mohamed Azmeer took over the leadership of the Bank in June 2014. Prior to that, as the Bank's Chief Operating Officer, he was overseeing the business functions of the Bank's Consumer, SME, Corporate and Treasury divisions. Before joining Amāna Bank, Azmeer had gained significant exposure to conventional and Islamic banking through his illustrious career, both locally and internationally, which spans over 30 years.

Having commenced a career in banking at Commercial Bank of Ceylon, Azmeer's leadership progression and banking intuitiveness was a result of his overseas experience, primarily at Citibank, UAE, where he had gained the unique experience of both business and risk aspects of banking, having overseen such operations at senior levels. During such tenure, he also carried out many short overseas assignments to countries such as UK, India and Kenya, where he acquainted himself to the different dynamics and challenges specific

to each business and region. At the culmination of his career at Citibank he held the position of Vice President – Risk, for UAE and Oman. Azmeer's experience also includes 'start-ups' where he was a founder member of the erstwhile Dubai Bank which was established at the direction of the Dubai Government.

Azmeer's journey towards Islamic banking was a result of him wanting to have this nascent but people friendly concept accepted and embraced by a wider audience. In the field of Islamic banking, Azmeer's track record involved holding senior positions at Al-Rajhi Bank Saudi Arabia, the largest and leading Islamic Bank in the world and Sharjah Islamic Bank, a pioneering bank in UAE and the first Islamic bank in the world to fully convert its operations from being a conventional entity, in which he was an Executive Vice President.

Azmeer has served on the Boards of Sri Lanka Banks' Association (Guarantee) Ltd., LankaClear, the national payment and clearing association of Sri Lanka, and was the Chairman of the Financial Ombudsman Sri Lanka (Guarantee) Ltd.

Azmeer holds a Master's Degree in Business Administration from the University of Leicester, UK. Utilising his sound knowledge and wide experience, Azmeer has played a key role in guiding Amāna Bank towards the success it has reached thus far.

10 years
of people friendly banking

Name

Ramakrishnan Kirubakaran

Designation

Assistant Vice President – Retail
Advances

No. of years at Amāna Bank

9 Years

Highlights

CEO Award winner in 2016

Member of the Bank's Mid-Com

Known as a solution driven leader



“I take great pride in being a part of Amāna Bank! My journey has been filled with learning and growth within the organisation. Having joined the Bank with the initial role of credit processing, I was given the flexibility to revamp the credit process structure to be customer friendly.

Based on the success we achieved by introducing customer centric solutions, the Bank gave me the rare opportunity to also head a business unit, which I took up the challenge and have been able to deliver to date, thanks to the empowerment and trust the Bank has placed on me. Amāna Bank enables a people friendly environment for employees like me, where I can really be the best version of myself.”

Board of Directors



Ali Asghar (Asgi) Akbarally
Chairman, Non-Executive,
Non-Independent Director

Ali Asghar (Asgi) Akbarally is an Executive Director of Akbar Brothers (Pvt) Ltd, one of Sri Lanka's largest diversified corporates, globally renowned for its tea exports. Asgi Akbarally holds directorship in multiple subsidiaries and affiliates of the Akbar Group covering sectors such as Manufacturing, Property Development, Hotels & Leisure, Healthcare, Power Generation, Packaging & Printing, Logistics and Environmental Services. He is the Managing Director of Renewgen (Pvt) Ltd and Chairman of Windforce (Pvt) Ltd, Hermitage Resorts (Pvt) Ltd, Uthurumaafaru Holding (Pvt) Ltd Maldives, Lhaviyani Holdings (Pvt) Ltd and Cocoon Investments (Pvt) Ltd Maldives. He is also a Director of Alumex PLC.

Asgi Akbarally is currently the Honorary Consul of the Hashemite Kingdom of Jordan. He holds a BSc Degree in Industrial Engineering from the California State University and is a Fellow Member of the Institute of Certified Professional Managers. A classic car enthusiast, Asgi Akbarally has authored a coffee table book on "Classic and Vintage Automobiles of Ceylon" and is the Patron of the Classic Car Club of Ceylon.



Rajiv Nandlal Dvivedi
Non-Executive, Independent Senior Director

Rajiv Nandlal Dvivedi is currently the CEO of Eagle Investments Limited, a privately owned Investments and Advisory firm based in the DIFC, Dubai, and UAE. He has over 40 years of Commercial and Investment Banking, Corporate Finance, and Investments experience. He spent 35 years at Citibank in various senior executive positions: 28 years in Commercial and Investment Banking, Corporate Finance and Risk Management in the Middle East and seven years in Consumer Banking with Citibank in New York, USA. In addition to Amāna Bank, Mr. Dvivedi currently sits on the Board of Eagle Investments Limited (UAE) and Eagle India Investments Sharia Fund I Limited (Mauritius). He holds an MBA in Finance from Long Island University, New York, USA.



Dilshan Hettiaratchi
Non-Executive, Independent Director

Dilshan Hettiaratchi is a Managing Director of Faber Capital Limited which is an investment banking firm headquartered in Dubai. The firm specialises in Capital Markets, Renewable Energy and Advisory opportunities. He has over 25 years of banking and financial markets experience. Prior to joining Faber Capital, he was the Managing Director and Head of Debt Capital Markets - MENA and Pakistan for Standard Chartered Bank. In this role he advised many high profile issuers from the Middle East such as The Government of Dubai, The Government of Ras Al Khaimah and other Corporates and Financial Institutions from the ME region to tap the International Bond and Sukuk markets. Prior to joining SCB, he worked with Citi National Investment Bank, which was the investment banking arm of Citibank and NDB based in Colombo, as well as at Waldock Mackenzie Limited which was the investment banking arm of John Keells Holdings. He is a Non-Executive Director of Asset Trust Management Limited, which is a SEC regulated Asset Management Company. He is also a Non-Executive Independent Director of Wind Force PLC. He was also a Steering Committee member of the Gulf Bond and Sukuk Association (GBSA), and the Chair of the Government Bond issuance committee in 2011. He has been a speaker/panellist at a number of industry conferences in Debt Markets over the last few years.

He holds an MBA from the University of Colombo, is a CFA Charter holder and is an ACMA (UK).

Board of Directors



Aaron Russell-Davison

Non-Executive, Independent Director

Aaron Russell-Davison is a veteran banker with 25 years' experience across banking and financial institutions, including capital markets, bond and loan syndication, sales, bond trading, portfolio management and brokerage. Most recently, his tenure at Standard Chartered Bank Singapore spanned over 6 years, at the most senior levels of Capital Markets, as the Global Head of Debt Capital Markets. He also has served as Director, Capital Markets in prominent global institutions such as Credit Suisse, Hong Kong; Standard Bank of South Africa, Hong Kong; and Hypo-Vereins Bank, London. He has held Board positions as an Independent Non-Executive Director of leading financial institutions, whilst serving on many Board Risk, Audit, and Credit Committees. He has worked across multiple geographies and cultures with a strong Asian aspect, and holds a Bachelor of Arts (Asian History and Politics) from the University of Western Australia.



Mohammed Ataur Rahman Chowdhury

Non-Executive, Non-Independent Director

Mr. Mohammed Ataur Rahman Chowdhury is a seasoned financial sector specialist, having spent more than 20 years across in the Financial Institutions domain covering multiple geographic regions across Middle-East, North Africa, West Africa, Central Asia and Southeast Asia. His diversified experience was spent mostly in senior roles in direct financing, investment banking, commercial banking, FI equities, board representations and turning around financial institutions.

Joined in 2007, at present, Mr. Chowdhury is leading Non-Banking Financial Institutions at the Islamic Corporation for the Development of the Private Sector (ICD); the private sector arm of the Islamic Development Bank (IsDB) Group providing strategic direction and support to company and management across Ijarah (Leasing), mortgage financing takaful, liquidity management and investment company operations to become profitable and sustainable. Prior to that, Mr. Chowdhury, being Head of Banking Investment, led establishments and formulating strategies of more than 15 Islamic banks with aggregate portfolio of nearly USD 260 million.

He is an experienced and veteran board member with proven track of transforming financial institutions from loss making into profitable. He is also a Board member in Maldives Islamic Bank Limited and played vital roles in the foundation, growth and public listing stage of the bank. Briefly, Mr. Chowdhury also worked as Advisor, Financial Institutions for The European Bank for Reconstruction and Development (EBRD) in London, UK on secondment from ICD.

Mr. Chowdhury's professional career, preceding his ICD tenor, included 7 years in Bangladesh's financial sector, holding the roles of: Corporate Relationship Manager in Commercial Bank of Ceylon Limited (Bangladesh operation), Investment Manager in IPDC (the first Development Financial Institution in the country) and Senior Investment Analyst in BRAC-EPL (a premier investment bank in the country).

A well-learned individual, Mr. Chowdhury holds an MBA in Finance from IE Business School, Spain, and another MBA in Finance & Accounting from North South University, Bangladesh. He has also earned a Diploma in Board Certification of Company Direction from the Institute of Directors, United Kingdom.



Syed Muhammed Asim Raza

Non-Executive, Non-Independent Director

Syed Muhammed Asim Raza has over thirty three years of diverse experience in banking and engineering industries at senior management level. He is well versed in all aspects of public and private sectors projects and equity financing including identification, preparation, due diligence, implementation and post implementation activities. He has a vast experience in remedial asset management which involved recovery of classified portfolio through restructuring, liquidation and litigation activities.

Currently attached to Islamic Development Bank Group (IsDB), Mr. Raza is involved in developing the enabling environment for trusts and endowments sector in OIC member and non-member countries; providing technical assistance for capacity building, regulatory and institutional development. He is deeply involved in the development of new endowments as well as establishment of commercial real estate projects on idle endowment land for transforming them in to revenue generating asset. Currently, he is supervising the global projects portfolio of more than US\$ 300 million.

Prior to joining IsDB, Mr. Raza worked in Pakistan and served on various senior positions at different financial institutions. He served as Vice President at Muslim Commercial Bank and Atlas Investment Bank Limited. He worked twelve years with the National Development Finance Corporation, which was mandated for the development of infrastructure projects in Pakistan.

Mr. Raza holds a Bachelor Degree in Mechanical Engineering and Masters in Business Administration. He is a member of various Engineering Council and Institutes and has represented IsDB as a speaker at various prestigious forums and conferences.



Khairul Muzamel Perera Bin Abdullah

Non-Executive, Non-Independent Director

Khairul Muzamel Perera has over 35 years of banking related experience including stints at a credit rating agency and a national asset management institution. He is currently the Group Chief Credit Officer overseeing the Credit Management Division at Bank Islam Malaysia Berhad, which covers Credit Analysis, Credit Analytics, Valuation and the Central Financing Processing function. He also chairs various Financing Committees, the Underwriting & Investment Committee in the Bank and the Investment Committee at BIMB Investment Management Berhad, a wholly owned subsidiary. Khairul joined the Risk Management Division of the Bank in April 2009, heading the Credit Risk Management unit. He is also currently heading the development of an ESG Risk Management Framework incorporating Climate Risk Assessment in the Bank.

A Chartered Company Secretary by profession, Khairul is an Associate Member of the Institute of Chartered Secretaries & Administrators, London and a Chartered member of the Chartered Institute of Islamic Finance Professionals, Malaysia.

Board of Directors



Omar Kassim

Non-Executive, Non-Independent Director

Omar Kassim is a fintech focused technology entrepreneur, who specialises in conceiving, building, and exiting interesting technology ventures. Omar is the Co-Founder and Chief Executive Officer of Nomod, a London headquartered startup building a highly efficient, scalable, financial operating system to empower millions of entrepreneurs and startups around the world to start and grow their businesses with inventive payment and banking tools. Omar also Co-Founded and was the Chief Executive Officer of Esanjo, a trading, investment, and technology business based in Dubai, where he remains a member of the Board. Omar previously founded and exited JadoPado, a highly regarded e-commerce technology platform addressing the Middle East, North African, and South Asia. Omar holds a BsC in Electronics Engineering and Business Studies from the University of Warwick in the United Kingdom.



Tishan Subasinghe

Non-Executive, Independent Director

Tishan Subasinghe, is a Fellow and Council Member of the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and the Managing Director and Joint Managing Partner of Moore Stephens Consulting (Private) Limited and Moore Stephens Aiyar respectively. Before that he was the Head of Audit and Assurance at BDO Partners. He is also the Chairman of Sanasa General Insurance Company Limited and is also a Council Member of the University of Moratuwa. His profession also expands overseas where he had work experience with PricewaterhouseCoopers (PwC) in New York, Philadelphia, Chicago and Botswana spanning several years. These were supported by the international training that he has undergone in USA, Hong Kong, Bangkok, Hyderabad, Mumbai, Malaysia, Indonesia and Rome. As a member of CA Sri Lanka, Tishan has served as the Chairman of the Annual Report Awards Committee, National Conference Committee and Examinations Committee. He also held the post of Vice President of the Young Chartered Accountants Forum (YCAF).

Tishan is a Certified Information Systems Auditor (CISA-USA) and has an MBA in Finance by the University of Colombo with a Gold Medal and has earned an LLB (Hons.) degree from the Buckinghamshire New University. He is also a visiting lecturer at several Government Universities and had also conducted international training in Maldives and Bhutan.



Paul Mercer

Non-Executive, Non-Independent Director

Paul Mercer is an English law qualified lawyer with over 20 years of experience working in banking, particularly in Islamic Finance. Paul has extensive experience in corporate governance and has used his skills and experience as a Director on a number of boards representing the Kuwait Finance House Group. Paul was the Chairman of Bahrain Investment Bank, Ibdar Bank, and as Chairman of the Board, he oversaw a three-way bank merger involving Elaf Bank, Capital Management House and Capinvest. In recent years Paul has been actively engaged on Islamic Banking regulation in Bahrain, Saudi Arabia and Kuwait and the implementation of capital and governance requirements. While working as a lawyer in private practice and as in-house legal counsel at Kuwait Finance House (Bahrain), Paul has advised on a full range of legal issues relating to Islamic Finance and helped in the preparation of transactional documentation designed to comply with Islamic Law.

Paul is a fellow of the Chartered Institute of Arbitrators and is registered as an arbitrator with the GCC Commercial Arbitration Centre, the Saudi Centre for Commercial Arbitration and the Dubai International Arbitration Centre.



Mohamed Adamaly

Non-Executive, Non-Independent Director

Mohamed Adamaly is a leading legal professional in Sri Lanka having a wide Civil Law practice in the Original Courts and Appellate Courts, with a focus on Commercial Law, Labour Law, Insurance Law, and Banking & Credit related laws. Adamaly also specializes in Investment Advisory, Business Set-up/Restructuring Services and Corporate Acquisitions.

Adamaly graduated from the Faculty of Law University of Colombo with Honours while also achieving First Class Honours from the Sri Lanka Law College before being admitted as an Attorney-at-Law of the Supreme Court of Sri Lanka in 1994.

Adamaly has served as a visiting lecturer at the University of Colombo and at the Sri Lanka Law College. He also holds a Postgraduate Diploma in Marketing from the Chartered Institute of Marketing (CIM UK) and is a leading lecturer for CIM and formerly for CIMA, in Sri Lanka. Due to his vast legal expertise coupled with his business acumen, Adamaly holds and has held directorships in several public and private companies including in the David Peiris Group, Bogala Graphite Lanka PLC, Assetline Leasing Company Limited and Sinwa Holdings Limited. Adamaly is also a leading thespian in the country and has received the National TOYP Award for his contribution to Drama and Literature.



Miss Primrose Shireen Watson, FCG

Company Secretary

Miss Shireen Watson joined Amāna Bank PLC in June 2021.

She is a Fellow Member of The Chartered Governance Institute UK formerly known as the Institute of Chartered Secretaries and Administrators – London. Her professional experience as a Chartered Secretary counts for over 30 years.

Prior to joining Amāna Bank, she held the position of Head of Secretarial of Hemas Corporate Services (Pvt) Ltd, secretaries for the Hemas Group of Companies. She also held the position of Company Secretary of a Finance Company and its subsidiaries and has gathered extensive knowledge and experience in handling both the registrars and secretarial functions of listed entities and private /public companies of two conglomerates over the years.

In addition, Miss Shireen has an exposure to people management by having an oversight on the Human Resource function of a Finance Company with over 30 Branches Island wide.

Miss Shireen was invited by the Institute of Chartered Corporate Secretaries in Sri Lanka to share her knowledge and experience in Company Secretarial Practice with the students of the Institute by lecturing for the Intermediate Level and Professional level.

10 years
of people friendly banking

Name

Nishath Nawaz

Designation

Manager – Pettah Branch

No. of years at Amāna Bank

10+ Years

Highlights

CEO Award winner in 2018

Member of the Bank's Mid-Com

“As a founder member of Amāna Bank, I feel very much privileged to have witnessed the growth journey of the Bank first hand, which gave me a great learning opportunity and also to experience various challenges which the Bank successfully overcame.

The management recognised my strengths and provided me a platform to grow, while giving me both the flexibility and independence in what I do. Having built the expertise in the field of operations, I was entrusted to lead one of the Bank's super grade branches. This has enabled me to perform at my best, giving back to the organization that moulded me, and would continue to do so with a lot of passion. I am thankful to the Bank for these opportunities, which I would have not gained from elsewhere. As the Bank commemorates 10 years, I am truly honoured to have been an integral part of offering people friendly banking services to our customers.”

Independent Sharia Supervisory Council

Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani

Chairman, Sharia Supervisory Council

Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani, son of Justice (Retd.) Mufti Muhammad Taqi Usmani, graduated with specialisation in Islamic Fiqh (Islamic jurisprudence) from Jamia Darul-Uloom, Karachi, where he has been teaching Fiqh since 1990. He also holds an L.L.B and Ph.D. in Islamic Finance. He is a member of the administration board of Jamia Darul-Uloom, Karachi.

Presently Dr. Imran Usmani is the Group Head and Vice Chairman of Shariah Supervisory Board at Meezan Bank Ltd and is responsible for Research and Product Development of Islamic Banking products, advisory for Sharia-compliant banking and supervision of Sharia Audit & Compliance.

He is also the President and CEO of Usmani & Co. Pvt. Ltd that provides a full suite of Islamic Finance consultancy, Shariah advisory and related ancillary services to local and international clients across all legal jurisdictions and financial & non-financial sectors.

Dr. Imran Usmani has been involved with the Government of Pakistan in various initiatives and is also a member of the Steering Committee and Implementation Committee for promotion of Islamic Banking since 2013.

Dr. Imran Usmani has served as an advisor/member of Sharia Boards of several renowned institutions in various jurisdictions since 1997 including the

State Bank of Pakistan, Takaful Pakistan Ltd., Pakistan Mercantile Association, ICFAL– Australia, The Zeal – Canada and USA, Astana International Financial Centre -Kazakhstan, HSBC - Amānah Finance, UBS- Switzerland, Guidance Financial Group USA, Lloyds TSB Bank - UK, Japan Bank for International Cooperation (JABIC), Credit Suisse Switzerland, Royal Bank of Scotland Global, Old Mutual AlBarakah Equity & Balanced Funds South Africa, AIG Takaful, ACR ReTakaful Malaysia, Premier Takaful Pakistan, Capitas Group USA, Bank of London and Middle East Kuwait, BMI Bank Bahrain, Al Khaliji Bank Qatar, Sarasin Bank Switzerland, AIFA - Amāna Islamic Finance Australia, DCD Group Dubai, Nafa Mutual Fund, Acumen Fund, Swip Sicave Fund, Old Mutual AlBarakah fund and other mutual and property funds, Takaful companies and international Sukuk, etc.

He also served as an Executive Committee Member of AAOIFI (Dubai), Sharia Supervisory Board of International Islamic Financial Market (IIFM) Bahrain and Chairman of Academic Board at International Centre for Education in Islamic Finance (INCEIF) – Malaysia, Institute of Business Administration (IBA)-Centre for Excellence in Islamic Finance (CEIF), Karachi and Director at Centre for Islamic Economics (CIE), Hira Foundation School and Hira Institute of Emerging Sciences, Karachi.

Dr. Usmani is the author of numerous publications related to Islamic Finance and other Sharia related subjects. He has presented papers in numerous national and international seminars and has delivered lectures at academic

institutions including Harvard, LSE, LUMS and IBA.

He also has special interest in Entrepreneurship, Eco-system, Sustainable Development investments and works for different green projects.

Ash-Sheikh Mohd. Nazri Chik

Vice Chairman, Sharia Supervisory Council

Ash-Sheikh Mohd. Nazri Chik is the Group Chief Financial Inclusion Officer of Bank Islam Malaysia. He holds a Master's Degree in Sharia from University of Malaya, Certified Sharia Adviser and Auditor (CSAA-AAOIFI), Certified Sharia Advisor (CSA-ASAS), Certified Professional Sharia Auditor (CPSA-IBFIM) and Certificate in Internal Auditing for Financial Institutions (CIAFIN-AICB). He started his career as a tutor in the University until he joined Bank Islam in June 2004. He left the Bank to join Noor Investment Group, Dubai in September 2009 as its Sharia Audit Manager. During this time, he had been appointed as a member of Bank Islam's Sharia Supervisory Council. He re-joined the Bank to lead the Shariah Division in January 2011, a role he had continued until December 2019. He is a Corporate Member of Institute of Corporate Directors Malaysia and he has been appointed as an Independent Non-Executive Director of Terengganu Incorporated, the investment arm of Terengganu state government, Malaysia. He is also a Registered Sharia Adviser with the Securities Commission Malaysia, Chairman of the Sharia Committee of TEKUN Nasional, the federal government owned micro finance company of Malaysia and a

Independent Sharia Supervisory Council

Sharia Advisor to several organisations including Malaysia Professional Accountancy Centre (MyPAC), Kelantan State Economic Development Corporation, BIMB Holdings Group Staff Cooperative Limited, etc. He is an Accredited Panel of Finance Accreditation Agency (FAA); Deputy President of Association of Sharia Advisors Malaysia (ASAS), Distinguished Trainer for Islamic Banking and Finance Institute of Malaysia (IBFIM), and an academic advisor to various Islamic Finance programmes offered by universities in Malaysia.

Ash-Sheikh Mufti M.I.M. Rizwe
Member, Sharia Supervisory Council

Mufti M.I.M. Rizwe is the President of the All Ceylon Jamiyyathul Ulama (ACJU), which is the supreme body of Islamic Theologians in Sri Lanka.

Mufti Rizwe is a prominent Islamic Religious Scholar, philanthropist and a specialist in fields of Islamic Jurisprudence and Islamic Finance. The following are some areas in which his contributions have been made:

Economy - Mufti Rizwe has contributed immensely to the world of Islamic Finance especially in Sri Lanka, as he is one of the founders of the concept of Islamic Banking in the conventional banking industry in Sri Lanka.

Religious Education - He has initiated several contributions that have greatly benefited the community at large, such as a Preliminary Religious Education System which provides fundamental religious knowledge to children.

Counseling - Careline Counseling Services, another initiative by Mufti Rizwe, which strives to assist the community especially the women, by providing counselling services and pre-marital workshops.

Skills Development - Identifying the need of grooming and developing skills of students of Religious studies, Mahmoud Institute for Skill Development of Religious Scholars was founded by Mufti Rizwe which focuses on providing skill development for religious scholars in Sri Lanka.

Social Services - 'Masjid Based Social Services' is another significant concept developed by Mufti Rizwe, which focuses on social needs and provides assistance in possible forms irrespective of racial or religious differences, especially during the periods of adversity.

Unity and Coexistence - It is significant to note that Mufti Rizwe is one of the most important personalities of Sri Lanka renowned for his advocacy for unity within the community and for peaceful coexistence among the ethnicities.

Ash-Sheikh Mufti Muhammad Hassaan Kaleem
Member, Sharia Supervisory Council

Ash-Sheikh Mufti Muhammad Hassaan Kaleem is a renowned figure in the field of Islamic Finance. He is considered as one of the most revered Sharia Scholar in the Islamic Finance Industry, who sits on the Sharia Advisory Boards of numerous financial institutions, Islamic Investment Funds and Takaful

Companies, including Al-Ameen UBL Funds, Adamjee Takaful, State Life - Window Takaful Operations, Pak Qatar Family Takaful Ltd- Pakistan, Hanover Re Takaful-Bahrain, and Takaful Emirate- UAE etc.

In addition, Mufti Hassaan is a Sharia Consultant of Deloitte (Global Islamic Finance Team), Trainer of Sharia Standards, a Member of Subcommittee of Sharia Standards at AAOIFI- Bahrain, visiting faculty member of National Institute of Banking and Finance (State Bank of Pakistan) and Centre for Excellence in Islamic Finance (CEIF) - IBA and a permanent faculty member of Centre for Islamic Economics Karachi. Furthermore, he was the former Sharia Advisor of Bank Al Baraka and Chairman Sharia Board of SECP.

Mufti Hassaan holds vast experience of teaching various Islamic Subjects at the Jamia Darul Uloom Karachi for approximately the past 20 years.

He also works as Member - Shari'ah Board of Dubai Islamic Bank Pakistan Ltd. He is a frequent trainer and expert in simplifying complex issues related to Islamic Finance. He has delivered lectures and presentations in many Islamic Finance conferences and seminars in Pakistan and around the world.

Profiles of Strategic Shareholders



Islamic Development Bank

The Islamic Development Bank (IsDB) is a multilateral development bank, working to improve the lives of those it serves by promoting social and economic development in Muslim countries and communities' worldwide, delivering impact at scale. IsDB provides the infrastructure to enable people to lead better lives and achieve their full potential. It brings together 57 member countries across four continents - touching the lives of 1 in 5 of the world's population. IsDB is a global leader in Islamic Finance, with an AAA rating, and operating assets of more than USD16 billion and subscribed capital of USD 70 billion. Headquartered in Jeddah, Saudi Arabia, IsDB has major hubs in Morocco, Malaysia, Kazakhstan and Senegal, and gateway offices in Egypt, Turkey, Indonesia, Bangladesh and Nigeria. IsDB fosters collaboration between its member's nations in a uniquely non-political environment, as it focuses on the betterment of humanity. IsDB's 5 pillars of activities include building partnerships between governments, the private sector and civil society through public private partnerships; adding value to the economies and societies of developing countries through increased skills and knowledge sharing, focusing on science, technology and innovation led solutions to the world's greatest development challenges, through boosted connectivity and funding, and a focus on the UN's Sustainable Development Goals, promoting global development that is underpinned by Sharia compliant long term sustainable and ethical financing structures, as global leaders in Islamic Finance, and, fostering collaboration between IsDB's members nations in a uniquely non-political environment, focusing on the betterment of humanity. (<https://www.isdb.org>)



The Islamic Corporation for the Development of the Private Sector

Limited Partner of IB Growth Fund (Labuan) LLP

The Islamic Corporation for the Development of the Private Sector (ICD) is a multilateral development financial institution and is part of the Islamic Development Bank (IsDB) Group. Founded in November 1999, ICD was established to support the economic development of its member countries through the extension of finance for private sector projects, promoting entrepreneurship, encouraging cross-border investments, and providing advisory services to governments and private companies. ICD's authorised capital is US\$ 4 billion, and its current shareholders are: the IsDB, fifty-four (54) Islamic countries and five (5) public financial institutions. ICD's development mandate ensures that its interventions are underpinned by factors that promote for: job creation, Islamic finance development, contribution to exports etc. As for its advisory services, ICD looks to aid governments and private sector groups on issues ranging from policy design to the advancement of private enterprises; other areas include: development of capital markets, and adoption of best management and governance practices. ICD strives to add value in its member countries by complementing the activities of IsDB and respective national financial institutions.

Profiles of Strategic Shareholders



Bank Islam Malaysia Berhad

Established in July 1983 as the country's first Islamic Bank, BIMB has 141 branches and more than 940 self-service terminals throughout Malaysia. Following its listing on the Main Board of Bursa Malaysia in October 2021, BIMB became Malaysia's first public listed Islamic Bank. BIMB has not only become the symbol of Islamic banking in Malaysia but has also played an integral role in setting the stage for a robust growth of the country's Islamic financial services industry. As a full-fledged and pure-play Islamic bank, BIMB provides banking and financial solutions that strictly adhere to Shariah rules and principles and the ideals of sustainable prosperity and ESG values. The core subsidiaries of the BIMB Group are pioneers in various Islamic financial services, including investment and stockbroking.



Akbar Brothers (Pvt) Limited

The Akbar Group, a diversified conglomerate rooted in Sri Lankan trade tradition; is internationally renowned as one of Sri Lanka's foremost exporters of tea, spices and coconut products. Having achieved success as the largest exporter of Ceylon Teas for over two decades, Akbar Brothers sets international standards in providing reliable and honest service to its customers & marked 26 years as Sri Lanka's largest tea exporter, operating with expertise in the tea trade passed down generations to uphold a legacy of a hundred years. The Group has been the recipient of many top national and international awards over the years including the prestigious Presidential Awards for Sri Lanka Exporter of the Year, Most Globally Outreached Sri Lankan Brand of the Year for outstanding exports to over 90 countries worldwide and Best Exporter in the Tea Industry for the 12th consecutive year.

Akbar Brothers has also successfully diversified into a range of sectors through strategic reinvention and expansion over its 52-year journey.

The Group has a strong presence in several industries, including Exports, Imports, Marketing, Power Generation (Hydro, Wind and Solar), Healthcare, Printing/Packaging, Property Development, Hospitality & Leisure, Strategic Investments, Agriculture, Warehousing, Transportation and Environmental Services.



Name

Chandana Dissanayake

Designation

Manager Operations – Business
Process Re-engineering/Automation

No. of years at Amāna Bank

10+ Years

Highlights

CEO Award winner in 2018

Established Sri Lanka's first off-site
cheque automation process

“මාගේ වසර 17 ක වෘත්තීය ජීවිතය තුළ මා ලද සුවිශේෂීම භාග්‍යයක් නම්, 2011 වසරේදී අමානා බැංකුව පෞද්ගලික වාණිජ බැංකුවක් බවට ස්ථාපිත වීමේ ක්‍රියාවලිය තුළ පුරෝගාමියෙකු ලෙස කටයුතු කිරීමට අවස්ථාව ලැබීමයි.

බැංකුකරණය හා මූල්‍ය පිළිබඳ විද්‍යාවේදී විශේෂ උපාධියක් හදාරා, ඉස්ලාමීය බැංකුකරණය පිළිබඳ ඩිප්ලෝමාවක් නිමිකරගෙන, මා සතු දැනුම හා පළපුරුද්ද ඔස්සේ, අමානා බැංකුව තුළ ප්‍රධාන පෙළේ ව්‍යාපෘති 8 කට පමණ නායකත්වය ලබාදීමට මට අවස්ථාව ලැබිණි. මේ අතරින් එක් වැදගත් ව්‍යාපෘතියක් නම්, වෙක්පත් නිශ්කාඡණ ඒකකය ස්වයංක්‍රීයකරණය කර, අවම සේවක සංඛ්‍යාවක් සහ අවම සම්පත් භාවිතයක් සමගින් දුරස්ථ ලෙස ක්‍රියාත්මක කළ හැකි ඒකකයක් බවට පරිවර්තනය කිරීමයි. ශ්‍රී ලංකාවේ බැංකු ක්ෂේත්‍රය තුළ මෙවැනි ක්‍රමවේදයක් ක්‍රියාත්මක කරන ලද ප්‍රථම අවස්ථාව එය විය. විධායක 1 ශේණියෙහි නිලධාරියෙකු ලෙස අමානා බැංකුවට එක් වූ මට මේ වනවිට කළමනාකාර 2 ශ්‍රේණියේ කළමණාකරුවෙකු ලෙස පද්ධති ප්‍රති-ඉංජිනේරුකරණ සහ ස්වයංක්‍රීයකරණ ක්‍රියාදාමය සඳහා මම නායකත්වය දෙමින් සිටිමි. ඉදිරියේදී තවතවත් නවෝත්පාදන සිදුකරමින්, ජනතා ආකර්ෂණය වැඩිවැඩියෙන් දිනාගනිමින්, ලක් දොරණ පුරා ව්‍යාප්ත වෙමින්, දියුණුවෙන් දියුණුව කරා යාමට අමානා බැංකුවට හැකියාව ලැබේවායි මම ප්‍රාර්ථනා කරමි.”

10 years
of people friendly banking

Name

Zakir Hisham

Designation

Head of Prestige Banking

No. of years at Amāna Bank

10+ Years

Highlights

CEO Award winner in 2018

Gold Award for 'We Care' Service

Moment in 2016



“Having joined Amāna Bank shortly after its commencement, I was part of the initial setup of Prestige Banking where I was offered the opportunity of serving high net-worth customers. Initially working single-handedly providing exemplary service, I was given the opportunity to change the mind-set of customers to portray Amāna Bank as a service oriented bank.

Because of this, today the Prestige Banking proposition counts over 1,400 loyal customers. The hallmark of my performance has been my attitude and passion towards customer service where service delivery was always done with a smile.”

Management Committee



Mohamed Azmeer
Chief Executive Officer



Imtiaz Iqbal
Chief Operating Officer



M. M. S. Quvylidh
Senior Vice President | Chief Risk Officer



M. Pharis Jazeel
*Senior Vice President - Treasury and
Financial Institutions*



Ajmal Naleer
Senior Vice President | Chief Compliance Officer



M. Ali Wahid
Chief Financial Officer



Siddeeqe Akbar
Vice President - Retail Banking & Marketing



Irshad Iqbal
Vice President - Business Banking



Rajitha Dissanayake
Chief Information Officer



Fazly Marikar
*Vice President - Strategy Management &
Product Innovation*



Numair Cassim
Chief Internal Auditor

Assistant Vice Presidents and Heads of Departments



Farhan Refai
Head of Human Resources



Chaminda de Silva
Assistant Vice President - SME Banking



Sulani Dayaratne
Assistant Vice President - Legal



Arshad Jamaldeen
Assistant Vice President - Deposits & Digital Innovation



Harindra Obeyesekere
Assistant Vice President - Treasury & Financial Institutions



Rajendra Jayasinghe
Assistant Vice President - Corporate Banking



Ramakrishnan Kirubakaran
Assistant Vice President - Retail Financing



Mohamed Kiyasudeen
Assistant Vice President - Information Security



Ash-Sheikh Nazhan Naurooz
In-House Sharia Advisor



Primrose Shireen Watson, FCG
Company Secretary

Senior Managers



Azam Ameer
Head of Business - Kandy Branch



Rizah Ismail
Head of Remedial Management



Arshad Adhnan
Head of Credit Risk



Sujeewa Weerasinghe
Senior Manager - IT Business Systems & Support



Prince Kevitiyagala
Senior Manager - Projects



Niyaz Aboobucker
Head of Equity Trading



Sanjeewa Fonseka
Head of Learning & Development



Azad Zaheed
Head of OrphanCare



Arkam Azeez
Senior Manager - Internal Audit



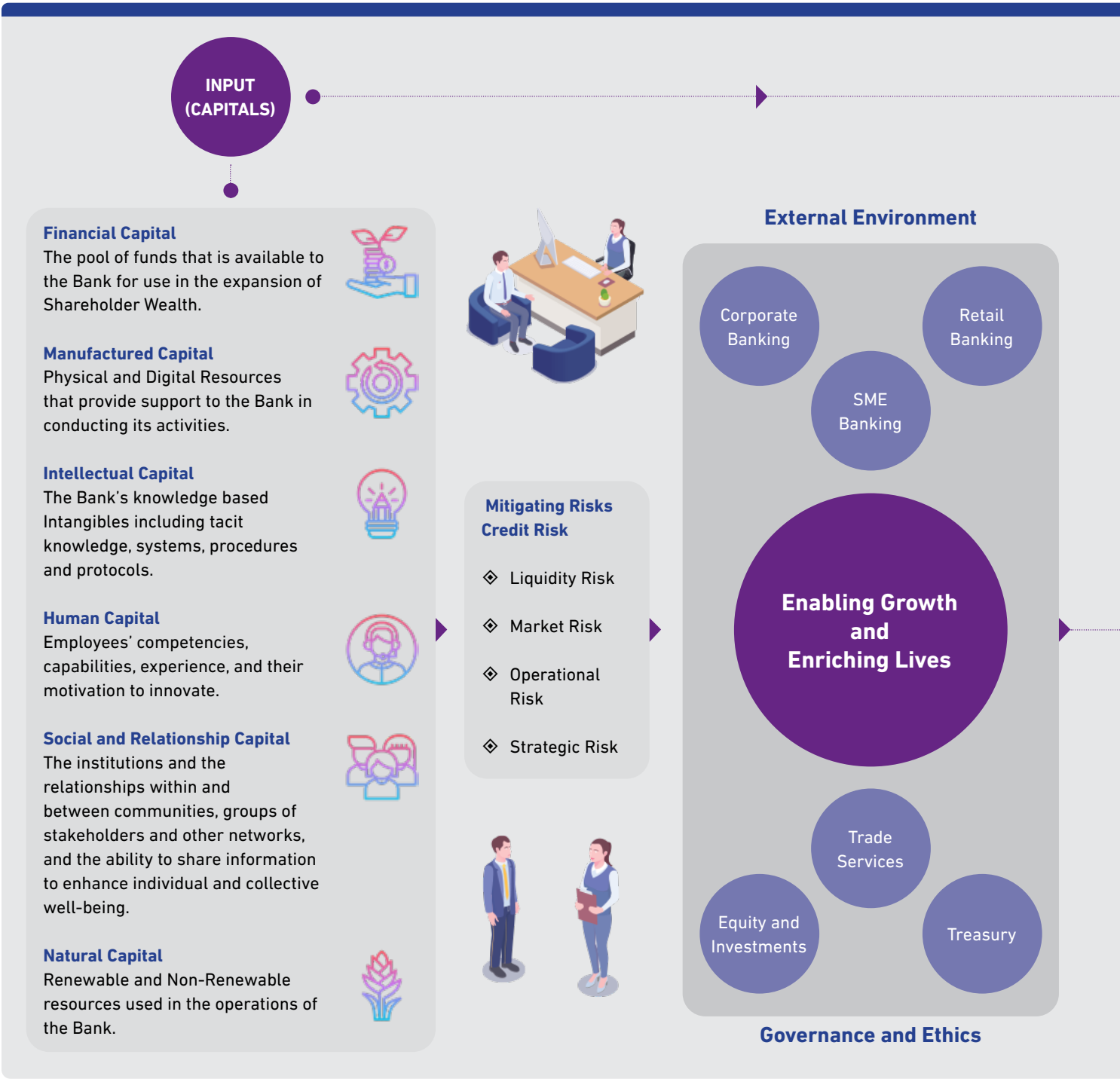
Ruzaik Jameel
Head of Operations



Azim Rali
Head of Marketing & Corporate Communications

Our Value Creation Model

The diagram below shows the value created by the Bank overtime. The Capitals (Inputs) are fed to the activities and processes (improved customer products) of the Bank. This in turn generates Outputs and Outcomes. The Outputs are value created for the Bank and its stakeholders in the short-term, whilst Outcomes are the value created in medium to long term.



Strategic Objectives

OUTPUT

- ◆ Growth in SME, Retail and Corporate portfolios
- ◆ Expand and optimise customer touch points
- ◆ Enhance customer service experience
- ◆ Compliance in relation to regulations and taxation
- ◆ Expand relationships with Financial Institutions
- ◆ Improve employee engagement
- ◆ Invest in digitalisation and infrastructure
- ◆ Give back to the society and nature via OrphanCare and various other CSR projects
- ◆ Support customers to overcome financial challenges as a result of the pandemic

OUTCOME



Financial Capital

- ◆ Profit After Tax: **LKR 824.7 Mn**
- ◆ Total Capital Ratio: **15.7%**
- ◆ Deposit Base: **LKR 96.2 Bn**
- ◆ Net Assets Value Per Share: **5.07**
- ◆ Dividend Yield: **2.3%**



Manufactured Capital

- ◆ No. of Branches: **33**
- ◆ No. of Self Banking Centres: **19**
- ◆ No. of Deposit Touchpoints: **948**
- ◆ No. of Withdrawal Touchpoints: **5400+**
- ◆ Gold Safe Keeping Units: **31**
- ◆ Asset Base: **LKR 121.9 Bn**



Intellectual Capital

- ◆ IT Investment in 2021: **LKR 90.6 Mn**
- ◆ Brand Value: **LKR 574 Mn**
- ◆ Fitch Rating: **BB+(lka)**
- ◆ Awards won in 2021: **18**
- ◆ Strongest Islamic Banks in the World – **Ranked in Top 50**
- ◆ Largest Islamic Banks in the World – **Ranked in Top 100**
- ◆ LMD 100 Ranking: **85**
- ◆ Knowledge Marketing Sessions: **06**
- ◆ Knowledge Marketing Videos: **21**



Human Capital

- ◆ Employee Retention: **86%**
- ◆ No. of Training and Development Programmes: **81**
- ◆ Employees Serving 10+ Years: **151**
- ◆ No. of New E-learning Courses: **17**
- ◆ Profit per employee: **LKR 1.1 Mn**



Social and Relationship Capital

- ◆ No. of Customers: **Over 415,000**
- ◆ Gold Safekeeping Tickets: **79,791**
- ◆ No. of Correspondent Banks: **67**
- ◆ CSR Donations: **LKR 2.07 Mn**
- ◆ Orphans Enrolled to OrphanCare: **3057**
- ◆ OrphanCare Fund Disbursements since launch: **LKR 27.8 Mn**
- ◆ OrphanCare Qualitative Support for 18+: **35**



Natural Capital

- ◆ Solar Power Generated: **41,164 KWh**
- ◆ CO₂ Reduction: **18,250 kg**
- ◆ Power Generated through Financing Large Scale Renewable Energy Projects: **33,924 MWh**
- ◆ Resulting CO₂ reduction: **17,000+ tons**

Name

Tharranga Weerakoon

Designation

Manager – Retail Credit &
Processing Department

No. of years at Amāna Bank

6 Years

Highlights

Key contributor in improving
turnaround time through process
innovation and automation



“මා 2015 මාර්තු 2 වන දින අමානා බැංකුව හා එක්ව සේවය ආරම්භ කළ අතර, අමානා පවුලේ සාමාජිකයෙකු ලෙස සම්බන්ධවීම මා හට ඉමහත් ආඩම්බරයකි. වෘත්තීය දියුණුව, නව දේවල් ඉගෙන ගැනීම හා ක්‍රියාත්මක කිරීමට අවස්ථාව හිමිවීම, ස්වාධීනව සිතීමේ සහ තීරණ ගැනීමේ නිදහස, අභියෝග හමුවේ අන් අයට උදව් කිරීමේ හැකියාව තිබීම ආදිය, අමානා බැංකුව සමඟ එක්ව යන ගමනේ වැදගත් සාධකයන් ලෙස මම දකිමි.”

කාර්ය ක්‍රමයේ සහ කාල කළමනාකරණයේ මාගේ හැකියාව බැංකුව වටහාගත් අතර එමඟින් බැංකුවේ පාරිභෝගික මූල්‍යකරණ ක්‍රියාවලිය නව දිශානතියකට යොමුකිරීමට මට අවස්ථාව ලබාදුන්නේය. එමෙන්ම සෑම අවස්ථාවකදීම එම කාර්ය පටිපාටි වලට අදාළ ප්‍රමිතීන් ඉහළ නැංවීමට හැකිවීම ගැන මම සතුටුවන අතර එයින් පාරිභෝගිකයන්ට උපරිම තෘප්තිය ලැබෙනු ඇති බවට විශ්වාස කරමි. අත්දැකීම් බහුල, දැනුම බෙදාගැනීමට සෑමවිටම කටයුතු කරන සහ වෘත්තීය වශයෙන් මෙන්ම පෞද්ගලික වශයෙන් දියුණුව කරා යෑමට දිරිමත් කරන නායකත්වයන් යටතේ රාජකාරි කිරීමට මෙන්ම විශිෂ්ඨ කණ්ඩායමක් හා එක්ව කටයුතු කිරීමට ලැබීම මා ලැබූ භාග්‍යයකි. මාගේ රැකියාව මා හට ඉමහත් සතුටක් ගෙනෙන අතර, අමානා බැංකුවේ සාර්ථකත්වය වෙනුවෙන් නිරතුරුවම හැකි උපරිමයෙන් දායකවීම මාගේ බලාපොරොත්තුවයි. මෙය හුදෙක් රැකියාවක් පමණක් නොවේ, මෙය මාගේ වෘත්තීය ජීවිතයයි.”

Management Discussion and Analysis



"Your Bank surpassed LKR 1 billion in Profit Before Tax for the first time in its short history of banking operations which stands out as a fitting tribute to all the existing stakeholders as well as those who were involved at the inception of this institution, just as it completed 10 years of operations."

FINANCIAL REVIEW

As Amāna Bank completed a decade of People Friendly banking, the year under review proved to be a momentous one as it performed exceedingly well to cross a key milestone in terms of performance. Your Bank surpassed LKR 1 billion in Profit Before Tax for the first time in its short history of banking operations which

stands out as a fitting tribute to all the existing stakeholders as well as those who were involved at the inception of this institution, just as it completed 10 years of operations. This feat was accomplished amidst mounting challenges the country and industry had to endure mainly due to pandemic related restrictions and deteriorating economic conditions. Sri Lanka however has remained resolute and absorbed all the shocks that were felt from both the local as well as the global economy. After having recorded a negative GDP growth rate in 2020, the domestic economy rebounded with improved economic activity despite multiple lockdowns and travel restrictions which were enforced based on medical advice to curb the spread of new Covid-19 variants in 2021. According to Central Bank of Sri Lanka (CBSL) data, the economy is expected to have recorded a growth rate of around 4% in 2021. Due to such restrictions and only essential services being permitted, businesses were disrupted with a slowdown in activity from time to time. CBSL made timely interventions and directed Banks to extend relief to such affected businesses by structuring a deferral scheme on their credit facility repayments. Following a sharp depreciation of the currency, in September 2021 CBSL introduced a rate range of LKR 200 – LKR 203 per US Dollar to stabilise the exchange rate and ease the pressure in the domestic foreign exchange market. A shortage in US Dollar liquidity persisted during the year as several measures continued to be adopted to stem the outflow of foreign exchange whilst certain new measures were implemented to attract more inflows.

Management Discussion and Analysis

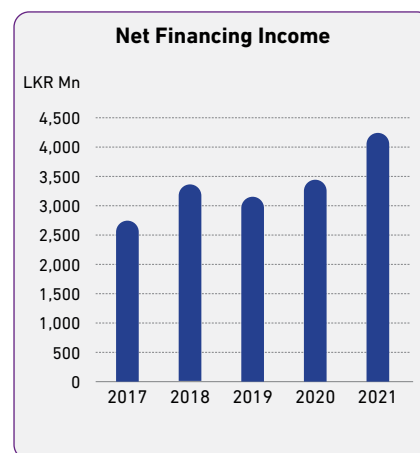
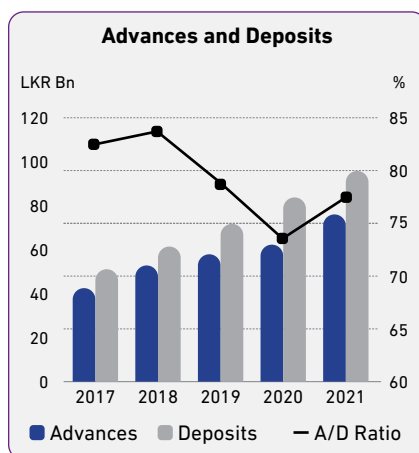
In this backdrop, the Bank stood resilient once again to grow its core banking activities by aligning and strengthening its strategies in line with the challenges that is prevalent in a pandemic ridden environment. Especially after consolidating its resources in 2020 following the outbreak of Covid-19, Amāna Bank embarked on a journey to capitalise on the opportunities that were available in a resurgent economy as suggested by the country's estimated growth rate . All business segments within the Bank operated in the midst of uncertainty that prevailed in the market due to the pandemic and worked tirelessly towards achieving their targeted level of growth for 2021. The results reported in the Financial Statements is a clear demonstration of how well the Bank's strategies were executed which paved the way for the Bank to reward its valued shareholders for the fourth consecutive year with the declaration of a scrip dividend valued at 10 cents per share, resulting in a total pay-out of LKR 260.1 million and a dividend yield of 2.3%.

The Bank has made steady progress over the last decade and this is aptly reflected in the healthy growth of its balance sheet. Total assets surpassed LKR 120 billion mark recording strong growth considering the challenges faced by the banking industry and the gradual decline in market liquidity towards the latter half of 2021. As the year under review ended, total assets closed at LKR 121.9 billion from LKR 100.2 billion in 2020, translating to a YoY increase of 22%. There was renewed level of activity in a majority of the economic sectors after the setback in 2020 as businesses

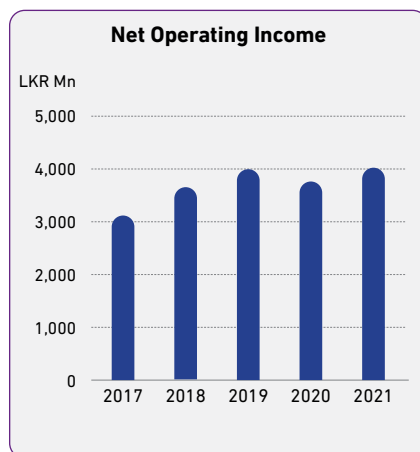
and consumers alike began to embrace the new normal and pursued their plans and objectives by taking necessary health and safety precautions. This momentum coupled with low rates of market interest for most of 2021, helped private sector credit growth to expand significantly compared to last year. With an aggressive growth plan, business divisions forged ahead in identifying key sectors for financing to record a remarkable growth in advances with the portfolio growing to LKR 75.8 billion or 21% when compared with LKR 62.6 billion recorded at end 2020 and outperforming the private sector credit growth by a clear margin. As indicated earlier, dearth in market liquidity from Q3 2021 onwards and bullish sentiments that prevailed at the Colombo Stock Exchange throughout the year were two key aspects the banking industry had to contend with. Your Bank formulated appropriate strategies to maintain the regular flow of deposits which demonstrates the customer confidence placed in our people friendly banking model. Customer deposits grew

by a commendable 15% to complete another successful year at LKR 96.2 billion from LKR 83.5 billion in 2020. The growth in customer deposits was enabled through a stable mix of funds as Current Accounts and Savings Accounts (CASA) continued its upward momentum with the ratio improving to 46%.

After recording a decline in 2020, financing income regained momentum mainly through the growth recorded in the advances portfolio which outweighed the impact of concessions offered by CBSL for Covid-19 affected businesses and individuals in 2021 including the low rates of financing that prevailed for most part of the year. Overcoming these barriers, financing income grew by 6% from LKR 7.21 billion last year to LKR 7.67 billion in 2021. Net financing income reached 4.26 billion from LKR 3.45 billion in 2020 with a high growth rate of 23% as improved margins through low cost deposits helped achieve this result.

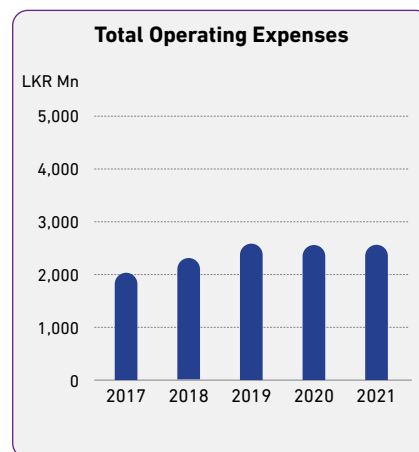


The concessions announced by CBSL included waivers on certain charges and fees from time to time and together with some restrictions on non-essential items still in place, such measures impacted the capacity for growth in this area. Nevertheless, the Bank through its array of services and customer engagements was able to increase its net fee and commission income by a healthy 22% to record LKR 401.9 million in 2021 from LKR 328.5 million in 2020. Continuous strategic focus on leveraging the customer base who require ancillary services and the increase in digital footprint has given rise to the growth in non-funds based business. The total operating income reached LKR 4.80 billion for 2021, significantly up from LKR 4.23 billion or by 13% from what was recorded in 2020 although the Bank's income from foreign exchange transactions further declined mainly due to the lacklustre performance of the foreign exchange market which was hampered by liquidity shortages and a largely inactive market. The Bank considerably augmented its charge on impairment of financial assets by another 53% to LKR 784.9 million in 2021 compared to LKR 513.7 million a year ago, by factoring in adequate buffers through management overlays after careful analysis of the risk elevated sectors under the current business context. As much as the Bank focused on expanding its advances portfolio, it also placed great emphasis on portfolio management and recoveries through timely customer engagement which resulted in containing Non-Performing Advances (NPA) well below the industry averages with Net NPA and Gross NPA ratios of 0.5% and 3.1% respectively.



Having provided an elevated level of impairment, the Bank closed the year with a net operating income of LKR 4.01 billion compared to LKR 3.72 billion in 2020 crossing the landmark of LKR 4 billion for the first time in its 10 year history.

Despite inflationary pressure, Operating expenses were maintained at last year's low level through active focus on cost containment, which resulted in the Bank recording a total operating expenses figure of LKR 2.57 billion this year; similar to what was recorded in 2020. This led to an Operating Profit before taxes of LKR 1.44 billion for 2021 as against LKR 1.15 billion in 2020, a notable increase of 25%. Value Added Tax on Financial Services amounted to LKR 363.6 million resulting in a record Profit Before Tax of LKR 1.08 billion for the year 2021 which amounts to a noteworthy increase of 42% compared to LKR 761.4 million posted a year ago. The Bank ended 2021 with a Profit After Tax of LKR 824.7 million from LKR 463.7 million recording a significant growth of 78%, after having incurred income



tax expenses amounting to LKR 256.3 million. Other Comprehensive Income (OCI) for the year recorded a gain of LKR 346.8 million mainly through revaluation surplus of the Bank's property, which was revalued after 2017 and fair value appreciation of the equity portfolio designated as FVOCI which raised the Total Comprehensive Income to LKR 1.17 billion for the year under review.

In pursuit of its Digital Strategy, the Bank based on a predetermined criteria commenced measuring the revenue earned from customers who have been digitally engaged through the array of digital offerings available to them. A total of LKR 197.2 million was earned as income from such customers in 2021 with all business divisions contributing significantly to the growth of such customer base and resulting income. As the Bank continues to make further investments in its drive for digital transformation, this share of income is expected to grow considerably in the coming years.

Management Discussion and Analysis

RETAIL BANKING

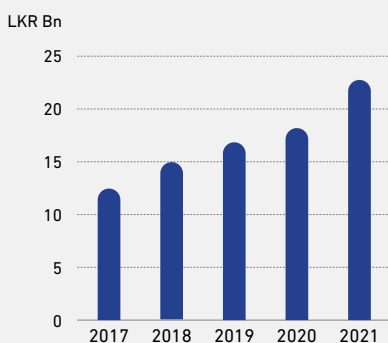
Retail Banking continued to be a strong contributor for the growth in the Bank's deposit and advance portfolios, while also largely accountable to the Bank's top line revenue. Despite the effects of the pandemic, Retail Banking witnessed a 26.4% growth in Retail Advance Disbursements and a 7.1% growth in Retail Deposits.

The key success factor for Retail Banking was its focus on customer experience, whether it was by supporting customers to safely access banking or through superior customer engagement, service and speed, leveraging on digital technology.

The Bank, continued to invest and leverage on its exclusive banking propositions Amāna Bank Prestige, Amāna Bank Vantage and Amāna Bank Expat Gold, which as a result, saw an increase in both its customer base and portfolio. During the year the Bank rolled out many cross-selling and up-selling initiatives facilitated through effective engagement with its proposition customers. Towards this, branches were given thresholds to reach in terms of what percentage of proposition customers have obtained financing solutions, opened current accounts and are digitally engaged.

The Bank grew its Ladies' Savings and Children's Savings propositions during the year, by carrying out novel promotional programmes while also offering added conveniences. The Bank's Children's Savings New Born and Standing Order Bonus promotions

Retail Banking Advances



were once again well taken up by its customers, testified by the growth in the Children's Savings portfolio.

As a result of having more emphasis on promoting its CASA products through many value added benefits, the Bank's CASA portfolio continued its upward momentum as it grew by 16%, while maintaining an industry above CASA ratio.

In a time when the economy was in need of foreign remittance to boost its reserves, Amāna Bank was successful in establishing remittance partnerships with Ria and Moneygram, two leading global remittance platforms.

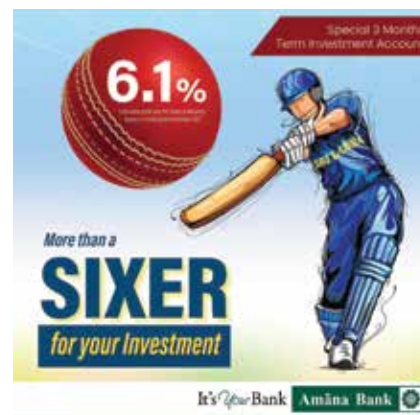


Retail Banking Deposits



The Bank's Card business continued to grow which was complemented by offering customers merchant discounts and cash back bill wipe outs, resulting in a 59% increase in its card usage in 2021.

Along with offering a superior service, the Bank continued to offer 'Best in Speed & Best in Price' to its financing customers, thereby consolidating the retail advance portfolio in the backdrop of challenging economic conditions. The Bank introduced a revamped online application portal for its Vehicle Financing, Home Financing



and Easy Payment Plan (Personal Asset Financing) solutions, which was well-taken by customers for its ease of use and follow up mechanisms in place. To complement the online application portal, the Bank went further green by establishing a paper-less facility approval process.

Towards empowering and facilitating women entrepreneurs to make their passion their profession and also in line with UNSDGs to empower home

based businesses, the Bank introduced a Women Entrepreneur Financing solution.

The Bank's award winning Gold Certificate Financing Solution continued to be a helping hand for customers during trying times, for which the Bank extended the facility value up to LKR 75,000 while reducing the Gold Safekeeping charges.

Due to having an efficient collection system in place within retail advances,

Retail Banking continued to be a significant contributor to ensure the Bank's Non-Performing Advances (NPA) was well below industry averages, in a period in which industry NPAs were rising.

Towards strengthening its customer engagement and in the backdrop of Covid-19 reducing branch footfall, the Bank continued to invest in its Contact Centre operations and procedures, with the objective of establishing a virtual presence for customers to seamlessly carry out their banking activities from safety and comfort of their homes. The Bank facilitated a hybrid environment for its Contact Centre Representatives, thereby creating a truly 'Engaged Anywhere Employee', receiving a 360° view of the customer and focus dedicated efforts on providing effective customer resolutions.



Amāna Bank Debit Card tie up with Glomark



Tie up with Bata to promote Children's Savings

Name

Mohamed Asmil

Designation

Manager – Acquisition Channels

No. of years at Amāna Bank

6 Years

Highlights

Gold Award for 'We Care' Service
Moment in 2018

Silver Award for 'Executive of the
Year' in 2018



“I joined Amāna Bank in 2015 with 8 years of corporate experiences related to Sales & Branch operations. Since then Amāna Bank has given me the opportunity to build my dream career profile as a manager for sales channels in the industry.

In the back drop of a challenging environment, along with the guidance from the top management, I have been successful in building an effective sales channel for the bank within a short-time period. Working with Amāna Bank is not just about the number of tasks to be done rather it is more about getting a life time experience, because as I finish one task after another I literally feel a sense of accomplishment. The Bank continuously motivates me with newer challenges and develops me to deploy my creativity, intuition & skills. I am proud to work for a company that is enriching the lives of people.”

BUSINESS BANKING

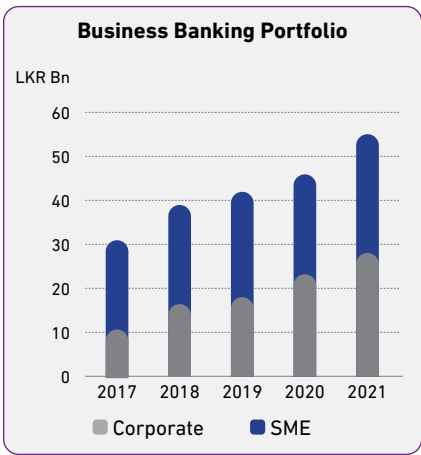
Business Banking Assets

The disruptions and frequent lockdowns continued in 2021 too, similar to situations experienced in 2020 and weighed heavily on the Bank especially the business banking area. It therefore required a shift in approach on how financing was to be done with the Bank being flexible in adapting to changes as seen in 2020 meant that the department too was well prepared for this new normal. The focus was on delivering a differentiating value proposition to the customers that would most critically enhance productivity. In the past, customer management focused on transactions, predominantly promoting and selling the Bank's products. Today, technology has taken over and allows customers ease of convenience in the contactless environment, due to Covid-19 protocols, which requires Banks to provide a superior level of service along with the right solutions. Customer management processes have been designed to help the Bank to acquire, sustain and grow long-term, profitable relationships with targeted customers. The Business Banking Division (BBD) responded with renewed vigour, which was necessary for the Bank to benefit from emerging prospects and manage change effectively. There was also resilience shown to capitalise on market potential, during this challenging year under review. This resulted in a significant improvement in portfolio performance during 2021, which helped BBD achieve a YoY growth of 20% compared to 9% last year.

Having completed a decade of banking operations, supported by its stability, reach, network, credibility and trust, the Bank positioned itself as a key player to partner customers with unique propositions, which assisted accelerated portfolio growth. This included the increase in wallet share of existing relationships through ancillary business income, refinancing and cross-selling deals, where services were bundled to provide a total banking solution to the customer ensuring the Bank's non-funds income stream is enhanced.

The Business Banking Division continued to focus on its strengths to achieve operational efficiency and support business growth through appropriate solutions that were focused on process effectiveness and efficiency of delivery. The BBD continued to master the way it does business through effective systems and processes by obtaining continuous feedback from its customer and adopting a solution oriented approach to serve them.

Business Banking Portfolio



BBD's share in the asset portfolio of the Bank continues to be significant, paving the way for it to be a key contributor to the top line of the Bank, with income from such financing constituting to 53% of the total income.

Asset Quality

Despite the challenging times, BBD actively engaged with its customers in a timely manner to provide relief and assistance to manage the impact of the lockdown and closures that most customers faced due to the pandemic. As a Bank which has a unique value proposition, every effort is made to ensure credit appraisal is done in the context of an approved business strategy and target market plan, including a clear risk acceptance criteria. Each customer has different characteristics, and a significant amount of financial and credit analysis, due diligence and seasoned credit judgment is required to approve the exposure. Such procedures have ensured that asset quality is maintained at a very high level helping the Bank contain the NPA ratio well below the industry average.

Key Sectors

While remaining open to all sectors in the market, the Bank placed emphasis on specific 'Focus Sectors' with the best strategic fit and potential, in order to concentrate its efforts on building sector specific capacity and understanding. Having established the strategic fit of the Focus Sectors, the Bank achieved a higher rate of success in conversion while ensuring effective risk management. The key focus sectors were identified after considering the country's economic outlook and

Management Discussion and Analysis

policy changes which included the Government's renewed focus on export and tourism related businesses. Further, the Bank also funded Corporate customers in the healthcare sector which has considerable growth prospects considering this pandemic era by fulfilling their requirements for additional facilities in terms of enhancing scale.

Corporate Banking

In line with the Strategic Plan, the Bank continued its selective approach towards corporate customers based on a rewarding relationship and highest level of service. The Bank focused on customers established in Free Trade Zones, Industrial Parks and other BOI approved entities with the objective of participating in infrastructure projects. This was in light of the Government's focus on many new infrastructure projects requiring a lot more engagement by local financial institutions to support and pave the way for sustainable development in line with United Nations Sustainable Development Goals (UNSDGs) which the Bank continues to pursue. Many of these infrastructure projects required syndication where the Bank pursued strategic alliances with overseas and local banks as lead arrangers or as a participating bank.

SME Banking

The Government continues to recognise SMEs as the backbone of the economy, as it accounts for more than 75% of the total number of enterprises, provides 45% of the employment and contributes 52% of the GDP. In line with this and the strategic focus of the Bank, we continued to give priority to this

sector, despite having to face inherent challenges from SMEs including the impact of Covid-19 pandemic. The Bank continued to focus on the SME sector due to the importance it carries to the overall economy and being regarded as the driving force of the economy. Moreover, with the onset of the pandemic, it was important for the Bank to support SMEs by providing required relief and concessions whilst ensuring that they survive and emerge successful during this difficult period without being driven out of business which can be detrimental to the economy as a whole.

Commercial Leasing Unit

The Commercial Leasing Unit is a dedicated team formed to assist the Head Office and branches on facilitating and promoting leasing facilities offered to the SME category, where the main thrust sectors include Transport, Distribution, Trade, Construction, Travel and Tourism, etc. The unit is also engaged in expanding the overall SME portfolio within the Bank. Motor Lorries, Motor Coaches, Trucks, Other Heavy Vehicles, Machinery and Equipment are eligible assets for financing under this segment.

The challenges experienced in the country last year continued well into the year under review, having a direct impact on business performance. The Commercial Leasing Unit, however was able to sustain a positive growth of 38% in 2021 whilst maintaining a healthy NPA ratio. With the ongoing restriction on importation of vehicles, the Commercial Leasing Unit has been able to make inroads into financing Industrial Machinery & Equipment to generate additional volumes and diversify revenue streams. Of the total growth

recorded under Commercial Leasing, 46% has been from the new segment of Machinery & Equipment Financing.

Trade Services

Having gone through a challenging year in 2020, the Trade Service business remained impacted due to ongoing restrictions in motor vehicle business and other non-essential imports. However, with the growth in country's exports, the Bank capitalised from such opportunities and was able to record considerable growth in trade service income despite the overall challenges faced globally due to Covid-19 and the rising freight cost.

Refinancing

The Bank continued to provide relief under the CBSL's Saubhagya Renaissance programme and associated relief measures introduced by CBSL. In doing so, the Bank ensured that it extends its fullest support to the initiatives taken by the regulator in these unprecedented times, whilst continuing to operate within its unique business model.

Customer Engagements

Business Banking considers customer engagement to be an important feature in understanding the customer's business model, expounding the Bank's business model and structuring customised solutions whilst ensuring compliance to the Bank's internal processes so as to establish a successful collaborative business relationship. Engaging customers is essential for a long term rewarding relationship and BBD took every effort to closely engage with its customers especially during the periods in which

the country was placed under lockdown when they required assistance the most.

Product Offerings

The Bank is equipped to provide business customers with non-interest based financial solutions through its comprehensive suite of products & services to meet their various financial needs such as Capex Financing, Working Capital Financing, Project Financing, Import & Export Financing, Trade Services, Leasing, etc.

Business Support

The Business Support Unit of BBD continues to perform an important role in ensuring efficient turnaround time whilst complying with the Bank's business model and following set guidelines, thereby, assuring better service levels and portfolio quality. Furthermore, the functioning of this unit allows front-liners of Business Banking with more customer facing time, which in turn increases customer engagement and results in higher standards of service to customers.

Future Outlook

◆ Customer Engagement

Customer engagement will be a key area that BBD would continue to focus in 2022, ensuring customers' needs are correctly identified and suitable financial solutions are offered in a timely manner.

◆ Automated Credit Approval Process

The Bank expects to complete the automation of its credit approval process in the near future, which would help to streamline and improve turnaround time of facility

approvals immensely. This switch is also envisaged to result in less paper use, thereby reducing our carbon footprint.

◆ Specific Focus on Emerging Corporates

In line with the Bank's strategic focus, Business Banking would continue to enhance focus towards the Emerging Corporates, a sub segment within BBD, during the ensuing years.

◆ Focus Sectors

Understanding the nation's commitment to UNSDGs, BBD will increase its focus on these goals, further strengthening the Bank's commitment towards such initiatives especially women empowered businesses. The ICT sector has received a lot of attention since the pandemic and their demand for credit for expansion activities has increased. The Bank will consider funding suitable customers operating in this sector by fulfilling requests received.

◆ Increased Focus on Branch Network and Digital Banking Footprint

Having made some operational changes to the reporting lines between branches and head office towards the latter part of 2021, BBD envisages to leverage such changes to good effect by acquiring new customers and strengthening existing customer relationships in the branch network. This will be complemented by the Bank's digital strategy for 2022 expanding the digital footprint providing customers with much needed convenience.

◆ Catalyst in Movement of Small Entrepreneurs to the Mid-Market Segment

The real success of a bank would revolve around the success and growth of its customers. As the economy recovers from the setbacks of 2021 and the past, the Bank will strive at providing constructive and timely assistance as a catalyst for movement of SMEs to the Mid-Market Segment (i.e. Emerging Corporates).

◆ Increase focus on Exporters and Foreign Exchange Proceeds

To overcome the challenges faced by the country, it requires renewed focused on developing and nurturing exporters and increasing their foreign exchange flows. The Bank will work closely with such export customers and be an active partner to see that the country's exporters are provided with timely assistance which will benefit the overall economy.

TREASURY AND FINANCIAL INSTITUTIONS

Treasury provides the Bank's customers with an array of non-interest based products including Foreign Exchange and Risk Mitigation solutions whilst working closely with the Business Banking and Retail Banking divisions to offer its services to all customers.

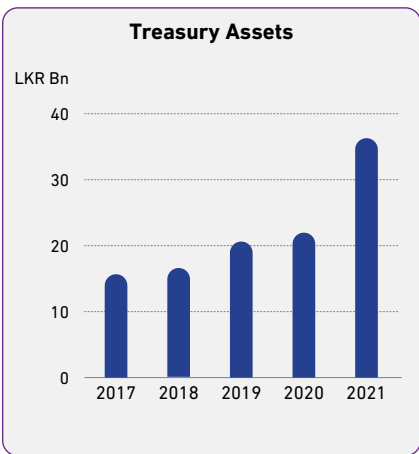
During the year 2021, overall market liquidity in terms of LKR turned to a deficit which was at a surplus during the first half of the year. However in managing day to day liquidity despite the challenging environment, Treasury

Management Discussion and Analysis

ensured that all business divisions had sufficient liquidity to meet the Bank's growth objectives, whilst managing payments, receipts and financial risk.

Treasury actively engaged with the Bank's ALCO ensuring that funding/liquidity is maintained at minimal costs providing the Bank with opportunities to finance the growth of high yielding assets.

The Exchange Rate experienced volatility during the year, as continuous demand for US Dollars for Trade and other current account transactions outweighed the limited foreign currency inflows which led to depreciation pressure on the Sri Lankan Rupee. This prompted the Central Bank of Sri Lanka to implement a host of import and capital transaction restrictions to stem the outflow of foreign currency in addition to fixing the buying / selling exchange rates at LKR 200.00 / 203.00 to the USD. To increase the foreign exchange inflows regulations were issued for the mandatory conversion of export proceeds. Lower levels of USD



liquidity in the local interbank market impacted the overall foreign exchange income of the Bank.

As at 31 December 2021, Treasury assets comprised 30% of the Bank's total assets. Despite market volatility, Amāna Bank's Treasury continued to display strong results with total revenue of LKR 1.4 Billion, through a combination of both fund based as well as non-fund based income streams.

Treasury will continue to build on its strengths to support and guide customers on exposure management in an increasingly challenging economic environment, locally and globally, whilst continuing to enhance its product portfolio and invest the Bank's proprietary funds to maximise the yield on assets under its management in 2022 as well.

The Financial Institutions Department strengthens and supports the Bank's international reach by maintaining formal relationships with global/local correspondent banks thereby offering banking facilities to our customers' requirements and operates in cohesion with Trade Services, Treasury, Remittance and other Business & Support units of the Bank.

During the year under review, despite the negative global outlook for Sri Lanka, the Bank managed to enhance its global footprint by establishing 5 new RMAs. New Lines for handling local and international payments, placements, Letters of Credit & Letters of Guarantee continued to be added and enhanced. As a result of this, Amāna Bank was able to successfully establish a formal

relationship with Asian Development Bank, is a noteworthy achievement in a very challenging year, and join their Trade & Supply Chain Finance Program (TSCFP) in order to better facilitate the requirements of our Trade customers.

STRATEGY MANAGEMENT AND PRODUCT INNOVATION DEPARTMENT

2021 marked the successful completion of the first year of the Bank's 5-year Strategic Plan for 2021-2025, articulated by the Corporate Management Committee and approved by the Board. The sustainable strategies adopted during the year are an outcome of the strategic planning processes carried out throughout the year and the insight gained from continuous engagement with all stakeholders. This year, the process of strategy formulation continued the tradition of participatory approach, which resulted in an inflow of input with, horizontal and vertical representation from across different functions of the Bank. A two-day Strategic Plan Review Session was organized for the Management Committee and key members of the Senior Management, to facilitate the annual review. Strategic focus on enhancing customer experience through innovative digital offerings, superior customer service and customised solutions has allowed the Bank to strengthen its competitive position.

Being resolute in strategy formulation and execution through systematic tracking, enabled the Bank as a whole to achieve a more coherent, robust operational model and set the Bank on a strong growth platform. The implementation of the strategy was monitored throughout the year with

regular evaluations of achievements against desired levels.

The Product Innovations function of the Bank, in collaboration with relevant business divisions, focused towards providing viable alternatives to financial solutions that exist in the market. This resulted in the formulation of new innovative product offerings that catered to unbanked and under banked segments of the market. The products being implemented were subject to Sharia approvals and banking norms.

BRANCH OPERATIONS

The year under review was operationally challenging for the Bank as we forged ahead with our plans through difficult market conditions to achieve set targets in a cohesive manner. Our focus remained on supporting the key business divisions that execute the Bank's Strategic Plan whilst maintaining the highest levels of service complemented by ethics, principles of integrity and transparency, all being key components of the people friendly banking approach.

In line with this approach, the Bank's staff continued to perform their tasks throughout the year despite multiple lockdowns and travel restrictions that were imposed to curb the spread of new variants of Covid-19. During such restrictions, the Bank took necessary steps to comply with Government's efforts in providing uninterrupted essential services, as key branches and support functions were kept operational to facilitate transactions mainly relating to trade, clearing and other emergency requirements. The Bank used its online communication channels to constantly

update the customers on services that were offered at branches, locations open for business and operational hours whilst encouraging them to use the Bank's digital touch points for other banking services.

Operations at branches were carried out in line with the guidelines issued by the health authorities, owing to the pandemic. Key members of our staff working physically were called in based on a roster so as to reduce the risk of staff contracting the virus in the event any of the staff tested positive for Covid-19. Frequent disinfection of premises, limiting staff and customer occupancy per regulations, face masks were made mandatory at all times and maintaining social distancing within branches were some of the preventive measures adopted due to the spread of Covid-19.

New Branch and ATM deployment

In strengthening the branch network and expanding our franchise, the Bank established another branch in the North Central Province as it opened its doors to the public of Anuradhapura in October 2021. This was amidst many challenges including sourcing and logistic arrangements, mainly due to travel restrictions that were in place during the lead up to the branch opening coupled with Country's economic situation. The project support staff worked tirelessly as a team in managing the affairs under difficult conditions and completed the task successfully well ahead of the deadline.

With the aim of providing a superior service and greater access to the off-site ATM installed at Mount Lavinia,

the Bank relocated and upgraded this facility to a Self Banking Centre at No. 360, Galle Road, Ratmalana, in February 2021, which has resulted in higher volumes of transactions.



Recently opened Anuradapura Branch



Opening of Anuradapura Branch



Accepting first deposit at Anuradapura Branch

Management Discussion and Analysis

Foreign Currency Accounts

Channelling foreign remittances through registered Remittance Houses and the promotion of Foreign Currency Accounts at branches among the Sri Lankan expatriates were accelerated in 2021 along with the initiatives of Central Bank of Sri Lanka where incentivised rates were offered for US dollar deposits to boost foreign currency inflows into the Country.

Staff Training

Continuous training for staff on regulations, branch operational procedures/guidelines, Foreign Currency Accounts, Exchange Control Regulations, Card Operations, and Service Touch programmes and discussions on Branch Business Plan were held via online platforms, due to travel restrictions and limitations on gatherings. These programmes attracted the active participation of staff and assisted them to be updated of latest developments with new insights, modified work flows to embrace the Bank's digital strategy, and be better equipped to face any challenges in the future. As a result of these efforts the Bank has been able to better serve its customers with improved efficiency and effectiveness during the year.

Customer Complaints

The Quality Assurance Unit ensured that all complaints received were resolved promptly within the internally set time frame and maintaining a professional approach to complaint management.

Process Development/Improvements

As the business landscape keeps evolving, it is important to develop processes that will support customer expectations. In line with this, the Bank took steps to implement process improvements by automating certain key activities involved with customer service aligned with industry best practices. Following are some initiatives that were prioritised in 2021:

1. An administration charge on current accounts with insufficient funds for payment of cheques prior to being returned, was introduced. A substantial amount of fee income was received from this initiative.
2. Post-Dated (PD) cheque management monitoring was implemented in the core banking system, for branches to have easy access to a detailed customer report to keep track of the outstanding PD cheques.
3. Automated SMS alert to the customer notifying the collection of requested cheque books from the respective branch.
4. A centralized monitoring process was implemented by the Clearing Department to observe branch related activities on the Clearing function.
5. Participated in the process of developing and testing a Blockchain Technology based Shared Know-Your-Customer (KYC) Proof of Concept national project, an initiative driven by CBSL. The Bank's observations and recommendations were submitted to the Regulator, for further evaluation.
6. Name screening process was implemented for on boarding customers against Local and UN sanction list.
7. Enhanced Due Diligence (EDD) process/policy for on boarding Non-Governmental Organisations/ Non-Profit Organisations and Charity accounts was introduced.
8. Pay&Go third party data capture implementation process was completed.
9. Risk rating of over 29,000 customers was updated and completed during 2021.
10. System modifications were effected to capture KYC details on cash deposits and encashment of cheques
11. Account opening process for vostro accounts was formulated.
12. Enhanced Due Diligence (EDD) process to mitigate PANTHOM shipping payments was established.
13. Introduction of payment mechanism/system modification on the LKR 2/- incentive payment for US dollar remittances.
14. Cash Deposit Machine (CDM) enhancements made in the year were:
 - ◆ Cash unloading to achieve process efficiency and cost saving
 - ◆ SMS module for deposit transaction
 - ◆ Remote Start
 - ◆ Service Level Agreement (SLA) was established to improve overall CDM operations
 - ◆ Automated report on real time down/up times

10 years
of people friendly banking

Name

Sulani Dayaratne

Designation

Assistant Vice President - Legal

No. of years at Amāna Bank

8 Years

Highlights

Introduced a new floating mortgage bond for corporate customers to simplify documentation

“Ever since I joined the Bank in 2013 it has enabled me to gain a wider knowledge on the subject of Islamic banking. It was a new experience in my banking career having previously worked in the conventional banking system.

After I was given the responsibility of being the head of legal in 2018, it opened a new chapter in my banking career as I had to face the challenge of maintaining the Bank’s high standards and expectations. The Bank has paved the path for me to be a stronger character and together with the support of everyone we have been able to uplift the standard of the legal department. Reflecting on the success of the Bank today, I m proud to be a part of this esteemed organization.”

Management Discussion and Analysis

CENTRAL PROCESSING AND TRADE SERVICES

Cash & Remittances Department

was able to perform all its operations comprehensively despite the pandemic resulting in lockdowns and travel restrictions. Considerable cost savings were achieved after successful negotiations with cash transport service provider on cash holding premium. The automation of the standing order process enabled the department to process larger volume of transactions, which continues to grow on a monthly basis.

Trade Services staff continued servicing all their customers despite increases in the volumes and facing challenges arising from pandemic related restrictions. The introduction of "Internal Document Management System" resulted in cost savings in the storage/retrieval of documents, printing and recording of files.

The Cheque Clearing Department (CCD)

took initiatives to perform duties using the work from home option ever since the pandemic set in, thus being able to reduce costs considerably with optimal level of staff members in the team. CCD also took on the initiative with additional responsibilities such as Gold and mCash operations, implementation of standing orders for Utility Bills and monitoring of the cheque collections of branches. The automation of Outward Cheque Return procedure simplified the entire process, thereby reducing the time taken to complete this task.

Implementation of SMS alerts to customers notifying the requested cheque book is ready for collection,

is a first among the local banks. The manual process of monitoring Post-Dated Cheques (PDCs) was eliminated after the introduction of an automated process to monitor PDCs and further customizing a system generated report for the customers to keep track of their PDC deposits enhancing customer satisfaction.

The Account Processing Unit's Support functions based in the corporate office was relocated to the Disaster Recovery site at Kottawa, where other functions of Account Processing Unit had already been relocated in 2019. The outsourcing of data entry continued, whilst system authorisation of the data entered continues to be retained by the Bank's own officers to exercise better control and mitigate risks in operations. Visa card personalization process which was absorbed by Account Processing Unit a couple of years back has helped to improve service efficiency in this area. PIN generation for VISA cards, which was based in the Corporate Office was also absorbed by the unit during the year to increase process efficiency.

The Treasury Processing Unit

undertook several key regulatory reporting including foreign currency inflows/outflows with industry based information and latest reporting on all foreign currency transactions involving the exchange of two currencies performed by the Bank. Given the importance of foreign currency transactions and current situation faced by the country, these reports were key tools for CBSL to stay updated and make decisions to improve the flow of US Dollars in the market. In addition, Treasury Processing Unit was

responsible for the settlement of weekly mandatory sales on export proceeds/ worker remittances to the regulator, including reports related to such transactions which were executed to further enhance the country's US Dollar liquidity.

The SWIFT Department in collaboration with IT Division entered in to the Alliance Warehouse initiative proposed by SWIFT as an alternative for archiving SWIFT messages. This feature will provide flexibility and speed to search through countless messages instantly via customized search criteria. The initial kick off session of the project took place in early December and is expected to continue through 2022.

OFF SHORE BANKING

As the authorities enforced travel restrictions across the Island to curb the spread of Covid-19, the Off Shore Banking Unit (OBU) ensured business continuity assisting its customers with their banking needs at a time of economic hardships. OBU continued to offer its services to the customer segments of non-national individuals, non-national entities, as well as Board of Investment of Sri Lanka (BOI) approved companies. As a result OBU has been able to attract foreign funds into the domestic market which helped the Bank to sustain its growth trajectory as well as to support the Country's economy at large.

Under OBU operations, all accounts are maintained in designated foreign currencies and are opened after completing the due diligence, KYC and AML procedures as per the existing regulations and requirement of the

Bank's policies. It is possible to obtain the full spectrum of financial services from the Off Shore Banking Unit including:

- ◆ Deposit accounts
- ◆ Credit facilities
- ◆ Cross border transactions
- ◆ Trade finance solutions

INFORMATION TECHNOLOGY

Given Amāna Bank's size and flexibility, it is favourably positioned to embrace digital transformation across all its operations. While the Bank's transformation strategy emphasised the role of digitalisation as a key driver, the Bank's digital strategy ensures that a solid foundation is in place to support scaling up of business and at the same time focus on customer centricity which is a key component in the strategic progress.

The Bank's digital strategy will play a key role in achieving the objectives set under the 5-year Strategic Plan, offering rich insights into customer behaviour, which will in turn allow the Bank to establish customer-centricity into all frontline operations. The Bank also evaluates maturity of technology, organisational processes, strategy and level of service across key functions. Prioritisation of main areas of focus also formed part of the input to technology strategy formulation.

Key investments over the period include upgrading the Internet and Mobile Banking system, Remittance system, Gold Safekeeping platform, Human Resources system and Call Centre system. In response to the increased demand in online and mobile banking services, the Bank took steps to develop

a new digital banking application during the year expanding the range of services available to customers.

Access to DRP for customer verification enhances the Bank's position on verification of customers to facilitate the Know Your Customer (KYC) process required as part of the compliance requirement. This provides access to information maintained by the Department for Registration of Persons, which is the issuing body for National Identity Card (NIC) in Sri Lanka. With the world moving towards reducing carbon footprint and contributing towards positive climate change, the Bank focused its attention on reducing the use of paper with the introduction eCash withdrawals. With eCash withdrawals the customer is no longer expected to fill in forms but is only required to key in the data using a Mobile Device and proceed with cash withdrawal.

Automation: The Bank continued to invest in workflow, robotic process automation and new ways to drive internal efficiencies and process improvements. Recent investments in process automation study, workflow systems and process reengineering have enabled the Bank to step in to considerable cost efficiencies. These processes and systems will enhance the Bank's competitive edge through faster service to customers while supporting increased profitability through cost rationalisation.

As mentioned in the review earlier, the process of Post-Dated Cheque management was automated and the system is capable of storing cheques of future dates, instead of traditionally

updating such cheques manually on the respective date. Another process automation ensured the seamless deposit of remittances by customers who are based overseas to their loved ones, where customers can now remit cash to other bank accounts directly via Amāna Bank.

Data Analytics: The Bank placed strategic emphasis on promoting a data-driven culture where data is of strategic use to derive key insights into the business. The Bank's dedicated Business Intelligence (BI) team plays a key role in achieving this goal, by engaging in data mining, predictive analysis and providing valuable insights to the business divisions. The team is expected to play an even more crucial role in future, where data analytics has been identified as a key enabler in the journey towards customer-centricity. The team will also be equipped with the state of the art BI tools to assist in important strategic decisions on new product solutions, enhancing delivery channels, etc.

IT Governance: As digital investments have increased in both priority and value, the Bank has also strengthened its IT governance. The Board of Directors has set in place a robust IT governance requirement, which articulates the Bank's priorities, facilitates resource allocation and supports the overall internal control framework of the Bank. Board Technology Committee was established in the year under review to formulate and drive the Bank's technology strategy. A framework of robust IT policies, clear differentiation of responsibilities and a highly skilled IT team ensures that IT risks and vulnerabilities are managed in a holistic and consistent manner.

Management Discussion and Analysis

IT and Cyber Security Risk: The Bank's comprehensive IT and security policy complies with the baseline security guidelines issued by the Central Bank of Sri Lanka. The Bank has also subscribed to the services provided by Financial Sector Computer Security Incident Response Team (FINCSIRT), where intelligence on the latest threats to the banking industry is shared with the internal IT security team. Regular internal and external penetration tests by TechCERT ensure the systems are protected from such attacks. Enhancing cyber and information security solutions also is a priority as the Bank proactively seeks to mitigate IT-related risks. Strengthening competences of IT staff is an important aspect with regular awareness sessions to keep them up to date with industry developments.

The Bank successfully retained its certification with the ISO 27001:2013 for another three-year period for adopting and implementing global standards and best practices to ensure the effectiveness, efficiency, confidentiality and integrity of its day-to-day IT operations. This certification further strengthens the confidence level of customers and regulators on the quality of the Bank's IT and information security, as well as its ability to manage confidential data and IT assets. The ISO 27001:2013 certification is the highest international benchmark for information security management, and the world's highest accreditation for information protection and security. The certification has proved the Bank's efforts to comply with local and international regulations regarding data protection, privacy and IT governance.

Confidentiality: Ensuring the security and privacy of customer information is a priority as the Bank seeks to expand its digital and online services. Latest security protocols such as multi-level authentication and one-time password (OTP) are being put in place to ensure complete security across transactions. The Bank has also implemented a Bank-wide data classification framework. Data classification is a foundational step in cyber security risk management. It involves identifying the types of data that are being processed and stored in an information system owned or operated by the Bank.

New normal: Since the outbreak of the pandemic, working from home became an essential feature for business continuity and caring for the health and safety of the staff whilst ensuring customers are able to carry out their transactions and access their finances as required is of paramount importance. The Bank's focus on digital transformation over the past few years assisted the accelerated transition to working from home and it involved investments in necessary devices, systems, security, network and training to enable staff to continue their duties.

2022 and beyond: The Bank's goal is to continue providing the best digital banking experience by making banking simple, smart and secure. Investments were made in customer-facing and back-end technology to deliver easy to use, personalised, value-added and secure digital banking services. Meanwhile, the focus is on enhancing and digitalising systems and processes to increase capabilities. The Bank will continue to innovate both within its

business and with associates. Focus will be on quality IT infrastructure to ensure uninterrupted digital customer experience with great emphasis and investment on uncompromised system security.

MARKETING AND CORPORATE COMMUNICATIONS

The Bank continued with its Marketing and Corporate Communications measures ensuring that it aligns to the Bank's strategic focus of positioning the Amāna Bank brand as a progressive people friendly bank.

As a component on its brand image and corporate identity strategy, the Bank emphasised on establishing consistency and uniformity in all communications, resulting in creating communications that are relevant and appealing to all Sri Lankans.

With consumers spending more time on digital devices, the Bank leveraged on digital marketing platforms as a key channel for communication. With digital media continuously challenging and changing the landscape of marketing, the Bank constantly focused on leveraging its presence on social media. With Covid-19 continuing to restrict customer movement, the Bank used its website to facilitate customers a convenient online application platform for retail financing and account opening.

Having commenced its banking journey on 1 August 2011, the Bank completed 10 years of its People Friendly Banking operations. As a part of celebrating this key milestone, the Bank carried out a campaign under the theme '10 years of People Friendly Banking' using a mix of

conventional media, digital platforms and branch communications. Special corporate stationery material were made available to mark the occasion.

In line with the country's 73rd Independence Day celebrations, the Bank carried out a corporate campaign under the theme 'රටේ අපේ නිදහස වෙනුවෙන්, අපේ සතුට වෙනුවෙන් කැපවන ඔබත් සැබෑ චිරයෙක්' where the Bank launched a series of videos recognizing the effort of healthcare workers during the Covid-19 pandemic as well as the efforts of consumers who helped businesses and entrepreneurs sustain themselves during this challenging time.

Reminiscing the nostalgic moment which brought the entire country to an aura of celebrations, the Bank commemorated the 25th Anniversary of Sri Lanka's famous 1996 Cricket World Cup victory. As part of its commemorations, the Bank carried out a quiz competition on its social media platforms, where a series of questions were asked on the Sri Lankan team's performance during the World Cup. A special event under the distinguished patronage of World Cup winning captain Hon. Arjuna Ranatunga was held at the Bank's premises to reward the quiz winners. In addition to rewarding the winners, the Bank presented a special token to Hon. Arjuna Ranatunga in gratitude and recognition for the team's incredible feat of bringing glory to the country.

In addition to strengthening the core brand through various corporate campaigns, the Bank carried out promotional and awareness campaigns



Hon. Arjuna Ranatunga, with the winners of 1996 World Cup Quiz Competition



Amāna Bank CEO Mohamed Azmeer presenting a special memento to Hon. Arjuna Ranatunga

giving prominence to the variety of products and services offered with high visibility in selected media.

During 2021, the Bank carried out campaigns for deposit products including Children's Savings Standing Order Bonus promotion, Ladies Current Accounts, Special Deposit Accounts and Term Investment Accounts as well as a campaign on 'Savings Resolutions' on social media.



Recognizing O/Level examination high performer

The Bank also carried out several campaigns for Home Financing, Vehicle Financing, Emergency Cash Facility and Easy Payment Plan. Towards promoting its digital banking products, the Bank carried out a competition with the winner being rewarded the latest iPhone.

Management Discussion and Analysis

With many customers realising the true benefit of it's people friendly banking solutions, the Bank rolled out a testimonial campaign under the theme 'මගේ බැංකුව සමඟ මගේ කතාව', where customers were given the opportunity to share their experience as well as re-tell their real-life incidents.

The Bank also carried out novel engagement programmes on Social Media, including a campaigns for Women's Day, Sinhala and Tamil New Year, Ramadan and Children's Day among many others.

The Bank partnered with leading sports fan page Knockout as the main sponsor for the social media coverage of the T20 Cricket World Cup and the Lanka Premier League 2021, covering pre-match analysis, match updates and post-match analysis with the participation of prominent sporting figures.

Amāna Bank continued to be ranked amongst Sri Lanka's Top 100 Brands for 2021 as per the Most Valuable Brands Index published by Brand Finance along with LMD. With Brand Value of LKR 574 million, the Bank Ranked at 80th position and managed to secure a 'BBB' Brand Rating. The Marketing function was recognised by winning the Gold Award for Marketing Campaign of the Year at the SLIBFI Awards for its campaign done to promote Current Accounts.

Knowledge Marketing

The Knowledge Marketing Unit (KM) has rolled out various initiatives to create awareness and enhance the knowledge on its people-friendly banking model

throughout 2021, including a quiz program on radio, television and social media. It also carried out multiple awareness programs for professionals and social influencer groups organised by branches. It is noteworthy to highlight that Knowledge Marketing's highly acclaimed short animated video series on the non-interest based banking model was made available in Sinhala and Tamil versions to benefit its multi-ethnic customer base.

Additionally, the Knowledge Marketing Unit carried out an Intensive Learning Program (ILP) covering 28 branch staff members to understand the people-friendly banking model and improve their knowledge. The Unit also developed a digital Q&A platform named 'Ask KM' exclusively for the staff members to air their doubts and get clarification while ensuring confidentiality via the Bank's intranet. Marking the Bank's tenth anniversary, a Customer Survey has been developed jointly with Marketing Department as a tool to understand market sentiments in order to align the bank's future activities.



Rewarding a winner of a social media promotion



මගේ බැංකුව සමඟ මගේ කතාව Campaign



Ladies Savings Account Campaign



73rd Independence Day campaign

AWARDS AND ACCOLADES

Ranked amongst the Top 50 Strongest Islamic Banks in the World by The Asian Banker

Amāna Bank was ranked amongst the Top 50 Strongest Islamic Banks in the World according to the 2021 ranking index published by The Asian Banker. In evaluating the Strongest Islamic Banks which is based on balance sheet strength, The Asian Banker has established a comprehensive and rigorous evaluation scorecard entailing six areas of financial position and performance i.e. the ability to scale, balance sheet growth, risk profile, profitability, asset quality and liquidity.

Ranked amongst the Top 100 Largest Islamic Banks in the World by The Asian Banker

Amāna Bank was ranked among the World's Top 100 Largest Islamic Banks by The Asian Banker in their 2021 ranking index based on Asset Size.

Best Islamic Financial Institution in Sri Lanka - Global Finance World's Best Islamic Financial Institutions Awards 2021

For the eighth consecutive year, Global Finance Magazine adjudicated Amāna Bank as the Best Islamic Financial Institution in Sri Lanka at the World's Best Islamic Financial Institutions Awards 2021 held in USA. All Global Finance award winners are picked through a rigorous process of extensive consultations with bankers, corporate finance executives and analysts throughout the world.



Recognised as Fastest Growing Retail Bank in Sri Lanka

Best Islamic Bank in Sri Lanka by The Banker

Amāna Bank was adjudged as the Best Islamic Bank in Sri Lanka award by The Banker in 2021. The Banker's 2021 Islamic Bank of the Year Awards offers a snapshot of an industry brimming with confidence and one that is defining its own story. The winners of this year's global, regional and country awards have, for the most part, outlined a vision for their respective institutions – and the wider industry – that is attempting to change the financial, socio-economic and environmental terrain in which they operate.

Fastest Growing Retail Bank in Sri Lanka at Global Banking & Finance Review Awards 2021

The Bank was recognized as the 'Fastest Growing Retail Bank in Sri Lanka' at the Global Banking & Finance Review Awards 2021.

Best Expat Bank in Sri Lanka at Global Banking & Finance Review Awards 2021

The Bank was adjudged as the 'Best Expat Bank in Sri Lanka' at the Global Banking & Finance Review Awards 2021. The Award was bestowed in recognition of the Bank's efforts towards catering



Recognized as Asia's Best Employer Brand

to the financial requirements of Sri Lankans working and living overseas, especially through its Expat Gold customer proposition.

Best CSR Bank in Sri Lanka at Global Banking & Finance Review Awards 2021

The Bank was recognized as the 'Best CSR Bank in Sri Lanka' at Global Banking & Finance Review Awards 2021. The Award was bestowed in recognition of the Bank's flagship CSR project 'OrphanCare.

Asia's Best Employer Brand Award at World HRD Congress Best Employer Brand Awards 2021

Amāna Bank was crowned as one of Asia's Best Employer Brands at the Asia Best Employer Brand Awards organized and adjudicated by World HRD Congress. Amāna Bank was recognized amongst many other leading corporates and conglomerates across Asia in winning this award.

Management Discussion and Analysis

Gold Award for Entity of the Year at SLIBFI Awards 2021

The Bank was bestowed the Gold Award for 'Entity of the Year' for the third consecutive year at the SLIBFI Awards 2021 which was adjudicated by the KPMG.

Gold Award for Deal of the Year at SLIBFI Awards 2021

The Bank was bestowed the Gold Award for "Finance Deal of the Year" at the SLIBFI Awards 2021 adjudicated by KPMG. This Award was adjudicated to the Bank owing to financing the operations of Fits Aviation, a private airline operating both international and local passenger and cargo flights. The Bank provided financing to restructure the company's long term financing as well as for the working capital requirements.

Gold Award for Marketing Campaign of the Year at SLIBFI Awards 2021

The Bank was awarded the Gold Award for 'Marketing Campaign of the Year' at the SLIBFI Awards 2021. The Award was given in recognition of the Bank's marketing campaign which was done to promote Current Accounts.

Gold Award for Entity of the Year at IFFSA Awards 2021

The Bank was recognised with the Gold Award for 'Entity of the Year' at the IFFSA Awards 2021, which recognises the non-interest based Islamic Banking & Finance industry amongst South Asian Region.

Gold Award for Bank of the Year in South Asia at IFFSA Awards 2021

The Bank was awarded the Gold Award for 'Islamic Bank of the Year in South Asia' at the IFFSA Awards 2021. In winning the award, Amāna Bank overcame competition from leading Islamic banking practitioners in India, Pakistan, Bangladesh and Maldives.

Silver Award for Deal of the Year at IFFSA Awards 2021

The Bank was awarded the Silver Award for 'Deal of the Year' at the IFFSA awards 2021. This Award was adjudicated owing to the Bank financing a private owned cargo and passenger airline operation.

Best Islamic Financial Institution in Sri Lanka at World Business Outlook Awards

Amāna Bank was adjudged as the Best Islamic Financial Institution in Sri Lanka at the World Business Outlook Awards.

Fastest Growing Retail Bank in Sri Lanka at World Business Outlook Awards

The Bank was recognized as the 'Fastest Growing Retail Bank in Sri Lanka' at the World Business Outlook Awards.

LMD Top 100

The LMD 100, has been ranking the Top Sri Lankan listed corporates for the last 28 years. Amāna Bank has been ranked 85th in LMD 100 in 2021.

Brand Finance -LMD Top 100 Most Valuable Brands

Amāna Bank continued to be ranked amongst LMD's top 100 Brands for 2020. Ranked at 80th position, the Bank managed to secure a 'BBB' Brand Rating. The ranking index was published in a special issue by Brands Annual magazine, which is presented by Brand Finance along with Media Services, the publishers of the renowned LMD Magazine.

10 years
of people friendly banking

Name

Mohamed Kiyasudeen

Designation

Assistant Vice President – Information
Security

No. of years at Amāna Bank

8 Years

Highlights

Being an IT security expert with multiple qualifications, played a key role in establishing the IT security infrastructure in the Bank

Member of the Bank's Mid-com

“I am grateful for Amāna Bank for my successful journey of 8+ years with continuous opportunities, challenges, learning and growth; professionally and personally. From the incept, Amāna Bank recognized my strengths and provided me the opportunity to grow at crucial times, where I was able to grab all the opportunities provided, performed and proved.

The Bank empowered me to make independent decision at various levels where I was able to implement many IT and IT Security solutions for the Bank which has resulted in ensuring a secured IT infrastructure framework. Amāna Bank's performance-based culture is a key factor for many people who work with passion, dedication, integrity, sacrifice and ownership.”

10 years
of people friendly banking

Name

Mohamed Nafeel

Designation

Manager – Nintavur Branch

No. of years at Amāna Bank

10+ Years

Highlights

Recognised with a foreign tour for achieving annual deposit targets



"எனது வங்கித்துறைப் பயணம் அமானா வங்கியுடன் அமானா வங்கியின் செயற்பாடுகள் ஆரம்பிக்கப்பட முன்னரே வங்கி உதவியாளர் நியமனத்துடன் தொடங்கியது. எனது தொழில் வாழ்க்கையை மேம்படுத்த சிறந்த வாய்ப்புக்களை அமானா வங்கி அமைத்துத் தந்தது. இதற்கு காரணம் இங்கு திறமையான ஊழியர்களுக்கு சிறந்த தளம் வழங்கப்படுகின்றமை என நான் நம்புகிறேன்.

இதன் அடிப்படையில், நான் கடந்த 10+ ஆண்டுகளில் பல பதவி உயர்வுக்களை அடைந்து, இன்று கிளை முகாமையாளராக கடந்த 6 ஆண்டுகளாக பணி புரிவதில் பெருமகிழ்ச்சி அடைகிறேன். இன்னும் பல வாய்ப்புகளை நோக்கிய என் பயணம் இங்கு தொடரும்."

Human Resource Management Review

"Echoing the Bank's position as an employer of choice, we were extremely honoured to have been bestowed with the title 'Asia's Best Employer Brand' by World HRD Congress"

We consider and value our people as the key asset which drives the Bank towards success. Despite the Bank having faced another challenging year due to the prevailing pandemic and business operations being hampered at several instances as a result of lockdowns, we were still able to respond to the increasing market demand and achieve record profitability with our competent and talented workforce.

The Bank's mission of adopting a unique and people friendly approach with a passion for continuous improvement, enabling growth and enriching lives; has been possible with our compassionate and dedicated people working together towards one common goal.

Echoing the Bank's position as an employer of choice, we were extremely honoured to have been bestowed with the title 'Asia's Best Employer Brand' by World HRD Congress. This regional accolade follows last year's recognition as 'Sri Lanka's Best Employer Brand' by the same awarding body. The Bank was recognized amongst many other leading corporates and conglomerates across Asia in winning this award.

Talent Optimization

Meeting and matching the Talent requirement for the year had been a challenging task mainly due to the volatile market conditions as a result of the pandemic. This led to curtailing a majority of the external recruitments unless otherwise the identified vacant positions were critical. We are pleased to note that the need for such recruitments were minimal, as we were able to recognise our internal employees by enhancing the existing positions through means of Job Enrichment & Enlargement after re-designing and restructuring job profiles. This has resulted in a total of 57 cross functional transfers of which 52 transfers to revenue generating units, with positive results being achieved.

Promoting Professional Development and Staff Welfare

Professionally developed employees create the best competitive advantage for Amāna Bank, thus promoting our unique banking model with utmost competency. Understanding the importance of Professional Development, an allowance was introduced Bank-wide to every employee from junior level to the senior manager level. This was introduced

with the intention of encouraging and promoting staff learning and development at the Bank.

Along with the need to create a professionally developed workforce, the Bank had given due consideration to employee welfare. Considering the current context, revisions to the existing outdoor staff medical allowance as well as the parental medical allowance were implemented as added benefits to our employees. Holiday allowance which was previously available to senior staff grades were introduced to employees of junior staff grades as well because we care for our employee's mental and physical wellbeing and believe work life balance is of utmost importance that helps to promote a healthy working environment that nurtures the growth of the employee as well as the organisation.

Organisation Development

Organisational Development has been a key area of interest, focusing on changes to systems within the Bank. The focus on Organisational Development will enable to build and sustain the strategic expectations of the Bank towards optimization of resources across all levels. Transparency and clarity on career growth and employee development was recognised, with HR playing a supportive role.

The organizational structures of divisions/departments of the Bank were reviewed to optimize resource utilization, improve staff engagement and provide career progression opportunities to performing employees.

Human Resource Management Review

With the focus of creating a strong layer of successors and high potential staff across the Bank, a Bank-wide exercise was carried out to identify successors for key positions. High potential employees were also identified in every division/branch. The identified employees are being developed based on a personalized career progression plan, designed to fast-track individual development. Structured training programmes have been initiated through which the identified employees will gain higher level skills and go on to support the Bank's leadership.

Engagement through Learning and Development

Learning and Development is a key driver of Employee Engagement. Thus we are always committed towards uplifting employee learning experience and promoting every aspect of Learning through engagement, year on year. Our E-Learning platform and virtual training programmes conducted throughout the year had given the opportunity to every employee to enhance their knowledge and skills. Due to the prevailing pandemic, strategic changes were adopted to ensure our employees were continuously competent and skilled to deliver the best in their job roles. One of our main focus was to conduct



Avurudu celebrations organised by staff

"Furthermore, as part of the key learning and development domain which is designing talent development initiatives, we have successfully completed the initial prototype of the Individual Development Plan for identified branch staff members"

training programmes virtually and avoid classroom sessions as much as possible. This transition was carried out successfully utilizing our E-Learning and virtual training platforms. With the need to promote employee engagement through learning and prioritising convenience and flexibility with an evolving Learning and Development culture, we capitalized the E-Learning platform to encourage learning at the convenience of our employees.

Training Programmes	Number
Total in-house virtual sessions	30
Certification programmes	4
E-Learning interactive courses developed	17
Total external virtual sessions	30
Total	81

Furthermore, as part of the key learning and development domain which is designing talent development initiatives, we have successfully completed the initial prototype of the Individual Development Plan for identified branch staff members who went through a series of core banking, technical and

life skills training programmes that helped in upgrading them to the next level in the Branch hierarchy. This initiative facilitated in creating a more competent and talented workforce at the lower to mid layers. Leadership Development Programme was another very significant training programme completed during 2021. The objective of this programme was to create the next layer of strategic leaders who will be the next successors of the Bank's Management. In addition, we encouraged employees to focus on their own development by attending knowledge sharing sessions on relevant business topics.

Operational Excellence through Employee Relations

One of our greatest assets is our people. We consider that our operational excellence lies in retaining, developing and motivating our employees to achieve the strategic objectives of the Bank. We ensure that every policy and procedure with regard to our employees' wellbeing is reviewed on a timely basis securing the employees' as well as the Bank's interest. All our employees, irrespective of their gender serve equally towards achieving the strategic objective of

the Bank. Therefore, we encourage equal employment opportunities for females and males within the Bank and thoroughly condemn any gender discrimination or harassment during and out of employment. Integrity is of utmost importance to us. We always encouraged great practices within the Bank. The Bank communicates and maintains its 'Code of Conduct' Bank-wide and discourages acceptance of any form of gift in cash or kind from the Bank's internal or external customers. The Bank explicitly prohibits any form of facilitation payment that would incur reputational damages to the Bank. We have established clear processes for understanding and responding to employees' needs through Human Resource Initiatives and regular communication with the strategic business divisions for operational excellence.



Moments captured at an event held to mark International Women's Day for female staff of the Bank

Human Capital Statistics

Staff Strength – By Grade

Category	No. of Employees	%
Management Committee	11	1.4
Assistant Vice Presidents	8	1.0
Senior Managers	13	1.7
Managers	110	14.2
Executive Officers	181	23.3
Junior Executives	126	16.2
Junior Executive Assistants	132	17.0
Banking Assistants and Trainee Banking Assistants	164	21.1
Office Assistants	7	0.9
Business Development Officers	25	3.2
Total	777	100.0

Staff Strength – By Age

Category	No. of Employees	%
18 - 30	389	50.1
31 - 40	238	30.6
41 - 50	111	14.3
51 - 55	21	2.7
56 and above	18	2.3
Total	777	100.0

Staff Strength – By No. of Years in Service

Category	No. of Employees	%
Above 10	151	19.5
6 - 10	283	36.4
1 - 5	289	37.2
below 1	54	6.9
Total	777	100.0

10 years
of people friendly banking

Name

Sameera Senanayake

Designation

Manager – Operations, Regulatory
Compliance & Operational Risk

No. of years at Amāna Bank

9 years

Highlights

Was part of the CBSL's national
blockchain initiative to digitalise the
KYC process



“My experience at Amāna Bank has been very enriching and a rewarding one, where I commenced my journey as a branch operations executive and within a short period reached many heights with the interest of adopting new challenges and changes.

With the Bank constantly encouraging us to be the best we can, I was given the opportunity to nurture and develop my professional career with a role that suits my passion and abilities, which was compliance and risk, where today I have been able to contribute in maintaining a robust compliance environment and a healthy regulatory framework in the Bank. The Bank has a solid background with strong values, team oriented environment and great leadership that is highly focused on its people.”

Report on Sharia Supervision

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

By the Grace of Almighty Allah, Amāna Bank completed 10 years of commercial operations in 2021.

During the year under review, the Sharia Supervisory Council (SSC) of the Bank held three Sharia Council meetings to review various products, modifications, concepts, transactions & processes.

Sharia Guidelines Reviewed During the Year

1. Sharia Guidelines on Musharaka
2. Sharia Guidelines on Diminishing Musharaka
3. Sharia Guidelines on Wakala
4. Sharia Guidelines on Inspections

Sharia Documentations/Agreements Reviewed During the Year

1. Sharia Documentation on Diminishing Musharaka
2. Sharia Documentation on Ijara
3. Sharia Documentation on Local Murabaha

Sharia Review and Compliance Process

To ensure that revenue generated by the Bank adheres strictly to conjunctions of the rules and principles of Sharia, the Sharia Supervision Department actively assessed various operational activities throughout the year. Credit approvals, restructuring of financing facilities, customer specific transaction process flows, text of Letters of Guarantee and Sharia Documents were reviewed to ensure Sharia compliance when offering financing products to the customers.

The Sharia Review function plays a vital role in achieving the objective of ensuring Sharia compliance by evaluating adherence to the rules and principles of Sharia in all activities undertaken by the Bank.

The Sharia Supervision Department focuses on matters pertaining to the rules and principles of Sharia, enabling the facilitation of smooth operations whilst ensuring Sharia compliance at all levels in the Bank.

Income generated from customer advances via retail and business banking transactions that were reviewed are as follows:

Income Generated from Retail Financing (LKR '000)	2,237,818
Income Generated from Business Financing (LKR '000)	4,137,130
Number of Transactions Performed	9,840
Number of Transactions Reviewed	9,840
Total Gross Advances as at 31 December 2021 (LKR '000)	78,185,981
Gross Non-Performing Advances Ratio (%)	3.1

Moreover, physical inspections were conducted on a random basis and measures were taken to verify the relevant purchase evidences / invoices, further enhancing the controls. All financing granted using various products and services during the year were reviewed by the Sharia Supervision Department and their alignment with the guidelines issued by SSC was also verified.

The process and the scope of the review included the following:

- ◆ Invoices and other related purchase evidences were verified by confirmations and the existence of suppliers was confirmed by visiting their premises on a sample basis.
- ◆ Genuine purchase evidences were provided to execute Murabaha transactions so that Murabaha disbursements are not availed to set-off previous balances with the supplier and Murabaha Status Sheets.
- ◆ Sharia documentation, security documents and procedures followed by different functional areas for Local Murabaha, Import Musawama/ Murabaha, Extended Murabaha, Ijara (Leasing), Diminishing Musharaka, Musharaka, Istisna, Thijara, Wakala, Education Financing, Travel Financing, Solar Financing, Express Cash and Gold Safekeeping Facility.

Report on Sharia Supervision

- ❖ Declarations, description of assets, relevant purchase invoices, sequence and order of the documents and time difference between purchases and declaration in Murabaha transactions.
- ❖ Purchase deeds, certificates of registration of motor vehicles, treatment of ownership related cost and recovery of rentals in Ijara transactions, ownership ratio in Diminishing Musharaka facilities and issuance of timely unit sale receipts.
- ❖ Investments made in equity with reference to the equity stock screening criteria.
- ❖ Import finance transactions and related documentation.
- ❖ Extensive reviews of customer payment, purchase cycles and periodic assessment of customers' processes.
- ❖ Profit sharing ratio, Mudaraba pool working and the applicable profit allocation for deposit products.
- ❖ Treasury placements with other Islamic Financial Institutions and Window Operations.

Online Sharia Compliance Process

The Sharia review process is carried out to ensure Sharia compliance of all transactions and also to build a zero tolerance culture within the Bank to Sharia non-compliance.

In order to streamline and make the Sharia compliance process effective & efficient, the Bank continued to make use of the Online Sharia Compliance Process, which essentially is a live compliance process. The Online Sharia Compliance Process takes place at the

fund disbursement and deal creation stages. Products added to the Online Process this year were Wakala, Musharaka, Thijara and Express Cash.

Review of Marketing and Communication Activities

All Marketing and Communication activities and materials were reviewed by the Sharia Supervision Department to ensure such activities of the Bank adhere to the rules and principles of Sharia.

Training and Development

During the year, 3 internal Sharia training sessions were held in which 117 employees participated. These programmes were conducted with the objective of enhancing the knowledge and strengthening the skills of staff members on the rules and principles of Sharia and Sharia documentation related to the respective contracts.

During the year, the Sharia Supervision Department focused on increasing the level of awareness amongst the key stakeholders, on Islamic Banking and products offered by the Bank and to further inculcate the values of Islamic Banking. In this regard, 3 external programmes were conducted for Sharia scholars and students. The total participation at these programmes was 200.

Programme	Audience	No. of Sessions	No. of Participants
Internal			
Sharia Awareness on Moratorium and Rescheduling Facilities	Retail & Business Banking Staff	1	68
Amāna Bank Certified Islamic Banker Level-1	Branch Frontline Staff / Business Development Officers / Retail & Business Banking Staff	2	49
External			
Awareness Programme on Islamic Finance & Products of Amāna Bank	Sharia Scholars, Students	3	200
Total		6	317

Sharia Risk Management Committee

The Sharia Risk Management Committee (SRMC) is a Sub-Committee of the Bank's Management Committee that was established to discharge the responsibilities of management on Sharia Compliance.

Regional Sharia Review Units

The regional Sharia units in the Central and Eastern regions continue to play a significant role towards accomplishment of the objective of ensuring Sharia compliance at all levels through 100% review of transactions and facilitating smooth operations in a timely manner. Despite the ongoing pandemic situation which caused severe disruptions to human lives and economic activity, regional operations were conducted by following strict health and safety guidelines issued by the authorities.

Sharia Advisory Services

Internal Support

Sharia Supervision Department provides advisory services on structuring of products and transactional processing on an on-going basis, based on existing guidelines and resolutions made by the SSC. Issues encountered would be escalated to the Executive Committee of the SSC based on the complexity of the issue. All such advisory provided by the Sharia Supervision Department are tabled at the subsequent SSC meetings and ratified by the SSC. The Sharia Supervision Department also reviews Credit Memorandums on pre-approval basis of both new proposals as well as at annual reviews of facilities to ensure that the most appropriate product is provided to the customer.

Number of Advisory Provided by the Executive Committee of the Sharia Supervisory Council	6
Number of Advisory/Clearances Provided by the Sharia Supervision Department based on existing guidelines and resolutions	542
Total	548
Number of Credit Memorandums reviewed by the Sharia Supervision Department	315

External Support

The Bank continued to offer Sharia Advisory Services to a public listed company engaged in commodity brokerage, in order to structure their financing operations in compliance with Sharia principles. In this regard, the Bank provides Advisory Services on Product Development, Transaction Structuring, Internal Process, Procedures and Guidelines, Documentation, Monitoring and Control, Training as well as monitoring compliance to the requirements of Sharia.

Charity

During the year, a total of LKR 234,535 was transferred to the Charity Fund. As at 31 December 2021, a balance of LKR 360,884 remained in the fund.

Statement of Sources and Utilisation of Charity Fund

	LKR	LKR
Opening balance as at 1 January 2021		292,849
Additions During the Year		
Interest Accumulated in Nostro Accounts	71,279	
Excess Cash	154,100	
Purification of Dividends Received	9,156	234,535
		527,384
Less: Distribution of Charity (Social Benefits)		(166,500)
Closing Balance as at 31 December 2021		360,884

The amount of LKR 166,500 was disbursed from the Charity Fund with the approvals of Chief Executive Officer, Chief Financial Officer, Head of Sharia Supervision and was duly reported to SSC for its concurrence.

Report on Sharia Supervision

The Way Forward in 2022

- ◆ Continue to ensure the zero tolerance culture on Sharia non-compliance.
- ◆ Strengthen the Sharia Risk Management process and mitigate Sharia violations with the involvement of the Sharia Risk Management Committee.
- ◆ Review and update the Sharia product process, guidelines, documentation and checklists to offer the most appropriate product for the customer.
- ◆ Advice and guide to provide the best-fit product to customers.
- ◆ Education Finance and Travel Finance products to be included to the Online Compliance Process.
- ◆ Digitalisation of Sharia documentation to mitigate the errors and improve efficiency in terms of speed.
- ◆ Facilitate the New Product Development process by providing advice on the appropriate Sharia principles and contracts to structure new products.
- ◆ Facilitate and conduct training sessions to develop Sharia competency levels and instil onus on all stakeholders as follows:
 - Introduction to Islamic Banking for new recruits
 - Continue the Amāna Bank Certified Islamic Banker Programme
 - Focused training programmes on rules and principles of Sharia, documentation and Sharia compliance

- Sharia compliance and Sharia Risk programmes for Management Committee and Other Senior Management staff
- Conduct Sharia Awareness Programmes for Academics, Students, Customers, Sharia Scholars and General Public

May Almighty Allah make us successful in accomplishing His precious tasks and reward us in this world and in the Hereafter.



Ash-Sheikh Nazhan Naurooz

Head of Sharia Supervision and
Secretary to the Sharia Supervisory
Council
9 Rajab 1443 A.H.

11 February 2022

Name

Indika Jayawardane

Designation

Office Assistant

No. of years at Amāna Bank

10+ years

Highlights

Silver Award for Best Support
Assistant at Awards Day 2018



“අමානා ආයතනයට ආපු දවස මට අද වගේ මතකයි. එදා මෙදාතුර ආයතනයේ සුවිශේෂී ගමන් මග තුළ බොහෝම අත්දැකීම් ලැබුවා. ඒ වගේම විවිධ අය සමග වැඩ කරන්නට ලැබුණා. ආයතනය වෙනුවෙන් මගේ උපරිම කැපවීමෙන් මම වැඩ කළා. වඩාත්ම සතුටුම අවස්ථාව මීට වසර 10 කට පෙර අමානා බැංකුව ස්ථාපිත වූ අවස්ථාවයි.

අමානා පවුලක් හැටියට සියලු දෙනාම ඒ සතුට විඳ දරා ගන්නා. මම ඉදිරියටත් මගේ උපරිම සේවාව ලබා දීමට බලාපොරොත්තු වෙනවා. මෙම ආයතනයේ වැඩ කරපු කාලය තමයි මගේ ජීවිතයේ වැදගත්ම කාලය හැටියට මම සලකන්නේ. මම ප්‍රාර්ථනා කරනවා අමානා බැංකුවට දිගු කාලයක් පාරිභෝගිකයන්ට ඉතා හොඳ සේවාවක් ලබා දීමට හැකි වේවා කියා. ඒ වගේම සේවක මණ්ඩලය අපි ඒ සඳහා අප කැප වී කටයුතු කරන්නට සූදානම් කියා.”

OrphanCare



Progress Update

Amāna Bank's fully sponsored CSR engagement programme OrphanCare continued to make strong progress despite continuity of the Covid-19 pandemic.

OrphanCare was launched in 2019 and was established as an independent trust, where OrphanCare aims to address a very important yet mostly unattended need of orphan children; which is securing the fate of orphans once they reach the age of 18 and are compelled to leave institutional care. The OrphanCare initiative addresses Goal Number 10 of the UN Sustainable Development Goals (SDG) – "Reduced Inequalities", contributing towards enabling growth and enriching the lives of orphaned young adults, saving them from a second abandonment.

As a foundational principle that defines the essence and identity of the trust, OrphanCare ensures every rupee donated to the trust is allocated for

orphan accounts while Amāna Bank continues to bear all operating and administrative costs of the trust.

While certain fund collecting and orphan enrollment activities were disrupted owing to the pandemic situation, the Bank nevertheless ensured its beneficiaries reaped rewards by exercising 4 rounds of fund disbursements during the year. Since launch the Bank has made 9 rounds of fund disbursements totalling over LKR 27 million. As of 31 December 2021, the Bank had enrolled over 3,000 orphans to the programme represented from 85 Child Care homes across the country.

Fund Mobilisation

Despite encountering challenges posed by the Covid-19 pandemic the OrphanCare fund continued to record significant gains in its fund mobilization efforts with contributions flowing in from individual and institutional donors locally and overseas.

- ◆ OrphanCare Till placements served as a good tool of building publicity and engagement apart from the fund mobilisation benefits. In addition to till placements at Amāna Bank Branches, till placements at external merchant locations were also expanded across the country by using the branch network to good effect.
- ◆ In addition to the project's Pay&Go partnership which is a convenient channel of donations powered by over 850 Pay&Go kiosks placed island-wide, the bank also initiated digital payments for donations by activating the QR code donation option, giving donors the option of scanning the QR labels and making payments using their payment apps on the mobile phone.
- ◆ The team continued to pursue standing orders from which a steady inflow of funds were ensured to the trust.
- ◆ The donor engagement process, where the teams issues a periodic update of new and repeat initiatives undertaken as well as the achievements was continued. This aided the fund mobilization with repeat donations recorded and new leads established through donor referrals.

Caring For 18+ Orphans

The OrphanCare team continued with its focus on profiling Orphans registered with OrphanCare who reached the age of 18. This is an on-going process to facilitate skills development and employability and constitutes part of orphan engagement to guide them with sound financial advice and qualitative support. Profiling is done capturing their



Orphan Care & Havelock Dental Center join hands to promote Dental Care among orphan children.



Promoting OrphanCare to former cricketer Roshan Mahanama



Addressing the members of Asian Media and Cultural Association



Donation of First Aid box to an Orphanage

educational levels, language skills and career aspirations based on which the OrphanCare team facilitated their needs by matching their requirements with forthcoming donors of both individual and institutional capacity. This will continue to be a strong area of focus and engagement of the OrphanCare initiative. Over 35 students have so far benefitted through our qualitative support initiatives.

Qualitative Contributions and Partnerships

OrphanCare engaged with multiple stakeholders to provide training, guidance and encouragement for orphans along with other partnerships to further this noble cause. This was a continuation from the previous year with several new partnerships having been established.

- ❖ **SDG Children's Parliament of Sri Lanka** – Following the success achieved in 2020 where two children representing two orphanages registered with OrphanCare were identified during a 'talent search' programme organised by OrphanCare at the request of SUNFO Global Federation (Sri Lanka -United Nations Friendship Organisation) as representatives of the children's parliament. This year too, children were profiled and names nominated for selection to the 2021 children's parliament.
- ❖ **Merci Lanka Foundation** – Funded courses in Web Designing / Digital Marketing / Electrical & Electronics
- ❖ **Sumithrayo** – collaboration for emotional support

- ❖ Facilitated the donation of first aid kits to orphanages in association with Flash Health
- ❖ Facilitated the donation of laptops for orphan students to pursue their studies which were confined to online learning
- ❖ Collaborated with Interact Club of Ananda College and Pioneer Foundation to assist orphans to obtain their National Identity Cards.
- ❖ Interact Club of Wesley College – Orphans Welfare project
- ❖ **Asian Media and Cultural Association (AMCA)** - AMCA is a proactive umbrella organisation comprising leading Media organisations from the state and private sector. Having learnt about the OrphanCare initiative, AMCA engaged with the team and established a relationship to drive forward OrphanCare publicity related activities in print and electronic media.
- ❖ Havelock Dental Center for exclusive Dental Care
- ❖ Many other partnerships relating to education and language as well as community integration are currently being pursued.

Publicity Engagement and Recognitions

OrphanCare continued to be highly revered amongst donors, well-wishers and the general public for which the initiative received both local and international recognitions including Amāna Bank winning the award for Best CSR Bank in Sri Lanka by Global Banking & Finance Review Awards. The team also engaged the general public through its OrphanCare Facebook page and the launch of an exclusive OrphanCare website is being currently pursued, in partnership with eBeyonds (Pvt) Ltd.

OrphanCare

Trustees and Governance

The OrphanCare Trust is administered by a team of independent trustees who have a strong track record of passionate social service and have instituted a robust governance framework to maintain the highest standard of integrity and to ensure long-term sustainability of the trust. Further the trust has engaged the services of M/s Ernst & Young, whom having learnt our noble cause, provided auditing services on a gratis basis, to audit the OrphanCare trust activities and accounts.

Board of Trustees



- ◆ Ruzly Hussain – Chairman of the Trust (founder of Rotaract Movement in Sri Lanka)
- ◆ Jazri Magdon Ismail – Treasurer of the Trust (Past President AAT)
- ◆ Osman Kassim (Founder Chairman Amāna Bank)
- ◆ Harsha Amarasekera (President's Counsel)
- ◆ K R Ravindran (Chairman, Board of Trustees Rotary Foundation USA and former President Rotary International)
- ◆ Sharad Amalean (Founder MAS Holdings)
- ◆ Tyeab Akbarally (Senior Director Akbar Brothers)
- ◆ Tilak De Zoysa (Chairman – Helpage)
- ◆ Mohamed Azmeer (CEO Amāna Bank)
- ◆ Miss Primrose Shireen Watson (Secretary to the Trust)

The OrphanCare Trust also had the valued services of late Rohan Tudawe (Chairman Tudawe Brothers) who was serving as the Honorary Treasurer since inception of the Trust.

OrphanCare Management Team

- ◆ Azad Zaheed (Head of OrphanCare)
- ◆ Marshad Barry (Manager – OrphanCare)
- ◆ Rishan Tuan (Junior Executive)

List of Engaged Orphanages

Name
A C C C Child Development Centre
Al Akram Balika & Boys Child Development Centre
Al Noor Orphanage
Al-Hassanath Orphanage
Amman Mahalir Illam
Anbu Illam
Annai Saratha Girls Home
Aroma Boys/Girls Children's Home
Ash-Shifaa Children's Home
Bhakthiwedantha Child Development Centre
Bosko Sewana
Boys Industrial Home
Buddha Boys/Girls Child Development Centre
Buddhist Girls Home - Matara
Canaan Harvest Children's Home
Ceylon More Ladies Union Home For Girls
CIS Infants Home & Orphanage
Dharul Hasanath Children's Home
Disala Child Development Center
Don Bosko Child Development Centre
Fathima Welfare Centre
Girls Child Development Centre Of Child Protection Association
Give Light Home
Gnanodaya Padanama
Hindu Anbaham Child Development Centre
Holy Cross Children's Home
Islamia Home For The Needy & Orphan Children
Isura Lama Sewana Child Development Centre
Jeevani Child Development Centre

Name
Karunalayam Child Development Centre
Ladani Children's Home
Loris Girls Home
Lourdes Girls Home
Makola Muslim Orphanage
Manikavasager Boys' Home
Maw Sewana
Mercy Lanka
Methodistha Children's Home
Methsarana Rehabilitation Child Development Center
Noguchi Child Development Centre
Pearls Of Paradise
Peter Weerasekara Boys & Girls Development Centre
Rawlathul Athfal Child Development Centre
Ruhunu Children's Home
Salvation Army-Girls Child Development Centre
Samadi Child Development Centre
Sebamalai Mariyannai
Serving Centre For Differently Abled
Shakti Girls Home
Shalom Children's Home
Share & Care Community Home
Sharing Orphanage
Shepherd's Heart
Shri Sanghamitta Balika Development Centre
Sivan Arul Illam Trust
Sivananda Thapovanam
Sneha Development Centre
SOS Children's Village Jaffna
SOS Children's Village Monaragala
SOS Children's Village Nuwara Eliya
SOS Children's Village Piliyandala

Name
SOS Children's Village Anuradhpura
SOS Children's Village Galle
Sri Agilandeshwary Arulahm
Sri Jinananda Development Centre
Sri Lankadhara Child Development Centre
Sri Sangabo Children's Home
Sri Sri Ravishankar Children's Home
Sri Yasodara Devi Aramaya & Girls Home
St. Joseph Girls Home
St.Peter's Children's Home

Name
Sunfor Child Development Centre
Suwami Vipulananda Children Development Centre
The Guardian Child Development Centre
Tudawe Children's Home
Udhaya Children's Home
Ursula Children's Home
Vajira Sri Boys Child Development Centre
Wijewardhana Balika Child Development Centre
Yoga Swamy Saiva Girls Home

We Invite Your Concern, Collaboration and Contributions

If you are moved and driven by our cause, please join us in making a difference in the lives of young adults who have, for too long, been forgotten and neglected. You may make your contributions by visiting any of our branches or transferring your donation to the Amāna Bank OrphanCare Trust Account.

How to Donate

Account Deposit / Transfer

Account Name:	Amāna Bank OrphanCare Trust
Account Number:	037-0345503-003
Account Bank & Branch:	Amāna Bank – Main Branch
SWIFT Code:	AMNALKLX

Donate through any Pay&Go Kiosks

Contact Details

Azad Zaheed

Head of OrphanCare

Marshad Barry

Manager - OrphanCare

Email : orphancare@amana.lk

Telephone: +94 11 775 6 775

Corporate Social Responsibility

In another challenging year which was significantly impacted from the Covid-19 pandemic, Amāna Bank had initiated several projects and continued to extensively support effective and sustainable Corporate Social Responsibility initiatives.

With the pandemic affecting and putting a significant strain on the healthcare system, the overall emphasis of the Bank's CSR approach in 2021 was focused towards initiatives that supported the battle against Covid-19. The Bank has carried out various CSR activities and extended its support to government hospitals and healthcare workers to combat the Covid-19 pandemic.

OrphanCare

Despite the challenges of the ongoing Covid-19 pandemic, Amāna Bank as the founder and lead sponsor of the OrphanCare Trust, extended its fullest support towards the progression and growth of the trust.

With the support of its donors and partners, the OrphanCare Trust continued to benefit its recipients both in terms of financial support through account disbursements and qualitative support for 18+ orphans. For more details of the progress of OrphanCare please refer pages 74 to 77 of this report.

Healthcare

- ◆ The Bank donated a 10 KW Solar Electricity Panel for the Eastern Cancer Care Hospice (EASCCA), an establishment that provides free of charge palliative care for terminally ill cancer patients and temporary accommodation for patients who are undergoing long term treatment at Batticaloa Teaching Hospital.
- ◆ During the Covid-19 second wave, where many hospitals faced a shortage of medical equipment to tackle the crisis of overwhelming numbers of Covid-19 infected patients, the Bank donated a non-invasive ventilator to the Base Hospital in Puttalam in supporting the efforts to fight the Covid-19 pandemic. The Bank further facilitated customer donations of two ventilators to Puttalam and Warkapola Base Hospitals.
- ◆ Amāna Bank continued its benevolent work towards the Colombo South Teaching Hospital, where the Bank made a significant contribution to the hospital's Covid-Casualty Operating Theatre project, which is aimed at catering to patients in the post-Covid period.
- ◆ Joining hands with Moore Aiyar & Friends CSR Project, Amāna Bank contributed towards purchasing several medical equipment that was required to treat Covid-19 patients.
- ◆ The Bank donated furniture to the Intermediate Care Center of the Beruwala Base Hospital.

- ◆ In supporting the government's vaccination program, the Bank made contributions to the vaccination programs held at MOH Office Kinniya and at the Ashraff Memorial Hospital Kalmunai.
- ◆ The Bank came forward to donate water dispensers to the Akkaraipattu COVID treatment Centre and to the MOH Office Sainthamarudu while also donating equipment to the MOH Office Udapalatha, Gampola.
- ◆ The Bank made a generous donation to the Kinniya Base hospital.

General Welfare and Other

- ◆ During 2021, the Bank donated furniture to the Beruwala Police Station.
- ◆ The Bank also made a donation to the Veherala Rajamaha Viharaya in Puttalam.
- ◆ The Bank came forward to donate books to the Sambuddhi Library in Gampaha.



10 KW Solar Electricity Panel for the Eastern Cancer Care Hospice



Contribution towards Colombo South Teaching Hospital Covid-19 Casualty Operating Theatre project



Donation of Water Dispenser to the MOH Office Sainthamarudu



Handing over the Ventilator to the Puttalam Base Hospital



Donation of Water Dispenser to the Akkaraipattu Covid-19 treatment centre



Donation to Puttalam Veheral Rajamaha Viharaya



Donation of an Office PC to the MOH Office Udapalatha, Gampola



Supporting the government's vaccination program



Distribution of plants to the Kinniya Base Hospital



Donation of a Ventilator to a Government Base Hospital



Handing furniture to the Intermediate Care Center of the Beruwala Base Hospital

Contribution to Sustainable Development Goals



Amāna Bank's unique banking model enshrines sustainability in its undertaking of financing and banking activities with the rationale that funds are raised and invested in asset-based transactions through equitable contractual arrangements that promote partnership and the sharing of profit and loss for the benefit of the wider economy, for which this industry is branded as sustainable financing. Stemming from this business model and its strategic plan, the Bank is engaged and aligned with the larger community towards achieving sustainability goals in line with the Bank's mission of enabling growth and enriching lives. The Bank's commitment to sustainability is also fostered at the Board level.

As part of its Sustainable Banking strategy, for which the Bank has formed a separate framework, the Bank's sustainable initiatives are aligned to its core business specially SMEs (facilitating green and social financing), infrastructure & operations and CSR initiatives.

It is based on the above that Amāna Bank is aligned to select United Nations Sustainable Development Goals as well as to CBSL's Sustainable Banking Initiative as a principal signatory thereby promoting ESG as an integral part of the Bank operations. The Bank also recently signed-up as participatory member of United Nations Global Compact, a strategic initiative that supports companies that are committed to sustainability and responsible business practices in the areas of human rights, labour, environment, and anti-corruption and take actions that advance societal goals.

Amāna Bank is also a patron member of Biodiversity Sri Lanka (BSL), a national platform entirely owned and driven by the private sector, established to promote strong engagement of the corporate sector in biodiversity and environmental conservation in Sri Lanka.

Towards seamless bank wide implementation of its sustainability drive in line with the above, the Bank established a cross functional team of various disciplines, who are being facilitated for capacity building through various training and certification programs including the Sustainable Banking Initiatives e-certification offered by Sri Lanka Banks' Association.

Goal 1. No Poverty



Our award winning Gold Certificate Financing solutions continued to be of immense assistance to the underserved segments of the country, providing financial inclusion especially for those who were financially challenged by the pandemic. Over the years the acceptance for this solution has increased as it provides the option of convenient credit at grass root levels to help fund personal as well as other micro industries. Further, through the facilitation of an environment of privacy and security for lady customers through exclusive ladies units, this solution has also helped empower women, who were hitherto not provided the service they deserved. In 2021, the Bank's Gold Certificate Financing portfolio increased by 37% providing assistance close to 80,000 customers.

Goal No. 4 Quality Education



While continuing to contribute towards many community reach programmes which focused on education through its CSR and Charity Fund activities, the Bank's outlook on quality education also extends towards supporting improvement in education with specific focus on financial literacy through digital means leveraging on the Bank's Knowledge Marketing drive. Due to the misconceptions held, and the unfamiliarity of our unique banking methodology, Amāna Bank has taken the onus upon itself to help various stakeholders understand and discover the true essence of Islamic Banking and Finance. Having reaped success from the activities done thus far, Amāna Bank is confident that with more and more customers having a proper understanding of the banking model will propel more people to adapt it.

Goal No. 5 Gender Equality



Providing greater comfort and privacy, understanding the different needs of its female customers, Amāna Bank is the only Bank in Sri Lanka to establish a dedicated banking unit catering to female customers. The Bank also offers exclusive Ladies Savings Accounts, Ladies Current Accounts and Ladies Debit Card. Towards empowering home based businesses, which mushroomed during the pandemic, the Bank in 2021 launched the Women Empowerment Financing solution.

Goal No. 7 Affordable and Clean Energy



The Bank has been an avid promoter of the use of green energy by encouraging and financing customers to invest in renewable energy projects thereby reducing dependency on fossil fuels. Over the years, the Bank increased its financing on large-scale renewable energy projects which included Mini Hydro Power Plants and Solar Farms, through which over 33,000 MWh of power was generated to the National Grid in 2021 reducing 17,000 tons of CO₂ emission into the atmosphere. At an individual level, the Bank has also promoted households to switch to green energy by providing affordable financing solutions. Further, testifying the Bank's commitment to go green, the electricity to Amāna Bank's Corporate Office is also generated through solar energy for which 41,164 KWh of energy was generated during the year. As part of its community care initiative, the Bank fully funded the installation of 10 KW Solar Panel System to the Eastern Cancer Care Hospice (EASCCA), helping the hospice to go green and reduce its carbon footprint.

Goal No. 9 Industry, Innovation and Infrastructure



With SMEs being one of the worst hit sectors as a result of the pandemic, providing financial support and relief to them was critical for their survival through the crisis. Sensing the tribulations to come to the Bank's key segment, the Bank took initiatives to promptly allow moratoria to its customers affected by the pandemic and initiated the provision of concessionary finance beyond what was articulated by the regulator thereby ensuring the maintenance of the livelihood of our customers. This includes not only SMEs with larger facilities but equal importance was given to smaller entities as well. The Bank also continued its contribution towards key areas of economic growth such as maritime and infrastructure development.

Goal No. 10 Reduced Inequalities



By providing orphan children not only a chance at life, but a choice in their future, our fully sponsored OrphanCare initiative continued to provide maturing orphans an equal footing as they enter adult life. By December 2021, OrphanCare had enrolled over 3000 orphans from across 85 orphanages and carried out 9 rounds of account disbursements. OrphanCare has also undertaken qualitative support initiatives to those orphans reaching 18 years.

Contribution to Sustainable Development Goals

Goal No. 12 Responsible Consumption and Production



The Bank encouraged businesses as well as its operations to adopt responsible consumption and production best practices. While providing competitive financing for customers that promote responsible consumption and production, the Bank also took a step in this direction by facilitating and encouraging customers to switch from traditional banking methods to modern banking ways which reduces wastage of time, money and resources by promoting online account opening, SMS alerts, e-statements, voucher-less deposits, PIN via SMS, as well as a host of services accessible through the 'Message to Bank' option available on the internet banking platform. The Bank has also encouraged its employees to foster a culture of responsible consumptions within their departments which has resulted in many adapting 'green' measures and initiatives towards reducing, reusing and recycling.

Goal No. 14 Life Below Water



Marine biodiversity is critical to the health of people and our planet. Marine protected areas need to be effectively managed and well-resourced while reducing overfishing, marine pollution and ocean acidification. To assist on this milestone, the Bank enabled Sri Lanka's first ever revolutionary sustainable aquaculture fish farm thereby assisting to manage and protect marine and coastal ecosystems. During the year 431 Mt of fish were harvested through this sustainable aquaculture fish farm. The Bank also supports local industries that re-use day to day plastic waste as their key raw material, thereby reducing the plastic waste entering our oceans. By financing the production of 360 Mt of plastic items using re-used plastic as raw material, the Bank facilitated to reduce an equal amount of plastic waste entering the environment.

10 years
of people friendly banking

Name

Arkam Azeez

Designation

Senior Manager – Internal Audit

No. of years at Amāna Bank

10+ Years

Highlights

Played a key role in establishing an Audit Software in the Bank

Playing a pivotal role in the success of Mid-Com as the Secretary to the Committee

“I am happy to say that Amāna Bank has empowered me to perform consistently and to take up new challenges by providing exposures to diverse areas.

The Bank’s performance based culture has provided me the confidence to perform at my best, thereby enabling me to grow from a post of an Executive to a Senior Manager. My journey with Amāna Bank has been truly remarkable, where other than my core function, I have being exposed to other functionalities playing an important role in the Bank’s Middle Management Committee for which I am very much grateful to the Bank for the opportunities that have been provided to me.”

10 years
of people friendly banking

Name

Kasun Baduraliya

Designation

Asst. Manager – Main Branch

No. of years at Amāna Bank

9 years

Highlights

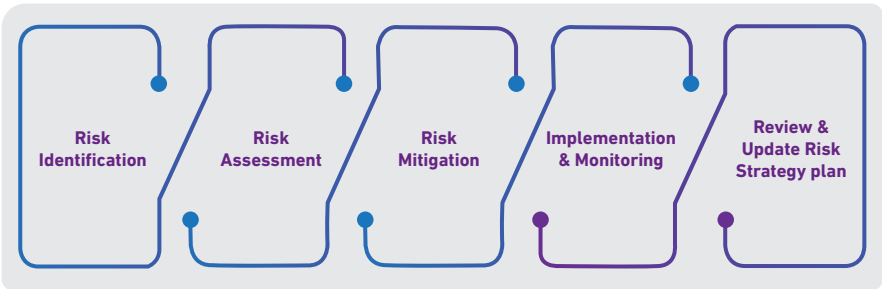
A key UAT team member in implementing IT system related projects

“I joined the bank in 2012 and I am very grateful to be a part of the Bank’s 10th year anniversary. I was recruited as a Trainee Banking Assistant at the Main Branch and was able to elevate myself to the position of Assistant Manager in the same branch during the last decade.

In the past years, I have had the utmost support of my management, superiors and colleagues to mould the banker that I have become today. I am grateful for the experience I have gained as a banker and appreciate every day I get to spend with the Amāna family.”

Risk Management

Risk management becomes an essential part of our wider business strategy and effective risk management is fundamental to the success of the Bank.



The Bank's Risk Management Division (RMD) is assigned with the responsibility to design and operate integrated risk management process and is independent of the business lines. Risk management is an integral part of the Bank's strategy and business planning processes.

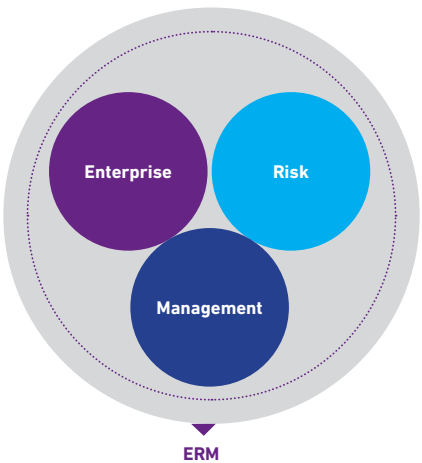
The primary goals of risk management are to ensure that the outcomes of risk-taking activities are consistent with the Bank's strategies and risk appetite, and that there is an appropriate balance between risk and reward in order to maximise shareholder returns.

The Bank's mission with respect to risk management is to enhance its risk management capabilities, culture and practices so as to be in line with internationally accepted standards and best practices. This mission is to support the Bank's overall vision which is to be an admired leader by providing a unique banking experience, through equitable financial solutions.

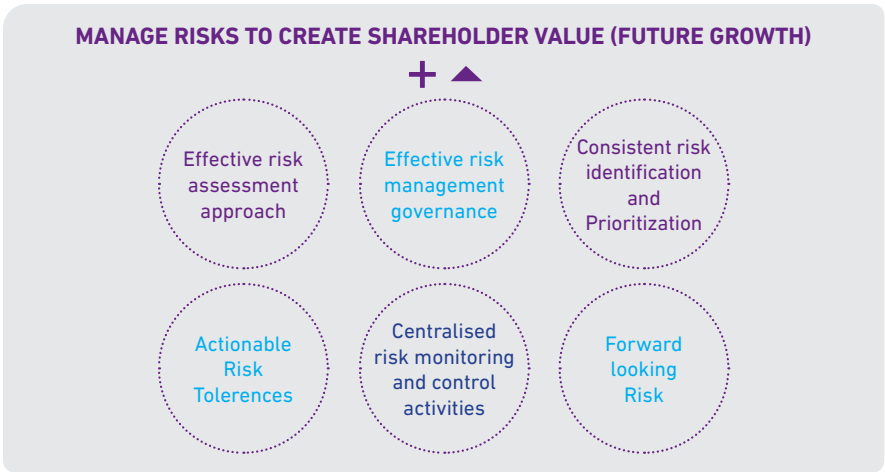
The strategic focus of Amāna Bank's risk management is to create a good risk based culture that enables taking an integrative approach to Enterprise Risk Management within the entire Bank which attempts to coordinate risk management duties to maximise efficiency and add value to the overall operations whilst working towards meeting corporate objectives and investor expectations.

Enterprise Risk Management

Enterprise Risk Management attempts to coordinate risk management duties to maximize efficiency and value additions while reducing hedging and other transaction costs. It is an integral approach to evaluate exposure at the entity level while recognising independence among the entity's units.

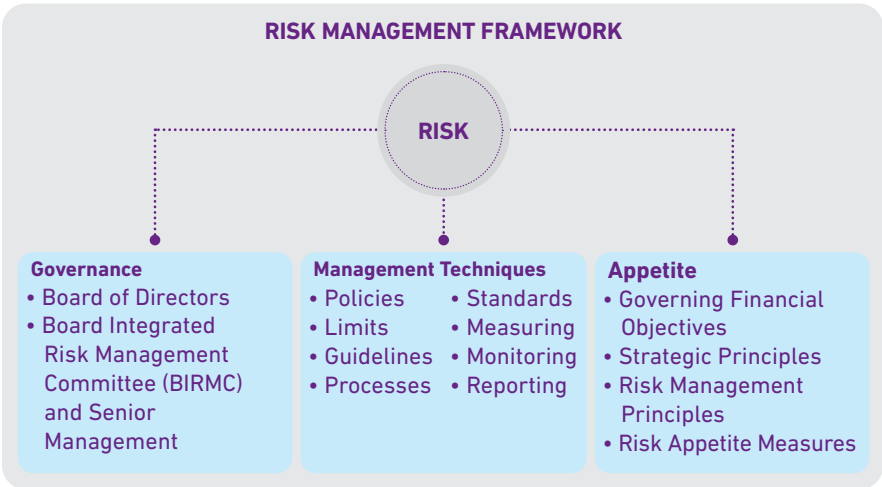


The Bank will take further steps to strengthen the robust Risk Management Framework towards reaching *Enterprise Risk Management*.



Risk Management

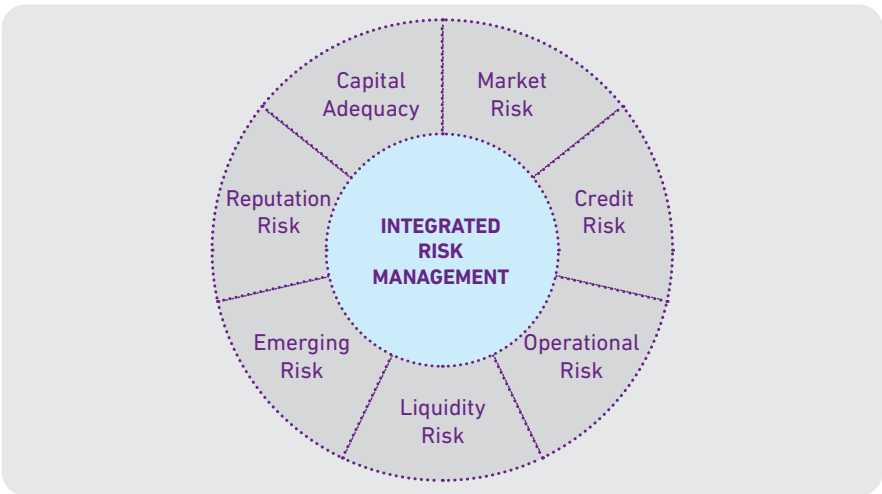
The Bank's risk management framework is applied on an enterprise-wide basis and consists of three key elements as depicted below:



Integrated Risk Management

Integrated Risk Management is a set of practices and processes supported by a risk-awareness culture and enabling technologies that improves decision-making and performance through an integrated view of risk.

The major categories of risks are credit, market, liquidity and operational risks. Banks are also exposed to other risks including but not limited to reputational, legal, regulatory, etc. Success in Risk Management depends on effective management of key risk areas through an integrated approach, ensuring Enterprise-wide Risk Management, guided by the Board Integrated Risk Management Committee (BIRMC).



The Bank is developing advanced risk measurement and management techniques to ensure robust and sustained growth in the organization. RMD will continue to follow Basel accords while focused on associated IT implementation initiatives which will further strengthen the monitoring of various risks as identified above.

Amāna Bank has adopted an Integrated Risk Management (IRM) framework with a set of policies approved by its Board of Directors (BOD) along with supporting procedures. The purpose of these policies and procedures is to manage and optimise the risk-reward trade off. Through the IRM framework, the BOD assesses the risk profile and has an oversight over the implementation of the IRM framework of the Bank and its management on a regular basis, at minimum on a quarterly basis. Integrated Risk Management is a set of practices and processes supported by a risk-aware culture and enabling technologies that improves decision making and performance through an integrated view of how well the Bank manages its unique set of risks.

The IRM framework covers identification of potential risks and sources of such risks, the mechanism of managing such information and reporting on how to monitor such risks. It also defines relevant officers and committees responsible for risk control and mitigation. The risk management policies and procedures, among other matters, address:

- i. a system to aggregate overall risk exposures for monitoring and control
- ii. measures for risk diversification with limits for various exposures based on risk appetite
- iii. risk measurement approaches such as use of historical databases, stress testing and scenario analyses
- iv. capital maintenance considering expected and unexpected losses
- v. capital allocation to businesses and products in order to optimise risk adjusted returns and economic value additions
- vi. disaster recovery and contingency plans.

Risk Appetite

An effective risk governance framework includes a strong risk culture, a well-developed risk appetite articulated through the Risk Appetite Statement, and well defined responsibilities for risk management in particular and control functions in general.

The Bank's risk appetite reflects its tolerance to accept risk. The subsequent application of the risk appetite into defined risk threshold sets boundaries to its business strategy and to its ability to exploit business opportunities.

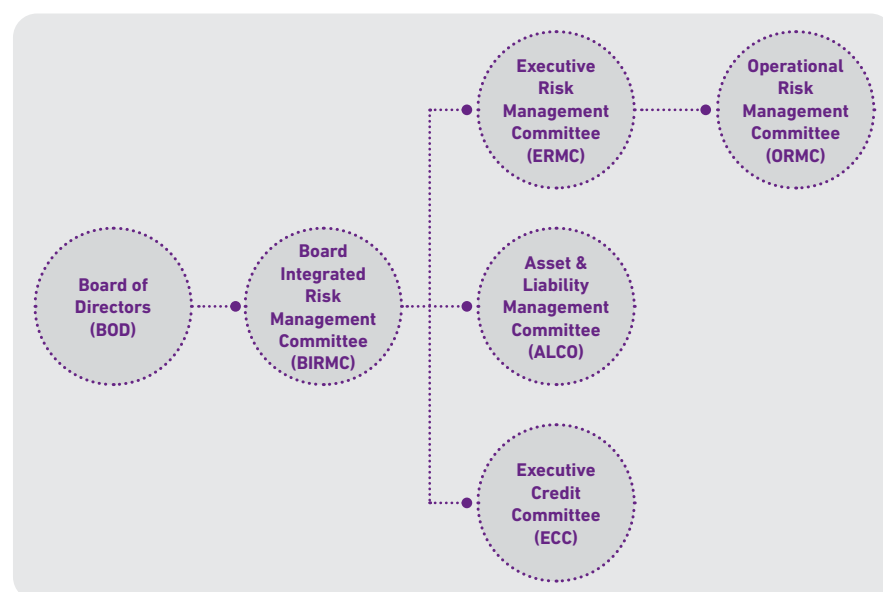
In order to effectively apply risk appetite, the Bank has defined quantitative indicators on all risk categories (for example: capital adequacy level, risk limits, earnings growth, foreign exchange net position, single borrower limits, liquidity gap, etc.) and embedded qualitative aspects in its policies and procedures (such as assessment criteria). The Bank's risk policy and risk limits are designed to be consistent with the defined risk appetite.

Risk Management Structure

RMD is mandated to design and operate the Bank's integrated risk management process and is independent of business lines. The Bank has developed a risk

management framework adhering to the Basel Accords, which provides guidance to the overall risk management goals and strategy. This risk management framework provides the basis for the on-going development and enhancement of the Bank's integrated risk management infrastructure and capabilities. The framework provides a structured approach to the management, measurement and control of risk i.e. a way that people and processes ensure that business activities provide an appropriate balance of return for the risks undertaken. The primary goals of risk management are to ensure that the outcomes of risk taking activities are consistent with the Bank's strategies and risk appetite. The Bank's enterprise-wide risk management framework provides the foundation for achieving these goals.

Integrated Risk Management Framework document was revised by RMD, reviewed by the BIRMC and approved by the BOD during the year.



Risk Management

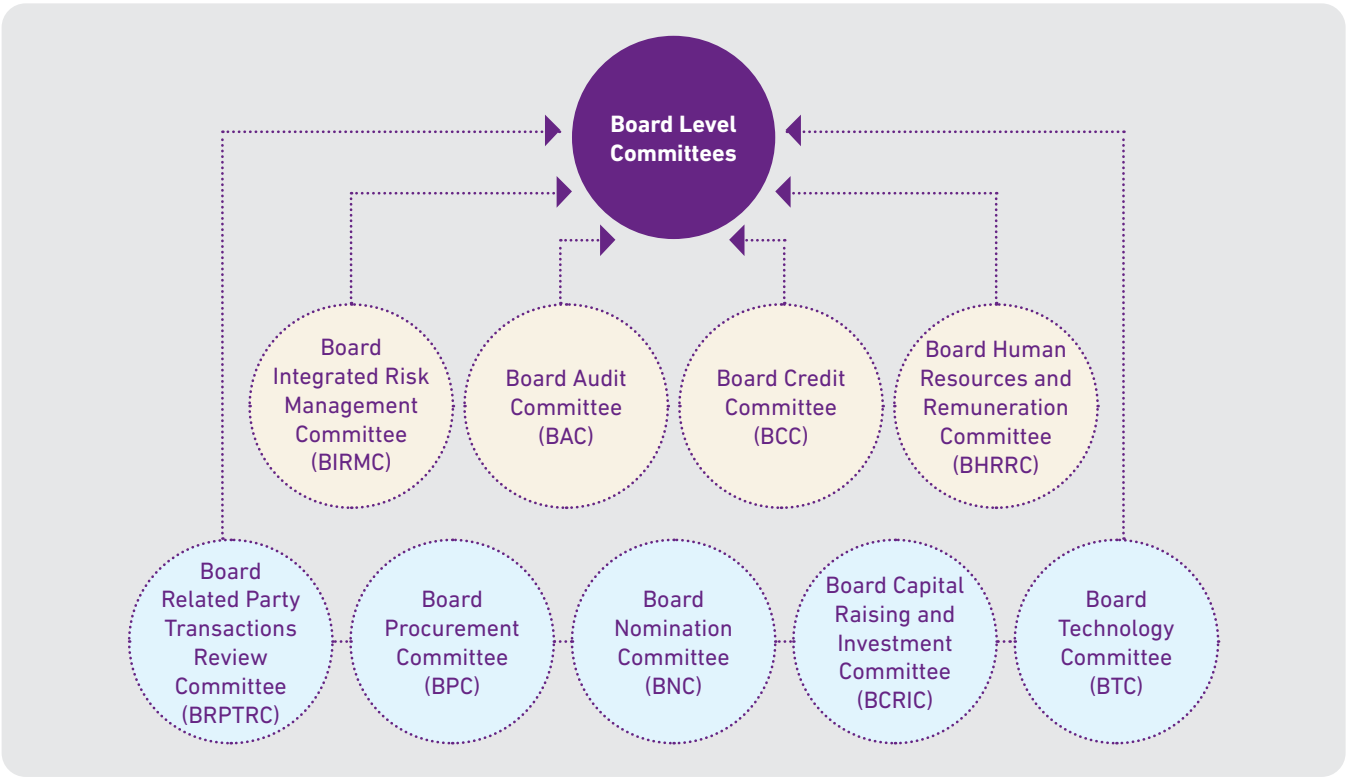
The Bank has in place a strong risk management framework which is based on need, to assess the Bank's exposure to risks while minimising adverse impacts of credit risk, market risk, liquidity risk and operational risk on resources, earnings and cash flows through a robust framework of integrated risk management. The Bank has ensured that its portfolios/ exposures remain aligned to the defined risk appetite and strategy

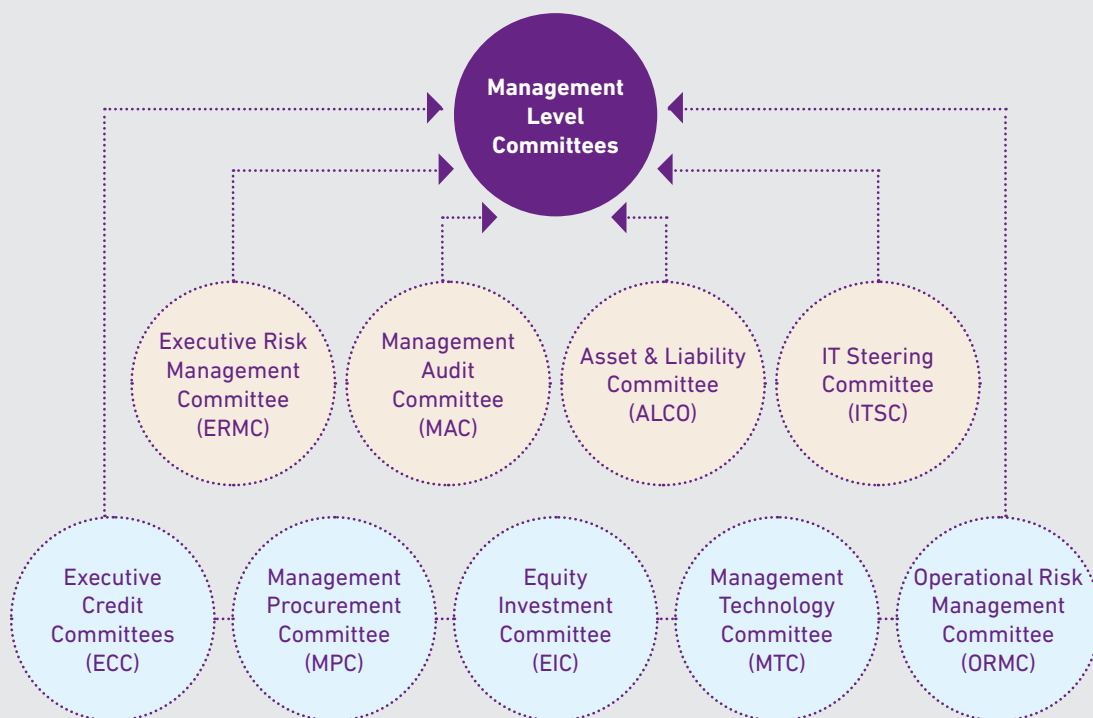
whilst proactively managing risks supported by strong open-minded risk identification.

The Board is required to define the risk appetite for the Bank and is responsible for the activities and overall performance of the Bank. This risk appetite supports effective decision-making, capital allocation and is central to embedding risk management in business decisions and risk reporting across the Bank.

A strong and pervasive integrated risk management culture provides a sound foundation of risk management framework consistent with the Bank's objectives, risk tolerance, control standards and management philosophy.

The risk governance structure at Amāna Bank stems from the Board of Directors and is governed by the following Board and Management committees as the Integrated Risk Management is moving towards the Enterprise Risk management.





The Board has defined the risk appetite for the Bank which is then rolled out to each business line and subsequently to the business divisions. The Board is assisted by a number of Board level and Management level committees.

Typical Roles/Responsibilities In Setting Risk Appetite

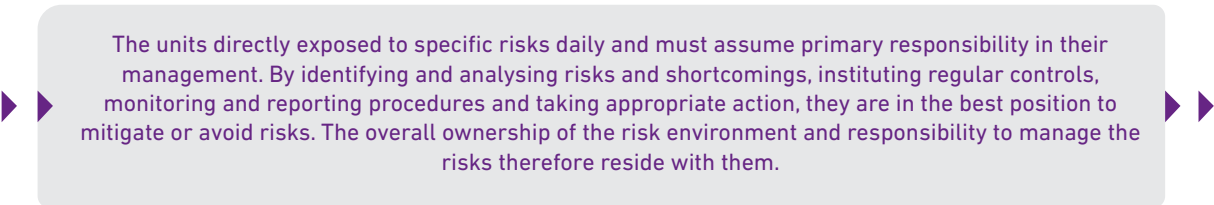
Stakeholders	Roles/Responsibilities
Board of Directors	- Review and approve risk appetite - Review strategic objectives and positioning
BIRMC	- Understand the risk profile of the Bank and the Bank's performance against same - Set basic goals for the Bank's risk appetite and strategy, such as ratings or earnings-volatility targets with senior management and issue guidelines for senior management in implementing risk management policies and procedures throughout the Bank - Ensure that the risk function is adequately staffed with professionals who are sufficiently competent in managing and monitoring all risks within the Bank and that they can avail of appropriate systems and tools

Risk Management

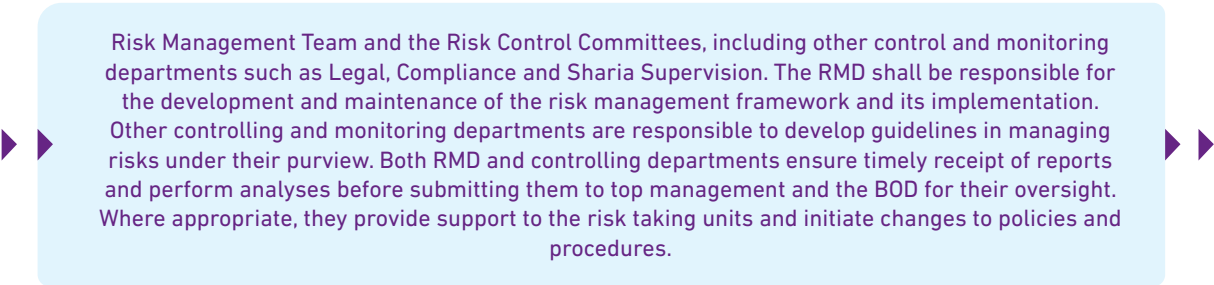
Stakeholders	Roles/Responsibilities
CEO, CRO and Management Committees	◆ Develop Business Strategy ◆ Identify availability of capital ◆ Coordinate process of aligning risk appetite and risk strategy with business strategy and capital capacity ◆ Oversee monitoring and reporting around the risk appetite process ◆ Align business lines and goals within the risk parameters ◆ Communicate risk appetite ◆ Promote risk culture ◆ Communicate and integrate objectives throughout the business processes ◆ Embed risk appetite related goals in performance objectives
Heads of Business/Support Units	◆ Propose key initiatives in light of economic, risk and competitive outlook ◆ Align risk policies, processes and limits used in managing day-to-day business operations with the metrics contained in the risk appetite statement

With the intention of being consistent with the risk-ownership concept under the Basel III Accord, the Bank's strategy to manage various risks is structured into '3 Lines of Defence' as summarised below:

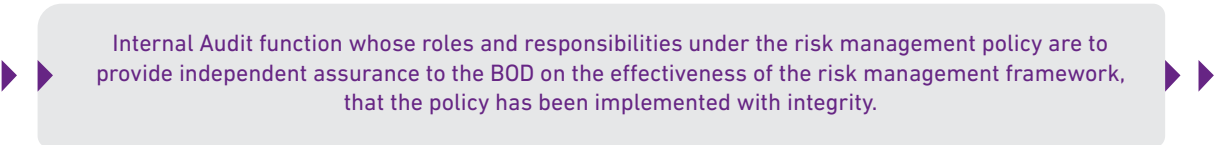
1st Line of Defence: Risk Taking Units



2nd Line of Defence: Risk Control Units



3rd Line of Defence: Independent Assurance



The Bank has been continuously leveraging the risk management system capabilities to derive the following benefits:

- i. increase efficiency and reduce operating cost for risk management through optimised utilisation of resources and skills (reduction in manual operations)
- ii. reduce potential losses with enhanced risk management and increase profitability through better control over risk appetite.
- iii. adhere to regulations that may come into effect in the future (i.e. by Central Bank of Sri Lanka (CBSL), Securities and Exchange Commission (SEC), etc.)
- iv. enhance strategic decision-making with foresight into risks.
- v. enhance product and services strategy by introducing innovative and profitable offerings.
- vi. timely detection of risks to reduce losses due to risk events.

During the year, the country was continuously impacted by the Covid-19 pandemic and experienced a severe setback in social and economic environments which entailed prudent risk management measures to be adopted in line with market conditions enabling the Bank to successfully overcome the challenges posed. In doing so, the Bank was further able to strengthen the risk based culture by applying the robust risk management framework throughout all branches and divisions. During these uncertain times, the Bank's RMD strategically managed the risks by working closely with the business divisions at every stage of the processes, and with the

use of appropriate credit risk and operational risk management tools, the Bank successfully managed the Non-Performing Advances (NPA) ratio at a level below the industry average and worked towards strengthening the Risk Control and Self-Assessment (RCSA) process.

Risk Management continued to enhance its risk management of sustainability-related risks by strengthening internal governance frameworks and risk assessments.

Other Areas of Focus in 2021

Data security

The post pandemic transition could be a path for unauthorized access into the Bank's IT systems due to increase in usage of digital platforms as well as work from home options made available for staff. From the onset of Covid-19, indications of internal threats also increased. As the pandemic shifts into a new phase, it was important to recognize that we have only crossed the threshold from one period of intensity and moved to another which requires additional emphasis to strengthen data security. Considering the importance of data confidentiality, the process of identification and classification of data has been implemented and linking such data classification categories to soft data is now being carried out by individual divisions.

Cyber Risk

The restrictions imposed by the government in response to the Covid-19 pandemic have encouraged employees to work from home. As a result, technology has become even more important. It was assessed that the Bank needed more

coverage from the cyber safe remote working environment and Amāna Bank has already adopted new measures to counter threats from cyber risk which needs additional focus as the Bank forges ahead with its digital strategy.

Environmental, Social and Governance (ESG)

The focus will be on assessments and impact from Environmental, Social and Governance (ESG) risks on existing financial risks and further mature sustainability risk management, in the current processes where this is deemed significant. Environmental Risk and Climate Risk were looked at for scenario analysis.

Digital Transformation

Since the pandemic, customers have moved towards online channels for banking. There has been a rapid shift towards interaction with customers through digital means. Risk aspects such as cyber risk, data breach and third party risk needs to be assessed when offering product/services via digital channels.

Assessment of Capital Adequacy

In order to provide assurance that the Bank has sufficient capital to support all its business and risk taking activities, RMD carried out the Internal Capital Adequacy Assessment Process (ICAAP) in accordance with the Basel III guidelines, as required by CBSL.

ICAAP requires banks to identify and assess risks, maintain sufficient capital to face these risks and apply appropriate risk-management techniques to ensure adequate capitalisation on an on-going basis.

Risk Management

ICAAP guides the minimum internal capital requirement for the Bank's current and future business strategies and financial plans for the next three years via a comprehensive risk assessment process on its portfolio of risk exposures, its risk management practices towards material risks and potential capital planning buffer required in the event of stress.

CBSL directed all licensed commercial banks in Sri Lanka to formulate their ICAAP document and submit the same for regulatory evaluation within five months of the financial year end. The Bank has, in compliance with the CBSL guidelines, formulated the ICAAP document and met the said requirement.

Capital Requirement under Basel III
Minimum Requirement covered under Pillar 1 of Basel III regulations has been complied with, which required the capital buffers to be implemented. Amāna Bank is maintaining the capital to comply with the buffer requirement and maintain Total CAR at 12.5% from 2019, which is the minimum rate that is applicable for banks which carry an asset base of less than LKR 500 billion.

Assessment of the capital has been reviewed by the ICAAP process which assesses the risks that are not covered in the Pillar I in order to meet the capital ratio and the buffer requirement as specified by the regulator. ICAAP was prepared in line with Basel III capital and buffer requirements and the capital was assessed under various stress scenarios for smooth functioning of the Bank.

The compilation of the ICAAP report is spearheaded by the Management Committee and a cross functional team which consists of resource personnel from risk, audit and finance divisions.

ICAAP report helps the Bank meet the following objectives:

- i. ensure that the Bank is adequately capitalised beyond the minimum regulatory capital requirements under Pillar I at all times;
- ii. ensure a comprehensive coverage of risks facing the Bank, covering not only the Pillar I risks but also other risks that are covered under Pillar II and Pillar III. Further, the ICAAP document shall also aim to address inadequacies in risk management process of Pillar I risks through related risks categories (example: residual credit risk and under-estimation of credit risk in standardised approach).
- iii. formulate a process that forms an integral part of the Bank's risk management processes so as to enable the BOD and senior management to assess the risks that are inherent in their activities and are material to the Bank on an on-going basis.
- iv. have a process for assessing the overall capital adequacy in relation to the risk profile.
- v. enable the Bank to withstand adverse business conditions by evaluating the adequacy of capital in stress scenarios.

- vi. usage of risk management in general business decisions and budgets, day-to-day activities such as evaluating individual credit decision process and in overall strategic planning of the Bank.
- vii. embark upon a continuous process for improvement in risk management techniques, policies, processes, systems and overall awareness of the Bank.

The ICAAP for the year was prepared with additional analysis on operating under the ongoing pandemic.

Sources of Capital and Capital Management

The growth in profitability in the ensuing years will be a source of internally generated capital whilst external sources will include equity via rights issue and/or private placements.

The Bank having raised equity capital in 2017 through a rights issue, satisfied the regulator's current minimum capital requirement of LKR 10 billion. This also enabled the Bank to support its current and future expansion activities whilst continuing to maintain its regulatory capital adequacy ratios at a healthy level well above minimum requirement. Supplemented by sustained growth in profits, the Bank expects its level of capital to be adequate in the short to medium term. Based on the relief granted by CBSL due to the Covid-19 outbreak, local Banks have been offered an extended timeline till end 2022 to increase its capital up to LKR 20 billion and in this regard, the Board of Directors is in the process of evaluating suitable options to comply with this requirement before the revised deadline.

Whilst the current level of capital is adequate to support the planned capital expenditure as well as business growth up to the mid-term, subsequent to meeting the requirement by end 2022 the Bank expects to be well-positioned in terms of the desired capital level.

Following the fourth successive dividend to its shareholders in 2021, the Bank may, subject to the provisions of the Articles of Association, the Companies Act No. 07 of 2007 and any other applicable guidelines make future dividend payments by way of interim and final dividends in relation to the profits made from time to time. Such dividends will be paid after taking into consideration the Bank's earnings, investment requirements and other financial conditions.

Stress Testing

Stress testing is an important risk management tool that enables a bank to identify the potential sources of risk, evaluate the magnitude of it, develop tolerance levels and generate strategies to mitigate the identified risks. Sound stress testing practices enable the Board and Senior Management to make a more informed forward looking assessment of risks when determining Bank's risk appetite, business strategies and contingency plans.

Moreover, Pillar 1 of the Basel Accord related to minimum capital requirements mandates that banks undertake stress testing for assessing capital adequacy if they are using the Internal Models Approach (IMA) to determine market risk or advanced or foundation internal ratings-based (IRB) approaches to determine credit risk.

Pillar 2 of the Basel Accord related to the supervisory review process (SRP) mandates that banks undertake general stress tests. Compliance with Basel III requirements help banks to correctly assess risk and develop plans to reduce their actual losses. The internally developed scenarios shall include economic recession scenarios, one of which must be a prolonged recession, to assess its ability to withstand and mitigate such scenarios. These scenarios have been applied in Amāna Bank's ICAAP, annually.

Sensitivity and Scenario Analyses

The Bank uses a range of stress testing methodologies such as sensitivity and scenario analyses to ensure that its stress testing is comprehensive. Sensitivity analysis estimates the impact on the value of a portfolio of exposures arising from assumed movements in a single risk factor or several closely related risk factors.

Supervisory Review and Evaluation

As part of the Bank's risk-based supervisory framework and evaluation of ICAAP, stress testing shall be reviewed and evaluated annually. The Bank is required to take action to improve its capital or risk management processes in order to address any adverse scenario impact conducted through stress testing.

Responding to The COVID-19 Pandemic

Since early 2020, the coronavirus pandemic (Covid-19) severely impacted countries around the world, causing enormous challenges to the economies as all industries underwent an unprecedented downturn. This resulted in a global recession as the pandemic

which began in the latter part of 2019, affected many advanced economies which adopted various austerity measures and fiscal consolidation in order to address debt issues, unemployment and housing market bubbles.

COVID-19 pandemic has driven unprecedented volatility around the world. Given the challenges experienced in the local economy, risk management policies have received more focus. The impacts of foreign exchange shocks and funding stresses were conducted and the same were closely monitored and factored into decisions around risk tolerance.

More proactively, the Bank undertook comprehensive stress testing to ascertain the impact of the Covid-19 pandemic. The scenario was also incorporated into the ICAAP analysis in order to assess the impact that might arise in the forthcoming years due to the economic setbacks experienced over the past two years.

As countries battle to curb the spread of the Covid-19 virus through recommended vaccines, the Bank's RMD remains vigilant of local and global developments to mitigate any possible impacts to the overall operations of the Bank.

RMD were focussing on extreme scenarios towards stress analysis as new Covid variants were raising fresh concerns for economic slowdown.

Risk Management

Credit Risk Management

Overview

Credit Risk is the risk of potential loss arising from failure of a customer or counterparty to perform according to its contractual obligations to the Bank or its ability to perform such obligation is impaired resulting in a loss to the Bank. It includes failure in the repayment of capital plus the Bank's profit/mark-up on direct financing or from off balance sheet assets such as letters of credit, letters of guarantee, documents against acceptance, etc. within the agreed tenor and in the agreed currency. In effect right management of credit risk results in the Bank's growth & stability and as such Bank has a well-structured Credit risk management process to maintain a healthy portfolio to achieve Bank's objectives.

With the Covid-19 impact during the year and connected economic challenges severely impacting businesses and consumers in various sectors and industries throughout the country, the Bank continues to analyse and monitor its financial assets for any possible shocks to ensure resilience in a volatile market.

Following main objectives of the Credit Risk Management function assists the Bank to manage its portfolio to achieve the desired outcome:

- ◆ actively manage the financing portfolio to ensure optimal risk-reward pay off for the Bank and to maximise returns in an evolving market.
- ◆ maintain quality of the portfolio by minimising non-performing advances and probable losses.

- ◆ maintain a well-diversified portfolio by prudently managing risk in the financing portfolio to ensure the risk of excessive concentration to any industry/sector/individual customer is minimised
- ◆ ensure that all requirements as per regulatory guidelines are maintained and all related party transactions are monitored and reported to the relevant stakeholders as well as ensuring that clearly defined internal policies and guidelines are set and reviewed regularly to meet the current requirements of the Bank.

Policies and Guidelines

The Bank has a well-defined Credit Risk Policy approved by the BOD and a Credit Procedure Manual which are reviewed regularly. These documents outline fundamental standards and disciplines to actively manage the credit risk across the financing portfolio of the Bank, defines the credit culture, target markets, prohibited areas of business, set acceptable risk parameters, set standards for collateral, delegated authorities and the guide to post-disbursement monitoring of accommodated financing. The policy guidelines are used to manage the incidence of credit risk, which is spelt out in the Credit Risk Policy ensuring stringent pre/post credit risk management in line with the risk appetite of the Bank, the regulations of CBSL and Basel guidelines.

Structured Standardised Credit

Credit proposals are prepared in pre-determined formats, and comprise of financial appraisal, independent review of financial and non-financial

information such as credit ratings, collateral and covenants, and credit approval based on BOD sanctioned Delegation of Authority (DA).

Credit is extended only to suitable and well-identified customers after a rigorous assessment of the applicants on evaluating and ensuring the purpose, strength of the business model, primary and acceptable source of repayment is established through a conservative evaluation of realistic cash flow projection by the client, sources of income, their ethical standards and records. Where the source of repayment is unknown or speculative or where the purpose/destination of funds is undisclosed such requests are not accommodated, further ensuring that risk considerations shall have priority over business and profit considerations.

A pricing mechanism is in place that reflects variation in the risk profile of various exposures to ensure that higher risks are compensated by higher returns, based on risk based pricing. The financial performance of the customers is continuously monitored and frequently reviewed as set out in each approval and as per credit procedure guidelines. The Bank obtains collateral as a possible secondary recourse or as a fall back option in an unforeseen adverse situation. These are obtained based on exposure guidelines set in the credit risk policy and collateral guidelines, which in turn are set according to regulatory guidelines on collateral.

Collateral and Credit Enhancements

The general credit worthiness of a client tends to be the most relevant indicator of credit quality of a client, however Bank seeks to use collateral, where possible, to mitigate its risks on financial assets. The amount and type of collateral required depends on assessment of credit risk of a counterparty. Collateral comes in various forms such as cash, gold, securities, letters of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Bank's approved valuation policy. To the extent possible, the Bank uses active market data for valuing financial assets, held as collateral. Other financial assets which do not have a readily determinable market value are valued using models. Guidelines are in place covering acceptability and valuation of different types of collateral.

Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent professional valuers. Bank has a valuation policy in place which is reviewed regularly to reflect the statutory guidelines and to have a standardised policy towards immovable property valuations to have a meaningful understanding of valuations.

Bank also considers financing for strong reputable corporates whose performance is regularly assessed on the basis of reliable financials on an unsecured basis purely depending on their ability to generate cash flows.

In terms of collateral repossessed, the Bank's policy is to realize the repossessed assets at the earliest possible opportunity. Such collateral repossessed are held on a memorandum basis without derecognising the underlying receivable.

Delegation of Authority

The BIRMC has been delegated with the responsibility of managing the Bank's overall risk including credit risk. At an executive level, credit authority has been further delegated to two Executive Credit Committees (ECC) which are headed by CEO and CRO respectively. The Credit Risk Department conducts independent reviews of the credit risks lying with the relevant business divisions and makes recommendations on credit policies, prudential limits on sector exposures and counterparty exposures in order to make improvements.

Final authority and responsibility for all activities that expose the Bank to credit risk rests with the BOD which has delegated approval authority to the CEO to re-delegate limits to business divisions. All DAs to individual members are name specific and are based on the individual experience, judgement, ability, facility type and collateral in order to ensure accountability and mitigate any judgemental errors.

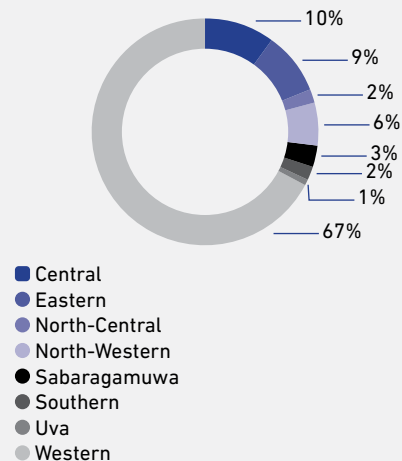
Prudential Limits

The Bank continuously strengthens its monitoring mechanism of credit risk to ensure regular and frequent review of the portfolio. This helps the Bank to understand any emerging risk trends, align its credit risk appetite to its business objectives, whilst promoting

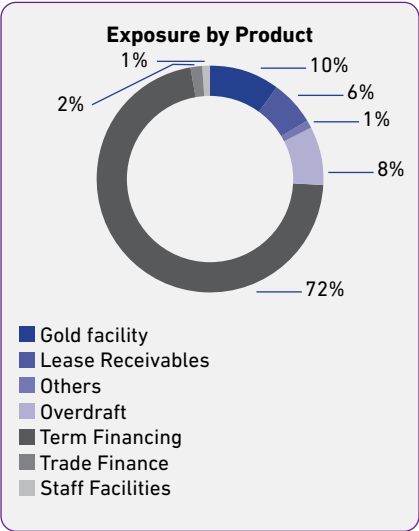
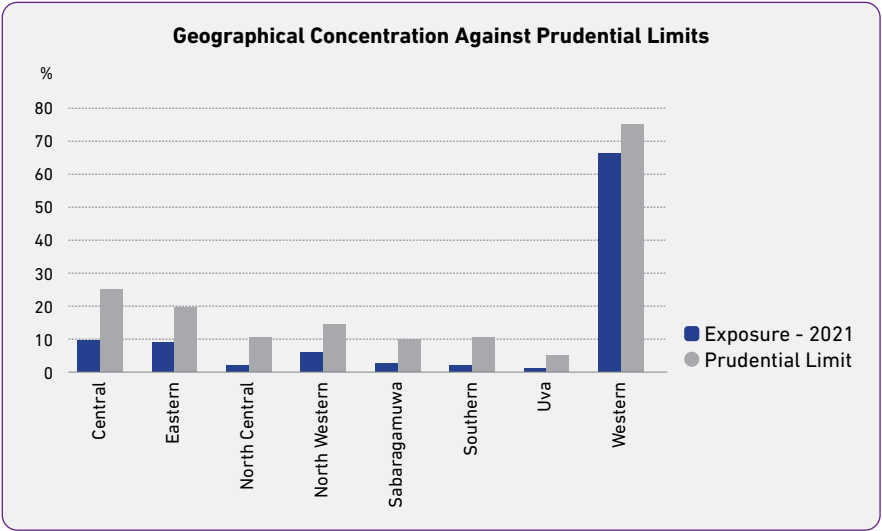
risk based business decision-making. This exercise covers analysis of the portfolio based on industry sectors, products, geographies and trends in NPA.

Prudential, industry, geographic and portfolio limits are set by the BIRMC. Credit Risk Department monitors compliance with these approved limits. Desired diversification is achieved by setting maximum exposure limits on single / group obligor exposures, where the internal limits are more stringent than the limits set by the regulator, which too are monitored by RMD for compliance.

Geographical Concentration Portfolio

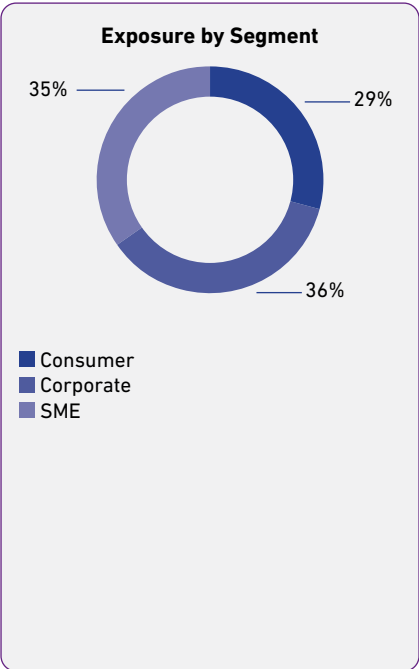
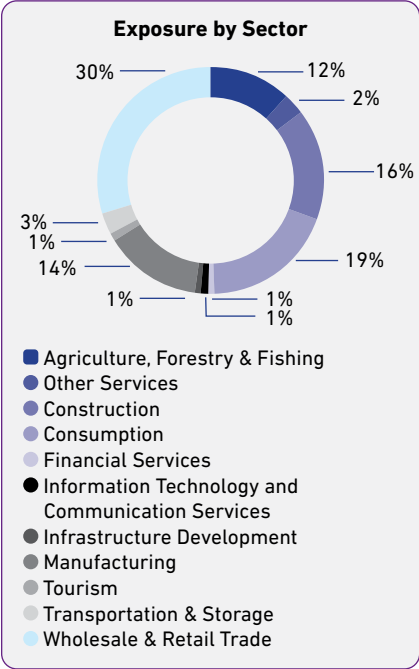


Risk Management



Portfolio Management

Credit portfolio management is an important function within the overall credit risk management. The need for such critical and objective portfolio management emanates from the need to optimise benefits associated with diversification. It also helps the Bank to identify and address potential adverse impact of concentration of exposures. The Bank has a well-structured portfolio management mechanism which evaluates exposures on the basis of industry concentration, rating quality, internally established early warning indicators, apart from regulator imposed quantitative ceilings such as the single borrower and aggregate exposure limits. On feedback from regular reviews and interactions with business divisions, the criteria for credit accommodation are amended to insulate portfolios from further deterioration.



In addition, stress tests and scenario analyses are carried out regularly to assess the impact of any material changes in the external environment and make suitable recommendations to maintain the quality of the portfolio. Any deteriorating credits with emphasis on internal and external early warning signals are identified and monitored closely. Non-Performing Advances are identified at an early stage through regular interactions with business divisions, enabling management to take action as appropriate. In addition, a post-approval hindsight review of credits approved is carried out by an independent committee which reports to BIRMC with appropriate recommendations. All monitoring reports are submitted regularly to the respective credit committees and BIRMC.

Developments in 2021

While the Covid-19 pandemic continued to impact the economy coupled with other market related challenges impacting businesses and consumers, moratorium concessions allowed by the CBSL were suitably extended till end 2021. The Bank during the year focused more on the customers affected by the ongoing pandemic and provided them with timely assistance. With most of the moratorium concessions coming to an end for majority of the sectors, the Bank will now focus on such customers to support them in reviving their businesses and to review and align their facilities to their expected cash flows post the moratorium period.

The Bank outsourced the collection of dues of facilities in non performing status for more than one year, mainly facilities which were offered as personal financing. These customers were provided adequate time for settlement of facilities and were outsourced for collections after all available means to recover the dues were exhausted. These collections were carried out in compliance with existing CBSL guidelines on recoveries.

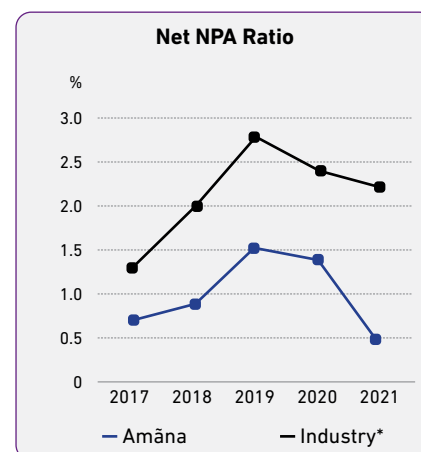
Plans for 2022

- Review and update credit policies of the Bank to be in line with the Bank's strategic focus.
- Review and update the Credit procedure manual with the process and structural changes in the Bank.
- Introduce a Credit Administration (CAD) process operational guideline to assist any team member current or prospective to learn the process without much effort.

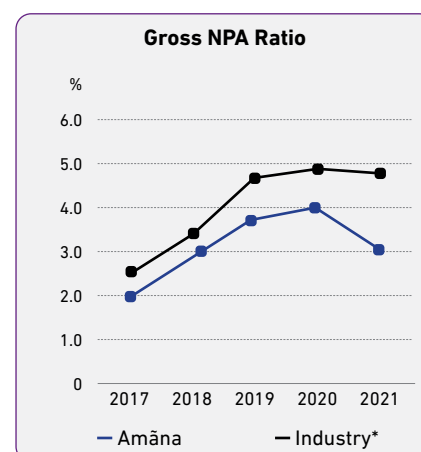
Banking sector NPAs continued to be on the higher side with the impact of Covid-19 and the related slowdown of economy affecting the cash flows of customers, although the industry average had declined. The Bank was aware of the severe impact the present condition will have on the portfolio which compelled the Bank to adopt various follow up strategies to contain NPAs which proved successful.

As a result of close monitoring and engagement with the customers, the Bank's Net NPA ratio and Gross NPA was contained at 0.5% and 3.1% respectively

being well below the industry average of 4.8% and 2.2% respectively (based on provisional Q3 2021 data). These continuous results have been achieved amidst difficult market conditions which demonstrate the Bank's resilience to external challenges.



* - Industry statistics for 2021 is based on Q3 provisional data.



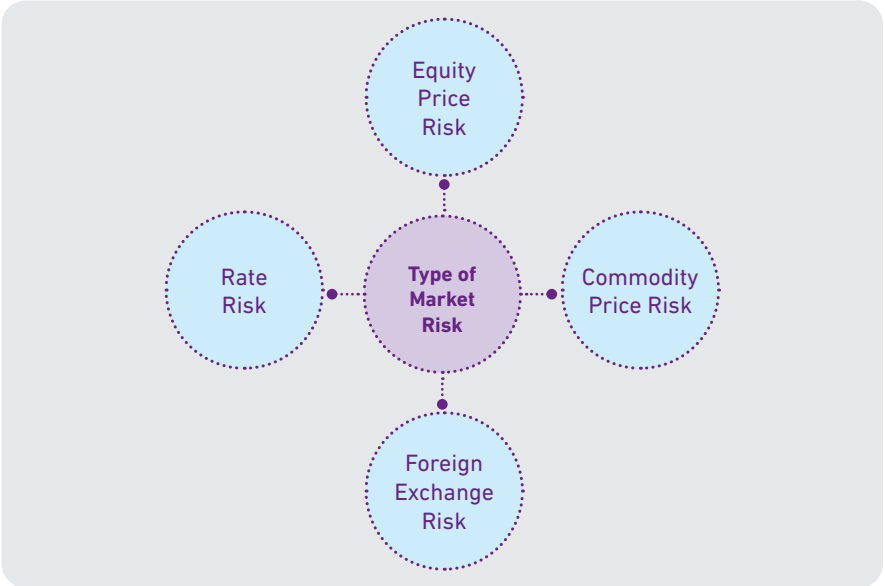
* - Industry statistics for 2021 is based on Q3 provisional data.

Risk Management

Market Risk Management

Market Risk

Market risk is the risk of loss from changes in market prices and rates (including rates, credit spreads, foreign exchange rates, equity prices and commodity prices), the correlations among them and their levels of volatility. A description of each market risk category is provided below.



Market risk mainly arises from activities undertaken by the Bank's Treasury, Foreign Exchange, Equity, Commodity and Money Market portfolios. A Board approved limit structure has been adopted by the Bank to mitigate and monitor its market risk. Further, the BOD and the Management have ensured effective monitoring and management of market risk with the following:

- i. BIRMC reviews market risk policies and limits and approval is obtained from the BOD for any changes necessary. An annual review of treasury related policies and limits also takes place to ensure such policies and limits are in line with regulatory requirements.
- ii. BIRMC and ALCO monitor and manage market risk of the Bank in accordance with the Board approved risk framework.
- iii. Risk Middle Office independently monitors all significant market risks and submits reports to CEO, ALCO and BIRMC.
- iv. Risk Middle Office conducts stress testing for foreign exchange exposures, equity investments, gold facilities and liquidity on a periodic basis. Aggregate level of stress testing is conducted on a quarterly basis.

As required by CBSL, the Bank uses the Internal Measurement Approach to calculate Market Risk under Basel regulations. The Bank maintains quoted equity exposures at fair value with changes in fair value recognised either through Profit or Loss or through Other Comprehensive Income (OCI) and manages those portfolios separately based on the requirements of Sri Lanka Accounting Standards. Market risk for the portfolios is monitored based on a VaR methodology and also using other sensitivity analyses.

Objectives of The Methodologies Used to Assess Market Risk

Value at Risk (VaR)

VaR is a method of measuring market risk based on a common confidence interval and time horizon. It is a statistical estimate of expected potential loss that is derived by translating the risk of any financial instrument into a common standard.

The Bank calculates general market risk and equity specific risk VaR using historical simulation based on 365 days of market data. Changes in VaR between reporting periods are generally due to changes in levels of exposure, volatilities and/or correlations among asset classes. VaR is also used to evaluate risks arising in certain funding and investment portfolios. Back testing is also an important and necessary part of the VaR process, by validating the quality and accuracy of the Bank's VaR model.

Stress Testing

VaR measures potential losses in normally active markets. Accordingly, stress testing examines the impact

that abnormally large swings in market factors and periods of prolonged inactivity might have on portfolios. The stress testing programme is designed to identify key risks and quantify potential losses from abnormal events. The Bank subjects its portfolios to stress tests on a periodic basis, using stress tests based on risk factor sensitivities and specific market events. The stress testing programme is an essential component of the Bank's comprehensive risk management framework which complements the current VaR methodology and other risk measures and controls employed by the Bank. Risk Middle Office conducted the stress testing on an aggregate level and reported to ALCO and BIRMC at least on a quarterly basis.

Sensitivity Analysis

Sensitivity analysis assesses the effect of changes in rates on current earnings and on the economic value of shareholders' equity. It is applied to each of the major currencies within the Bank's operations.

Gap Analysis

Gap analysis is used to assess the rate sensitivity of the Bank's operations. Under gap analysis, rate sensitive assets and liabilities and off balance sheet instruments are assigned to defined time periods on the basis of expected re-pricing dates.

Rate Risk Analysis

Earnings perspective involves analysing the impact of changes in the profit rate on accrual or reported earnings in the near term, measured by changes in the net financing income. Economic value perspective involves analysing the

changes of impact of profit on the expected cash flows on assets minus the expected cash flows on liabilities plus the net cash flows arising from off balance sheet items. The level of profit rate changes is an important factor to choose fixed/floating rate assets/liabilities, their maturities and hedging decisions.

VaR Assumptions

The VaR that the Bank measures is an estimate, using a confidence level of 99% of the potential loss that is not expected to be exceeded if the current market risk positions were to be held unchanged for one day. The use of a 99% confidence level means that, within a one day horizon, losses will be below the VaR limit on average under normal market conditions, for 99 out of 100 days.

Since VaR is an integral part of the Bank's market risk management, VaR figures are reviewed monthly against loss limits by ALCO and at every BIRMC.

In practice, the actual trading results may differ from the VaR calculation and in particular the calculation does not provide a meaningful indication of profits and losses in stressed market situations.

		VaR of Foreign Exchange Exposures (LKR million)	Approved Loss Limits for FX Operations (LKR million)	VaR of Equity Portfolio (LKR million)	Approved Loss Limits for Equity Operations (LKR million)
2021	End December	0.53	12.00	3.31	35
	Daily Average	6.72		3.69	
	High	23.90		4.70	
	Low	0.35		2.78	
2020	End December	6.05	11.22	3.01	35
	Daily Average	4.14		3.88	
	High	12.98		4.83	
	Low	0.40		2.99	

Foreign Exchange Risk

Foreign Exchange Risk is a monetary loss that arises because of unhedged or partly hedged foreign currency positions. Foreign exchange risk results from imperfect correlations in currency price movements as well as changes in international market rates. Potential large losses could reduce the extent of a bank's foreign investment and also put it at a competitive disadvantage compared to its competitors.

Such risks are primarily due to changes in foreign exchange rates which are managed by setting and monitoring dealer, currency, counterparty and settlement limits for on and off balance sheet instruments.

Risk Management

Foreign exchange exposures in individual currencies are managed in accordance with the limits approved by the BOD. In addition, this is also managed and monitored against the regulatory limits set by CBSL.

The Bank engages in interbank forward transactions to cover positions created due to customer transactions and mismatches in balance sheet positions. In addition, the Bank's activities in the trade financing business result in off balance sheet exposures. Cash flows of currencies are managed by undertaking promissory buy/sell transactions on a matching basis.

The concentration of on and off balance sheet foreign currency risk as at 31 December 2021 and 31 December 2020 are given in the tables shown below:

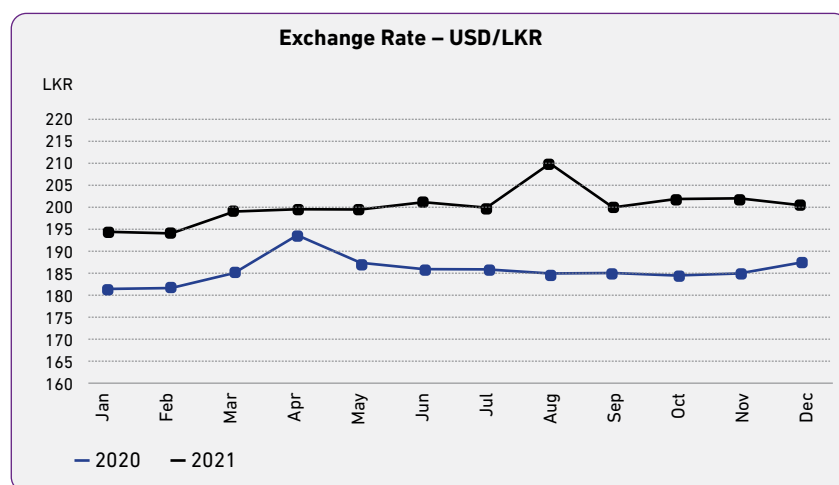
As at 31 December 2021

Currency	Spot			Forward			Net Open Position	Net Position in Other Exchange Contracts	Overall Exposure in Respective Foreign Currency	Overall Exposure in LKR
	Assets	Liabilities	Net	Assets	Liabilities	Net				
U.S. Dollar	38,534,314	(60,724,710)	(22,190,396)	115,900,000	(93,207,727)	22,692,273	501,877	-	501,877	129,055,201
Pound Sterling	71,139	(829,884)	(758,746)	758,000	-	758,000	(746)	-	(746)	(590,732)
Euro	210,769	(270,287)	(59,518)	61,000	-	61,000	1,482	-	1,482	334,850
Japanese Yen	1,388,715	(446,956)	941,759	-	(0)	(0)	941,759	-	941,759	1,636,350
Indian Rupee	-	-	-	-	-	-	-	-	-	-
Australian Dollar	233,588	(328,046)	(94,458)	94,500	-	94,500	42	-	42	(16,493)
Canadian Dollar	-	-	-	-	-	-	-	-	-	-
Other Currencies	-	-	-	-	-	-	-	-	-	53,623,542
Total Exposure										185,257,168
Total Capital Funds as per 31.12.2021 Financial Statements										13,764,883,503
Total exposure as a % of Total Capital funds (should not exceed 30%)										1.35%

As at 31 December 2020

Currency	Spot			Forward			Net Open Position	Net Position in Other Exchange Contracts	Overall Exposure in Respective Foreign Currency	Overall Exposure in LKR
	Assets	Liabilities	Net	Assets	Liabilities	Net				
U.S. Dollar	40,656,177	40,659,986	(3,809)	125,550,000	(128,430,229)	(2,880,229)	(2,884,039)	-	(2,884,039)	(530,309,736)
Pound Sterling	873,324	(837,205)	36,119	-	-	-	36,119	-	36,119	9,008,970
Euro	219,038	(238,963)	(19,924)	-	-	-	(19,924)	-	(19,924)	(4,587,426)
Japanese Yen	16,862,180	(254,173)	16,608,007	1,200,000	16,040,610)	14,840,610)	1,767,397	-	1,767,397	3,208,292
Indian Rupee	-	-	-	-	-	-	-	-	-	-
Australian Dollar	95,279	(121,806)	(26,526)	-	-	-	(26,526)	-	(26,526)	(3,860,185)
Canadian Dollar	-	-	-	-	-	-	-	-	-	-
Other Currencies	-	-	-	-	-	-	-	-	-	43,453,197
Total Exposure										594,427,806
Total Capital Funds as per 31.12.2020 Financial Statements										12,450,876,388
Total exposure as a % of Total Capital funds (should not exceed 30%)										4.77%

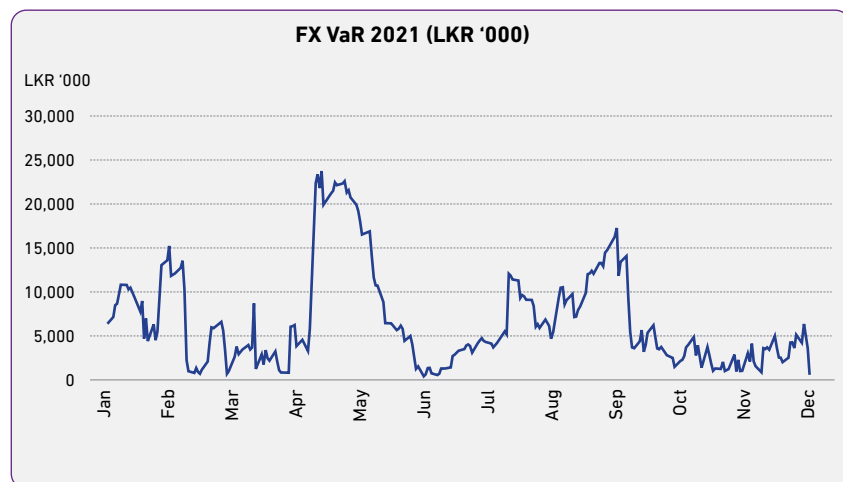
During the year 2021, the LKR depreciated by 7% against the US Dollar, based on average middle rates.



Revaluation of all foreign currency assets and liabilities is carried out daily by i-MAL core banking system according to accepted market best practices.

Risk Management

A graph giving daily VaR figures of the foreign currency exposure is given below.



Equity Position Risk

The Bank holds equity portfolios for trading and investment purposes. These portfolios expose the Bank to rate risks and equity risks. Equity position risk arises due to changes in individual equity prices. The Bank's equity portfolio is held at fair value where such changes in fair value are recognised either through Profit or Loss

or Other Comprehensive Income. The portfolio of equity where fair value is recognised through Profit or Loss is purchased with a view to hold them in the short term and equities where fair value is recognised through OCI are purchased in order to hold them in the medium term. Recognition and measurement of these portfolios are in accordance with SLFRS 9 principles.

The performance of the equity portfolio is monitored by the Equity Investment Committee (EIC) and ALCO. The Board of Directors has laid down sector, portfolio and loss limits to control and mitigate the risks of the equity portfolio. The Bank also adheres to the Guidelines issued by CBSL regarding the exposure to a single entity and the total exposure limit for the equity portfolio. The Bank conducts transactions only in white-listed equities.

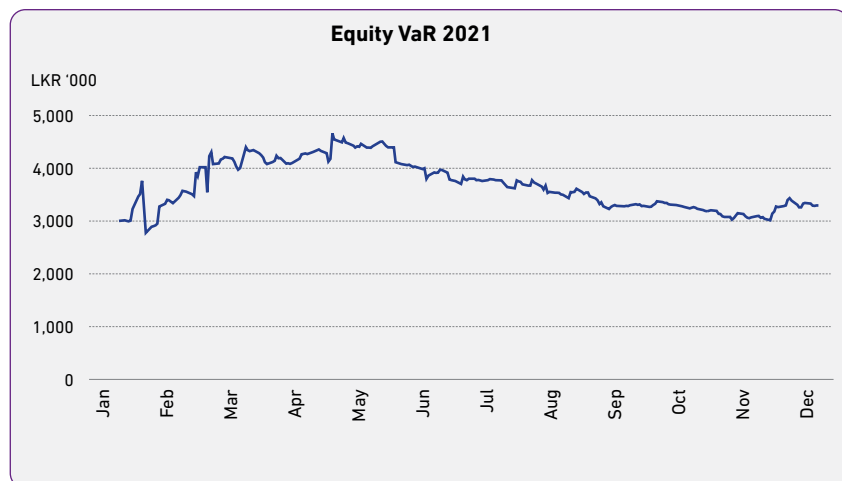
The sectoral exposure of equity portfolio comparing with previous year is given below:

Equity/Sector	Total Cost as at 31 December LKR	Mark-to-Market Value as at 31 December LKR	2021 Maximum Exposure Limit for Sector LKR
Consumer Discretionary	16,003,500	14,432,000	52,500,000
Consumer Staples	3,299,152	3,146,930	87,500,000
Industrials	16,593,690	12,312,544	70,000,000
Telecommunication Services	20,086,264	17,656,474	87,500,000
Chemicals	10,575,496	7,680,000	52,500,000
Power	8,266,752	9,406,136	52,500,000
Sub Total	74,824,854	64,634,084	
Strategic Investments	288,998,226	343,016,586	
Total Equity Portfolio	363,823,080	407,650,670	
Total Approved Portfolio Limit			710,000,000

Equity/Sector	Total Cost as at 31 December LKR	Mark-to-Market Value as at 31 December LKR	2020 Maximum Exposure Limit for Sector LKR
Consumer Discretionary	25,029,418	35,402,166	52,500,000
Consumer Staples	5,002,930	4,907,475	87,500,000
Industrials	723,090	1,028,970	70,000,000
Telecommunication Services	22,190,680	22,940,000	87,500,000
Sub Total	52,946,118	64,278,611	
Strategic Investments	143,148,654	288,998,226	
Total Equity Portfolio	196,094,772	288,998,226	
Total Approved Portfolio Limit			710,000,000

The Bank's Treasury system carries out daily marking to market of the equity portfolio against the closing weighted average prices published by the Colombo Stock Exchange.

A graph indicating the daily VaR figures for Equity portfolio (excluding the strategic investment portfolio) is given below:



Rate Risk

Rate risk arising from the Bank's financing and investment activities is managed in accordance with the Board approved policies and limits, which are designed to control the risk to net financing income and economic value of shareholders' equity.

Mismatches in maturity of assets and liabilities that mature or are re-priced during a specified time period, does have an impact on the Bank's exposure to rate risk. In order to manage and mitigate such risks, ALCO reviews the re-pricing of assets and liabilities on a monthly basis. The Bank's rate risk is limited due to the business model adopted where customer deposits have been taken on the basis of sharing actual profits and losses earned.

Risk Management

However, rate risk is monitored by measuring the impact on rate sensitive maturity gaps with yield curve shifts of parallel and non-parallel nature.

	1 to 30 Days %	1-3 Months %	3-6 Months %	6-9 Months %	9-12 Months %	1-3 Years %	3-5 Years %	5-10 Years %	10-15 Years %	Over 15 Years %	Unclassified %
Scenario I	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
Scenario II	(2.00)	(2.00)	(2.00)	(2.00)	(2.00)	(2.00)	(2.00)	(2.00)	(2.00)	(2.00)	(2.00)
Scenario III	(1.50)	(1.50)	(1.25)	(1.25)	(1.00)	1.00	1.00	1.25	1.25	1.50	1.50
Scenario IV	1.50	1.50	1.25	1.25	1.00	(1.00)	(1.00)	(1.25)	(1.25)	(1.50)	(1.50)
Scenario V	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25	0.25

Impact of yield curve shifts on rate sensitive assets and liabilities on contractual and behavioural basis are given below based on the above scenarios:

2021				2020		
Behavioural Basis						
Scenario	Rate Risk (LKR million)	Impact on CAR		Scenario	Rate Risk (LKR million)	Impact on CAR
Scenario I	(155.89)	-0.18%		Scenario I	189.76	0.27%
Scenario II	325.21	0.37%		Scenario II	(412.42)	-0.58%
Scenario III	(52.28)	-0.06%		Scenario III	234.24	0.33%
Scenario IV	56.86	0.06%		Scenario IV	(246.91)	-0.35%
Scenario V	(39.49)	-0.04%		Scenario V	48.42	0.07%
Contractual Basis						
Scenario	Rate Risk (LKR million)	Impact on CAR		Scenario	Rate Risk (LKR million)	Impact on CAR
Scenario I	(608.48)	-0.69%		Scenario I	(157.09)	-0.22%
Scenario II	1,312.65	1.49%		Scenario II	348.04	0.49%
Scenario III	(615.57)	-0.70%		Scenario III	(58.02)	-0.08%
Scenario IV	652.91	0.74%		Scenario IV	74.91	0.11%
Scenario V	(155.08)	-0.18%		Scenario V	(40.25)	-0.06%

The details of the impact of 1% increase in market rates on Economic Value of Equity (EVE) and Earnings at Risk (EaR) calculated based on Behavioural and Contractual maturities are given in the table below:

Economic Value of Equity (EVE) - (100bps shift)	2021	2020
Behavioural - % of Total Capital	1.13%	1.61%
- Value in LKR million	(155.89)	189.76
Contractual - % of Total Capital	4.42%	1.33%
- Value in LKR million	(608.48)	(157.09)
Earnings at Risk (EaR) - (100bps shift)		
Behavioural - % of Total Capital	0.26%	0.35%
- Value in LKR million	35.77	41.69
Contractual - % of Total Capital	1.31%	0.76%
- Value in LKR million	(180.37)	(89.81)

Risk Management

Maturity Gaps of Assets and Liabilities (Behavioural Basis) as at 31 December 2021

	Up to 3 Months LKR	3 - 12 Months LKR	1-3 Years LKR	3-5 Years LKR	Over 5 Years LKR	Total LKR	Sensitive to Rates
Assets							
Cash and Cash Equivalents	8,673,811,858	-	-	-	-	8,673,811,858	Yes
Balance with Central Bank of Sri Lanka	2,573,915,254	1,376,867,407	420,044,142	275,814,425	153,385,365	4,800,026,593	Yes
Placements with Banks	160,010	18,052,109,398	6,750,000,000	2,500,000,000	-	27,302,269,408	Yes
Placements with Licensed Finance Companies	73,341	-	-	-	-	73,341	Yes
Derivative Financial Assets	11,481,665	498,584,545	-	-	-	510,066,210	Yes
Financial Assets Measured at Fair Value through Profit or Loss	64,634,084	-	-	-	-	64,634,084	Yes
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	13,287,689,818	35,191,272,555	14,687,017,589	7,251,949,557	5,398,467,804	75,816,397,323	Yes
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	346,009,586	346,009,586	Yes
Other Assets - Financial	713,317,488	417,253,237	34,215,630	49,209,731	-	1,213,996,086	Yes
Property, Plant, Equipment And Right-of-Use Assets	-	-	-	-	2,447,149,785	2,447,149,785	No
Intangible Assets	-	-	-	-	232,834,506	232,834,506	No
Other Assets - Non Financial	243,243,186	206,319,839	-	-	-	449,563,025	No
Deferred Tax Assets	-	-	-	-	52,071,523	52,071,523	No
Total Assets	25,568,326,704	55,742,406,981	21,891,277,361	10,076,973,713	8,629,918,569	121,908,903,328	
Liabilities							
Due to Banks	1,125,040,978	7,884,945,205	-	-	-	9,009,986,183	Yes
Derivative Financial Liabilities	55,104,807	728,094,975	-	-	-	783,199,782	Yes
Financial Liabilities at Amortised Cost - Due to Depositors	10,250,185,231	53,210,314,332	16,172,016,870	10,604,929,209	5,920,330,474	96,157,776,116	Yes
Other Liabilities - Financial	1,665,454,096	10,250,092	20,422,792	-	-	1,696,126,980	Yes
Current Tax Liabilities	-	419,795,391	-	-	-	419,795,391	No
Dividend Payable	6,459,073	-	-	-	-	6,459,073	No
Retirement Benefit Liability	-	-	-	-	131,081,167	131,081,167	Yes
Other Liabilities - Non Financial	65,944,501	-	-	-	-	65,944,501	No
Total Liabilities	13,168,188,686	62,253,399,995	16,192,439,662	10,604,929,209	6,051,411,641	108,270,369,193	
Maturity Gap	12,400,138,018	(6,510,993,014)	5,698,837,699	(527,955,496)	2,578,506,928	13,638,534,135	

Maturity Gaps of Assets and Liabilities (Contractual Basis) as at 31 December 2021

	Up to 3 Months LKR	3 - 12 Months LKR	1-3 Years LKR	3-5 Years LKR	Over 5 Years LKR	Total LKR	Sensitive to Rates
Assets							
Cash and Cash Equivalents	8,673,811,858	-	-	-	-	8,673,811,858	Yes
Balance with Central Bank of Sri Lanka	4,800,026,593	-	-	-	-	4,800,026,593	Yes
Placements with Banks	160,010	18,052,109,398	6,750,000,000	2,500,000,000	-	27,302,269,408	Yes
Placements with Licensed Finance Companies	73,341	-	-	-	-	73,341	Yes
Derivative Financial Assets	11,481,665	498,584,545	-	-	-	510,066,210	Yes
Financial Assets Measured at Fair Value through Profit or Loss	64,634,084	-	-	-	-	64,634,084	Yes
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	13,287,689,818	35,191,272,555	14,687,017,589	7,251,949,557	5,398,467,805	75,816,397,323	Yes
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	346,009,586	346,009,586	Yes
Other Assets - Financial	713,317,488	417,253,237	34,215,630	49,209,731	-	1,213,996,086	Yes
Property, Plant and Equipment and Right-of-Use Assets	-	-	-	-	2,447,149,785	2,447,149,785	No
Intangible Assets	-	-	-	-	232,834,506	232,834,506	No
Other Assets - Non Financial	243,243,186	206,319,840	-	-	-	449,563,025	No
Deferred Tax Assets	-	-	-	-	52,071,523	52,071,523	No
Total Assets	27,794,438,042	54,365,539,574	21,471,233,219	9,801,159,288	8,476,533,205	121,908,903,328	
Liabilities							
Due to Banks	1,125,040,978	7,884,945,205	-	-	-	9,009,986,183	Yes
Derivative Financial Liabilities	55,104,807	728,094,975	-	-	-	783,199,782	Yes
Financial Liabilities at Amortised Cost - Due to Depositors	41,212,698,545	48,819,457,313	1,512,540,221	2,831,084,703	1,781,995,335	96,157,776,116	Yes
Other Liabilities - Financial	1,665,454,096	10,250,092	20,422,792	-	-	1,696,126,980	Yes
Current Tax Liabilities	-	419,795,391	-	-	-	419,795,391	No
Dividend Payable	6,459,073	-	-	-	-	6,459,073	No
Retirement Benefit Liability	-	-	-	-	131,081,167	131,081,167	Yes
Other Liabilities - Non Financial	65,944,501	-	-	-	-	65,944,501	No
Total Liabilities	44,130,701,999	57,862,542,976	1,532,963,013	2,831,084,703	1,913,076,502	108,270,369,193	
Maturity Gap	(16,336,263,957)	(3,497,003,402)	19,938,270,206	6,970,074,585	6,563,456,703	13,638,534,135	

Risk Management

Maturity Gap Analysis for Local Currency Denominated Assets and Liabilities as at 31 December 2021

	Up to 1 Month LKR	1 - 3 Months LKR	3 - 6 Months LKR	6 - 9 Months LKR	9 - 12 Months LKR	1 - 3 Years LKR	3 - 5 Years LKR	Over 5 Years LKR	Total LKR
Inflows									
Cash in Hand	4,724,971,224	-	-	-	-	-	-	-	4,724,971,224
Balance with Central Bank of Sri Lanka	2,608,114,761	302,907,423	235,083,706	244,774,099	250,157,450	263,561,582	291,643,300	648,574,274	4,844,816,593
Balances Due from Other Banks and Financial Institutions	156,805	4,500,000,000	4,250,000,000	2,000,000,000	4,000,000,000	6,750,000,000	2,545,000,000	-	24,045,156,805
Derivative Financial Assets	-	-	-	-	-	-	-	-	-
Investments	410,643,670	-	-	-	-	-	-	-	410,643,670
Overdrafts	451,659,752	451,659,752	451,659,752	451,659,752	451,659,752	1,254,610,421	1,254,610,421	1,254,610,421	6,022,130,022
Financing and Receivables to Other Customers	13,870,465,285	8,529,686,224	5,057,630,016	3,826,657,468	4,003,541,813	10,498,338,158	5,307,332,538	14,703,255,772	65,796,907,274
Non-Performing Advances	-	-	-	-	373,773,912	-	-	1,121,321,737	1,495,095,649
Other Assets	1,169,817,777	254,652,990	137,907,057	58,106,372	456,373,253	62,552,028	56,281,256	2,956,874,226	5,152,564,959
Total (a)	23,235,829,273	14,038,906,388	10,132,280,530	6,581,197,691	9,535,506,180	18,829,062,190	9,454,867,515	20,684,636,431	112,492,286,197
Outflows									
Demand Deposits	1,205,866,679	1,205,866,679	904,400,009	602,933,339	602,933,339	-	-	1,507,333,349	6,029,333,395
Savings Deposits	1,587,613,085	1,561,400,315	1,607,610,748	1,580,043,515	1,593,303,120	8,186,946,678	8,128,478,522	9,347,607,161	33,593,003,143
Balance Due to Other Banks	-	-	-	-	-	-	-	-	-
Derivative Financial Liabilities	-	-	-	-	-	-	-	-	-
Time Deposits	4,868,234,702	7,387,837,466	5,369,273,784	6,023,182,368	6,190,401,991	649,071,188	1,648,991,262	10,888,797,054	43,025,789,816
Profit Payable	41,287,553	58,112,676	45,305,024	49,372,227	50,544,185	57,377,472	63,490,874	131,406,900	496,896,911
Provisions Other than for Financing Losses and Depreciation in the Value of Investment Portfolio	1,126,047,305	17,238,731	312,528,785	128,958,714	301,549,872	729,735,610	259,929,217	236,030,015	3,112,018,249
Other Liabilities	8,328,152,070	-	-	-	-	-	-	-	8,328,152,070
Unutilised Portion of Overdraft, Financing and Receivables to Other Customers	970,560,493	1,941,120,986	2,911,681,479	2,911,681,479	2,911,681,479	-	-	-	11,646,725,916
Letters of Credit/Guarantees/Acceptances	518,816,922	375,614,921	676,334,761	603,863,363	539,604,298	127,131,925	1,380,000	-	2,842,746,190
Repo/Bills Rediscounted/ Swaps/Forward Contracts	(749,947)	(50,000,000)	(12,900,000,000)	(1,110,000,000)	4,140,000,000	5,150,000,000	-	-	(4,770,749,947)
Others	-	-	-	-	-	-	-	12,894,280,883	12,894,280,883
Total (b)	18,645,828,862	12,497,191,773	(1,072,865,410)	10,790,035,006	16,330,018,285	14,900,262,873	10,102,269,875	35,005,455,362	117,198,196,627
Gap = (a) - (b)	4,590,000,411	1,541,714,615	11,205,145,940	(4,208,837,315)	(6,794,512,105)	3,928,799,317	(647,402,360)	(14,320,818,932)	(4,705,910,430)
Cumulative Gap	4,590,000,411	6,131,715,026	17,336,860,966	13,128,023,651	6,333,511,545	10,262,310,862	9,614,908,502	(4,705,910,430)	

Maturity Gap Analysis for U.S. Dollar Denominated Assets and Liabilities as at 31 December 2021

	Up to 1 Month USD	1 - 3 Months USD	3 - 6 Months USD	6 - 9 Months USD	9 - 12 Months USD	1 - 3 Years USD	3 - 5 Years USD	Over 5 Years USD	Total USD
Inflows									
Cash in Hand	948,018	-	-	-	-	-	-	-	948,018
Balance with Central Bank of Sri Lanka	-	-	-	-	-	-	-	-	-
Balances Due from Other Banks and Financial Institutions	17,803,273	12,000,000	-	-	-	-	-	-	29,803,273
Derivative Financial Assets	-	-	-	-	-	-	-	-	-
Investments	-	-	-	-	-	-	-	-	-
Overdrafts	7,410	7,410	7,410	7,410	7,410	20,583	20,583	20,583	98,798
Financing and Receivables to Other Customers	2,692,846	2,599,872	2,173,319	1,189,775	439,999	3,098,786	888,642	(0)	13,083,237
Non-Performing Advances	-	-	-	-	-	-	-	-	-
Inter Branch Transactions	-	-	-	-	-	-	-	-	-
Other Assets	(17)	451,344	-	-	-	-	-	-	451,328
Total (a)	21,451,530	15,058,626	2,180,729	1,197,185	447,408	3,119,369	909,225	20,583	44,384,654
Outflows									
Demand Deposits	546,806	546,806	410,105	273,403	273,403	-	-	683,508	2,734,032
Savings Deposits	645,247	645,025	644,983	668,624	645,111	3,255,892	3,249,142	3,339,313	13,093,337
Balance Due to Other Banks	-	-	-	-	-	-	-	-	-
Derivative Financial Liabilities	-	-	-	-	-	-	-	-	-
Time Deposits	8,828,952	7,293,908	8,234,935	8,468,618	6,290,732	8,929	-	8,587,343	47,713,417
Net Inter-Branch Transactions	-	-	-	-	-	-	-	-	-
Profit Payable	107,190	89,883	100,537	103,451	78,527	36,964	36,786	135,032	688,370
Provisions Other than for Financing Losses and Depreciation in the Value of Investment Portfolio	287,032	-	-	-	-	33,105	-	-	320,136
Other Liabilities	(38,490,439)	-	-	-	-	-	-	-	(38,490,439)
Unutilised Portion of Overdraft, Financing and Receivables to Other Customers	-	-	-	-	-	-	-	-	-
Letters of Credit/Guarantees/Acceptances	13,851,392	7,993,561	4,903,533	177,000	-	-	-	-	26,925,486
Repo/Bills Rediscounted/Swaps/Forward Contracts	(1,157,720)	250,000	64,500,000	5,550,000	(20,700,000)	(25,750,000)	-	-	22,692,280
Others	-	-	-	-	-	-	-	2,395,291	2,395,291
Total (b)	(15,381,540)	16,819,184	78,794,093	15,241,097	(13,412,227)	(22,415,111)	3,285,928	15,140,486	78,071,909
Gap = (a) - (b)	36,833,070	(1,760,558)	(76,613,364)	(14,043,912)	13,859,636	25,534,480	(2,376,703)	(15,119,904)	(33,687,255)
Cumulative Gap	36,833,070	35,072,512	(41,540,852)	(55,584,764)	(41,725,128)	(16,190,648)	(18,567,352)	(33,687,255)	

Risk Management

Sensitivity Analysis for Local Currency Denominated Assets and Liabilities as at 31 December 2021

	Up to 1 Month LKR	1 - 3 Months LKR	3 - 6 Months LKR	6 - 12 Months LKR	1 - 2 Years LKR	2 - 3 Years LKR
Inflows						
Cash in Hand	-	-	-	-	-	-
Balance with Central Bank of Sri Lanka	-	-	-	-	-	-
Balances Due from Other Banks and Financial Institutions	73,351	4,500,000,000	4,250,000,000	6,000,000,000	-	6,750,000,000
Derivative Financial Assets	-	-	-	-	-	-
Investments	-	-	-	-	-	-
Overdrafts	6,022,130,022	-	-	-	-	-
Financing and Receivables to Other Customers	13,961,601,171	9,256,093,788	5,941,311,827	11,601,088,547	7,523,341,740	5,068,895,151
Non-Performing Advances	-	-	-	-	149,523,363	-
Fixed Assets	-	-	-	-	-	-
Accrued Profit	-	-	-	-	-	-
Other Assets	-	-	-	-	-	-
Total (a)	19,983,804,544	13,756,093,788	10,191,311,827	17,601,088,547	7,672,865,103	11,818,895,151
Outflows						
Demand Deposits	-	-	-	-	-	-
Savings Deposits	30,447,774,629	42,444,444	88,654,877	444,125,290	283,476,927	257,962,560
Time Deposits	6,141,452,271	9,529,208,931	7,328,710,430	17,369,587,838	303,051,702	763,179,334
Other Deposits	-	-	-	-	-	-
Other Borrowings/Balance Due to Other Banks	-	3,800,000,000	-	4,000,000,000	-	-
Derivative Financial Liabilities	-	-	-	-	-	-
Profit Payable	-	-	-	-	-	-
Provisions (Others)	-	-	-	-	-	-
Capital	-	-	-	-	-	-
Reserves	-	-	-	-	-	-
Retained earnings	-	-	-	-	-	-
Others (Liabilities)	-	-	-	-	-	-
FRA's	463,838,043	9,950,000,000	14,100,000,000	4,310,000,000	6,980,000,000	6,250,000,000
Total (b)	37,053,064,944	23,321,653,375	21,517,365,307	26,123,713,129	7,566,528,629	7,271,141,894
Gap = (a) - (b)	(17,069,260,399)	(9,565,559,588)	(11,326,053,480)	(8,522,624,582)	106,336,474	4,547,753,257

	3 - 4 Years LKR	4 - 5 Years LKR	5 - 7 Years LKR	7 - 10 Years LKR	10 - 15 Years LKR	15 - 20 Years LKR	Non Sensitive LKR	Total LKR
	-	-	-	-	-	-	4,724,971,224	4,724,971,224
	-	-	-	-	-	-	4,844,814,164	4,844,814,164
	-	2,545,000,000	-	-	-	-	-	24,045,073,351
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	410,643,670	410,643,670
	-	-	-	-	-	-	-	6,022,130,022
	3,825,781,234	2,473,201,750	2,221,208,748	1,796,371,881	796,007,533	109,336,092	-	64,574,239,462
	-	213,553,199	108,382,911	-	-	-	623,638,477	1,095,097,950
	-	-	-	-	-	-	2,680,816,897	2,680,816,897
	-	-	-	-	-	-	1,488,522,891	1,488,522,891
	-	-	-	-	-	-	2,472,580,668	2,472,580,668
	3,825,781,234	5,231,754,948	2,329,591,659	1,796,371,881	796,007,533	109,336,092	17,245,987,991	112,358,890,300
	-	-	-	-	-	-	6,029,333,395	6,029,333,395
	275,736,608	491,115,612	610,115,990	573,211,729	78,384,477	-	-	33,593,003,143
	1,492,953,504	-	-	-	-	-	-	42,928,144,011
	-	-	-	-	-	-	97,645,805	97,645,805
	-	-	-	-	-	-	-	7,800,000,000
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	496,896,911	496,896,911
	-	-	-	-	-	-	3,113,216,431	3,113,216,431
	-	-	-	-	-	-	6,247,615,735	6,247,615,735
	-	-	-	-	-	-	215,356,357	215,356,357
	-	-	-	-	-	-	6,731,041,564	6,731,041,564
	-	-	-	-	-	-	8,326,953,888	8,326,953,888
	-	-	-	-	-	-	-	42,053,838,043
	1,768,690,112	491,115,612	610,115,990	573,211,729	78,384,477	-	31,258,060,086	157,633,045,283
	2,057,091,122	4,740,639,336	1,719,475,669	1,223,160,153	717,623,057	109,336,092	(14,012,072,095)	(45,274,154,983)

Risk Management

Sensitivity Analysis for U.S. Dollar Denominated Assets and Liabilities as at 31 December 2021

	Up to 1 Month USD	1 - 3 Months USD	3 - 6 Months USD	6 - 12 Months USD	1 - 2 Years USD	2 - 3 Years USD
Inflows						
Cash in Hand	-	-	-	-	-	-
Balance with Central Bank of Sri Lanka	-	-	-	-	-	-
Balances Due from Other Banks and Financial Institutions	-	12,000,000	-	-	-	-
Derivative Financial Assets	-	-	-	-	-	-
Investments	-	-	-	-	-	-
Overdrafts	98,798	-	-	-	-	-
Financing and Receivables to Other Customers	2,629,732	2,599,872	2,173,319	1,629,773	2,097,035	1,001,751
Non Performing Advances	-	-	-	-	(0)	-
Fixed Assets	-	-	-	-	-	-
Accrued Profit	-	-	-	-	-	-
Other Assets	-	-	-	-	-	-
Total (a)	2,728,530	14,599,872	2,173,319	1,629,773	2,097,035	1,001,751
Outflows						
Demand Deposits	-	-	-	-	-	-
Savings Deposits	12,899,930	42	-	39,440	15,304	5,127
Time Deposits	9,462,293	8,378,843	10,536,727	19,328,878	-	-
Other Deposits	-	-	-	-	-	-
Other Borrowings/Balances Due to Other Banks	-	-	-	-	-	-
Derivative Financial Liabilities	-	-	-	-	-	-
Profit Payable	-	-	-	-	-	-
Provisions (Others)	-	-	-	-	-	-
Capital	-	-	-	-	-	-
Reserves	-	-	-	-	-	-
Retained earnings	-	-	-	-	-	-
Others (Liabilities)	-	-	-	-	-	-
FRA's	(1,157,720)	250,000	64,500,000	5,550,000	(20,700,000)	(25,750,000)
Total (b)	21,204,503	8,628,885	75,036,727	24,918,318	(20,684,696)	(25,744,873)
Gap = (a) - (b)	(18,475,973)	5,970,987	(72,863,408)	(23,288,545)	22,781,730	26,746,625

	3 - 4 Years USD	4 - 5 Years USD	5 - 7 Years USD	7 - 10 Years USD	10 - 15 Years USD	15 - 20 Years USD	Non Sensitive USD	Total USD
	-	-	-	-	-	-	948,018	948,018
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	17,744,168	29,744,168
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	98,798
	505,520	383,121	-	-	-	-	-	13,020,123
	-	(0)	(0)	-	-	-	-	(0)
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	63,634	63,634
	-	-	-	-	-	-	451,326	451,326
	505,520	383,121	(0)	-	-	-	19,207,147	44,326,068
	-	-	-	-	-	-	2,734,032	2,734,032
	19,099	27,799	43,254	42,097	1,246	-	-	13,093,337
	-	-	-	-	-	-	-	47,706,741
	-	-	-	-	-	-	6,676	6,676
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	688,370	688,370
	-	-	-	-	-	-	320,136	320,136
	-	-	-	-	-	-	(1,552,884)	(1,552,884)
	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	3,948,174	3,948,174
	-	-	-	-	-	-	(38,490,439)	(38,490,439)
	-	-	-	-	-	-	-	22,692,280
	19,099	27,799	43,254	42,097	1,246	-	(32,345,935)	51,146,423
	486,422	355,322	(43,254)	(42,097)	(1,246)	-	51,553,082	(6,820,356)

Risk Management

Liquidity Risk

Liquidity risk is the risk that the Bank is unable to meet its financial obligations in a timely manner without incurring high cost.

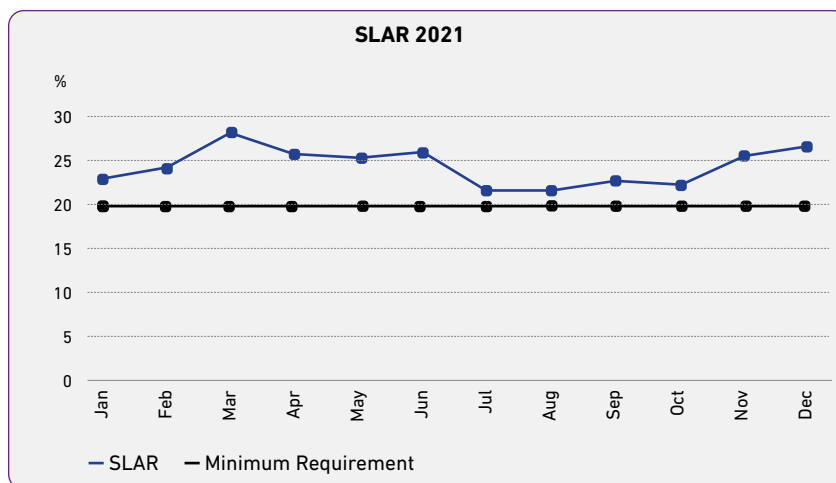
Effective liquidity risk management is essential in order to maintain the confidence of depositors and counterparties, manage cost of funds, and to enable business division to continue to generate revenue, even under adverse circumstances.

Risk Management adopted forward looking measurement as an effective risk assessment approach on the liquidity requirement. Whilst SLAR and LCR are monitored to meet regulatory requirements with adequate buffers, Risk Middle Office additionally foresees the availability of liquid funds for core banking activities.

Liquidity risk is managed within the framework of policies and limits that are approved by the BOD. The BOD receives reports on risk exposures and performance against approved limits. ALCO provides senior management oversight of liquidity risk and meets at least monthly to discuss the Bank's liquidity profile.

Adequate liquid assets are maintained by the Bank to ensure that the Statutory Liquid Assets Ratio (SLAR) is maintained in accordance with the regulatory requirements. Liquid assets defined for purposes of the liquidity ratio mainly include cash holdings, bank balances and short-term interbank deposits. The maintenance of SLAR is given below:

	2021	2020
Year-end	27%	23%
Minimum	22%	23%
Maximum	28%	35%



Liquidity Coverage Ratio (LCR)

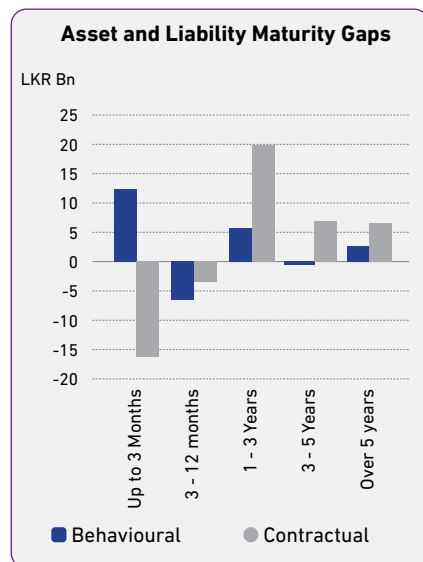
Regulations require banks to maintain LCR in respect of Rupee Liquidity for local currency operations and All Currency Liquidity for overall operations. This ratio was introduced under Basel III Liquidity Standards and CBSL expects banks to maintain a minimum ratio of 100%. However based on extraordinary regulatory measures due to Covid-19, CBSL had reduced the minimum requirement for LCR to 90% until 30 June 2021 after which it was reinstated to the original limit of 100%.

During 2021, the Bank maintained its LCR well above the minimum requirement.

	2021		2020	
	ALL CCY	LKR	ALL CCY	LKR
Year-end	118.47%	165.00%	340.28%	483.00%
Minimum	118.47%	156.00%	100.27%	97.00%
Maximum	599.91%	742.00%	450.25%	558.00%

Asset and Liability Maturity Gaps

The contractual and behavioural assets and liability maturity gaps as at end of year are indicated below:



Stress Testing

Stress testing is carried out based on Board approved stress testing guidelines and the results are reviewed by BIRMC and ALCO regularly. Stress testing is carried out for areas in relation to exchange exposure, equity portfolio and liquidity to ascertain the impact if the markets faced stressed situations.

i. Foreign Exchange

Amāna Bank's foreign exchange exposure has been stress tested using three scenarios which are based on LKR appreciating/depreciating by 10%, 15% and 20% respectively, in order to assess adverse rate movements of exchange rates, for which the result would impact upon the Capital Adequacy Ratio (CAR).

The stress testing results of exchange exposures as of 31 December 2021 are given below:

Particulars	Scenario 1	Scenario 2	Scenario 3
Adverse Change in Exchange Rate (%)	10	15	20
Net Exposure (LKR)	42,684,236	42,684,236	42,684,236
Exchange Loss (LKR)	4,268,424	6,402,635	8,536,847
Capital Funds - Dec 2021 (LKR)	13,764,883,503	13,764,883,503	13,764,883,503
Capital Adjusted for Loss (LKR)	13,760,615,079	13,758,480,868	13,756,346,656
Risk Weighted Assets - Dec 2021 (LKR)	87,952,946,716	87,952,946,716	87,952,946,716
Adjusted Risk Weighted Assets (LKR)	87,948,678,292	87,946,544,080	87,944,409,868
Revised Capital Adequacy Ratio (%)	0.16	0.16	0.16
Capital Adequacy Ratio as at 31 Dec 2021 (%)	0.16	0.16	0.16
Decline in CAR	0.00	0.00	0.00

ii. Equity Portfolio

Amāna Bank's equity portfolio has been stress tested using three scenarios which are based on a 10%, 20% and 30% reduction in equity prices, in order to assess adverse price movements of equities, for which the result would impact upon the CAR. The stress testing results of the equity portfolio as of 31 December 2021 are given below:

Particulars	Scenario 1	Scenario 2	Scenario 3
Adverse Change in Equity Price (%)	10	20	30
Market Value of Equity Portfolio (LKR)	407,351,670	407,351,670	407,351,670
Revaluation Loss (LKR)	40,735,167	81,470,334	122,205,501
Capital Funds - Dec 2021 (LKR)	13,764,883,503	13,764,883,503	13,764,883,503
Capital Adjusted for Loss (LKR)	13,724,148,336	13,683,413,169	13,642,678,002
Risk Weighted Assets - Dec 2021 (LKR)	87,952,946,716	87,952,946,716	87,952,946,716
Adjusted Risk Weighted Assets (LKR)	87,912,211,549	87,871,476,382	87,830,741,215
Revised Capital Adequacy Ratio (%)	15.61	15.57	15.53
Capital Adequacy Ratio as at 31 Dec 2021 (%)	15.65	15.65	15.65
Decline in CAR	0.04	0.08	0.12

iii. Liquidity

The Bank's ability to maintain regulatory liquidity requirements is undertaken based on stress testing due to the concentration of liquidity which could lead to the impact of large outflows due to customer withdrawals.

Risk Management

Operational Risk Management

Management of Operational Risk

Operational Risk is defined as the risk of losses resulting from inadequate or failed internal processes, people and systems or from external events, which includes legal risk. This definition excludes Strategic and Reputation Risks. Therefore, in line with Basel's risk management framework and leading practices, operational risk in the Bank comprises of the following risk types: operations risk, legal risk, regulatory compliance risk, financial crime risk, people risk, property risk, technology risk, vendor risk, financial risk and environmental risk. While the overall Operational Risk management responsibility is with RMD, different departments such as Legal, Compliance and IT manage the individual risks, which can be classified as operational risk.

Operational Risk exposure is managed through a comprehensive set of internal controls and management processes that include risk assessment (identification, description and estimation), risk evaluation, reporting, mitigation, residual risk reporting and monitoring & control associated with the Bank's business operations as an on-going activity. Operational Risk is recognised as a distinct risk category, which the Bank strives to manage within acceptable levels through sound operational risk management practices. The Bank's approach to managing Operational Risk is to adopt practices that are fit and prudent to suit the organisational maturity and relevant business environments.

Managing Operational Risk forms a part of the day to day responsibilities of management at all levels. The objectives in managing Operational Risk are to increase the efficiency and effectiveness of the Bank's resources, minimise losses and optimise opportunities. The Bank's framework defines the minimum requirements for Operational Risk management and is supported by specific policies and procedures. Business division implement the Bank's framework, policies and procedures but may customise these to better suit the Bank's unique model.

Business division/line management as the first line of defence is ultimately responsible for managing risks that arise within the scope of their respective areas. Both centralised and decentralised Operational Risk

management functions are independent from business line management and work in partnership as the second line of defence. Their role is to monitor, manage and report on risks to ensure Operational Risk exposure remains within the policy parameters as mandated by the BOD and Senior Management. These independent functions are also responsible for developing and implementing the Operational Risk management framework and for promoting sound risk management practices across the Bank. Internal Audit is the Bank's third line of defence and performs an independent review of the Operational Risk management framework, policies and practices to ensure that Operational Risk practices are adequate, comprehensive, consistent and efficiently implemented.

Operational Risk Identification



As shown in the above diagram, risk management starts with risk identification. Risks that have the potential to affect the Bank are identified through analysis of internal factors, such as key control lapses and external factors such as environmental threats.

The Bank has established different processes that identify the nature and types of Operational Risk and their causes along with resulting effects on the Bank. Proper Operational Risk identification supports the reporting and maintenance of capital for Operational Risk exposure and events, facilitates the establishment of mechanisms to mitigate or control the risks, and ensures that management is fully aware of the sources of emerging Operational Risk loss events.

Risk identification is performed at all levels of units in the Bank. Risks that have the potential to impact the Bank is identified through analysis of internal factors and external factors. Risk identification takes into consideration the following:

- ◆ risks arising from control lapses
- ◆ risks identified through root cause analysis of operational events in a timely manner
- ◆ risks arising from potentially infrequent but severe events
- ◆ risks arising from change initiatives
- ◆ external events with risk implications to the Bank

The Bank uses the following tools for Operational risk identification:

Risk Control and Self-Assessments

Risk Control and Self-Assessment (RCSA) is a structured means for a business line, supporting unit, product line or process to identify and assess its own risks and introduce measures aimed at improving risk control. It focuses on Operational Risks. In addition, the ownership of key risks - and measures introduced to mitigate unacceptable risk exposure - is clearly defined.

RCSAs will assist business and support units to self-identify and assess operational risks for certain key processes for which they are responsible. RCSA will also help to address those risks by evaluating the effectiveness of controls and, if necessary, establishing action plans to address any identified process gaps.

RCSA is conducted by staff of the Bank's unit being assessed (i.e. those who know the process best) with the guidance of the Operational Risk Management Unit. As a consequence, RCSA has been introduced to all Business and Support units of the Bank, which is regarded as an effective Operational Risk Management tool. A standardised Risk Control Self-Assessment for branches has been developed on which results of control assessment is documented. Risk Control Self-Assessment for different Head Office divisions have been formulated to proactively identify the Potential Operational Risk exposures. On-going monitoring of identified operational risk exposures through RCSA takes place via Operational Risk Management Committee. Further, regular feedback and guidance are received from

Management and Board sub Committees for continuous improvement of the RCSA process.

Key Risk Indicators

The function of Key Risk Indicators (KRI) is to allow the early detection of Operational Risk before actual failure occurs. It serves as an early warning signal for the Bank to initiate proactive controls or preventive measures for risk exposures.

Data collection, analysis and reporting of key risk indicators are carried out on a periodic basis along with root cause identification and follow-up on corrective actions. In the event of a threshold breach, it is escalated to ORMC to oversee and recommend required remedial actions. Exceptions identified through data collection are reported to BIRMC for its review. Further, a KRI dashboard covering Credit Risk, Market Risk and Operational Risk is circulated to the BIRMC for its review on a monthly basis.

New KRIs are identified based on historical data, scenarios, and potential risk exposures identified through risk assessment.

Internal Operational Risk Events and Losses

Departments report all Operational Risk events and losses to the Operational Risk Management Unit which maintains a centralised database on all internal risk events and losses (both historical and current). This data is then classified into various risk categories.

Risk Management

Loss event database is maintained in line with Basel regulations and CBSL requires the Bank to identify operational loss trends from internal loss data collection and prepare analysis for management reporting. Root cause of operational losses to facilitate control/process/system improvements are identified and monitored for resolution.

External Risk Events Data

External events which have Operational Risk implication to the Bank are monitored as a source of potential Operational Risk. Such potential External Risk events are factored in when updating contingency plans developed for Business Continuity.

New/Change Initiatives Risk Analysis

Operational risks are identified and assessed in the evaluation and implementation of new/change initiatives such as new products, strategies, strategic partnerships and projects. New and change initiatives take place with a view to enhance products and processes. Risk and Control assessment of such initiatives are taken place as per the Board Approved Policy/Procedures.

Operational Risk Assessment

All risks identified are assessed using the Operational Risk grading matrix. Risks are assigned risk grades (high, medium and low) based on the assessments of likelihood and impact of the risks. Impact is assessed qualitatively and quantitatively against the Operational Risk tolerance and limits set for the five dimensions of impacts: financial, reputational, regulatory, human resources and business disruption. The use of the said

dimensions ensures a comprehensive assessment of the impact.

The risk grades of the assessed risks reflect the status of adherence to the risk appetite of the Bank. Qualitative and quantitative methodologies and tools are applied to identify and assess operational risks and to provide management with information for determining appropriate mitigating measures.

Operational Risk Mitigation and Control

All risks must have mitigation plans established to reduce the inherent risks within the risk appetite of the Bank. Actions to mitigate or control identified risks are prioritised based on assessed impact of the risks, and are directed at the root cause of the risk. All action plans are assigned to owners. Mitigation plans are captured and progress is monitored. Risk grades are reassessed periodically to appropriately reflect changes in the environment and to monitor the progress of the mitigation plans.

There are different levels of operational controls in the Bank. The following levels of control are distinguished in this respect:

- ◆ Individual level
- ◆ Management control
- ◆ Assessments carried out by specialist units such as Internal Audit, Sharia Audit and Compliance.
- ◆ Assessments carried out by external parties (External Auditors and Supervisory Authorities).

Together, these four levels of risk control form the basis for the Operational Risk control system.

The Banking industry uses insurance as a highly developed operational risk management and mitigation tool. Insurance (Takaful) policies of the Bank are reviewed on a periodic basis and the same process is monitored by Operational Risk Management through RCSA as the use of insurance helps to transfer the risk on low frequency and high severity losses that might occur as a result of events such as fire, theft, damage to physical assets by natural disaster, etc.

Operational Risk Monitoring

The final step of the risk management process is to monitor unresolved risks until the point when the risk exposures are within the risk appetite of the Bank. This involves periodic reassessment of risk grades to capture changes in environment that may increase or decrease potential impact of the risks.

Risk reviews on new products, processes and external suppliers including outsourced service providers are undertaken by the Bank. Outsourced activities are carried out based on CBSL guidelines from the Direction on Outsourcing of Business Operations of Licensed Commercial Banks. A report on outsourced activities is submitted to CBSL on a periodical basis.

Details of Outsourced Activities

Being the pioneer of people friendly non interest based banking in Sri Lanka, the Bank has focused its efforts on its strengths and therefore is constantly exploring ways to refine its operations

whilst outsourcing non-critical areas wherever possible. With a view to streamlining the processes and activities of the Bank and to facilitate transactions that would give a competitive advantage, the Bank continued to seek outsourcing options. This process is guided by a well-defined policy on outsourcing functions and falls under the purview of Administration function of the Bank.

The implementation of the Outsourcing Policy is monitored to ensure compliance with CBSL Directive No.7 of 2010 on Outsourcing of Business Operations of Licensed Commercial Banks and related guidelines. Under the provisions of the policy, the below mentioned areas are the outsourced activities of the Bank.

Service	Basis of Payment
Corporate Web Site Maintenance	Per annum
Seizing of Vehicles	Per Service
Cash Management	Based on agreed tariff
Tax Consultancy Services	Per service transaction / Per assignment
Actuarial Services	Per assignment
Central Mail room	Number of mails processed
Data Entry	Per document
ATM /VISA PIN Mailer Stuffing	Number of mails processed
Legal Process	Per assignment
Data Centre UPS System Maintenance	Per annum
Registrars to the Bank	Monthly Fee
Bank CSIRT SLA	Per annum
CEFTS	Per annum
Cash Transportation	Transport - Per agreed rate based on the distance
Counting - Per bundle	
Cheque book printing	Per cheque book
Payroll functions	Monthly Fee
Central Alarm system	Based on agreed tariff
Archiving Documents	Per carton
Valuation of Vehicle	Based on agreed tariff
DCC Scanner Hardware Maintenance	Per annum

The Bank conducts detailed KYC and due diligence tests prior to selecting a new service provider or renewing an existing contract. A comprehensive report on all such outsourced activities is annually submitted to CBSL for their review.

Managing Operational Risks in New Product Development

A process is in place to identify the operational risks of new products along with possible mitigants prior to launch of such products. Risk management is a key aspect of product development, as the Bank thrives on innovation to deliver new products that would cater to the growing and evolving needs of Consumer, SME and Corporate customers. A Product Development Policy approved by the Board of Directors is in place that outlines the policies and activities to be undertaken in respect of Product Development.

Information Security Risk

Information Security Risk is the Risk of exposure to a threat, which arises due to the existence of vulnerabilities in information assets. Bank has initiated a holistic Data Protection programme covering Data Classification, Data Leakage Prevention, Encryption, Network Access Control, Mobile Device Management, Rights Management and Database Security solutions to protect key customer data and to prevent breaches that adversely affect the business and customers. The Bank has implemented numerous risk mitigation techniques to maintain and improve its brand value and strengthen business. The Bank has also invested on Data Protection programmes in strengthening the trust of relevant stakeholders.

Risk Management

Business Continuity Management (BCM)

As an integral component of the risk management framework, the Bank has deployed a Business Continuity Policy which enables it to plan the Business Continuity in a desired manner while identifying the critical Business division and Support units, formulating key roles with required responsibilities in order to act upon adequately in the event of a disaster. This planning is done annually fulfilling the requirement of regulatory guidelines and best practices in BCM. The Bank's Business Continuity Plan (BCP) is structured to ensure centralised monitoring & reporting and decentralised execution, which is supported by a robust governance process.

The BCPs developed are backed by infrastructure to support key services, core systems and critical business functions.

The Business Continuity Management Policy approved by the Board of Directors defined the roles and responsibilities of different divisions, departments and units of the Bank during a contingency situation. The Bank's Executive Risk Management Committee (ERMC) acts as a BCM Steering Committee that establishes appropriate strategies and processes for continuity of the Bank. The BCM Working Committee is appointed by the BCM Steering Committee to implement the BCM Policy.

The Bank gives primary importance to ensuring safety of its stakeholders. In this regard, depending on the crisis situation, Management appoints the

Incident and Crisis Management Team which is responsible for response and recovery activities. The Bank's BCP is periodically reviewed to accommodate organisational changes and ensure the Business Continuity Plan is tested minimum once a year. During the pandemic, the Bank put in place various strategies and processes such as work from home/alternate sites, remote access, video conferencing and etc. to enable continuity of critical services and operations while ensuring strict adherence to the health and safety guidelines.

Responding To the Ongoing Pandemic

As the pandemic continues to affect normalcy, the Bank's plan on systems and people readiness continues to be in place which ensured that the Bank's core operations continued with minimal interruptions, assisting internal and external stakeholders of the Bank during this challenging situation that the country is facing.

In order to ensure continuity of business and operations, staff adopted Work from Home arrangements and roster based arrangements when quarantine curfew and travel restrictions were imposed in 2021. The Bank also identifies the backup staff arrangement as a part of Business Continuity Plan in case of unavailability of a key employee.

In response to Central Bank directions issued from time to time to minimise disruptions and enhance use of digital banking channels, the required internal policies and procedures were formulated and reviewed to ensure control measures are established to safeguard the Bank and its customers.

BCP Testing/Activation Drills

The Bank's Business Continuity and Disaster Recovery operations were successfully tested in March 2021, using Disaster Recovery Servers located in the Bank's disaster recovery site. BCP testing of Critical Business Functions were conducted, while staff connected remotely to Bank's systems via VPN from home/permitted alternate locations.

Report on results of the BCP/DR Drill with business and support units, issues encountered, lessons learnt and risk mitigation measures adopted during the testing process were reported to the Regulator with the review and recommendations of BIRMC and approval of the BOD well within stipulated deadlines. Further, Internal and External Auditors evaluate the Bank's Business Continuity Plan when conducting their regular/statutory audits.

10 years
of people friendly banking

Name

Mohamed Nishard Nuha

Designation

Manager – Information Security

No. of years at Amāna Bank

7 years

Highlights

Was part of the Business Continuity Management team and involved in the Data Classification and ISO/IEC 27001 Certification projects

“The Bank has empowered me to who I am today, where I started as a Junior Executive and moved up the ladder to a managerial position. The Bank provides a learning culture which empowers all to learn and solve problems.

The learning culture has given me the ability to introduce novel solutions to improve the Bank’s information security infrastructure. Further with the assistance of the Bank’s culture, I was able to successfully complete my MBA, which in turn helped me improve efficiency in the information security function.”

Corporate Governance

Corporate Governance at the Bank

The focus on corporate governance for banks is of utmost importance given the prevailing environment for banking institutions. Improved board structures, administrative procedures and disclosure requirements would result in better governed banks, which are more likely to allocate capital efficiently and effectively.

Amāna Bank firmly believes in good corporate governance. Good corporate governance is a necessary condition above and beyond the legal and regulatory requirements, which is the system of rules, processes and practices that guide corporate behaviour. This is the foundation for financial integrity, sustainable performance and investor confidence.

The Bank's approach to governance is based on the Corporate Governance Direction No.11 of 2007 for Corporate Governance of Licensed Commercial Banks in Sri Lanka issued by the Central Bank of Sri Lanka as the chief regulator, along with the Code of Best Practices issued by Securities and Exchange Commission of Sri Lanka, jointly with The Institute of Chartered Accountants of Sri Lanka.

The Bank conducts its affairs with utmost honesty and integrity given its unwavering commitment to good corporate governance whilst being mindful of its obligations to the industry and the economy. The culture at the Bank starting right from the top management resonates such values and ensures that it prevails across the Bank. Appropriate policies are in place promoting professional ethics, anti-

corruption and transparency among the Bank's staff extending to dealings with customers and focuses on engagement of external parties during the ordinary course of business. Such policies are reviewed regularly by the Board of Directors for suitability, adequacy and effectiveness. Any improvements where necessary are implemented with updated policies.

Amāna Bank is firmly rooted in its values to ensure optimum management of compliance risk and ensure that tacit governance is practiced. This includes the need to constantly seek new avenues in ensuring that Compliance consists of going beyond mere regulatory compliance. The Bank has kept Corporate Governance at the forefront of its activities by actively and emphatically promoting ethics training, practicing and demonstrating our values in action and by recognising employees who are determined to live the Bank's values in the most coherent and cohesive manner. This includes leveraging the different platforms available to the Bank such as whistle-blowing, encouraging engagement and constructive criticisms at all levels and forums including, but not limited to, a number of We Care initiatives as well as training and awareness sessions.

The Bank's Governance Structure also addresses the complexity inherent in governance due to multiple business divisions/products available in the Bank and ensures effective co-ordination is prevalent at all times.

The Board of the Bank strives to add value in addition to achieving the basic compliance requirements and hence

discharges its oversight responsibilities very effectively and efficiently to meet the objectives of all its stakeholders. The Board Members possess a wide range of knowledge, skills and personal attributes which inculcates sound judgement, integrity and high ethical standards and more so the ability and willingness to challenge and probe into the day-to-day operational decisions of the Bank.

The Board Sub-Committees are in place to assist the Board's responsibilities with the Corporate Governance principles. The Board of Directors is fully committed to ensure that good governance is practiced right from the apex and have presented their report to shareholders on pages 162 to 168 in this Annual Report. The detailed report is set out below on Bank's compliance with the requirements of sound governance as set out by Direction No. 11 of 2007 issued by Central Bank of Sri Lanka and subsequent amendments thereof. Accordingly, during the period under review the Bank was in compliance with all of the provisions of the above direction.

Statement of External Auditors

The External Auditors have performed an audit of agreed upon procedures on the Corporate Governance Principles from 3(1) to 3(8) specified in Banking Act Direction No. 11 of 2007 and amendments thereto on Corporate Governance for Licensed Commercial Banks in Sri Lanka issued by the Central Bank of Sri Lanka.

Rule Number	Rule	Status of Compliance
3 (1)	The Responsibilities of the Board	
3 (1) (i)	The Board shall strengthen the safety and soundness of the Bank by ensuring the implementation of the following:-	
3 (1) (i) (a)	Approve and oversee the Bank's strategic objectives and corporate values and ensure that these are communicated throughout the Bank.	Complied. The strategic objective and corporate values of the Bank are incorporated in the Board approved Strategic Plan. Annual Budget has been approved by the Board and prepared based on the Strategic Plan. Strategic objectives and Corporate values are assessed at regular meetings with the Management Committee and cascaded down to all staff levels by each Management Committee member through regular meetings, briefings and discussions.
3 (1) (i) (b)	Approve the overall business strategy of the Bank, including the Risk Policy and Risk Management procedures and mechanisms with measurable goals, for at least for the next three years.	Complied. The Bank's overall Strategic Plan was prepared for the next five years which includes business strategy and measurable goals were approved by the Board subsequent to detailed deliberation. This includes the financial projections too. Board approved Integrated Risk Management (IRM) Framework includes risk management procedures, mechanism and measurable goals based on the Strategic Plan. These are monitored regularly and annually reviewed to dynamically and effectively manage the risk appetite of the Bank.
3 (1) (i) (c)	Identify the principal risks and ensure implementation of appropriate systems to manage the risks prudently.	Complied. A stringent risk management process has been established in the Risk Policy and appropriate strategies have been adopted according to Bank's risk appetite. The Board Integrated Risk Management Committee (BIRMC) uses a comprehensive dashboard to monitor the IRM Framework prudently and reports to the Board through a well-structured Risk reporting system. BIRMC Chairman's report consisting of deliberation and minutes of the BIRMC are submitted to the Board periodically. The Board has a process where Board members discuss new strategies and products in detail, which is to be introduced during the year.
3 (1) (i) (d)	Approve implementation of a policy of communication with all stakeholders, including depositors, creditors, shareholders and borrowers.	Complied. A comprehensive communication policy approved by the Board is in place. This covers the communication to all stakeholders, depositors, creditors, shareholders and clients.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (1) (i) (e)	Review the adequacy and the integrity of the Bank's internal control systems and management information systems.	Complied. Board Audit Committee (BAC) reviews the adequacy and the integrity of the Bank's internal control system and management information system (MIS) on a regular basis. The adequacy and the integrity of the Bank's internal control system and MIS are determined by the Internal Audit Department regularly who submit a report to the BAC. The Board and the BAC have examined the report for 2021 and have expressed their satisfaction on the adequacy and integrity of the MIS.
3 (1) (i) (f)	Identify and designate Officers Performing Executive Functions of Licensed Commercial Banks (LCB) as referred to in the Banking Act Determination No. 01 of 2019 on Assessment of Fitness and Propriety of Chief Executive Officer and Officers Performing Executive Functions in Licensed Banks.	Complied. The Bank has identified and designated Key Management Personnel (KMP) as per the Banking Act Determination No. 01 of 2019. The CEO, CFO, SVPs, VPs, Chief Compliance Officer, Head of Legal, Company Secretary, Chief Information Officer, Chief Internal Auditor and Chief Risk Officer have been identified as KMP as per the CBSL Guideline.
3 (1) (i) (g)	Define the areas of authority and key responsibilities for the Board Directors themselves and for Key Management Personnel.	Complied. Segregation of duties and authorities between the Board of Directors and KMPs is in place, where Directors are responsible for strategic decisions and the KMPs are responsible for carrying out the decisions. Article 29 of the Bank's Articles of Association, stipulates the authority and key responsibilities of the Board of Directors. Board approved functions and responsibilities of the CEO are in place. Key responsibilities of the KMPs are defined in the individual job description which have been submitted to the Board Nomination Committee and approved by the Board. Delegated authorities of the KMPs have been approved by the Board through the amendment to the Credit Risk Policy.

Rule Number	Rule	Status of Compliance
3 (1) (i) (h)	Ensure that there is appropriate oversight of the affairs of the Bank by Key Management Personnel that is consistent with Board's policy.	Complied. Board of Directors has oversight on the KMPs at Board and Board sub-committee meetings, where KMPs are called or present to make regular presentations to the Board on matters under their purview and explain matters relating to their concerns. All policies are also reviewed and approved by the Board, thereby ensuring appropriate Board oversight.
3 (1) (i) (i)	Periodically assess the effectiveness of the Board of Directors' own governance practices, including	Complied.
	(i) the selection, nomination and election of Directors and Key Management Personnel:	The Board Nomination Committee (BNC) is delegated with the functions of selecting, nominating and election of Directors and KMPs in line with the approved Terms of Reference (TOR) of the BNC by the Board. Further, Article 28 of the Bank's Articles of Association stipulates the appointment of the Directors.
	(ii) the management of conflicts of interest and	Article 34 of the Bank's Articles of Association cover Directors' interests and a Directors' interest register is maintained at the Board meeting. Furthermore, management of conflict of interest is covered in the Board approved Policy of Related Party transactions.
	(iii) the determination of weaknesses and implementation of changes where necessary	Bank has a self-evaluation process in place for the Board of Directors, which evaluates the Directors' own governance practices. The Company Secretary submits a summary of the self-evaluation to the Board for their review and action if necessary.
3 (1) (i) (j)	Ensure that the Board has an appropriate succession plan for Key Management Personnel	Complied. A succession plan for Key Management Personnel approved by the Board is in place.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (1) (i) (k)	Meet regularly, on a needs basis, with the Key Management Personnel to review policies, establish communication lines and monitor progress towards corporate objectives.	Complied. KMPs are called or present to make regular presentations to the Board or Board Sub-Committees relating to matters under their purview and bring up any concerns, thus, establishing communication and monitoring progress towards corporate objectives. All policies are also reviewed and approved at the Board, thereby ensuring appropriate Board oversight.
3 (1) (i) (l)	Understand the regulatory environment and ensure that the Bank maintains an effective relationship with regulators	Complied. The Company Secretary is statutorily responsible for communications with the Registrar of Companies and also furnishes the Board Orientation Pack which includes CBSL guidelines, Regulatory guidelines, determinations and rules of Corporate Governance to a new Director for his/her information, on being appointed to the Board. A web Conference on the theme of “Creating a Culture of Anti-Money Laundering & Countering the Financing of Terrorism Compliance” conducted by Finance Intelligence Unit of the Central Bank of Sri Lanka (CBSL) was arranged for Directors on 2 December 2021. The Chief Compliance Officer (CCO) submits quarterly Compliance reports to the Board through BIRMC that assists the Board to identify the regulatory environment and requirements. Furthermore, the CCO also updates the BIRMC with the latest regulatory changes on a quarterly basis which is escalated to the Board for their information. Board ensures that effective relationships with the regulators are maintained by way of active participation at the meetings with the regulators by the CEO and Board members.
3 (1) (i) (m)	Exercise due diligence in the hiring and oversight of external auditors.	Complied. The Board has delegated this process for hiring and oversight of the External Auditors to the BAC as per the approved TOR of the BAC. Furthermore, Article 46 of the Bank’s Articles of Association covers the appointment of the External Auditors who are appointed at the Annual General Meeting (AGM).

Rule Number	Rule	Status of Compliance
3 (1) (ii)	The Board shall appoint the Chairman and the Chief Executive Officer and define and approve the functions and responsibilities of the Chairman and the Chief Executive Officer in line with direction 3 (5) of these directions	Complied. The functions and responsibilities of the Chairman and CEO are appropriately defined and approved by the Board in line with Direction 3 (5). The positions of the Chairman and CEO are separated.
BOARD PROCEDURE		
3 (1) (iii)	The Board shall meet regularly and Board meetings shall be held at least twelve times a year at approximately monthly interval. Such regular Board meetings shall normally involve active participation in person of a majority of Directors entitled to be present. Obtaining the Board's consent through the circulation of written resolutions/papers shall be avoided as far as possible.	Complied. The Board ensures that it meets on a regular basis and has held twelve (12) meetings during the year. There were eight (8) circular resolutions passed for the year which were subsequently ratified by the Board.
3 (1) (iv)	The Board shall ensure that arrangements are in place to enable all Directors to include matters and proposals in the agenda for regular Board meetings where such matters and proposals relate to the promotion of business and the management of risks of the Bank.	Complied. Agenda, Minutes and Board Papers are forwarded to the Directors in line with Corporate Governance directive and Board approved procedure, which enables the Directors to raise matters related to promotion of business and the management of risk and inform such matters and proposals to the Board Secretary to include in the Board meetings.
3 (1) (v)	The Board procedures shall ensure that notice of at least 7 days is given of a regular Board meeting to provide all Directors an opportunity to attend. For all other Board meetings, reasonable notice may be given.	Complied. Board Meeting Notice and Board Papers are circulated at least 7 days prior to the Board meeting to the Directors providing them an opportunity to attend the meeting.
3 (1) (vi)	The Board procedure shall ensure that a Director, who has not attended at least two-thirds of the meetings in the period of 12 months immediately preceding or has not attended the immediately preceding three consecutive meetings held, shall cease to be a Director. Participation at the Directors' meetings through an alternative Director shall, however, be acceptable as attendance.	Complied. The Board Meetings have been duly attended and the Directors have attended the required number of the meetings during the year 2021 in accordance with the Corporate Governance code. The attendances of the Directors are set out in page 155 of the Annual Report.
3 (1) (vii)	The Board shall appoint a Company Secretary who satisfies the provisions of Section 43 of the Banking Act No 30 of 1988, whose primary responsibilities shall be to handle the secretarial services to the Board and shareholder meetings and to carry out other functions specified in the statutes and other regulations.	Complied. The Board has appointed a Company Secretary, a Fellow of the Institute of Chartered Secretaries UK and a Fellow of the Chartered Corporate Secretaries of SL who satisfies the provisions of Section 43 of the Banking Act No. 30 of 1988 (as amended).

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (1) (viii)	All Directors shall have access to advice and services of the Company Secretary with a view to ensure that Board procedures and all applicable rules and regulations are followed.	Complied. All Directors have equal opportunity to access the Company Secretary to advice and services. A Board approved policy is in place in this regard.
3 (1) (ix)	The Company Secretary shall maintain the minutes of the Board meetings and such minutes shall be open for inspection at any reasonable time, on reasonable notice by any Director.	Complied. Comprehensive minutes of the Board meetings are maintained by the Company Secretary and there is a Board approved procedure that enables all Directors to have access to such minutes as per the Corporate Governance code.
3 (1) (x)	Minutes of Board meetings shall be recorded in sufficient detail so that it is possible to gather from the minutes, as to whether the Board acted with due care and prudence in performing its duties. The minutes shall also serve as a reference for regulatory and supervisory authorities to assess the depth of deliberations at the Board meetings. Therefore, the minutes of a Board meeting shall clearly contain or refer to the following; - A summary of data and information used by the Board in its deliberations. - The matters considered by the Board. - The fact-finding discussions and the issues of contention or dissent which may illustrate whether the Board was carrying out its duties with due care and prudence. - The testimonies and confirmations of relevant executives which indicate compliance with the Board's strategies and policies and adherence to relevant laws and regulations. - The Board's knowledge and understanding of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted. - The decisions and Board resolutions.	Complied. Comprehensive Minutes of the Board meetings are recorded with sufficient details and maintained by the Company Secretary in order to enable the assessment made of the depth of the Board deliberation, decisions, matters considered by the Board and also on approval of resolutions. The Board minutes also captures the fact-finding discussions, compliance with Board's Strategies and Policies and adherence to relevant laws and regulations. The understandings of the risks to which the Bank is exposed and an overview of the Risk Management measures adopted are also captured in the Board minutes.

Rule Number	Rule	Status of Compliance
3 (1) (xi)	There shall be a procedure agreed by the Board to enable Directors, upon reasonable request, to seek independent professional advice in appropriate circumstances, at the Bank's expense. The Board shall resolve to provide separate independent professional advice to Directors to assist the relevant Director or Directors to discharge his/her/their duties to the bank.	Complied. A Board approved procedure is in place for Directors to obtain independent professional advice in appropriate circumstances, at the Bank's expense.
3 (1) (xii)	Directors shall avoid conflicts of interests, or the appearance of conflicts of interest in their activities with, and commitments to, other organisations or related parties. If a Director has a conflict of interest in a matter to be considered by the Board, which the Board has determined to be material, the matter should be dealt with at a Board meeting, where Independent Non-Executive Directors who have no material interest in the transaction, are present. Further, a Director shall abstain from voting on any Board resolution in relation to which he/she or any of his/her close relation or a concern, in which a Director has substantial interest, is interested and He/She shall not be counted in the quorum for the relevant agenda item at the Board meeting.	Complied. The Board approved Policy of Related Party Transactions includes provision to manage avoiding conflicts of interests, or the appearance of conflicts of interest, which is in accordance to the Corporate Governance Direction No. 11 of 2007. This procedure further evidences that the Director concerned is to abstain from voting and not participate in the discussion in a relationship / concern in which he has an interest. Furthermore, the Director disclosures of interest (if any) are tabled at Board meetings and a register is maintained by the Board Secretary to record such interests and recorded in the Board minutes. In line with the procedure, the Directors abstain from participating in discussions, opinion or approving situations where there is a conflict of interest. The concerned Director shall leave the room during the time of discussion and approval on the subject matter in which the Director has an interest. Such Director is not counted in the quorum.
3 (1) (xiii)	The Board shall have a formal schedule of matters specifically reserved to it for decision to ensure that the direction and control of the Bank is firmly under its authority.	Complied. The Board has a formal schedule of matters specifically reserved to the Board for its decision to ensure that the direction and control of the Bank is within the Board's authority.
3 (1) (xiv)	The Board shall, if it considers that the Bank is, or is likely to be, unable to meet its obligations or is about to become insolvent or is about to suspend payments due to depositors and other creditors, forthwith inform the Director of Bank Supervision of the situation of the Bank prior to taking any decision or action.	Complied. Such a situation has not arisen during the year 2021. The Board is aware of the requirement to inform the Director of Bank Supervision if such a situation arises at the Bank prior to taking any decision or action in this regard.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (1) (xv)	The Board shall ensure that the Bank is capitalised at levels as required by the Monetary Board in terms of the capital adequacy ratio and other prudential grounds.	Complied. The Bank is in compliance with the regulatory and prudential requirements relating to Capital Adequacy Ratio as specified by the Central Bank of Sri Lanka (CBSL). Furthermore, the Board monitors the Capital Adequacy Ratio and other prudential requirements on a monthly basis.
3 (1) (xvi)	The Board shall publish in the Bank's Annual Report, an annual corporate governance report setting out the compliance with Direction 3 of these Directions.	Complied. The Corporate Governance Report is published on pages 122 to 155 of the Annual Report.
3 (1) (xvii)	The Board shall adopt a scheme of self-assessment to be undertaken by each Director annually, and maintain records of such assessments.	Complied. The Board has a process of self-assessment of each Director which is performed by the Directors annually and is filed with the Company Secretary.
3 (2)	THE BOARD'S COMPOSITION	
3 (2) (i)	The number of Directors on the Board shall not be less than 7 and not more than 13.	Complied. The Board comprises of 11 Directors which is in line with the regulation.
3 (2) (ii)	The total period of service of a Director other than a Director who holds a position of a Chief Executive Officer shall not exceed nine years, and such period in office shall be inclusive of the total period of service served by such Director up to 1st January 2008.	Complied. During the year 2021, there were no retirement or resignations.
3 (2) (iii)	An employee of a Bank may be appointed, elected or nominated as a Director of the Bank (hereinafter referred to as an "Executive Director") provided that the number of Executive Directors shall not exceed one-third of the number of Directors of the Board. In such an event, one of the Executive Directors shall be the Chief Executive Officer of the Bank.	Complied. There are no Executive Directors on the Board, thus the Bank complies with the requirement.

Rule Number	Rule	Status of Compliance
3 (2) (iv)	The Board shall have at least three Independent Non-Executive Directors or one third of the total number of the Directors, whichever is higher. This sub-direction shall be applicable from 1st January 2010 onwards. A Non-Executive Director shall not be considered independent if he/she has; - directly and indirectly shareholdings of more than 1% of the Bank. - currently has or had during the period of two years immediately preceding his/her appointment as Director, any business transactions with the Bank as described in Direction 3 (7) hereof, exceeding 10% of the regulatory capital of the Bank. - has been employed by the Bank during the two year period immediately preceding the appointment as Director. - has a close relation who is a Director or CEO or a member of Key Management Personnel or a material shareholder of the Bank or another bank. For this purpose, a "close relation" shall mean the spouse or a financially dependent child. - represents a specific stakeholder of the Bank. - is an employee or Director or a material shareholder in a company or business organisation: - which currently has a transaction with the Bank as defined in Direction 3(7) of these Directions, exceeding 10% of the regulatory capital of the Bank, or - in which any of the other Directors of the Bank are employed or are Directors or are material shareholder; or - in which any of the other Directors of the Bank have a transaction as defined in Direction 3 (7) of these Directions, exceeding 10% of the regulatory capital of the Bank.	Complied. The Board consists of four Independent Non-Executive Directors out of a total of 11 Directors as at end December 2021, which constitute to more than one third of the total number of Directors, hence complying with the requirement.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (2) (v)	In the event an Alternate Director is appointed to represent an Independent Director, the person so appointed shall also meet the criteria that apply to the Independent Director.	Complied. No Alternative Director has been appointed to represent the Independent Directors during the year 2021.
3 (2) (vi)	Non-Executive Directors shall be persons with credible track records and/or have necessary skills and experience to bring an independent judgment to bear on issues of strategy, performance and resources.	Complied. Board Nomination Committee (BNC) has a formal documented procedure in place to appoint Non-Executive Directors to the Board, who possess the necessary skills and experience to bring an independent judgment on Bank issues and all such Board appointments have been carried out accordingly. Further, Article 28 of the Articles of Association stipulates appointment of Directors.
3 (2) (vii)	A meeting of the Board shall not be duly constituted, although the number of Directors required to constitute the quorum at such meeting is present, unless more than one half of the number of Directors present at such meeting are Non-Executive Directors.	Complied. This concern does not arise as the Board of the Bank comprises entirely of Non-Executive Directors, hence the quorum of the meeting has been in line with the Direction.
3 (2) (viii)	The Independent Non-Executive Directors shall be expressly identified as such in all corporate communications that disclose the names of Directors of the Bank. The Bank shall disclose the composition of the Board, by category of Directors, including the names of the Chairman, Executive Directors, Non-Executive Directors and Independent Non-Executive Directors in the annual corporate governance report.	Complied. The compositions of the Board by category of Directors are disclosed on page 155 and pages 25 to 29 in the Annual Report.
3 (2) (ix)	There shall be a formal, considered and transparent procedure for the appointment of new Directors to the Board. There shall also be procedures in place for the orderly succession of appointment of the Board.	Complied. Board Nomination Committee (BNC) has a formal documented procedure in place to appoint Directors to the Board, who possess the necessary skills and experience to bring an independent judgment on Bank issues and all such new Board appointment have been carried out accordingly. Further, Article 28 of the Articles of Association stipulates appointment of Directors.
3 (2) (x)	All Directors appointed to fill a casual vacancy shall be subject to election by shareholders at the first general meeting after their appointment.	Complied. Article 28 of Bank's Articles of Association covers the appointment of Directors to fill a casual vacancy and all such appointments for the year are subject to election at the next AGM.

Rule Number	Rule	Status of Compliance
3 (2) (xi)	If a Director resigns or if removed from office, the Board shall: a) Announce the Director's resignation or removal and reasons for such removal or resignation including but not limited to information relating to the relevant Director's disagreement with the Bank, if any; and b) Issue a statement confirming whether or not there are any matters that need to be brought to the attention of shareholders.	Complied. Resignations or removal of Directors are communicated to the Regulators, shareholders and CSE together with a statement confirming whether or not any matters should be brought to the attention of shareholders, including the reasons for such resignations or removal. However, there were no Retirements and Resignations during 2021.
3 (2) (xii)	A Director or an employee of a Bank shall not be appointed, elected or nominated as a Director of another bank except where such bank is a subsidiary company or an associate company of the first mentioned bank.	Complied. Such a situation has not arisen during the year 2021. None of the Directors of the Bank are Directors of another Bank. The Bank has a process to identify whether a Director of a Bank is appointed, elected or nominated as a Director of another Bank based on the affidavit obtained and submitted to CBSL annually.
3 (3)	CRITERIA TO ASSESS THE FITNESS AND PROPRIETY OF DIRECTORS In addition to provisions of Section 42 of the Banking Act No. 30 of 1988, the criteria set out below shall apply to determine the fitness and propriety of a person who serves or wishes to serve as a Director of a bank. Non-compliance with any one of the criteria as set out herein shall disqualify a person to be appointed, elected or nominated as a Director or to continue as a Director.	
3 (3) (i)	The age of a person who serves as a Director shall not exceed 70 years.	Complied. None of the Directors' age exceeds 70 years, during the year under review.
3 (3) (ii)	A person shall not hold office as a Director of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the Bank.	Complied. None of the Directors holds Directorships of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the Bank, in the year under review.

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Rule Number	Rule	Status of Compliance
3 (3) (iii)	A Director or a Chief Executive Officer of a licensed bank operating in Sri Lanka shall not be appointed as a Director or a Chief Executive Officer of another licensed bank operating in Sri Lanka before the expiry of a period of 6 months from the date of cessation of his/her office at the licensed bank in Sri Lanka. Any variation thereto in exceptional situations such as where expertise of retiring bankers may be required when reconstituting Boards of licensed banks which need restructuring, shall be subject to the prior approval of the Monetary Board. In this regard, licensed banks shall ensure to adhere to the requirement of the cooling-off period when appointing Directors or Chief Executive Officer. If a Director is appointed to the licensed bank by an appointing authority violating these Directions, the licensed bank shall take steps to prevent such appointee from exercising any powers or enjoying any privileges or benefits.	Complied. Such a situation has not arisen during the year 2021. None of the Directors of the Bank are Directors of another Bank. The Bank has a process to identify whether a Director of a Bank is appointed, elected or nominated as a Director of another Bank based on the affidavit obtained and submitted to CBSL annually.
3 (4)	MANAGEMENT FUNCTIONS DELEGATED BY THE BOARD	
3 (4) (i)	The Directors shall carefully study and clearly understand the delegation arrangements in place.	Complied. Article 31 of the Articles of Association empowers the delegation powers of the Board of Directors. Further, all delegation arrangements are approved by the Board after due consideration and are periodically reviewed to ensure that the extent of delegation addresses the needs of the Bank.
3 (4) (ii)	The Board shall not delegate any matters to the Board Committee, CEO, Executive Directors or Key Management Personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.	Complied. The Board has not delegated powers to Board Committees, CEO or Key Management Personnel, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.
3 (4) (iii)	The Board shall review the delegation process in place on a periodic basis to ensure that they remain relevant to the needs of the Bank.	Complied. The Board periodically reviews and approves the delegation arrangements in place and ensures that the extent of delegation is in accordance to the needs of the Bank based on the recommendations made by the management.

Rule Number	Rule	Status of Compliance
3 (5)	THE CHAIRMAN AND THE CHIEF EXECUTIVE OFFICER	
3 (5) (i)	The roles of the Chairman and the Chief Executive Officer shall be separated and shall not be performed by the same individual.	Complied. The roles of the Chairman and the CEO are separate and are held by two individuals appointed by the Board. Chairman provides leadership to the Board and CEO manages the day to day operations of the Bank giving effect to the strategies and policies approved by the Board.
3 (5) (ii)	The Chairman shall be a Non-Executive Director and preferably an independent Director as well. In the case where the Chairman is not an Independent Director, the Board shall designate an Independent Director as the Senior Director with suitably documented terms of reference to ensure a greater independent element. The designation of Senior Director shall be disclosed in the Bank's Annual Report	Complied. The Chairman is a Non-Executive Director. Since the Chairman is a Non-Independent Director, the Board has appointed an Independent Director, Mr. Rajiv Nandlal Dvivedi as the Senior Director. The Terms of Reference (TOR) is in place for Senior Director, recommended by the Board Nomination Committee on 18 August 2020 and approved by the Board of Directors on 26 September 2020. Designation of Senior Director is disclosed on page 25 of the Annual Report.
3 (5) (iii)	The Board shall disclose in its Corporate Governance report, which shall be an integral part of its Annual Report, the identity of the Chairman and the CEO and the nature of the relationship (including financial, business, family or other material/relevant relationship(s), if any, between the Chairman and the CEO and the relationships among members of the Board.	Complied. A process is in place to identify relationship of the Board Members and is maintained at the Board Secretary's Division. Further, the Company Secretary obtains an annual declaration from all Board Members to this effect and the Directors' interest register is updated regularly. The relationships among the Directors are given below: Family Ties - The Chairman, Mr. Ali Asghar Akbarally and Mr. Mohamed Adamaly Business Relationship - The Chairman, Mr. Ali Asghar Akbarally and Mr. Dilshan Hettiaratchi

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Rule Number	Rule	Status of Compliance
3 (5) (iv)	The Chairman shall; a) Provide leadership to the Board b) Ensure that the Board works effectively and discharges its responsibilities; and c) Ensure all key and appropriate issues are discussed by the Board in a timely manner.	Complied. A self-evaluation process is in place, which ensures that Chairman provides leadership to the Board, the Board works effectively and discharges its responsibilities and all key and appropriate issues are discussed by the Board in a timely manner.
3 (5) (v)	The Chairman shall be primarily responsible for drawing up and approving the agenda for each Board Meeting, taking into account where appropriate, any matters proposed by the other Directors for inclusion in the agenda. The Chairman may delegate the drawing up of the agenda to the Company Secretary.	Complied. The Chairman has delegated the drawing of the agenda to the Company Secretary, which is drawn in consultation / approval with the Chairman.
3 (5) (vi)	The Chairman shall ensure that all the Directors are properly briefed on issues arising at Board meetings and also ensure that Directors receive adequate information in a timely manner.	Complied. The Board papers are forwarded to the Board members 7 days prior to the meeting and the Chairman ensures that the Board is adequately briefed and informed of all matters arising at the Board. Further, minutes of the previous Board meeting are distributed to the Board members and tabled at the next Board meeting for confirmation.
3 (5) (vii)	The Chairman shall encourage all the Directors to make a full and active contribution to the Board's affairs and take the lead to ensure that the Board acts in the best interest of the Bank.	Complied. The Chairman encourages all Directors to make full and active contribution to the affairs of the Bank. This requirement is addressed in the self-evaluation process where all Directors disclose their full and active contribution to the affairs of the Bank based on their field of expertise.
3 (5) (viii)	The Chairman shall facilitate the effective contribution of Non-Executive Directors in particular and ensure constructive relations between Executive and Non-Executive Directors.	Complied. The Chairman ensures that the Non-Executive Directors actively contribute to make decisions at the Board. Further, the self-evaluation process is evident that the Non-Executive Directors assess the contributions made by them to the Bank.
3 (5) (ix)	The Chairman shall not engage in activities involving direct supervision of Key Management Personnel or any other executive duties whatsoever.	Complied. The Chairman is a Non-Executive Director and does not get directly involved in the supervision of KMPs or any other executive duties.

Rule Number	Rule	Status of Compliance
3 (5) (x)	The Chairman shall ensure that appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board.	Complied. The Chairman ensures effective communication with the shareholders at the AGM, which is the main forum where the Board discusses shareholders' issues.
3 (5) (xi)	The CEO shall function as the apex executive-in-charge of the day-to-day management of Bank's operations and business.	Complied. The CEO functions as the apex executive-in-charge of the day-to-day management of Bank's operations and business.
3 (6)	BOARD APPOINTED COMMITTEES	
3 (6) (i)	Each Bank shall have at least four Board committees as set out in the following Direction; 3(6)(ii) –Audit Committee 3(6)(iii) – Human Resources and Remuneration Committee 3(6)(iv) – Nomination Committee 3(6)v) – Integrated Risk Management Committee	Complied. The Board has established the following mandatory Board Sub-Committees as per regulatory requirement: 1. Board Audit Committee (BAC) 2. Board Human Resources and Remuneration Committee (BHRRC) 3. Board Nomination Committee (BNC) 4. Board Integrated Risk Management Committee (BIRMC). In addition the Board has also appointed Board Credit Committee, Board Related Party Transactions Review Committee, Board Technology Committee and Board Capital Raising and Investment Committee.
	Each Committee shall report directly to the Board	Reports / Minutes of the above Committees are submitted to the Board for discussion and ratification at the monthly Board meetings.
	Each Committee shall appoint a Secretary to arrange the meetings and maintain, minutes, records etc. under the supervision of the Chairman of the Committee.	Each Committee has appointed a Secretary to arrange the meetings and maintain minutes under the supervision of the Chairman of the Sub-Committees.
	The Board shall present a report of the performance on each Committee, on their duties and roles at the Annual General meeting.	Report of each Board Committee is presented in the Annual Report. Refer pages 170 to 180 of the Annual Report.
3 (6) (ii)	Audit Committee	
3 (6) (ii) (a)	The Chairman of the committee shall be an Independent Non-Executive Director who possesses qualifications and experience in accounting and/or audit.	Complied. The Chairman of the BAC is a Non-Executive, Independent Director who is a Fellow and Council Member of the Institute of Chartered Accountants of Sri Lanka and possesses the required qualifications and experience.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (6) (ii) (b)	All members of the committee shall be Non-Executive Directors.	Complied. All members of the BAC are Non-Executive Directors.
3 (6) (ii) (c)	The committee shall make recommendations on matters in connection with; a) The appointment of external auditor for audit services to be provided in compliance with the relevant statutes; b) The implementation of the Central Bank guidelines issued to auditors from time to time; c) The application of the relevant accounting standards; and d) The service period, audit fees and any resignation or dismissal of the auditor, provided that the engagement of the Audit partner shall not exceed five years, and that the particular Audit partner is not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term.	Complied. The appointment of External Auditors for audit services is in compliance with the relevant statutes as recommended by the BAC. The BAC has discussed the implementation of the CBSL guidelines issued to the External Auditors from time to time and any issues raised by the External Auditors in line with CBSL guidelines have been responded accordingly. The BAC reviews, discusses and makes recommendations where necessary in relation to the application of the relevant accounting standards at least on a quarterly basis. All matters related to the service period of the Engagement Partner are discussed and recommendations made where necessary. The BAC reviews and recommends to the Board with regard to the audit fees.
3 (6) (ii) (d)	The committee shall review and monitor the external auditor's independence and objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.	Complied. The External Auditor's scope, objectivity and the effectiveness of the audit process carried out has been discussed by the BAC and is in accordance with the applicable SLAuS. The External Auditor's independence is evidenced through the Engagement Letter and their reports presented to the BAC directly.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (e)	The committee shall develop and implement a policy on the engagement of an external auditor to provide non-audit services that are permitted under the relevant statutes, regulations, requirements and guidelines. In doing so, the committee shall ensure that the provision by an external auditor of non-audit services does not impair the external auditor's independence or objectivity. When assessing the external auditor's independence or objectivity in relation to the provision of non-audit services, the committee shall consider: (i) whether the skills and experience of the audit firm make it a suitable provider of the non-audit services; (ii) whether there are safeguards in place to ensure that there is no threat to the objectivity and/or independence in the conduct of the audit resulting from the provision of such services by the external auditor; and (iii) whether the nature of the non-audit services, the related fee levels and the fee levels individually and in aggregate relative to the audit firm, pose any threat to the objectivity and/or independence of the external auditor.	Complied. A policy on engagement of the External Auditors to provide non-audit services recommended by the BAC was approved by the Board of Directors and is in place. This policy is duly followed whenever the firm providing audit services to the Bank is considered for awarding a non-audit service.
3 (6) (ii) (f)	The committee shall, before the audit commences, discuss and finalise with the external auditors the nature and scope of the audit, including: (i) an assessment of the Bank's compliance with the relevant Directions in relation to corporate governance and the management's internal controls over financial reporting; (ii) the preparation of financial statements for external purposes in accordance with relevant accounting principles and reporting obligations; and (iii) the co-ordination between firms where more than one audit firm is involved.	Complied. The BAC has discussed in detail and finalized the nature and scope of the audit with the External Auditors in accordance with the SLAuS on their presentation of the financial statement audit plan for the year ended 31 December 2021, outlining the scope and deliverable of their engagement.

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Rule Number	Rule	Status of Compliance
3 (6) (ii) (g)	The committee shall review the financial information of the Bank, in order to monitor the integrity of the financial statements of the Bank, its annual report, accounts and quarterly reports prepared for disclosure and the significant financial reporting judgments contained therein. In reviewing the Bank's annual report and accounts and quarterly reports before submission to the Board, the committee shall focus particularly on; (i) Major judgemental areas (ii) Any changes in accounting policies and practices (iii) Significant adjustments arising from the audit (iv) The going concern assumption; and (v) The compliance with relevant accounting standards and other legal requirements.	Complied. The BAC has a process to review and discuss the quarterly financial statements, year-end audited financial statements and reports for disclosure that are presented by the CFO. Such financial statements are recommended by the BAC for approval of the Board of Directors
3 (6) (ii) (h)	The committee shall discuss issues, problems and reservations arising from the financial audit, and any matters the auditor may wish to discuss including those matters that may need to be discussed in the absence of the Key Management personnel, if necessary.	Complied. The Committee has met with the External Auditors twice in the year 2021, in the absence of the executive management to discuss issues, problems and reservation arising from the financial audit.
3 (6) (ii) (i)	The committee shall review the external auditor's management letter and the management's response thereto.	Complied. The Committee has reviewed the External Auditor's Management Letter and the management's response thereto.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (j)	The committee shall take the following steps with regard to the internal audit function of the Bank; (i) Review the adequacy of the scope, functions and resources of the internal audit department, and satisfy itself that the department has the necessary authority to carry out its work; (ii) Review the internal audit programme and results of the internal audit process and, where necessary, ensure that appropriate actions are taken on the recommendations of the internal audit department; (iii) Review any appraisal or assessment of the performance of the head and senior staff member of the internal audit department; (iv) Recommend any appointment or termination of the head, senior staff members and outsourced service providers to the internal audit function; (v) Ensure that the committee is appraised of resignations of senior staff members of the internal audit department including the Chief Internal Auditor and any outsourced service providers, and to provide an opportunity to the resigning senior staff members and outsourced services providers to submit reasons for resigning; (vi) Ensure that the internal audit function is independent of the activities it audits and that it is performed with impartiality, proficiency and due professional care;	Complied. The BAC reviews and approves the Internal Audit Plan beginning of the year, which cover the scope and resource requirement relating to audit plan and satisfy itself that the Internal Audit Department (IAD) has the necessary authority to carry out its work. The BAC also monitors the Internal Audit function and the progress made by IAD against the internal audit plan. Internal Audit Programmes are discussed by the BAC as part of the review of the Internal Audit Policy Manual. Further, Internal Audit Scope and Findings related to specific engagements are discussed by the BAC on an on-going basis. The Committee also monitors whether appropriate actions are taken by the management based on the IAD recommendations as well as on further actions which are sanctioned by the BAC. The Performance appraisal of the Chief Internal Auditor and the senior staff member were carried out by the BAC on 10 February 2022. There were no appointments or termination of the Head or any Senior Staff members during the year 2021. There were no resignations related to the Chief Internal Auditor or Senior Staff members of IAD during the year 2021. IAD is an independent function reporting directly to the BAC. The audits are performed with impartiality, proficiency and due professional care.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (6) (ii) (k)	The committee shall consider the major findings of internal investigation and management's responses thereto.	Complied. The BAC discusses in detail the major findings of internal investigation and management's responses thereto are also discussed with suitable action points agreed upon and recorded in the minutes of the BAC meetings.
3 (6) (ii) (l)	The CFO, CIA and a representative of the External Auditors may normally attend meetings. Other Board members and the CEO may also attend meetings upon invitation of the committee. However, at least twice a year, the committee shall meet the External Auditors without the Executive Directors being present.	Complied. The CEO, CFO, CIA and a representative of the External Auditors attend meetings regularly. Other Senior Management personnel have attended meetings by invitation as appropriate. The BAC met the External Auditors twice during the year 2021 in the absence of all members of the Executive Management. Currently, there are no Executive Directors on the Board.
3 (6) (ii) (m)	The committee shall have (i) Explicit authority to investigate into any matter within its terms of reference; (ii) The resources which it needs to do so; (iii) Full access to information; and (iv) Authority to obtain external professional advice and invite outsiders with relevant experience and attend, if necessary.	Complied. The Board approved Terms of Reference of the BAC covers the requirements as stipulated.
3 (6) (ii) (n)	The committee shall meet regularly, with due notice of issues to be discussed and shall record its conclusions in discharging its duties and responsibilities.	Complied. The BAC has had seven meetings in the year 2021 and all conclusions are recorded comprehensively in the minutes.
3 (6) (ii) (o)	The Board shall disclose in an informative way, (i) Details of the activities of the audit committee; (ii) The number of audit committee meetings held in the year; and (iii) Details of attendance of each individual Director at such meetings.	Complied. The Board has disclosed the required information in pages 170 to 172 in the Annual Report.
3 (6) (ii) (p)	The Secretary of the Committee (who may be the Company Secretary or the head of Internal Audit function) shall record and keep detailed minutes of the meetings.	Complied. The Chief Internal Auditor has been appointed as the Secretary to the BAC who maintains detailed minutes of all meetings.

Rule Number	Rule	Status of Compliance
3 (6) (ii) (q)	The committee shall review arrangements by which employees of the bank may, in confidence raise concerns about possible improprieties in financial reporting, internal control or other matters. Accordingly, the committee shall ensure that proper arrangements are in place for the fair and independent investigation of such matters and for appropriate follow-up action and to act as the key representative body for overseeing the bank's relations with the external auditor.	Complied. The Board approved 'Whistle Blowing' policy is in place which covers the processes in place to report any improprieties in financial reporting, internal control or other matters in a confidential/anonymous manner, fair and independent investigation of such matters and appropriate follow-up action. The BAC is the key representative body for overseeing the Bank's relations with the External Auditors.
3 (6) (iii)	Human Resource And Remuneration Committee	
3 (6) (iii) (a)	The committee shall determine the remuneration policy (salaries, allowances and other financial payments) relating to Directors, CEO and Key Management Personnel of the Bank.	Complied. The Board approved benefit policy determines the remuneration relating to Directors, CEO and Key Management Personnel of the Bank.
3 (6) (iii) (b)	The committee shall set goals and targets for the Directors, CEO and Key Management Personnel.	Complied. The BHRRC has discussed and approved the goals and targets of each KMP for the year 2022 aligned to the Strategic Plan. The BHRRC has agreed that the 2022 Business Plan be considered as the KPI for the CEO. Board approved goals and targets for Directors are in place.
3 (6) (iii) (c)	The committee shall evaluate the performance of the CEO and Key Management Personnel against the set targets and goals periodically and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.	Complied. The BHRRC has assessed the evaluation of the performance of the CEO and the KMPs against the goals and targets set out for the year 2021.
3 (6) (iii) (d)	The CEO shall be present at all meetings of the committee, except when matters relating to the CEO are being discussed.	Complied. The CEO was not present at meetings when matters relating to the CEO were being discussed. The Board approved Terms of Reference of the BHRRC addresses this rule.

Corporate Governance

Rule Number	Rule	Status of Compliance				
3 (6) (iv)	Nomination Committee					
3 (6) (iv) (a)	The committee shall implement a procedure to select/appoint new Director, CEO and Key Management Personnel.	Complied. The Board has reviewed and approved the policy / procedure on selection and appointment of new members to the Board, Chairman and CEO and on the recommendation of the Board Nomination Committee (BNC) on 18th August 2020. Accordingly, Board has approved the following appointment with the recommendation of the BNC during 2021. <table><tr><th>Key Management Personnel</th><th>Approved on</th></tr><tr><td>Miss P. S. Watson</td><td>4 June 2021</td></tr></table>	Key Management Personnel	Approved on	Miss P. S. Watson	4 June 2021
Key Management Personnel	Approved on					
Miss P. S. Watson	4 June 2021					
3 (6) (iv) (b)	The committee shall consider and recommend (or not recommend) the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.	Complied. The Committee has considered the services rendered by the existing Directors and recommended the re-appointment accordingly for the year 2021.				
3 (6) (iv) (c)	The committee shall set criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions.	Complied. A Board approved eligibility criteria for appointment or promotion to the post of CEO and KMPs are in place. All such appointments are recommended by the BNC and subsequently approved by the Board.				
3 (6) (iv) (d)	The committee shall ensure that Directors, CEO and Key Management Personnel are fit and proper persons to hold office as specified in the criteria given in Direction 3 (3) and as set out in the Statutes.	Complied. The Directors', CEO's and Key Management Personnel's affidavits and declarations were submitted to BNC during the year 2021 for recommendation prior to submitting to the Central Bank of Sri Lanka for approval to ensure that the Directors, CEO and Key Management Personnel are fit and proper persons to hold office. Further, fit and proper certificate from Central Bank of Sri Lanka has been obtained for all appointments of Directors and KMP.				

Rule Number	Rule	Status of Compliance								
3 (6) (iv) (e)	The committee shall consider and recommend from time to time, the requirement of additional/ new expertise and the succession arrangements for retiring Directors and Key Management Personnel.	Complied. Policy & Procedure approved by the Board is in place for the appointment of new Directors. BNC has considered the requirements for succession arrangements for Directors and KMPs during the year 2021. The Succession Plan for the Management Committee has been reviewed and recommended by the BNC and subsequently approved by the Board.								
3 (6) (iv) (f)	The committee shall be chaired by an Independent Director and preferably be constituted with a majority of Independent Directors.	Complied. The Committee is Chaired by an Independent Director and comprises of three Independent Directors and two Non-Independent Directors.								
	The CEO may be present at the meeting by invitation.	The CEO is present at meetings only by invitation.								
3 (6) (v)	Integrated Risk Management Committee									
3 (6) (v) (a)	The committee shall consist of at least three Non-Executive Directors, CEO and Key Management Personnel supervising Board risk categories, i.e., credit, market, liquidity, operational and strategic risks.	Complied. The BIRMC consists of 5 Non-Executive Directors, CEO and CRO who satisfy the said criteria.								
	The committee shall work with Key Management Personnel very closely and make decisions on behalf of the Board within the framework of the authority and responsibility assigned to the committee.	Further, Key Management Personnel are called or present to make regular presentations to the Committee on matters under their purview and explain matters relating to their subject.								
3 (6) (v) (b)	The committee shall assess all risks, i.e., credit, market, liquidity, operational and strategic risks to the Bank on a monthly basis through appropriate risk indicators and management information.	Complied. BIRMC assesses the risk profile of the Bank through the use of dashboards which is circulated on a monthly basis. This dashboard which covers the below mentioned risks are shared with BIRMC members: <table><tr><td>◆ Credit Risk</td><td>◆ Rate Risk</td></tr><tr><td>◆ Market Risk</td><td>◆ Concentration Risk</td></tr><tr><td>◆ Liquidity Risk</td><td>◆ Strategic Risk</td></tr><tr><td>◆ Operational Risk</td><td></td></tr></table>	◆ Credit Risk	◆ Rate Risk	◆ Market Risk	◆ Concentration Risk	◆ Liquidity Risk	◆ Strategic Risk	◆ Operational Risk	
◆ Credit Risk	◆ Rate Risk									
◆ Market Risk	◆ Concentration Risk									
◆ Liquidity Risk	◆ Strategic Risk									
◆ Operational Risk										
	In the case of subsidiary companies and associate companies, Risk Management shall be done, both on a bank basis and group basis.	Not applicable as the Bank does not have any subsidiaries or associate companies.								

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (6) (v) (c)	The committee shall review the adequacy and effectiveness of all management level committees, such as the credit committee and asset-liability committee to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the committee.	Complied. The BIRMC reviews the adequacy and effectiveness of the management committees under its purview, namely ERM, ALCO and ECC1. The committee ensures that the Executive Risk Management Committee, Asset & Liability Management Committee and Executive Credit Committee under BIRMC are functioning adequately and effectively, through reviewing the TOR of the sub committees and the key functions of the committees which are evaluated and reviewed through the IRMF review by the BIRMC annually.
3 (6) (v) (d)	The committee shall take prompt corrective action to mitigate the effects of specific risks in the case such risks are at levels beyond the prudent levels decided by the committee on the basis of the Bank's policies and regulatory and supervisory requirements.	Complied. Risks are monitored and reviewed by the BIRMC through the dashboard on the risk tolerance/appetite and considered all risk indicators which are negative to the prudent limits decided by the committee on the basis of the Bank's policies, regulatory and supervisory requirements and corrective actions are taken promptly for any deviations to mitigate the effects.
3 (6) (v) (e)	The committee shall meet at least quarterly to assess all aspects of Risk Management including updated business continuity plans.	Complied. The Committee has met four times during the year 2021 and reviewed all aspect of risk Management. Detailed updates on the major risks such as Credit Risk, Market Risk, Liquidity Risk and Operational Risk were reviewed. The business continuity plan that was adopted during the pandemic has been strengthen and new scenarios were tested during the BCP drill conducted in year 2021. The section on the Recovery plan as required by the CBSL has been included in the IRM framework. The requirement was discussed at a BIRMC meeting in detail as this would enable the Bank to recover from any stress and shock to maintain the continuity of business of any of the critical functions of the Bank.

Rule Number	Rule	Status of Compliance
3 (6) (v) (f)	The committee shall take appropriate action against the officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the committee, and/or as directed by the Director of Bank Supervision.	Complied. The Bank's specific risks and the limits are identified by the relevant committees. As such the decisions are taken collectively. Amongst its other processes, the Bank has a mechanism through which risk tools such Stress Testing, KRI, RCSA are used to measure and identify risks proactively. These tools have been used effectively and have now been incorporated as key components for the performance evaluation of the Senior Management thereby strengthening the process of accountability.
3 (6) (v) (g)	The committee shall submit a risk assessment report within a week of each meeting to the Board seeking the Board's views, concurrence and/or specific directions.	Complied. The BIRMC Chairman's report contains a Risk assessment, which is submitted at the subsequent Board meeting informing the BIRMC's deliberations and decisions and seeking the Board's views, concurrence and/or for specific directions.
3 (6) (v) (h)	The committee shall establish a compliance function to assess the Bank's compliance with laws, regulations, regulatory guidelines, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from Key Management Personnel shall carry out the compliance function and report to the committee periodically.	Complied. An independent compliance function has been established, headed by a dedicated Compliance Officer to assess and ensure the Bank's compliance with laws, regulations and regulatory guidelines and reports to the BIRMC regularly through a comprehensive quarterly compliance status report. The Compliance function performs monthly / quarterly independent verification and testing for compliance with CBSL requirements. The Compliance function also assesses the Bank's internal controls and policies on all areas of business operations.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (7)	RELATED PARTY TRANSACTIONS	
3 (7) (i)	The Bank shall take necessary steps to avoid any conflicts of interest that may arise from any transaction of the Bank with any person, and particularly with the following categories of persons who shall be considered as “related parties” for the purpose of this Direction; a) Any of the Bank’s subsidiary companies; b) Any of the Bank’s associate companies; c) Any of the Directors of the Bank; d) Any of the Bank’s Key Management Personnel; e) A close relation of any of the Bank’s Directors or Key Management Personnel; f) A shareholder owning a material interest in the Bank. g) A concern in which any of the Bank’s Directors or a close relation of any of the Bank’s Directors or any of its material shareholders has a substantial interest.	Complied. The Board takes necessary steps in line with the Banking Act, Corporate Governance Direction and the Bank’s Policy on Related Party Transactions to avoid any conflicts of interest that may arise from any transaction of the Bank with its related parties. A Board approved Policy on Related Party Transactions is in place which manages the conflict of interest that may arise from any transactions of the Bank. The Board Related Party Transaction Review Committee meets quarterly to identify and review such transactions.
3 (7) (ii)	The type of transactions with related parties that shall be covered by this Direction shall include the following: a) The grant of any type of accommodation, as defined in the Monetary Board’s Directions a maximum amount of accommodation. b) The creation of any liabilities of the Bank in the form of deposits, borrowings and investments. c) The provision of any services of a financial or non-financial nature provided to the Bank or received from the Bank. d) The creation or maintenance of reporting lines and information flows between the Bank and any related parties which may lead to the sharing of potentially proprietary, confidential or otherwise sensitive information that may give benefits to such related parties.	Complied. The Board approved Policy on Related Party Transactions covers types of specific related parties and related party transactions as noted in the Direction to avoid any conflicts of interest that may arise from any related party transactions.

Rule Number	Rule	Status of Compliance
3 (7) (iii)	The Board shall ensure that the Bank does not engage in transactions with related parties as defined in Direction 3 (7) (i) above, in a manner that would grant such parties 'more favourable treatment' than that accorded to other constituents of the Bank carrying on the same business. In this context, 'more favourable treatment' shall mean and include treatment, including the; a) Granting of "total net accommodation" to related parties, exceeding a prudent percentage of the Bank's regulatory capital, as determined by the Board. For purposes of this sub-direction; i) "Accommodation" shall mean accommodation as defined in the Banking Act Directions, No 7 of 2007 on Maximum Amount of Accommodation. ii) The "total net accommodation" shall be computed by deducting from the total accommodation, the cash collateral and investments made by such related parties in the Bank's share capital and debt instruments with a maturity of 5 years or more. b) Charging a lower rate than the Bank's best lending rate or paying more than the Bank's deposit rate for a comparable transaction with an unrelated comparable counterparty. c) Providing of preferential treatment, such as favourable terms, covering trade losses and/or waiving fees/commissions that extend beyond the terms granted in the normal course of business undertaken with unrelated parties. d) Providing services to or receiving services from a related-party without an evaluation procedure. e) Maintaining reporting lines and information flows that may lead to sharing potentially proprietary, confidential or otherwise sensitive information with related parties, except as required for the performance of legitimate duties and functions.	Complied. Please refer comment in 3 (7) (i) and 3 (7) (ii) above. The formal policy approved by the Board on Related Party Transactions enhances transparency and contains provisions of this rule to ensure compliance. Further, to strengthen the corporate governance of the Bank, the Board Related Party Transactions Review Committee reviews the related party transactions in line with the policy to avoid any 'favourable treatment' granted to such parties.

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (7) (iv)	The Bank shall not grant any accommodation to any of the Directors or to a close relation of such Director unless such accommodation is sanctioned at a meeting of its Board of Directors, with not less than two-thirds of the number of Directors other than the Director concerned, voting in favour of such accommodation. This accommodation shall be secured by such security as may from time to time be determined by the Monetary Board as well.	Complied. Any accommodation granted to related party is approved at the Board meetings with not less than 2/3 of the number of Directors other than the Directors concerned, voting for such accommodation granted as per the Board approved Policy on Related Party Transactions. All accommodation granted to KMPs of the Bank are subject to staff financing schemes of the Bank.
3 (7) (v)	a) Where any accommodation has been granted by a bank to a person or a close relation of a person or to any concern in which the person has a substantial interest, and such person is subsequently appointed as a Director of the Bank, steps shall be taken by the Bank to obtain the necessary security as may be approved for that purpose by the Monetary Board, within one year from the date of appointment of the person as a Director. b) Where such security is not provided by the period as provided in Direction 3(7)(v)(a) above, the Bank shall take steps to recover any amount due on account of any accommodation, together with interest, if any within the period specified at the time of the grant of accommodation or at the expiry of a period of eighteen months from the date of appointment of such Director, whichever is earlier. c) Any Director who fails to comply with the above sub-directions shall be deemed to have vacated the office of a Director and the Bank shall disclose such fact to the public. d) The sub-direction, however, shall not apply to a Director who at the time of grant of the accommodation was an employee of the Bank and the accommodation was granted under a scheme applicable to all employees of the Bank.	Complied. The Bank did not encounter such a situation during the year under review.

Rule Number	Rule	Status of Compliance
3 (7) (vi)	The Bank shall not grant any accommodation or 'more favourable treatment' relating to the waiver of fees and/or commissions to any employee or a close relation of such employee or to any concern in which the employee or close relation has a substantial interest other than on the basis of a scheme applicable to the employees of the Bank or when secured by security as may be approved by the Monetary Board in respect of accommodation granted as per Direction 3(7)(v) above.	Complied. The Bank has a process in the RPT system to capture KMPs transactions, as and when such transactions take place. Additionally, such transactions are verified by the relevant authorities (Finance Division). No accommodation was granted to any employees or to any concern in which the employee or close relation has a substantial interest on more 'favourable treatment' other than on the basis of a scheme applicable to the employees of the Bank or when secured by security as may be approved by the Monetary Board in respect of accommodation granted as per Direction 3(7)(v) above.
3 (7) (vii)	No accommodation granted by the Bank under Direction 3(7)(v) and 3(7)(vi) above, nor any part of such accommodation, nor any interest due thereon shall be remitted without the prior approval of the Monetary Board and any remission without such approval shall be void and of no effect.	Complied. The Bank did not encounter such a situation during the year under review.
3 (8)	DISCLOSURE	
3 (8) (i)	The Board shall ensure that; a) Annual audited statements and quarterly financial statements are prepare and published in accordance with the formats prescribed by the supervisory and regulatory authorities and applicable accounting standards and that b) Such statements are published in the newspapers in an abridged form, in Sinhala, Tamil and English.	Complied. Annual audited financial statements and quarterly financial statements are prepared and published in accordance with the regulatory requirements and as per the accounting standards. Financial statements are published in all three languages.

Corporate Governance

Rule Number	Rule	Status of Compliance																		
3 (8) (ii)	The Board shall ensure that the following minimum disclosures are made in the Annual Report;	Complied.																		
	a) A statement to the effect that the annual audited financial statements have been prepared in line with applicable accounting standards and regulatory requirements, inclusive of specific disclosures.	Refer Statement of Directors' Responsibility, on pages 181 and 182.																		
	b) A report by the Board on the Bank's internal control mechanism that confirms that the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements.	Refer Directors' Statement on Internal Control over Financial Reporting on pages 159 and 160.																		
	c) To obtain the External Auditor's certification on the effectiveness of the internal control mechanism referred to in Direction 3(8)(ii)(b) above.	Refer 'Independent Assurance Report on Directors' Statement on Internal Control over Financial Reporting' on pages 161 and 162.																		
	d) Details of Directors, including names, qualifications, age, experience fulfilling the requirements of the guidelines fitness and propriety, transactions with the Bank and the total of fees/remuneration paid by the Bank.	Refer Profiles of Directors, on pages 25 to 29.																		
<table> <tr> <th>Transactions with the Bank</th><th>2021 LKR</th><th>2020 LKR</th></tr> <tr> <td>a) Financing and Receivables:</td><td>NIL</td><td>NIL</td></tr> <tr> <td>b) Financing Income:</td><td>NIL</td><td>NIL</td></tr> <tr> <td>c) Deposits:</td><td>NIL</td><td>78,389,411</td></tr> <tr> <td>d) Financing Expenses:</td><td>NIL</td><td>2,819,647</td></tr> <tr> <td>e) Commitment and Contingencies:</td><td>NIL</td><td>NIL</td></tr> </table>			Transactions with the Bank	2021 LKR	2020 LKR	a) Financing and Receivables:	NIL	NIL	b) Financing Income:	NIL	NIL	c) Deposits:	NIL	78,389,411	d) Financing Expenses:	NIL	2,819,647	e) Commitment and Contingencies:	NIL	NIL
Transactions with the Bank	2021 LKR	2020 LKR																		
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c) Deposits:	NIL	78,389,411																		
d) Financing Expenses:	NIL	2,819,647																		
e) Commitment and Contingencies:	NIL	NIL																		
Total fees/remuneration paid by the Bank: Refer Note 13 to the Financial Statements on page 221.																				

Rule Number	Rule	Status of Compliance																				
3 (8) (ii) (Contd...)	e) Total net accommodation as defined in 3(7)(iii) granted to each category of related parties. The net accommodation granted to each category of related parties shall also be disclosed as a percentage of the Bank's regulatory capital.	<table><tr><th>Category of Related Parties</th><th>Total Net Accommodation (LKR)</th><th>% of Regulatory Capital</th></tr><tr><td>Directors of the Bank</td><td>NIL</td><td>NIL</td></tr><tr><td>KMPs</td><td>141,290,197</td><td>1.0%</td></tr><tr><td>A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest</td><td>NIL</td><td>NIL</td></tr><tr><td>A close relation of any of the Bank's Directors or Key Management Personnel</td><td>NIL</td><td>NIL</td></tr><tr><td>Material Shareholder</td><td>NIL</td><td>NIL</td></tr></table>	Category of Related Parties	Total Net Accommodation (LKR)	% of Regulatory Capital	Directors of the Bank	NIL	NIL	KMPs	141,290,197	1.0%	A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	NIL	NIL	A close relation of any of the Bank's Directors or Key Management Personnel	NIL	NIL	Material Shareholder	NIL	NIL		
Category of Related Parties	Total Net Accommodation (LKR)	% of Regulatory Capital																				
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A concern in which any of the Bank's Directors or a close relation of any of the Bank's Directors or any of its material shareholders has a substantial interest	NIL	NIL																				
A close relation of any of the Bank's Directors or Key Management Personnel	NIL	NIL																				
Material Shareholder	NIL	NIL																				

Corporate Governance

Rule Number	Rule	Status of Compliance
3 (8) (ii) (Contd...)	f) The aggregate values of remuneration paid by the Bank to its Key Management Personnel and the aggregate values of the transactions of the Bank with its Key Management Personnel, set out by Board categories such remuneration paid, accommodation granted and deposits or investments made in the Bank.	Nature of Transaction KMPs (LKR) Remuneration: 204,297,989 Accommodation granted: 141,290,197 Deposits: 84,192,296
	g) To obtain the External Auditor's certification of the compliance with these Corporate Governance Directions.	The Bank has obtained External Auditor's certification on compliance with these Corporate Governance Directions. Board confirms that all the findings of the 'Factual Findings Report' of auditors have been incorporated in the Corporate Governance Report.
	h) A report setting out details of the compliance with prudential requirements, regulations, laws and internal controls and measures taken to rectify any material non-compliance.	Refer Bank's Compliance with Prudential Requirements, on pages 156 to 158.
	i) A statement of the regulatory and supervisory concerns on lapses in the Bank's risk management, or non-compliance with these Directions that have been pointed out by the Director of Bank Supervision, if so directed by the Monetary Board to be disclosed to the public, together with the measures taken by the Bank to address such concerns.	The Director of Bank Supervision or the Monetary Board has not directed the Bank to disclose any non-compliance issues to the public.

Attendance of Directors During 2021

Name of Director	Main Board		Board Audit Committee		Board Credit Committee		Board Nomination Committee		Board Integrated Risk Management Committee		Board Human Resources and Remuneration Committee		Board Related Party Transactions Review Committee		Board Technology Committee	
	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility	Participated	Eligibility
Mr. Ali Asghar Akbarally ¹	10	12	-	-	7	7	0	2	-	-	-	-	-	-	-	-
Mr. Rajiv Nandlal Dvivedi ²	10	12	6	7	-	-	2	2	4	4	-	-	4	4	-	-
Mr. Dilshan Hettiaratchi ⁴	9	12	-	-	7	7	2	2	-	-	-	-	4	4	-	-
Mr. Aaron Russell-Davison ⁴	11	12	6	7	-	-	-	-	2	2	-	-	3	4	-	-
Mr. Mohammed Ataur Rahman Chowdhury ³	12	12	7	7	-	-	2	2	4	4	-	-	-	-	1	2
Mr. Syed Muhammed Asim Raza ³	11	12	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Khairul Muzamel Perera Bin Abdullah ³	11	12	-	-	-	-	-	-	2	2	-	-	-	-	-	-
Mr. Tishan Subasinghe ⁴	12	12	7	7	-	-	2	2	3	4	-	-	4	4	2	2
Mr. Omar Kassim ³	11	12	3	3	-	-	-	-	-	-	-	-	-	-	2	2
Mr. Paul Mercer ³	12	12	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Mr. Mohamed Adamaly ³	11	12	-	-	7	7	-	-	-	-	-	-	-	-	-	-

Please refer profiles of Board of Directors from pages 25 to 29 for additional details.

1 - Chairman, Non-Executive, Non-Independent Director

2 - Non-Executive, Independent Senior Director

3 - Non-Executive, Non-Independent Director

4 - Non-Executive, Independent Director

Bank's Compliance with Prudential Requirements

Amāna Bank has in place an independent Compliance function headed by the Chief Compliance Officer (CCO) who is a Key Management Personnel (KMP).

The Bank places the highest importance in its endeavour to ensure optimum management of compliance risk and prudential requirements. In this regard, the Board of Directors has formulated a Compliance Policy that sets out the functions of the CCO and the framework for Compliance function.

Compliance Policy ensures compliances to the extensive laws, rules and regulations, codes of conduct, guidelines issued by regulatory supervisors and self-regulatory standards that the Bank has adopted and thereby ensuring compliance while discharging its normal business activities.

The functions and activities of Compliance are critical to the overall health of the Bank's business and as such the Compliance Division's key performance benchmarks are independent of direct business profitability targets. The CCO directly reports on compliance concerns to the Board Integrated Risk Management Committee (BIRMC). The BIRMC provides proper and timely guidance in maintaining the status of compliance with regulatory requirements. This also involves ensuring compliance in systems and procedures.

The Compliance Division's responsibilities include the facilitation of the day-to-day challenges in the interpretation and understanding of

regulations; proactively take initiatives to highlight common industry-wide compliance concerns, operations and administration of activities are in alignment with laws and regulations pertaining to the banking standards and develop a Compliance culture by emphasising on standards of honesty and integrity.

The Compliance Division, additionally addresses effective Compliance Management across the Bank with the support and coordination of the Chief Executive Officer (CEO) and Senior Management in order to adhere to the Policies and Processes of the Bank. The division continuously engages with the Management Committee and the executive management to oversee and assess the level of compliance by obtaining management confirmations and where necessary initiating corrective action. Additionally, the division also reviews the level of Compliance to statutory requirements and the internal procedures at branches and other divisions based on periodic reviews conducted by Compliance staff. All exceptions identified during the reviews are escalated to either the Executive Risk Management Committee, BIRMC or the Board of Directors and followed up to ensure that corrective action is taken as appropriate.

The Compliance Division functions as a key working area focusing and ensuring long term success and sustainability of the Bank by creating an improved compliance culture starting right from the top and across the Bank.

Monitoring of Compliance

The Compliance Division is entrusted with the task of protecting the Bank from potential losses both financial and reputational that may arise as a result of the Bank not adhering to laws, regulations, rules or prescribed practices applicable to the Bank.

The Compliance Division carries out annual Bank-wide risk assessment function focusing on adherence to laws, regulations and regulatory guidelines. The Division is entrusted with the responsibility of monitoring these requirements on an ongoing basis. The Compliance function takes an overview approach in this and monitors the compliance with statutory requirements through process assurances obtained from relevant divisional heads, based on the sign-off given by the heads of business divisions on quarterly Compliance reports, and focuses on exception reports to follow-up on non-compliance issues. In addition, the Compliance Division also carries out regular reviews dependent upon the severity of the potential impact of the risk event. A quarterly Compliance report is submitted to the Board of Directors and BIRMC in this respect, which covers:

- ◆ Compliance with statutory/ mandatory reporting requirements
- ◆ Status of Compliance with the key Compliance requirements under the Directions issued by the Central Bank of Sri Lanka
- ◆ Significant non-compliance events, if any
- ◆ Regulatory/potential breaches, if any

Anti-Money Laundering (AML) Compliance

The Bank has established a robust framework for AML Compliance based on relevant laws enacted by the Government of Sri Lanka to combat money laundering/terrorist financing and in line with the rules governing the conduct of all account relationships issued by Financial Intelligence Unit (FIU) of the Central Bank of Sri Lanka. A separate manual for AML/CFT has been approved by the Board of Directors and is reviewed periodically in line with new rules enacted by the FIU. The Compliance function makes optimal use of the automated AML system to manage AML/CFT risks.

The Compliance Division has taken steps from the inception of the Bank to address the Bank's Compliance with regulations such as Know Your Customer (KYC) and AML functions going beyond mere regulatory Compliance. Appropriate mechanisms have been devised by the Division to identify and assess the regulatory Compliance requirements which are then disseminated to the business/operations divisions on a regular basis.

Compliance Division pays special attention towards monitoring and reporting of suspected money laundering transactions which include large and structured transactions reported by the business divisions and carries out investigation to ensure adherence to the Financial Transaction Reporting Act (FTRA).

Training programmes are carried out for all staff periodically to ensure that all employees are adequately aware of the

regulatory requirements for combatting money laundering/terrorist financing.

Product Responsibility

The Product Development Committee, comprising representatives from various disciplines of the Bank, ensures that all new products and services introduced and any changes to the Bank's existing products conform to the applicable laws and regulations and reflect ethical practices.

The Compliance Division plays a key role in product development to ensure legal and regulatory Compliance. Therefore, Compliance Division along with the Legal Division ensures that all new product structures are cleared for regulatory and legal compliance within the normal regulatory and legal framework of the country.

Customer Charter

The corporate website publishes expected deposit rates, financing rates, exchange rates and tariffs and charges. The procedure for comments, complaints and suggestions is also set out on the website. The same has been displayed at branches including contact details of officials of the Bank and the Financial Ombudsman, who can also be informed in the event efforts made by the Bank prove unsatisfactory to the client.

Capacity Building on Compliance

Capacity building on Compliance through various internal and external training forms a critical building block of the Bank's Compliance plan, to instill an organisation wide compliance culture. Internal training and orientation for new recruits include training modules

on Compliance. Existing and new staff are provided training throughout the year to ensure that well-trained staff members are present at all branches and divisions.

Some of the key training programmes that were conducted during the year included:

- ◆ A Compliance Forum which was held for all staff as a refresher training on AML/CFT aspects and Sanction screening
- ◆ A web conference conducted by the Financial Intelligence Unit (FIU) for Directors and Key Management Personnel of Financial Institutions
- ◆ The introduction of five e-learning modules as part of the Bank's ongoing efforts of enhancing staff awareness and updating them on various regulations, which was made compulsory for all staff. This served as an alternative to the physical sessions which were curtailed due to Covid-19 restrictions.

Technology Driven Compliance

While most initiatives are taken to comply with various regulations, the Banking Act and the subsequent Directions issued by CBSL in this regard, the Bank constantly seeks to ensure that measures taken go well beyond mere compliance to meet the foreseeable threats in this rapidly evolving aspect. Banks are facing an ever-changing and increasing set of uncertainties while striving to create value and enhance reputation. These uncertainties are developing more quickly than ever, in ways that are less predictable and carry the potential to

Bank's Compliance with Prudential Requirements

shift from risk to opportunity or crisis, rapidly. Given the increase of the debit card base and transaction volumes, the risk of fraudulent usage is likely to be on the rise and more exposed to unauthorised transactions given that in the current environment there is a shift towards online purchases and e-commerce transactions especially given the prevailing situation.

The Bank, during the year budgeted to initiate a One-Time Password (OTP) mechanism for all Card-Not-Present (CNP) transactions. This provides additional security and minimal unauthorised or fraudulent usage of debit cards online. This will ensure peace of mind to cardholders as it will be mandatory to use the OTP for such transactions which will only be sent to the cardholder's mandated number.

Corporate Governance Compliance

The Bank's approach to governance is based on the Corporate Governance Direction No.11 of 2007 for Corporate Governance for Licensed Commercial Bank in Sri Lanka issued by the Central Bank as the regulator and Code of Best Practices issued by Securities and Exchange Commission of Sri Lanka, jointly with The Institute of Chartered Accountants of Sri Lanka.

The Board of Directors is fully committed to ensure that good governance is practiced and responsible for developing an effective framework. Accordingly, during the period under review the Bank was in compliance to all of the provisions of the above directions.

Directors' Statement on Internal Control Over Financial Reporting

Responsibility

In line with the Banking Act Direction No. 11 of 2007, section 3(8)(ii)(b), the Board of Directors present this report on Internal Control over Financial Reporting.

The Board of Directors ("Board") is responsible for the adequacy and effectiveness of the internal control mechanism in place at Amāna Bank PLC, ("the Bank"). In considering such adequacy and effectiveness, the Board recognises that the business of banking requires reward to be balanced with risk on a managed basis and as such the internal control systems are primarily designed with a view to highlighting any deviations from the limits and indicators which comprise the risk appetite of the Bank. In this light, the system of internal controls can only provide reasonable, but not absolute assurance, against material misstatement of financial information and records or against financial losses or fraud.

The Board has established an ongoing process for identifying, evaluating and managing the significant risks faced by the Bank and this process includes enhancing the system of internal control over financial reporting as and when there are changes to the business environment or regulatory guidelines. The process is regularly reviewed by the Board and accords with the Guidance for Directors of Banks on the Directors' Statement on Internal Control issued by the Institute of Chartered Accountants of Sri Lanka. The Board has assessed the internal control over financial reporting taking into account principles for the assessment of internal control system as given in that guidance.

The Board is of the view that the system of internal controls over financial reporting in place is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes is in accordance with relevant accounting principles and regulatory requirements.

The Management assists the Board in the implementation of the Board's policies and procedures on risk and control by identifying and assessing the risks faced, and in the design, operation and monitoring of suitable internal controls to mitigate and control these risks.

Key Features of the Process Adopted in Applying in Reviewing the Design and Effectiveness of the Internal Control System Over Financial Reporting

The key processes that have been established in reviewing the adequacy and integrity of the system of internal controls with respect to financial reporting include the following:

- ◆ Various Committees are established by the Board to assist the Board in ensuring the effectiveness of the Bank's daily operations and that the Bank's operations are in accordance with the corporate objectives, strategies and the annual budget as well as the policies and business directions that have been approved.
- ◆ The Internal Audit Department of the Bank checks for compliance with policies and procedures and the effectiveness of the internal control systems on an ongoing basis using samples and rotational procedures

and highlight significant findings in respect of any non-compliance. Audits are carried out on all units and branches, the frequency of which is determined by the level of risk assessed, to provide an independent and objective report. The annual Audit Plan is reviewed and approved by the Board Audit Committee. Findings of the Internal Audit Department are submitted to the Board Audit Committee for review at their periodic meetings.

- ◆ The Board Audit Committee of the Bank reviews internal control issues identified by the Internal Audit Department, the External Auditors, regulatory authorities and the Management; and evaluates the adequacy and effectiveness of the risk management and internal control systems. They also review the internal audit functions with particular emphasis on the scope of audits and quality of the same. The minutes of the Board Audit Committee meetings are forwarded to the Board on a periodic basis. Further details of the activities undertaken by the Board Audit Committee of the Bank are set out in the Board Audit Committee Report on pages 170 to 172.
- ◆ In assessing the internal control system over financial reporting, identified officers of the Bank collated all procedures and controls that are connected with significant accounts and disclosures of the financial statements of the Bank. These in turn were observed and checked by the Internal Audit Department for suitability of design and effectiveness on an ongoing basis.

Directors' Statement on Internal Control Over Financial Reporting

- ◆ The Bank further strengthened its internal control processes to ensure that the impacts on Covid-19 on impairment provisions were captured in a timely and reasonably accurate manner as part of financial reporting. The Management pro-actively identified the risks emanating from remote working environment of employees due to the pandemic including risks relating to Information and Cyber security as well as operational preparedness and effectiveness and ensured that necessary controls are in place to manage such risks, to an acceptable level.
- ◆ The comments made by the External Auditors in connection with internal control system over financial reporting in previous years were reviewed during the year and appropriate steps have been taken to rectify them.

Confirmation

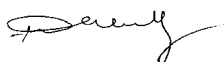
Based on the above processes, the Board confirms that the financial reporting system of the Bank has been designed to provide a reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes and has been done in accordance with Sri Lanka Accounting Standards and regulatory requirements of the Central Bank of Sri Lanka.

Review of the Statement by External Auditors

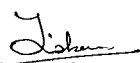
The External Auditors, Messrs Ernst & Young, have reviewed the above Directors Statement on Internal Control over Financial Reporting included in the Annual Report of the Bank for the

year ended 31 December 2021 and reported to the Board that nothing has come to their attention that causes them to believe that the statement is inconsistent with their understanding of the process adopted by the Board in the review of the design and effectiveness of the internal control over financial reporting of the Bank. Their Report on the Statement of Internal Control over Financial Reporting is given on pages 161 and 162 of this Annual Report.

By Order of the Board,



Ali Asghar Akbarally
Chairman



Tishan Subasinghe
Chairman – Board Audit Committee

19 February 2022
Colombo

Independent Assurance Report on Directors' Statement on Internal Control Over Financial Reporting



Ernst & Young
Chartered Accountants
201, De Saram Place
P.O. Box 101
Colombo 10, Sri Lanka

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Fax (Gen): +94 11 269 7369
Fax (Tax): +94 11 557 8180
Email: eysl@lk.ey.com
ey.com

HMAJ/UM/TW

INDEPENDENT ASSURANCE REPORT TO THE BOARD OF DIRECTORS OF AMĀNA BANK PLC

Report on the Director's Statement on Internal Control

We were engaged by the Board of Directors of Amāna Bank PLC ("Bank") to provide assurance on the Directors' Statement on Internal Control over Financial Reporting ("Statement") included in the annual report for the year ended 31 December 2021.

Management's Responsibility

Management is responsible for the preparation and presentation of the Statement in accordance with the "Guidance for Directors of Banks on the Directors' Statement on Internal Control" issued in compliance with section 3(8)(ii)(b) of the Banking Act Direction No. 11 of 2007, by the Institute of Chartered Accountants of Sri Lanka.

Our Independence and Quality Control

We have complied with independence and other ethical requirement of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behavior.

The firm applies Sri Lanka Standard on Quality Control 1 and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Our Responsibilities and Compliance with SLSAE 3050 (Revised)

Our responsibility is to assess whether the Statement is both supported by the documentation prepared by or for directors and appropriately reflects the

process the directors have adopted in reviewing the design and effectiveness of the internal control of the Bank.

We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements (SLSAE) 3050 (Revised), Assurance Report for Banks on Directors' Statement on Internal Control, issued by the Institute of Chartered Accountants of Sri Lanka.

This Standard required that we plan and perform procedures to obtain limited assurance about whether Management has prepared, in all material respects, the Statement on Internal Control.

For purpose of this engagement, we are not responsible for updating or reissuing any reports, nor have we, in the course of this engagement, performed an audit or review of the financial information.

Partners: H M A Jayasinghe FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, W R H De Silva FCA ACMA, Ms. Y A De Silva FCA, Ms. K R M Fernando FCA ACMA, N Y R L Fernando ACA, W K B S P Fernando FCA FCMA, Ms. L K H L Fonseka FCA, D N Gamage ACA ACMA, A P A Gunasekera FCA FCMA, A Herath FCA, D K Hulangamuwa FCA FCMA LLB (London), Ms. A A Ludowyke FCA FCMA, Ms. G G S Manatunga FCA, A A J R Perera ACA ACMA, Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA, B E Wijesuriya FCA FCMA, C A Yalagala ACA ACMA

Principals: G B Goudian ACMA, Ms. P S Paranavitane ACMA LLB (Colombo), T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

Independent Assurance Report on Directors' Statement on Internal Control Over Financial Reporting



Summary of Work Performed

We conducted our engagement to assess whether the Statement is supported by the documentation prepared by or for directors; and appropriately reflected the process the directors have adopted in reviewing the system of internal control over financial reporting of the Bank.

The procedures performed were limited primarily to inquiries of bank personnel and the existence of documentation on a sample basis that supported the process adopted by the Board of Directors.

SLSAE 3050 (Revised) does not require us to consider whether the Statement covers all risks and controls or to form an opinion on the effectiveness of the Bank's risk and control procedures. SLSAE 3050 (Revised) also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Bank, the event or transaction in respect of which the Statement has been prepared.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

Our Conclusion

Based on the procedures performed, nothing has come to our attention that causes us to believe that the Statement included in the annual report is inconsistent with our understanding of the process the Board of Directors has adopted in the review of the design and effectiveness of internal control over financial reporting of the Bank.

A handwritten signature in black ink, appearing to be 'E. Uy', is written over a horizontal line.

19 February 2022
Colombo

Annual Report of the Board of Directors on the Affairs of the Bank

1. GENERAL

Your Directors have pleasure in presenting their Annual Report on the State of Affairs, together with the Audited Financial Statements for the year ended 31 December 2021. Amāna Bank PLC, a licensed commercial bank was incorporated under the Companies Act No. 07 of 2007 as a public limited liability company in Sri Lanka under the registration number PB 3618. It was listed in the Colombo Stock Exchange on 29 January 2014 and re-registered under the Companies Act No. 07 of 2007 under the registration number PB 3618 PQ on 28 August 2014. Amāna Bank PLC is a licensed commercial bank under the Banking Act No. 30 of 1988 and amendments thereto and commenced commercial operations on 1 August 2011.

The Annual Report has been prepared in conformity with the requirements of the Companies Act No 07 of 2007, the Banking Act No. 30 of 1988 (as amended), Banking Act Direction No. 11 of 2007 on Corporate Governance for Licensed Commercial Banks and subsequent amendments thereto, the Listing Rules of the Colombo Stock Exchange and the recommended best practice on Corporate Governance.

The Financial Statements reviewed and recommended by the Board Audit Committee was approved by the Board on 19 February 2022 along with this report.

The Bank has been assigned a National Long Term Rating of BB+(Ika) with a Stable Outlook by Fitch Ratings Lanka Limited.

The Registered Office and the Corporate Office of the Bank is located at No. 486, Galle Road, Colombo 3, Sri Lanka.

2. PRINCIPAL ACTIVITIES

The principal activities of the Bank are the provision of commercial banking and related services.

3. COMPLIANCE AND CORPORATE GOVERNANCE FOR LICENSED COMMERCIAL BANKS IN SRI LANKA

The Board of Directors of the Bank has adopted a comprehensive policy on compliance and in accordance with the regulations of the Central Bank of Sri Lanka (CBSL) has established an independent compliance function in respect of statutory requirements and CBSL Directions relating to licensed commercial banks. Further, in accordance with the provisions of the Financial Transaction Reporting Act No. 06 of 2006, the Board has appointed a Compliance Officer at Senior Management level in charge of compliance of the Bank. The Bank has also a Compliance Policy and Guideline on Know Your Customer (KYC) and Anti Money Laundering (AML). The Compliance Division monitors the compliance of the statutory requirements of the Bank and a report is submitted to the Board Integrated Risk Management Committee, Board Audit Committee and the Board of Directors on a quarterly basis ensuring the Bank complies with all such requirements.

4. REVIEW OF OPERATIONS

The Financial and Operational performance of the Bank and the important events that took place during the year under review is contained in the Chairman's Message, Chief

Executive Officer's Review and the Management Discussion and Analysis of the Annual Report. These reports form an integral part of the Annual Report of the Board of Directors.

5. FINANCIAL STATEMENTS

5.1 Compliance

The Financial Statements of the Bank have been prepared in accordance with the Sri Lanka Accounting Standards (SLRFS and LKAS) laid down by the Institute of Chartered Accountants Sri Lanka and comply with the requirements of Companies Act No. 07 of 2007 and Banking Act No. 30 of 1988 (as amended) inclusive of specific disclosures.

In terms of Section 150(1) (b) & (c) the Financial Statements for the year ended 31 December 2021 has been duly signed by two Directors on the certification of the Chief Financial Officer and Chief Executive Officer of the Bank.

5.2 Auditors' Report

The Auditors' of the Bank, Messrs Ernst & Young, Chartered Accountants, carried out the Audit for the financial year ended 31 December 2021 and their report on those financial statements are given on pages 192 to 195 of the Annual Report.

5.3 Significant Accounting Policies

The Significant Accounting Policies adopted in the preparation of the Financial Statements are given on pages 201 to 215 of the Annual Report.

Annual Report of the Board of Directors on the Affairs of the Bank

5.4 Financial Results and Comprehensive Income

5.4.1 Financing Income

The Financing Income of the Bank for the period under review was LKR 7,674,186,731 (2020 - LKR 7,211,643,435) and an analysis of the Financing Income is given in Note 4 to the Financial Statements.

5.4.2 Profits and Comprehensive Income

A breakdown of the Profits and Comprehensive Income of the Bank is given below:

Financial Results	2021 LKR	2020 LKR
Net Operating Income	4,014,050,309	3,720,033,808
Total Operating Expenses	(2,569,405,274)	(2,565,418,009)
Operating Profit Before Value Added Tax on Financial Services	1,444,645,035	1,154,615,799
Value Added Tax on Financial Services	(363,632,453)	(393,167,272)
Profit Before Tax	1,081,012,582	761,448,527
Tax Expenses	(256,314,684)	(297,753,065)
Profit for the Year	824,697,898	463,695,462
Other Comprehensive Income/(Loss) for the Year Net of Tax	346,757,887	150,214,857
Total Comprehensive Income for the Year	1,171,455,785	613,910,319

6. DIVIDENDS

6.1 Interim Scrip Dividend

An Interim Scrip Dividend of 10 cents per share was declared and paid in October 2021 for the financial year ended 31 December 2021. Prior to the declaration, the Board of Directors signed a Certificate in terms of Section 56(2) of the Companies Act No. 07 of 2007 stating that in their opinion and based on the information available the Bank will satisfy the solvency test immediately after the distribution is made and have obtained a Certificate from the Auditors in terms of Section 57 of the Companies Act No. 07 of 2007.

7. PROVISION FOR TAXATION

Income Tax payable by the Bank has been duly provided for in the Financial Statements, under existing tax legislations and in conformity with Sri Lanka Accounting Standards.

8. PROPERTY, PLANT, EQUIPMENT AND RIGHT-OF-USE ASSETS

Details of the property, plant, equipment and right-of-use assets of the Bank, additions made during the year and the depreciation charges for the year are shown in Note 26 to the Financial Statements.

9. STATED CAPITAL

The Stated Capital of the Bank as at 31 December 2021 is LKR 11,079,706,011 comprising of 2,691,151,194 ordinary shares (2020 - LKR 10,819,561,398 comprising 2,601,446,155 Ordinary Shares). The movement in the Bank's Ordinary Share capital is given below:

Issued Capital (No. of Shares)

Balance as at 31 December 2020	Interim Scrip Dividend Issue	Balance as at 31 December 2021
2,601,446,155	89,705,039	2,691,151,194

The details of the stated capital are given in Note 36 to the Financial Statements on pages 241 of the Annual Report.

10. RESERVES

The Total Reserves (including Statutory Reserves) as at the end of the financial year was LKR 2,558,828,124 (2020 – LKR 1,647,716,952). The movement of Reserves is indicated under the Statement of Changes in Equity in the Financial Statements on page 199 of the Annual Report.

11. DONATIONS

During the year under review, the Bank made donations amounting to LKR 2,070,233 (2020 – LKR 980,371).

12. DIRECTORATE

The Board is the highest decision making authority of the Bank and is responsible for leadership and strategic direction, whilst the Management Committee is responsible for daily operations and implementing effective internal controls.

The Board and Management work with mutual trust, respect and understanding of their respective roles, thus bringing a productive and harmonious environment conducive to effective Corporate Governance.

The Board comprises of 11 Directors, as at 31 December 2021, with the desired Board Balance and consist of eminent professionals in their respective fields with skills and expertise, to constructively deliberate on matters presented to the Board. Collectively they combine expertise in accounting, banking and finance, business and

entrepreneurial management, investor and regulatory perspective and law and also bring in independent judgement to bear on matters reserved for the Board.

12.1 Board Process

Based on a schedule of meeting dates agreed at the beginning of the year, the Board meets at least every calendar month in addition to other meetings convened for specific purposes.

The Chairman is responsible for determining the Agenda which is prepared with the assistance of the Company Secretary and circulated with relevant Board Papers via 'Board Pac' to the Directors. Minutes of deliberations and decisions are maintained in sufficient detail.

The Board plays an active role in strategy formulation by providing direction to the Management on the preparation of the Bank's five year Strategic Plan. This process was further enhanced by Brainstorming Sessions of the Management Committee and its outcome incorporated into the Plan which was then presented to the Board for approval.

There were no changes to the Directorate during the year under review and the following were the Directors of Amāna Bank PLC as at 31 December 2021:

Name	Designation/Capacity
Mr. Ali Asghar Akbarally	Chairman, Non-Executive, Non Independent Director
Mr. Rajiv Nandlal Divedi	Non-Executive, Independent Senior Director
Mr. Dilshan Hettiaratchi	Non-Executive, Independent Director
Mr. Aaron Russell-Davison	Non-Executive, Independent Director
Mr. Mohammed Aatur Rahman Chowdhury	Non-Executive, Non Independent Director
Mr. Syed Muhammed Asim Raza	Non-Executive, Non Independent Director
Mr. Khairul Muzamel Perera Bin Abdullah	Non-Executive, Non Independent Director
Mr. Tishan Subasinghe	Non-Executive, Independent Director
Mr. Paul Mercer	Non-Executive, Non Independent Director
Mr. Omar Kassim	Non-Executive, Non Independent Director
Mr. Mohamed Adamaly	Non-Executive, Non Independent Director

12.2 Recommendation for Re-election of Directors Retiring by Rotation

In terms of Article 29(6) of the Articles of Association of the Bank, Mr. Dilshan Hettiaratchi, Mr. Aaron Russell-Davison and Mr. Omar Kassim retires by rotation at the forthcoming Annual General Meeting of the Bank and offer themselves for re-election.

Annual Report of the Board of Directors on the Affairs of the Bank

The Board Nomination Committee and the Board of Directors have pleasure in recommending their re-election.

12.3 DIRECTORS' EMOLUMENTS

The Directors' remuneration in respect of the Bank for the financial year ended 31 December 2021 is given in Note 13 to the Financial Statements which represents the emoluments paid to the Non-Executive Directors of the Bank.

12.4 Interest Register/Directors' Interest in Contracts

As at 31 December 2021, none of the Directors had interests in contracts with the Bank, other than those disclosed in Note 46 to the Financial Statements.

The Bank has maintained an Interest Register as required by the Companies Act No. 07 of 2007. We wish to confirm that all Directors have made general declarations as required by the Sections 192 (1) and (2) of the Companies Act No. 07 of 2007. This Annual Report contains the particulars of the entries made in the Interest Register in addition to the following in terms of Section 168(1) e of the Companies Act No. 07 of 2007.

Tishan Subasinghe

- ◆ Appointed as a member of the Advisory Committee of CBSL for failed finance companies with effect from October 2021.
- ◆ Appointed as a Non-Executive Director of Kapruka Holdings Limited with effect from 17 November 2021.

The share ownership of Directors is disclosed below. The Interest Register is available for inspection by shareholders or their authorised representatives as required by the Section 119 (1) (d) of the Companies Act No. 07 of 2007.

12.5 Directors' Investments in Shares

The shareholdings of Directors who held office as at 31 December 2021 were as follows.

Name of Director	Number of Shares Held	Percentage of Shareholding (%)
Mr. Ali Asghar Akbarally	Nil	Nil
Mr. Rajiv Nandlal Divedi	Nil	Nil
Mr. Dilshan Hettiaratchi	Nil	Nil
Mr. Aaron Russell-Davison	Nil	Nil
Mr. Mohammed Ataur Rahman Chowdhury	Nil	Nil
Mr. Syed Muhammed Asim Raza	Nil	Nil
Mr. Khairul Muzamel Perera Bin Abdullah	Nil	Nil
Mr. Tishan Subasinghe	Nil	Nil
Mr. Paul Mercer	Nil	Nil
Mr. Omar Kassim	Nil	Nil
Mr. Mohamed Adamaly	Nil	Nil

Mr. Mohamed Azmeer – Chief Executive Officer of the Bank held 519,999 Ordinary Shares as at 1 January 2021 and was entitled to a Scrip Dividend of 17,930 Ordinary Shares during the period under review. The CEO's shareholding as at 31 December 2021 was 537,929 Ordinary Shares.

13. INVESTOR INFORMATION

13.1 Shareholding

There were 7,883 registered shareholders as at 31 December 2021. The following details relating to investor information is given on pages 302 to 306 of the Annual Report.

1. Distribution of Shareholders
2. Resident and Non-Resident Shareholding
3. Individual and Institutional Shareholders
4. Twenty Major Shareholders

13.2 Share Information

Information relating to the earnings, dividend, net assets and the market value per share is given in the Financial Highlights on page 4 of the Annual Report.

The Bank has at all times ensured that all shareholders are treated equitably.

13.3 Status of Compliance to the Minimum Public Holding Requirement of the Listing Rules

The number of Ordinary Shares held by the public as at 31 December 2021 is 1,249,232,384 (46.42%) of the issued capital (number of shares) of the Bank.

The minimum public holding requirement as at 31 December 2021 maintained by the Bank in compliance with the Listing Rules is as follows:

Type of Share	Float Adjusted Market Capitalization (LKR)	Public Holding Percentage	No. of Shareholders representing the Public Holding Percentage	Option
Ordinary Shares	5,496,622,490.72	46.42	7,864	3

14. RELATED PARTY TRANSACTIONS

The Bank's transactions with Related Parties given in Note 46 to the Financial Statements, have complied with the listing Rule 9.3.2 of the Colombo Stock Exchange and under the Code of Best Practice on Related Party Transactions issued under the directive of The Securities and Exchange Commission.

There were no other non-recurrent Related Party Transactions where the aggregate value exceeds 10% of equity or 5% of total assets of the Bank whichever was lower as at 31 December 2021.

There were no other recurrent Related Party Transactions where the aggregate value exceeds 10% of the gross income of the Bank which requires additional disclosures as per the Listing Rules of the Colombo Stock Exchange.

The Directors declare that they have complied with the provisions of the Code relating to full disclosure of Related Party Transactions entered into during the Financial Year ended 31 December 2021.

15. CONTINGENT LIABILITIES

In the opinion of the Directors who in consultation with the Bank's lawyers have established that litigation currently pending against the Bank will not have a material impact on the reported financial results or the future operations of the Bank. Details of litigation pending against the Bank are given in Note 49 to the Financial Statements.

16. STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the Government, other regulatory bodies and related to the employees have been paid on a timely basis.

17. RISK MANAGEMENT

The Bank has an ongoing process in place to identify, evaluate and manage risks that are faced by the Bank. The Board Integrated Risk Management Committee regularly reviews these processes and updates the Board.

The Risk Management Framework is detailed in page 86 of the Annual Report.

18. ENVIRONMENTAL PROTECTION

To the best knowledge of the Board, the Bank has not engaged in any activity that is harmful or hazardous to the environment. The Directors also confirm that to the best of their knowledge and belief the Bank has complied with the relevant environmental laws and regulations.

19. GOING CONCERN

The Board of Directors has reviewed the Strategic Plan of the Bank and the Budget for the ensuing year and is satisfied that the Bank has adequate resources to continue their operations in the foreseeable future. Accordingly the Financial Statements of the Bank are prepared on a going concern basis.

20. EVENTS AFTER THE REPORTING DATE

No circumstances have arisen since the reporting date which would require adjustments to, or disclosure in the Financial Statements except for the events disclosed in Note 47 to the Financial Statements.

Annual Report of the Board of Directors on the Affairs of the Bank

21. BOARD COMMITTEES

The Board of Directors, while assuming the overall responsibility and accountability for the management oversight of the Bank has also appointed Board Committees to ensure oversight and control over certain functions of the Bank conforming to Directions on Corporate Governance issued by CBSL. The members of the Board Sub-Committees are detailed under Corporate Information of the Annual Report.

The mandatory Committees, established under the Listing Rules of the Colombo Stock Exchange and the Corporate Governance Directions issued to licensed commercial banks by CBSL, have reports included in this Annual Report detailing the composition of membership, their movement, attendance and the activities carried out during the year and their functions.

The Board Technology Committee (BTC) was established in March 2021 and following are the members of the Committee:

Board Technology Committee

1. Mr. Omar Kassim –Chairman
2. Mr. Tishan Subasinghe – Member
3. Mr. Mohammed Ataur Rahman Chowdhury – Member
4. Mr. Mohamed Azmeer (CEO) – Member
5. Mr. Imtiaz Iqbal (COO) – Member
6. Mr. Rajitha Dissanayake (CIO) – Member
7. Mr. Siddeeqe Akbar (Vice President – Retail Banking and Marketing) – Member
8. Mr. Irshad Iqbal (Vice President – Business Banking) – Member
9. Mr. M. Ali Wahid (CFO) – Member

22. AUDITORS

The Financial Statements for the year ended 31 December 2021 have been audited by Messrs Ernst & Young, Chartered Accountants who offer themselves for re-appointment. A resolution relating to their re-appointment and authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The Auditors Messrs Ernst & Young, Chartered Accountants were paid/provided with LKR 4,160,646 as Audit fees by the Bank.

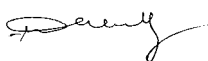
As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor and Tax Consultant) with the Bank. The Auditors also do not have any interest in the Bank.

23. ANNUAL GENERAL MEETING

The Annual General Meeting will be held on 25 March 2022 at 3.00 p.m. at the Registered Office, No. 486, Galle Road, Colombo 3, via a digital platform.

By Order of the Board

AMANA BANK PLC



Ali Asghar Akbarally
Chairman



Mohamed Adamaly
Director



Miss P. S. Watson
Company Secretary

19 February 2022
Colombo

Directors' Interest in Contracts

Name of Director/Alternate Director	Name of Company	Position	Nature of Transaction	Amount 2021 LKR	Amount 2020 LKR
Mr. Ali Asghar Akbarally	Akbar Brothers (Pvt) Limited	Director	Due to Depositors	1,446,436,322	970,451,386
Mr. Ali Asghar Akbarally	Akbar Pharmaceuticals (Pvt) Limited*	Director	Due to Depositors	N/A	99,160
Mr. Ali Asghar Akbarally, Chairman of the Bank is also Chairman of Windforce PLC, Laviyani Holdings (Pvt) Limited, Uthurumaafaru Holdings (Pvt) Limited - Maldives, Cocoon Investments (Pvt) Limited - Maldives and Hermitage Resorts (Pvt) Limited and also a Director of Alumex PLC, AB Lagoon (Pvt) Limited, Akbar Brothers Exports (Pvt) Limited, Falcon Trading (Pvt) Limited, Falcon Development (Pvt) Limited, Chadstone Holdings (Pvt) Limited, Flexi Print (Pvt) Limited, Quick Tea (Pvt) Limited, Land & Building (Pvt) Limited, Stella Plastic India (Pvt) Limited, Renewgen (Pvt) Limited and Kassanfaru One (Pvt) Limited.					
Mr. Omar Kassim	Esanjo Capital Limited**	Director	Due to Depositors	N/A	92,229,090
Mr. Omar Kassim	Al Bogari IGL DMCC**	Director	Due to Depositors	N/A	3,740
Mr. Omar Kassim, a Director of the Bank is also a Director of Esanjo Ventures Limited and Nomod Inc.					
Mr. Dilshan Hettiaratchi, a Director of the Bank is also a Director of Windforce PLC, Asset Trust Management (Pvt) Limited, Faber Capital Lanka (Pvt) Limited, Faber Capital (DIFC) Limited, Southern Gammiris Lanka (Pvt) Limited, Sagasolar Power (Pvt) Limited, Last Mile Delivery (Pvt) Limited, Boda Boda (Pvt) Limited, Premier Solar Group Limited and Premier Solar Lanka (Pvt) Limited.					
Mr. Aaron Russell-Davison, a Director of the Bank is also Chairman of Softlogic Finance PLC and Softlogic Asset Management (Pvt) Limited, and also a Director of Softlogic Holdings PLC, Softlogic Capital PLC, Korkula Holdings (Pvt) Limited, Ceylon Cinnamon Corporation (Pvt) Limited, Silk Road Partners (Pvt) Limited, Southern Investment Enterprises, Ashari, Rajan, Sherry Lanka, Arran Holdings, Lidsay Lanka, Oceans Edge, Qwant, Sparkle Sands, Madeleine and Shineon.					
Mr. Khairul Muzamel Perera Bin Abdullah, a Director of the Bank is also a Director of Raed Holdings SDN BHD and IAP Integrated SDN BHD.					
Mr. Tishan Subasinghe, a Director of the Bank is also Chairman of Sanasa General Insurance Company Limited and Sanasa Green Mart (Pvt) Limited, a Director of Moore Stephens Consulting (Pvt) Limited and also a Partner of Moore Stephens Aiyar.					
Mr. Mohamed Adamaly, a Director of the Bank is also a Director of Bogala Graphite Lanka PLC, David Pieris Holding (Pvt) Limited, David Pieris Leisure (Pvt) Limited, Synergy Plus (PTE) Limited, Palm Stone (Pvt) Limited, Soul Resorts (Pvt) Limited, Monad (Pvt) Limited, Monad Corporate Services (Pvt) Limited, S A A Lanka (Pvt) Limited and Adamantium Investments (Pvt) Limited.					
Mr. Paul Mercer, a Director of the Bank is also a Director of Mercer Consultancy S P C.					

* Mr. Ali Asghar Akbarally is no longer a Director in the company.

** Mr. Omar Kassim is no longer a Director in the company.

Board Audit Committee Report

Composition

The Board Audit Committee (BAC) conducts its proceedings in accordance with the terms of reference approved by the Board of Directors. The Committee as at the end of the year 2021 comprised of five (5) Non-Executive Directors, three of them being Independent. The Chairman of the Committee, Mr. Tishan Subasinghe is a Fellow and Council Member of the Institute of Chartered Accountants of Sri Lanka.

Table below shows the list of members of the BAC during the year under review and their attendance at Committee meetings held during the year:

Member	Total Number of Meetings Attended / Total Number of Meetings Eligible to Attend
Mr. Tishan Subasinghe - Chairman (Non-Executive, Independent Director)	7/7
Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Senior Director)	6/7
Mr. Aaron Russell-Davison (Non-Executive, Independent Director)	6/7
Mr. Mohammed Aatur Rahman Chowdhury (Non-Executive, Non-Independent Director)	7/7
Mr. Omar Kassim (Appointed w.e.f 19 June 2021) (Non-Executive, Non-Independent Director)	3/3

The Chief Internal Auditor functions as the Secretary to BAC.

Role of the Board Audit Committee

The Committee assists the Board of Directors in carrying out its responsibilities in relation to financial reporting requirements and assessment of internal controls. The role and responsibilities of the Committee is defined in the Committee's "Terms of Reference" document. The Committee amongst other functions performs the following key tasks:

- Reviewing the operations and effectiveness of the Bank's internal control system to ensure that a good financial reporting system is in place to comply with the Sri Lanka Accounting Standards.
- Ensuring that the presentation of Financial Statements satisfies all applicable accounting standards as well as the relevant legal and regulatory requirements.
- Recommending appointment or reappointment of the External Auditor for audit services in compliance with the relevant statutes.
- Reviewing and monitoring the External Auditor's independence and objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.

- Discussing and finalising with the External Auditors the nature and scope of the audit before the commencement of the audit.
- Ensuring that an Internal Audit Charter and a comprehensive Internal Audit Manual comprising of relevant Guidelines are in place.
- Reviewing the adequacy of the scope, functions and resources of the Internal Audit Division and ensuring that appropriate actions are taken on the findings and recommendations of the Division.

Regulatory Compliance

The role and functions of the BAC are regulated by the Banking Act Direction No. 11 of 2007, the Mandatory Code of Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka, the Best Practices of Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka and Section 7 of the Continuing Listing Rules of Colombo Stock Exchange.

Meetings

The Committee met seven (7) times during the year under review. The regular attendees on invitation to the BAC meetings are the Chief Executive Officer and the Chief Financial Officer. On the invitation of the Committee, the Engagement Partner of the Bank's External Auditors, M/s Ernst and Young also attended two (2) meetings held during the year. Further where necessary, Key Management Personnel from pertinent business and support divisions of the Bank were also invited to attend relevant segments of the meetings to enhance the awareness of the Committee with regard to issues

and/or developments relating to such divisions. Such invitations were extended to ensure that the Committee is provided with all the relevant information to facilitate the discharge of its role and responsibilities.

Financial Reporting

The BAC as part of its responsibility to oversee the Bank's financial reporting process on behalf of the Board of Directors, has reviewed and discussed with the Management, the Annual Financial Statements for the year 2021, prior to release. These Financial Statements have been prepared in line with the Sri Lanka Accounting Standards (SLFRS & LKAS) and are an integral part of the Bank's Annual Report.

Above review by the Committee included the extent of compliance with the Sri Lanka Accounting Standards, the Companies Act No. 07 of 2007, the Banking Act No. 30 of 1988 and amendments thereto.

Risks and Internal Controls

The internal controls within the Bank are designed to provide reasonable but not absolute assurance to the Directors and assist them to monitor the financial position of the Bank. During the year, the Committee reviewed the effectiveness of the Bank's internal control system and assessed the effectiveness of the internal controls over financial reporting as of 31 December 2021, as required by the Banking Act Direction No. 11 of 2007, Corporate Governance for Licensed Commercial Banks in Sri Lanka, Subsection 3 (8) (ii) (b), based on the "Guidance for Directors of Banks on the Directors' Statement of Internal Control" issued by the Institute of

Chartered Accountants of Sri Lanka. The result of the assessment is given on pages 159 and 160 of the Annual Report, titled "Directors' Statement on Internal Control over Financial Reporting". The External Auditors have issued an Assurance Report on the Directors' Statement on Internal Control over Financial Reporting. This report is given on pages 161 and 162 of the Annual Report. Based on its assessment of the Internal Control System, the Committee concluded and confirmed to the Board as of 31 December 2021 that the Bank's Internal Control over financial reporting is effective.

External Audit

The BAC reviewed and monitored the independence of the External Auditors and the objectivity as well as the effectiveness of the External Audit process and having satisfied itself of the same, assisted the Board with its recommendations to the shareholders on re-appointment of M/s Ernst & Young, Chartered Accountants as external auditors for the financial year ended 31 December 2022. The role played by the BAC with regard to the External Audit and also to ensure the independence of External Auditors is as follows:

- ◆ Monitoring and evaluating the independence, objectivity and effectiveness of the External Audit at the planning, execution, completion and reporting phases of the External Audit Assignment.
- ◆ BAC discussed the approach and procedures followed by the External Auditors, including matters relating to the audit plan, key risk areas, scope and the methodology proposed to be adopted in

conducting the audit, prior to commencement of the annual audit.

- ◆ Discussion of the time frame allocated for the External Audit and approving remuneration to be paid to the External Auditors.
- ◆ Reviewing the existing non-audit services provided by the External Auditors and also approving any new services to the external auditors by ensuring that such functions do not fall within the restricted services which will impair the External Auditors' independence and objectivity.
- ◆ BAC met the External Auditors two (2) times during the year without the presence of the executive management to ensure that there was no limitation of scope in relation to the Audit and any other related incidents which could have had a negative impact on the effectiveness of the external audit, and concluded that there was no cause for concern.
- ◆ Moreover, the Committee also reviewed the External Auditor's Management Letter – 2020 and the management's responses thereto.

Internal Audit

During the year, the BAC reviewed the independence, objectivity and performance of the Internal Audit Function. This review also included the findings from the internal audits completed and the Internal Audit Division's evaluation of the Bank's internal controls. The Committee also reviewed the adequacy of Internal Audit coverage through the Internal Audit Plan and approved the same. It also assessed the Internal Audit Division's resource requirements.

Board Audit Committee Report

'Management Audit Committee' (MAC) which is an Executive level Management Committee headed by the CEO discusses the Internal Audit reports submitted to the BAC in order to optimise the remedial actions taken to resolve the audit findings therein and to follow-up on actions taken by the auditees to resolve previously agreed audit findings.

Other Key Activities/Initiatives Taken during the year 2021 by the BAC

- ◆ Provided directions to enhance the audit analytical solution used by the Internal Audit function
- ◆ Provided directions to automate the process followed by the Internal Audit function to track and report progress made with regard to the remedial actions pertaining to previously reported audit findings

Professional Advice

The Committee has the authority to seek external professional advice on matters within its purview.

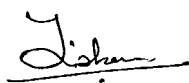
Whistle Blowing

An internal Whistle Blowing scheme is in place for all staff members to raise any concerns and expose any suspected wrongdoings and provides a process for resolving such wrongdoings without any fear of reprisal or adverse consequences to those associated in disclosure thereof. The Committee has put in place a process to continuously review and investigate the complaints received via this scheme and appropriate directions are provided by the Committee where applicable in relation to the conclusions arrived at, based on such investigations.

The Bank's Whistle Blowing process has provision for the anonymity of the Whistle Blower and ensures the confidentiality of the subject-matter. Further, where-possible two-way communication with the whistle blower is made in instances where the Whistle Blower has chosen to disclose his/her identity.

Committee Evaluation

The annual evaluation of the BAC was carried out by the other members of the Board of Directors and the Committee has taken note of the feedback received.



Tishan Subasinghe
Chairman – Board Audit Committee

19 February 2022
Colombo

Board Integrated Risk Management Committee Report

Composition of the Committee

The Board Integrated Risk Management Committee (BIRMC) comprising of members listed below conducts its proceedings in accordance with the Terms of Reference approved by the Board of Directors. The Committee was formed by the Board on 30 May 2011 and the current Chairman is Mr. Rajiv Nandlal Dvivedi.

The Committee met four times during the year 2021 and the attendance is as follows:

Member	Participated / Eligibility
Mr. Rajiv Nandlal Dvivedi (Chairman) (Non-Executive, Independent Senior Director)	4/4
Mr. Mohammed Aatur Rahman Chowdhury (Non-Executive, Non-Independent Director)	4/4
Mr. Tishan Subasinghe (Non-Executive, Independent Director)	3/4
Khairul Muzamel Perera Bin Abdullah (Non-Executive, Non-Independent Director) appointed w.e.f. 19 June 2021	2/2
Aaron Russell-Davison (Non-Executive, Independent Director) appointed w.e.f. 19 June 2021	2/2
Mr. Mohamed Azmeer (Chief Executive Officer)	4/4
Mr. M. M. S. Quvylidh (Chief Risk Officer)	4/4

Manager – Integrated Risk Management functions as the Secretary to BIRMC.

Regulatory Compliance

The BIRMC was established by the Board of Directors, in compliance with the Section 3 (6) of Direction No. 11 of 2007, on Corporate Governance for Licensed Commercial Banks in Sri Lanka, issued by the Monetary Board of the Central Bank of Sri Lanka (CBSL) under powers vested in the Monetary Board, in terms of the Banking Act No. 30 of 1988 as amended.

Meetings

Chief Operating Officer and Head - Risk Middle Office attended BIRMC meetings by invitation. Key Management Personnel from relevant business and support divisions of the Bank including Chief Compliance Officer (CCO) were also invited to attend segments of the meetings to articulate and clarify matters relating to their respective areas. Such invitations were extended to ensure that the BIRMC is provided with all relevant information to facilitate the discharge of its roles and responsibilities. A report from the BIRMC Chairman along with the confirmed BIRMC meeting minutes is forwarded to the Board of Directors for perusal.

Roles and Responsibilities of the BIRMC

The BIRMC is primarily responsible for the effective functioning of the risk management function within the Bank. The BIRMC has the authority to request diverse information from various sources, in order to effectively carry out its responsibilities on the risk management process of the Bank. The committee Oversees and controls integrated planning and monitoring of our risk profile and capital capacity, providing an alignment of risk appetite and capital requirements. Its main responsibilities include:

- Ensure that the Bank has comprehensive risk management policies and framework and appropriate compliance policies and processes are in place and to continuously monitor their effectiveness so as to inculcate a proactive risk management culture within the Bank.
- Review and recommend the risk appetite/tolerance for the Bank at all levels of business, to the Board for adoption.
- Assess and oversee risks, i.e. credit, market, liquidity, operational and strategic risks to the Bank, on a monthly basis through appropriate risk indicators and management information.
- Review the independence and robustness of risk management processes and internal controls throughout the Bank, with a view to manage the Bank's key risk controls and mitigation processes.

Board Integrated Risk Management Committee Report

- v. Oversee management level committees managing risk, such as Executive Risk Management Committee (ERMC), Executive Credit Committee 1 (ECC 1) and the Asset and Liability Committee (ALCO).
- vi. Ensure that there are clear and independent reporting lines and responsibilities for risk management functions.
- vii. Apprise the Board on the proper management of risk, specifically relating to Capital, Market, Credit and Operational risks and seeking the Board's endorsement on any strategic decisions taken relating to such risks.
- viii. Take prompt corrective action to mitigate the effects of specific risks, in case such risks are at levels beyond prudent levels decided by the Committee, on the basis of the Bank's policies and regulatory and supervisory requirements.
- ix. Take appropriate actions against officers responsible for failure to identify specific risks and take prompt corrective actions as recommended by the Committee, and/or as directed by the Director of Bank Supervision.
- x. Submit an update on key matters discussed and resolved at the following Board meeting, prior to the issuance of the BIRMC minutes.
- xi. Establish a compliance function to assess the Bank's compliance with laws, regulatory guidelines, other statutes, internal controls and approved policies on all areas of business operations. A dedicated Compliance Officer selected from the Key Management Personnel shall carry out the compliance function and report to the Committee periodically.

The BIRMC has the authority to seek external professional advice on matters within its purview.

Risk Management and Internal Controls

Risk management controls are implemented across the Bank to provide reasonable assurance to the Board and Senior Management that, effective mitigation action plans are implemented to address all risk exposures. During the year, BIRMC has reviewed and assessed the effectiveness of the Bank's risk management controls for the financial year ended 31 December 2021. In pursuit of managing its risk profile, the Bank has further strengthened the Risk Management Division (RMD) with the objective of effectively managing the core functions of risk: credit, market, liquidity and operational risks.

The risk management functions cover comprehensive aspects of risk management and it is to provide an enhanced focus on holistic risk management and cross-risk oversight to further enhance our risk culture and the risk profile.

BIRMC has emphasised the importance of strengthening self-assessment on regulatory aspects and provided a clear direction which will be strictly adhered to.

Committee Evaluation

The RMD has carried out Risk Control and Self-Assessment (RCSA) in the critical business divisions for identifying, assessing, mitigating, monitoring and reporting of operational risks. It is our aim to continue to strengthen the RCSA process.

The stress test analysis carried out by the Risk Management Division on the Bank's customer portfolio with inflationary pressure was reviewed by the Committee as it was imperative to understand the purpose of the analysis. The US Dollar liquidity shortage prevailing in the market was also considered for analysis in order to ascertain the impact on the Bank's portfolios. The Committee reviewed the new rating model applied for credit evaluation.

The Committee also evaluated the continuity of the Bank's operations during the lockdown imposed by the Government due to the Covid -19 pandemic and appreciated the efforts of the Management to continue the critical functions of the Bank. It was well noted that the Bank took measures to ensure that the preparedness of the Bank's operations and the staff towards this pandemic situation is adequately addressed and managed well.

The Committee reviewed the product papers and approved same to implement new initiatives and to cater the customers who are in need during the pandemic. Committee also evaluated the stress testing assessment due to the impact brought about by the pandemic and the same was detailed in the ICAAP prepared in 2021. This was presented by RMD and endorsed by the BIRMC.

RMD has successfully conducted a Business Continuity Plan (BCP) drill with a negligible number of issues and new scenarios being included. The BCP/DR (Disaster Recovery) test results were validated by the Internal Audit Department and submitted to the Board Audit Committee. BCP/DR test results were recommended by the BIRMC which was tabled for approval of the Board of Directors and submitted to CBSL.

BIRMC has also reviewed major policies during the year 2021 and recommended same for onward submission to Board of Directors for approval. It also reviewed the Directions announced by CBSL which required relevant policies to be amended with immediate effect, and forwarded such policies to Board of Directors with its recommendation.

New regulation on Recovery Plan was discussed at BIRMC and the same was briefed in the Integrated Risk Management Framework during the review carried out in 2021. The Committee emphasized the compliance with new Recovery Plan as this would enable the Bank to recover from the stress and shocks to maintain the continuity of business including critical functions of the Bank.

The Committee reviewed cyber security risks following a presentation by IT Security which had details of recent cyber security incidents around the industry in 2021. It was noted that new CBSL regulations have come into effect with regard to Technology Risk Management and Resilience and the Committee emphasized the importance of reviewing the technology risk along with cyber security incidents during

the pandemic on a regular basis in compliant with the current regulations.

BIRMC evaluated management committees under its purview and ensured that they are functioning adequately and effectively according to their Terms of Reference.

The Bank continued to grow its balance sheet despite the challenges experienced throughout the year under review. The Bank managed the overall risk profile successfully, whilst ensuring sustained portfolio growth and income generation which are key ingredients to increasing stakeholder value. The Board and the BIRMC are satisfied with the effective risk management strategies implemented by the Bank, under its Integrated Risk Management Framework (IRMF).

The Bank shall continue to review, monitor and proactively address potential risks identified in all its operations and implement appropriate mitigation strategies, to remain in a steady growth and expansion phase. The Bank shall also continue to function within its approved risk appetite as well as comply with CBSL and BASEL regulations of effective risk management practices.



Rajiv Nandlal Dvivedi
Chairman - Board Integrated Risk Management Committee

19 February 2022

Board Human Resources and Remuneration Committee Report

The Board Human Resources and Remuneration Committee (BHRRC) comprises the following members:

1. Mr. Ali Asghar Akbarally - Chairman (Non-Executive, Non-Independent Director)
2. Mr. Dilshan Hettiaratchi - Member (Non-Executive, Independent Director)
3. Mr. Aaron Russell-Davison - Member (Non-Executive, Independent Director)
4. Mr. Mohammed Ataur Rahman Chowdhury - Member (Non-Executive, Non-Independent Director)
5. Mr. Tishan Subasinghe - Member (Non-Executive, Independent Director)

All five (5) Directors in the Committee are Non-Executive Directors with three (3) being Independent Directors.

Authority and Responsibilities

The BHRRC has the explicit authority to decide on and review the Bank's Human Resources and Remuneration Policy and Structure within its Terms of Reference on behalf of the Board of Directors. It may however, refer any matter which in the opinion of BHRRC should be decided by the Board of Directors together with its recommendations.

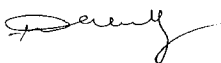
In discharging its duties and functions the BHRRC has all the resources it needs to do so and full and unrestricted access to information and the right to obtain external professional advice and invite outsiders with relevant experience to attend meetings if necessary.

The Roles and Responsibilities of the Committee include:

- (i) Approving the periodic review of Human Resource Policies and Procedures based on Management's recommendation.
- (ii) Approval of Remuneration.
 - a. Directors' emoluments
 - b. Annual salary and bonus based on performance evaluations
 - c. Incentives, allowances and other perquisites
- (iii) Evaluating the performance of the CEO and Key Management Personnel against the set targets and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.

Meetings

Meetings are held as and when necessary after providing sufficient notice to all members. As all necessary approvals for 2021 were obtained in December 2020, no meetings were held during the year under review.



Ali Asghar Akbarally

Chairman - Board Human Resources and Remuneration Committee

19 February 2022
Colombo

Board Nomination Committee Report

Composition of the Committee

Amāna Bank's Board Nomination Committee (BNC) constitutes of (5) Non-Executive Directors, majority of whom are Independent Directors as named below:

1. Mr. Dilshan Hettiaratchi - Chairman (Non-Executive, Independent Director)
2. Mr. Rajiv Nandlal Dvivedi - Member (Non-Executive, Independent Senior Director)
3. Mr. Mohammed Ataur Rahman Chowdhury - Member (Non-Executive, Non-Independent Director)
4. Mr. Ali Asghar Akbarally - Member (Non-Executive, Non-Independent Director)
5. Mr. Tishan Subasinghe - Member (Non-Executive, Independent Director)

Brief profiles of the Members of the Committee are given on pages 25 to 29 in the Annual Report. The Company Secretary functions as the Secretary of the Committee.

Authority of the Committee

- ◆ The Committee has the authority to discuss issues under its purview and provide the Board with recommendations, enabling the Board to take a final decision on the matter.
- ◆ The Members of the Committee have the authority to express their views when making decisions.
- ◆ The Committee regularly reviews the structure, size, composition and competencies of the Board and makes recommendations to the Board with regard to any changes.

- ◆ The Committee recommends to the Board on insurance covers to be taken in respect of all Directors and KMP including indemnity insurance covers.
- ◆ If a need arises, the Committee has the authority to hire professionals from outside in the capacity of consultants for advice on specific issues.
- ◆ Bank staff may be present at Committee meetings as required based on the committee's invitation.

Responsibilities of the Board Nomination Committee

According to the Terms of Reference (TOR) given by the Board to the BNC, the following are its key responsibilities:

- (i) Establishing a procedure to select/appoint new Directors, Chief Executive Officer (CEO) and Key Management Personnel (KMP).
- (ii) Considering and recommending the re-election of current Directors, taking into account the performance and contribution made by the Director concerned towards the overall discharge of the Board's responsibilities.

- (iii) Setting the criteria such as qualifications, experience and key attributes required for eligibility to be considered for appointment or promotion to the post of CEO and the key management positions.
- (iv) Evaluate with the assistance of the HR function of the Bank that the Directors, CEO and KMP are fit and proper persons to hold office as specified and set out in the Banking Act and other relevant Statutes and in terms of the Directions issued by the Central Bank of Sri Lanka (CBSL) from time to time.
- (v) Considering and recommending from time to time, the requirements of additional/new expertise and the succession arrangements for retiring Directors and KMP.

The Quorum necessary for transaction of business is three Members.

Frequency of Meetings

The Committee is required to meet as and when necessary and at least twice during a financial year.

Regular Attendees by Invitation

Mr. Mohamed Azmeer (Chief Executive Officer) attends BNC Meetings regularly by invitation.

Meetings

Member	Participated / Eligibility
Mr. Dilshan Hettiaratchi	2/2
Mr. Tishan Subasinghe	2/2
Mr. Ali Asghar Akbarally	0/2
Mr. Rajiv Nandlal Dvivedi	2/2
Mr. Mohammed Ataur Rahman Chowdhury	2/2
Mr. Mohamed Azmeer (By Invitation)	2/2

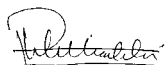
Board Nomination Committee Report

Performance During the Year

During the year 2021, the BNC held 2 Meetings.

As mandated under the Corporate Governance Direction issued by the Central Bank of Sri Lanka, the Committee also considered the re-appointment of Directors who retire by rotation in terms of Article 29(6) of the Articles of Association of the Bank and also Fitness and Propriety of the continuing Directors.

The BNC is actively involved in the selection and appointment/promotions of KMPs to ensure that they are fit and proper persons to hold their offices.



Dilshan Hettiaratchi

*Chairman - Board Nomination
Committee*

19 February 2022
Colombo

Board Related Party Transactions Review Committee Report

Composition of the Board Related Party Transactions Review Committee

The Board Related Party Transaction Review Committee (BRPTRC) was formed as a Board Sub-Committee with effect from 28 March 2016 in terms of the Code of Best Practice on Related Party Transactions issued by the Securities & Exchange Commission of Sri Lanka (the “Code”) and Section 9 of the Listing Rules of the Colombo Stock Exchange (the “Rules”).

The Committee comprises of the following four Independent, Non-Executive Directors.

- ◆ Mr. Tishan Subasinghe - Chairman (Non-Executive, Independent Director)
- ◆ Mr. Rajiv Nandlal Dvivedi - Member (Non-Executive, Independent Senior Director)
- ◆ Mr. Dilshan Hettiaratchi - Member (Non-Executive, Independent Director)
- ◆ Mr. Aaron Russell-Davison - Member (Non-Executive, Independent Director)

Regular Attendees by Invitation

Mr. Mohamed Azmeer (Chief Executive Officer) and Mr. M. Ali Wahid (Chief Financial Officer) attends BRPTRC Meetings regularly by invitation.

In addition, the Committee summons other Management officials to participate in proceedings on a need basis.

Meetings

The committee meets quarterly as stipulated by the regulations. During 2021, the Committee held four meetings.

Member	Participated/ Eligibility
Mr. Tishan Subasinghe	4/4
Mr. Rajiv Nandlal Dvivedi	4/4
Mr. Dilshan Hettiaratchi	4/4
Mr. Aaron Russell-Davison	3/4
Mr. Mohamed Azmeer (By Invitation)	3 / 4
Mr. M. Ali Wahid (By Invitation)	4/4

The Company Secretary functions as the Secretary to the Committee.

Terms of Reference and Scope of Operations

The Committee operates in accordance with the Terms of Reference on monitoring Related Party Transactions as regulated by the “Code” and the “Rules” with a view to determining that they have not received any favourable nor preferential - considerations vis a vis - the other shareholders and customers of the Bank as well as to ascertain that their transactions and dealings are in strict conformity with Statutory and Regulatory requirements, which the Bank is obliged to adhere to.

In discharging the obligations arising out of the Terms of Reference, the Committee adheres to the Bank’s Policy and Procedures on Related Party Transactions when reviewing such transactions.

The Mandate of the Committee includes the following:

- ◆ Developing, updating and recommending for adoption by the Board of Directors of the Bank, a Related Party Transactions Policy consistent with that proposed by the SEC.
- ◆ Updating the Board of Directors on Related Party Transactions on a quarterly basis.
- ◆ Advising the Board in making immediate market disclosures on applicable Related Party Transactions as required by Section 9 of the Continuing Listing Requirements of the CSE.
- ◆ Advising the Board in making appropriate disclosures on RPT in the Annual Report as required by Section 9 of the Continuing Listing Requirements of the CSE.

The Committee relies on the integrity of periodically reportable Related Party Transactions of Board Members, Key Management Personnel and other relevant individuals and entities based on the following:

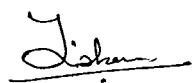
- ◆ An updated and detailed list of all Related Parties.
- ◆ Confirmations from Business Heads on transactions entered into with Related Parties during each quarter.
- ◆ Analysis of terms to ensure that transactions have been at arms-length and no favourable treatment has been offered to the Related Party.

Board Related Party Transactions Review Committee Report

Related Party Transactions during the year were reviewed by the Committee and relevant observations were communicated to the Board of Directors.

Reporting to the Board

The Minutes of the Committee Meetings are tabled at the immediately following Board Meeting enabling all Board Members to have access to same.



Tishan Subasinghe

*Chairman - Board Related Party
Transactions Review Committee*

19 February 2022
Colombo

Statement of Directors' Responsibility

The responsibility of the Directors, in relation to the Financial Statements of Amāna Bank PLC (Bank) is set out in this Statement. The responsibilities of the External Auditors in relation to the Financial Statements are set out in the Auditors' Report given on pages 192 to 195.

In terms of Sections 150, 151 and 153 of the Companies Act No. 07 of 2007, the Directors of the Bank are responsible for ensuring that the Bank keeps proper books of account of all the transactions and prepare Financial Statements that give a true and fair view of the financial position of the Bank as at end of each financial year and of the financial performance of the Bank for each year and place them before a general meeting. The Financial Statements comprise of the Statement of Financial Position as at 31 December 2021, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year then ended and Notes thereto.

Accordingly, the Directors confirm that the Financial Statements of the Bank give a true and fair view of:

- (a) the financial position of the Bank as at reporting date; and
- (b) the financial performance of the Bank for the financial year ended on the reporting date.

The Financial Statements of the Bank have been certified by the Bank's Chief Financial Officer, the officer responsible for their preparation, as required by the Sections 150 and 152 of the Companies Act and the Chief Executive Officer.

In addition, the Financial Statements of the Bank have been signed by two Directors of the Bank on 19 February 2022 as required by the Sections 150 and 152 of the Companies Act. Under the Section 148 of the Companies Act, the Directors are also responsible for ensuring that proper accounting records which correctly record and explain the Bank's transactions are maintained and that the Bank's financial position, with reasonable accuracy, at any point of time is determined by the Bank, enabling preparation of the Financial Statements, in accordance with the Act to facilitate proper audit of the Financial Statements.

The Financial Statements for the year 2021, prepared and presented in this Annual Report have been prepared based on new Sri Lanka Accounting Standards which came to effect from 1 January 2012 and are in agreement with the underlying books of accounts conforming with the requirements of the Sri Lanka Accounting Standards, Companies Act No. 07 of 2007, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, Banking Act No. 30 of 1988 and amendments thereto and the Directions on Corporate Governance No. 11 of 2007 and amendments thereto issued by the Central Bank of Sri Lanka.

In addition, these financial statements comply with the prescribed format issued by the Central Bank of Sri Lanka for the preparation of Annual Financial Statements of licensed commercial banks.

The Directors have taken appropriate steps to ensure that the Bank maintains proper books of accounts and review the

financial reporting system directly by them at their regular meetings and also through the Board Audit Committee. The Report of the said Committee is given on pages 170 to 172.

The Board of Directors accepts responsibility for the integrity and objectivity of the Financial Statements presented in this Annual Report. The Directors confirm that in preparing the Financial Statements exhibited on pages 196 to 271 including appropriate Accounting Policies based on the new financial reporting framework, had been selected and applied in a consistent manner, while reasonable and prudent judgements have been made so that the form and substance of the transactions are properly reflected.

The Directors also have taken reasonable measures to safeguard the assets of the Bank and to prevent and detect frauds and other irregularities. In this regard, the Directors have instituted an effective and comprehensive system of internal controls comprising of internal checks, internal audit and financial and other controls required to carry on the business of banking in an orderly manner and safeguard its assets and secure as far as practicable, the accuracy and reliability of the records. The Directors' Statement on Internal Control over Financial Reporting is given on pages 159 and 160 of this Annual Report.

The Board of Directors also wishes to confirm that, as required by the Sections 166 (1) and 167 (1) of the Companies Act, they have prepared this Annual Report in time and ensured that a copy thereof is sent to every

Statement of Directors' Responsibility

shareholder of the Bank, who have expressed desire to receive a hard copy or to other shareholders who can access the Annual Report through the Bank's website. The Directors also wish to confirm that all shareholders have been treated equally in accordance with the original terms of issue.

The Bank's External Auditors, Messrs Ernst & Young who were appointed in terms of the Section 158 of the Companies Act and in accordance with a resolution passed at the last Annual General Meeting, were provided with every opportunity to undertake the inspections they considered appropriate. They carried out reviews and sample checks on the system of internal controls as they considered appropriate and necessary for expressing their opinion on the Financial Statements and maintaining accounting records. They have examined the Financial Statements made available to them by the Board of Directors of the Bank together with all the financial records, related data and minutes of shareholders' and Directors' meetings and expressed their opinion which appears as reported by them on pages 161 and 162.

Compliance Report

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Bank, all contribution, levies and taxes payable on behalf of and in respect of the employees of the Bank, and all other known statutory dues as were due and payable by the Bank as at the reporting date have been paid or, where relevant, provided for. The Directors further confirm that after considering the

financial position, operating conditions, regulatory and other factors and relevant matters the Directors have a reasonable expectation that the Bank possesses adequate resources to continue in operation for the foreseeable future.

For this reason, the Directors continue to adopt the Going Concern basis in preparing the Financial Statements.

The Directors are of the view that they have discharged their responsibilities as set out in this Statement.

By Order of the Board,



Miss P. S. Watson
Company Secretary

19 February 2022
Colombo

Independent Sharia Supervisory Council Report

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

In carrying out the roles and the responsibilities of the Sharia Supervisory Council, we hereby submit our report for the financial year ended 31 December 2021.

The Board of Directors and Management are responsible for ensuring that the Bank conducts its business in accordance with the rules and principles of Sharia and it is our responsibility to form an independent opinion, based on our review of the operations of the Bank and to produce this report.

We had three (3) meetings during the financial year in which we reviewed inter alia the contracts relating to the transactions and applications introduced by the Bank.

We have also conducted our review to form an opinion as to whether the Bank has complied with the rules and principles of Sharia and also with the specific rulings and guidelines issued by us. We conducted our review, with the assistance of Sharia Supervision Department, which included examining on a test basis each type of transaction, the relevant documentation and procedures adopted by the Bank.

We planned and performed the review so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the Bank has not violated the rules and principles of Sharia.

Based on the above, in our opinion:

1. The contracts, transactions and deals entered into by the Bank during the financial year ended 31 December 2021, that we have reviewed are in compliance with the rules and principles of Sharia.
2. The allocation of profit and charging of losses relating to Investment Accounts conform to the basis that had been approved by us in accordance with the rules and principles of Sharia.
3. All earnings that have been realised from sources or by means prohibited by the Sharia were disposed to charitable causes upon our approval.

وعليكم السلام ورحمة الله وبركاته

Allah Knows Best.



Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
Chairman



Ash-Sheikh Mohd. Nazri Chik
Vice-Chairman



Ash-Sheikh Mufti M.I.M. Rizwe
Member



Ash-Sheikh Mufti Muhammad Hassaan Kaleem
Member

ස්වාධීන ගරියා අධීක්ෂණ සභා වාර්තාව

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

ගරියා අධීක්ෂණ සභාවේ කාර්යභාරයන් සහ වගකීම් ඉටුකරමින්, 2021 දෙසැම්බර් 31 දිනෙන් අවසන් මූල්‍ය වර්ෂය සඳහා වන අපගේ වාර්තාව මෙමගින් ඉදිරිපත් කරමු.

ගරියා නීතිරීති සහ මූලධර්ම අනුව බැංකුව විසින් එහි ව්‍යාපාර කටයුතු මෙහෙයවනු ලබන බව සහතික කිරීමේ වගකීම කළමනාකාරිත්වය සතු වන අතර, බැංකුවේ මෙහෙයුම් කටයුතු සම්බන්ධයෙන් අපගේ සමාලෝචනය මත පදනම්ව ස්වාධීන මතයක් ගොඩනැගීම සහ මෙම වාර්තාව ඉදිරිපත් කිරීම අපගේ වගකීම වේ.

මූල්‍ය වර්ෂය ඇතුළත අප විසින් රැස්වීම් තුනක් (03)ක් පවත්වන ලද අතර, එහිදී අනෙකුත් දෑ අතර, ගනුදෙනු ආශ්‍රිත ගිවිසුම් සහ බැංකුව විසින් හඳුන්වා දෙන ලද යෙදුම් ද අප විසින් සමාලෝචනය කරන ලදී.

ගරියා නීතිරීති සහ මූලධර්ම වලට සහ අප විසින් නිකුත් කරන ලද විශේෂිත නියමයන් සහ මගපෙන්වුම් වලට අනුකූලව බැංකුව කටයුතු කර තිබේදැයි යන්න පිළිබඳව අපගේ මතය ගොඩනැගීම සඳහා ද අපගේ සමාලෝචනය අප විසින් සිදුකරන ලදී. බැංකුව විසින් යොදා ගන්නා ලද එක හා සමාන වර්ගයේ ගනුදෙනු කාණ්ඩයක්, අදාළ ලේඛන සහ ක්‍රියාපටිපාටි පරීක්ෂණ පදනමක් මත විභාගකිරීමක් ද සමාලෝචනයේ දී අප විසින් සිදුකරන ලදී. ගරියා නීතිරීති සහ ප්‍රතිපත්ති බැංකුව විසින් උල්ලංඝනය කර නොමැති බවට සාධාරණ සහතිකයක් ලබාදීම පිණිස ප්‍රමාණවත් සාක්ෂි අප වෙත රැස්කරගැනීම උදෙසා අපට අවශ්‍ය යැයි අප විසින් සලකන ලද සියලු තොරතුරු සහ විස්තර

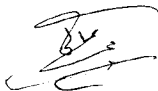
කිරීම් ලබාගැනීමට හැකිවන ආකාරයෙන් අප විසින් අපගේ සමාලෝචනය සැලසුම් කර, ක්‍රියාවට නංවන ලදී.

ඉහත කරුණු මත පදනම් වූ අපගේ මතය වන්නේ:

1. අප විසින් සමාලෝචනය කරන ලද, 2021 දෙසැම්බර් 31 දිනෙන් අවසන් වූ මූල්‍ය වර්ෂය තුළ බැංකුව විසින් ඇතිකරගත් ගිවිසුම්, ගනුදෙනු සහ ව්‍යාපාර කටයුතු, ගරියා නීතිරීති සහ ප්‍රතිපත්ති වලට අනුකූලව සිදුකර ඇත.
2. ආයෝජන ගිණුම් ආශ්‍රිත ලාභාංශ වෙන්කිරීම් සහ අලාභ සඳහා අයකිරීම්, ගරියා නීතිරීති සහ මූලධර්ම වලට අනුව අප විසින් අනුමත කරන ලද පදනමට අනුකූල වේ.
3. ගරියා නීතිය මගින් තහනම් කර ඇති ප්‍රභවයන් සහ මාර්ග වෙතින් උපලබ්ධි වූ සියලු උපයාගැනීම් අපගේ අනුමැතිය මත, පුණ්‍යාධාර කටයුතු වෙත බෙදාහරින ලදී.

وعليكم السلام ورحمة الله وبركاته

අල්ලාන් දෙවියන් සියල්ල දන්නේ ය.



අශ්-ශෙයික් ආචාර්ය මුර්ති මුහම්මද් ඉම්රාන් අෂ්රෆ් උස්මානි සභාපති



අශ්-ශෙයික් මොහමඩ් නසිර් වික් උප-සභාපති



අශ්-ශෙයික් මුර්ති එම්.අයි.එම්. රිස්වි සාමාජික



අශ්-ශෙයික් මුර්ති මුහම්මද් හස්සාන් කලීම් සාමාජික

சுயாதீன ஷரிஆ மேற்பார்வைச் சபையின் அறிக்கை

بِسْمِ اللَّهِ الرَّحْمَنِ الرَّحِيمِ

الحمد لله رب العالمين، والصلاة والسلام على رسوله الكريم وعلى آله وأصحابه أجمعين

السلام عليكم ورحمة الله وبركاته

ஷரிஆ மேற்பார்வைச் சபையின் பொறுப்புக்கள் மற்றும் பணிகளை நிறைவேற்றும் நாம், 2021 டிசம்பர் 31இல் முடிவடைந்த நிதியாண்டிற்கான எமது அறிக்கையை இத்தால் சமர்ப்பிக்கின்றோம்.

வங்கியின் வியாபார நடவடிக்கைகள் அனைத்தும் ஷரிஆ விதிகள் மற்றும் கோட்பாடுகளுக்கு அமைவாக மேற்கொள்ளப்படுவதை உறுதிப்படுத்துவது வங்கி முகாமைத்துவத்தின் பொறுப்பாகும். வங்கியின் செயற்பாடுகளை மீளாய்வு செய்து அதன் அடிப்படையில் ஒரு சுயாதீன அபிப்பிராயத்தை உருவாக்கி இந்த அறிக்கையை வெளியிடுவது எமது பொறுப்பாகும்.

நிதியாண்டில் நாம் மூன்று (3) கூட்டங்களை நடத்தினோம். வங்கியினால் மேற்கொள்ளப்பட்ட கொடுக்கல் வாங்கல்கள் மற்றும் அறிமுகப்படுத்தப்பட்ட செயற்பாடுகள் தொடர்பான ஒப்பந்தங்கள் இக் கூட்டங்களில் எம்மால் மீளாய்வு செய்யப்பட்டன.

வங்கியானது ஷரிஆ விதிகள், கோட்பாடுகள், எம்மால் வழங்கப்பட்ட தீர்ப்புக்கள் மற்றும் வழிகாட்டுதல்களுக்கும் அமைவாகச் செயற்பட்டதா என்பதைக் குறித்து எமது சுயாதீன அபிப்பிராயத்தை உருவாக்குவதற்காகவும் நாம் மீளாய்வை மேற்கொண்டோம். வங்கியினால் மேற்கொள்ளப்பட்ட ஒவ்வொரு வகையான கொடுக்கல் வாங்கல்கள் தொடர்பாகவும் ஏற்படைய ஆவணப்படுத்தல்கள் மற்றும் நடைமுறைகள் தொடர்பாகவும் பரிசீலனை அடிப்படையிலான பரிசீலனைகளும் எமது

மீளாய்வில் உள்ளடங்கியிருந்தன. வங்கியானது ஷரிஆ விதிகளையும், கோட்பாடுகளையும் மீறவில்லை என்பதற்கு நியாயமான உத்தரவாதத்தை வழங்குவதற்குப் போதுமான சான்றுகள் எமக்குக் கிடைக்க வேண்டும் என்பதற்காக, நாம் அவசியமெனக் கருதிய சகல தகவல்களையும் விளக்கவுரைகளையும் பெற்றுக்கொள்ளும் முறையில் நாம் எமது மீளாய்வைத் திட்டமிட்டு மேற்கொண்டோம்.

மேற்குறிப்பிட்ட மீளாய்வின் அடிப்படையில் எமது அபிப்பிராயம் பின்வருமாறு:

1. 2021 டிசம்பர் 31இல் முடிவடைந்த நிதியாண்டில் வங்கியினால் மேற்கொள்ளப்பட்டு எம்மால் மீளாய்வு செய்யப்பட்ட ஒப்பந்தங்கள், கொடுக்கல் வாங்கல்கள் மற்றும் வியாபாரச் செயற்பாடுகள் யாவும் ஷரிஆ விதிகள் மற்றும் கோட்பாடுகளுக்கு அமைவாகவே இருந்தன.
2. முதலீட்டுக் கணக்குகள் தொடர்பான இலாப ஒதுக்கீடும் மற்றும் இழப்புக்களின் அறவீடும், ஷரிஆ விதிகள் மற்றும் கோட்பாடுகளுக்கு அமைவாக எம்மால் அங்கீகரிக்கப்பட்ட அடிப்படையிலேயே அமைந்திருந்தன.
3. ஷரிஆவினால் தடை செய்யப்பட்ட மூலங்கள் அல்லது வழிகளில் இருந்து பெறப்பட்ட வருவாய்கள் அனைத்தும் எமது அனுமதியின்பேரில் தரம் காரியங்களுக்கு வழங்கப்பட்டன.

وعليكم السلام ورحمة الله وبركاته

அல்லாஹ் அனைத்தையும் நன்கறிவான்.

அஷ்-ஷெய்க் கலாநிதி முப்தி முஹம்மத் இம்ரான் அஷ்ரப் உஸ்மானி
தலைவர்

அஷ்-ஷெய்க் மொஹமட் நஸ்ரி சிக்
உப தலைவர்

அஷ்-ஷெய்க் முப்தி முஹம்மத் ஹஸ்ஸான் கலீம்
அங்கத்தவர்

அஷ்-ஷெய்க் முப்தி எம்.ஐ.எம். ரிஸ்வி
அங்கத்தவர்

Sharia Governance

The cornerstone of the unique business model of Amāna Bank PLC rests on the rules and principles of Sharia which is the foundation for the practice of Islamic banking. Therefore, the Bank has placed great importance in ensuring that the overall operations are in accordance with the rules and principles of Sharia.

In this regard, the Bank has established a Sharia Governance Framework with the Sharia Supervisory Council (SSC) functioning as the apex body. The standards issued by the Islamic

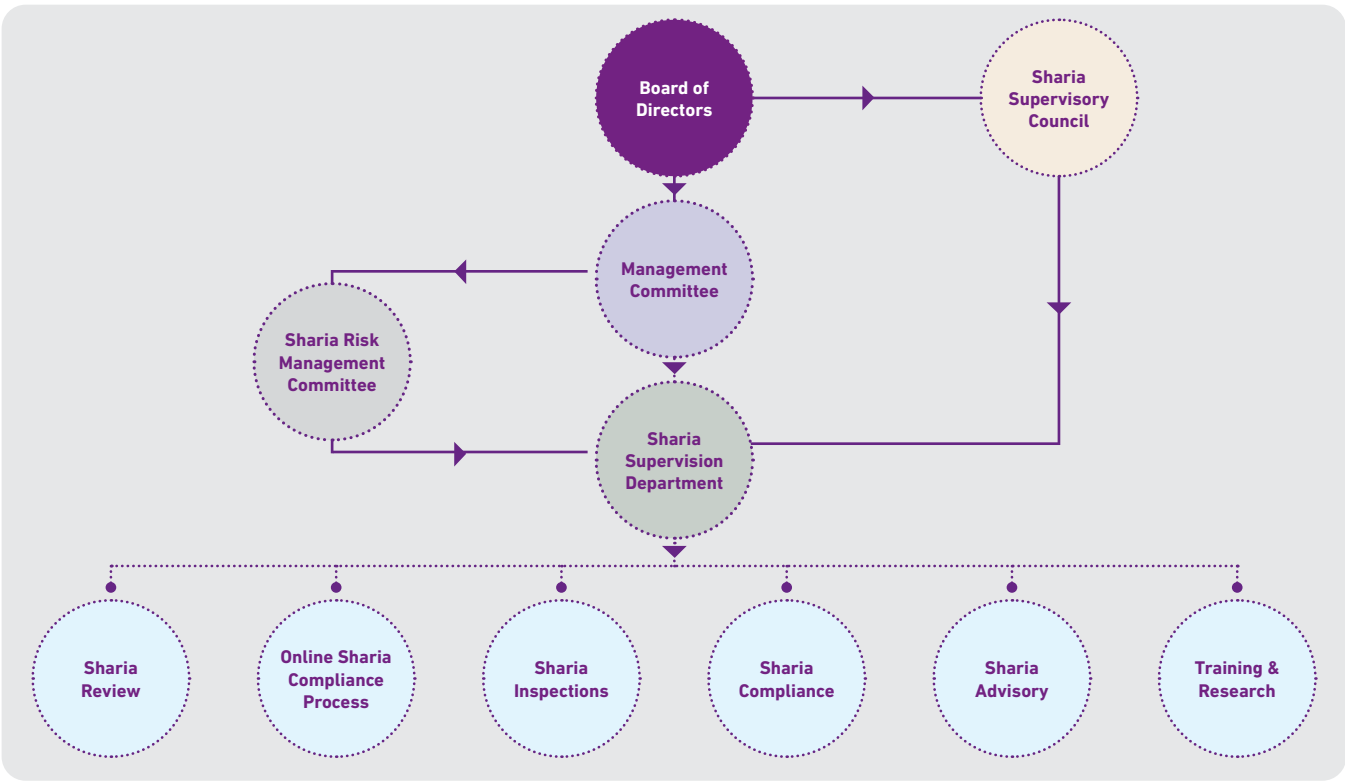
Financial Services Board (IFSB), namely IFSB-10 (2009) Guiding Principles on Sharia Governance Systems for Institutions Offering Islamic Financial Services (IIFS) are taken into consideration in developing the Sharia Governance Framework. A detailed report on the compliance status of Sharia Governance of the Bank to IFSB-10 is depicted at the end of this report.

Sharia Supervisory Council (SSC)

The SSC functionally reports to the Board of Directors (BOD). The roles and responsibilities of the SSC are spelt out in the Terms of Reference (TOR) of the SSC.

The SSC is assisted by the Sharia Supervision Department that performs six (6) compliance functions, namely Sharia Review, Online Sharia Compliance Process, Sharia Inspection, Sharia Compliance, Sharia Advisory and Training & Research. At the management level, the Bank has established the Sharia Risk Management Committee (SRMC) which is a Sub-Committee of the Management Committee to discharge the responsibilities of management on Sharia Compliance. The SRMC is chaired by the Head of Sharia Supervision and its membership comprises of several management members.

The diagram below describes the framework:



Composition of the Ssc

The composition of the SSC is a minimum of three (3) members. As at 31 December 2021, the SSC has four (4) members comprising of one (1) local scholar and three (3) foreign scholars.

Coming from diverse backgrounds with wide experience and knowledge, each SSC member is an expert in their specialised field such as Islamic law, Islamic Banking, Capital Market, Takaful, Waqf, Zakat, Halal industry, etc. Additionally, their qualification in Islamic jurisprudence (usul al-fiqh) and Islamic commercial laws (fiqh al-mu'amalat), expertise and vast experience in the academia as well as in the industry, definitely support the depth and breadth of the Sharia deliberations.

Responsibilities of the Bank Towards SSC and Sharia Compliance

While the SSC is responsible for forming and expressing decisions on the Bank's compliance with the rules and principles of Sharia, the responsibility for compliance therewith rests with the Board and management of the Bank.

Therefore, it is the responsibility of the Management to perform the following:

- (i) to refer all Sharia issues in its business operations to the SSC for decision;
- (ii) to adopt and take necessary measures for implementation of the SSC's decisions;
- (iii) to provide sufficient resources to the SSC including budget allocation, independent expert consultation, reference materials and training;
- (iv) to ensure that the SSC is familiar with the operations and the business of the Bank;

- (v) to provide the SSC with access to all relevant records, transactions, manuals and information, as required by its members in performing their duties; and
- (vi) to recommend the appropriate remuneration to the SSC members which commensurate with and reflect the duties and responsibilities of the SSC.

It is the Bank's responsibility to perform the following with regard to Sharia Compliance:

- (i) to comply with SSC decisions and established Sharia requirements in all its products, services, legal documentations and activities;
- (ii) the Bank shall not act in contravention to the SSC decisions to suit its convenience.

Authority of the SSC

The SSC assumes the following authority based on its TOR:

- (i) the decision of the SSC is binding on the Bank, whilst its recommendation is not binding on it.
- (ii) the SSC has the right to check the Assets and Liabilities of the Bank.
- (iii) the SSC has the right to review the Bank's books, registers and documents at any time and it shall have the right to request to check any data it deems necessary.
- (iv) in the event the Bank is unable to provide information requested, which results in the SSC's inability to carry on its role and responsibilities, SSC will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened.

- (v) the SSC has the right to accept or reject any activity carried out by the Bank based on the rules and principles of Sharia.

SSC Meetings

SSC meetings are scheduled to be held at least three (3) times annually with additional meetings convened as and when warranted, to facilitate important decisions that are required between the scheduled meetings.

Three (3) SSC meetings were held during the financial year ended 31 December 2021, as follows:

Date of Meeting	Percentage of Members Attendance
25 March 2021	100%
10 August 2021	100%
7 December 2021	75%

In between the meetings, the Bank refers its Sharia issues in its daily operations to the Executive Committee of the SSC that is comprised of two (2) appointed members for guidance and the decision. The decisions taken by the Executive Committee are tabled in the SSC meeting for concurrence. The Executive Committee members are Ash-Sheikh Mohd. Nazri Chik and Ash-Sheikh Mufti Muhammad Hassaan Kaleem.

Appointment and Re-appointment of SSC Members

- (i) The shareholders of the Bank shall appoint the member of the SSC based on the recommendation made by the Board of Directors.

Sharia Governance

- (ii) Each member of the SSC shall have a term of office of one (1) year as appointed by the shareholders. Upon expiry of such term, the members may be reappointed at the approval of the shareholders in conformity with the governance standards defined by the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI)'s Governance Standard No 1.3 "Appointment of Sharia Supervisory Board and Fixing of its Remuneration."
- (iii) Notwithstanding the above, the Board of Directors may appoint new members to the posts which become vacant in the SSC during the year, subject to the approval of the shareholders at the subsequent Annual General Meeting.

IFSB - 10 (2009), Guiding Principles On Sharia Governance Systems for IIFS

The IFSB-10 defined "Sharia Governance System" as a set of institutional and organisational arrangements through which an IIFS ensures that there is effective independent oversight of Sharia compliance over each of the following structures and processes:

- a) issuance of relevant Sharia pronouncements/resolutions;
- b) dissemination of information on such Sharia pronouncements/resolutions to the operative personnel of the IIFS who monitor the day-to-day compliance with the Sharia pronouncements/resolutions vis-à-vis every level of operations and each transaction;
- c) an internal Sharia compliance review/audit for verifying that Sharia compliance has been satisfied, during which any incident of noncompliance will be recorded and reported, and as far as possible, addressed and rectified;
- d) an annual Sharia compliance review/audit for verifying that the internal Sharia compliance review/audit has been appropriately carried out and its findings have been duly noted by the Sharia board;

Guiding Principle		Status
Part I:	General Approach to the Sharia Governance System	
Principle 1.1:	The Sharia governance structure adopted by the IIFS should be commensurate and proportionate with the size, complexity and nature of its business.	(a) A detailed Sharia Governance Framework is adopted by the Bank, which sets the Sharia Supervisory Council (SSC) as the apex body with regard to Sharia. (b) The SSC has wide ranging rights of access to every activity of the Bank. (c) The SSC comprises of four (4) members where two (2) of them are appointed as Executive Committee members to ensure timely adequate access to the Bank. (d) The Bank has established a Sharia Supervision Department (SSD), led by the Head of Sharia Supervision to assist SSC in providing daily guidance to the Bank. As the principal Sharia officer of the Bank and the Secretary of the SSC, he chairs the Sharia Risk Management Committee (SRMC) to discharge the responsibilities of management on Sharia Compliance.
Principle 1.2:	Each IIFS must ensure that the Sharia board has: ❖ clear terms of reference regarding its mandate and responsibility; ❖ well-defined operating procedures and lines of reporting; and ❖ good understanding of, and familiarity with, professional ethics and conduct.	(a) A detailed Terms of Reference (TOR) spells out the roles and responsibilities of the SSC. (b) The TOR outlines operating procedures and lines of reporting that includes having an internal SSD comprising of officers with appropriate qualifications and experience. The SSD is; ❖ the secretariat to the SSC and serves as the first point of reference for Sharia compliance issues, with an advisory/consultancy role delegated by the SSC; ❖ handle the processing and secretarial matters relating to issues to be raised to the SSC; and ❖ provide input for executive decisions to be made by the senior management. (c) The SSC comprises of respected and accepted scholars with high standard of professional ethics and conduct.

Guiding Principle		Status
Part II:	Competence	
Principle 2.1:	The IIFS shall ensure that any person mandated with overseeing the Sharia Governance System fulfills acceptable fit and proper criteria.	The members of the SSC and Head of Sharia Supervision being the principal Sharia officer have met the "Fit and Proper" criteria which covers; ✦ good character - that is, honesty, integrity, fairness and reputation; and ✦ competence, diligence, capability and soundness of judgment.
Principle 2.2:	The IIFS shall facilitate continuous professional development of persons serving on its Sharia board, as well as its ISCU and ISRU, if any.	In view of continues professional development of the SSC members the Bank shall invest for their personal knowledge development program as required
Principle 2.3:	There should be a formal assessment of the effectiveness of the Sharia board as a whole and of the contribution by each member to the effectiveness of the Sharia board.	There is a formal assessment on the effectiveness of the Sharia board carried out by the SSC on annual basis
Part III:	Independence	
Principle 3.1:	The Sharia board should play a strong and independent oversight role, with adequate capability to exercise objective judgment on Sharia-related matters. No individual or group of individuals shall be allowed to dominate the Sharia board's decision-making.	(a) The independence of the SSC is clearly spelt out in the TOR of the SSC and continued to be respected by the Board of Directors and the Management of the Bank. (b) None of the members of the SSC have blood or intimate relationship with the Bank, its related companies or its officers. (c) None of the members of the SSC are under full-time employment of the Bank or its related companies except for; Ash Sheikh Mohd. Nazri Chik (Vice Chairman - SSC), who is the Group Chief Financial Inclusion Officer of Bank Islam Malaysia who has a shareholding of 7.22% in the Bank. It is worth noting that he was independent of Bank Islam during his initial appointment to the SSC in 2010 and later he joined Bank Islam as its Head of Sharia in 2011. Despite of his employment with Bank Islam Malaysia, he continues to exercise objective judgment on Sharia-related matters brought to the SSC for decision. (d) None of the members of the SSC, or his or her immediate family member, is accepting any compensation or financing from the Bank or any of its subsidiaries other than compensation for service on the SSC. (e) None of the members of the, or his or her immediate family member, is a substantial shareholder of or a partner in (with a stake of 5% or more), or an executive officer of, or a Director of any for-profit business organisation to which the Bank or any of its subsidiaries made, or from which the Bank or any of its subsidiaries received, significant payments in the current or immediate past financial year.

Sharia Governance

Guiding Principle		Status
Principle 3.2:	In order to fulfill their responsibilities, the Sharia board should be provided with complete, adequate and timely information prior to all meetings and as an on-going basis.	(a) The SSD which has a direct reporting line to the SSC is entrusted with providing timely and accurate information. (b) Being a direct report, the SSC has direct access to the SSD to check whether internal control and compliance procedures have been appropriately followed and that applicable rules and regulations to which the Bank is subject to have been complied with. (c) Such controls were reviewed through the Risk Control and Self-Assessment (RCSA) exercise. (d) According to the TOR of the SSC, in the event the Bank is unable to provide information requested, which results in the SSC's inability to carry on its role and responsibilities, the SSC will submit a written report to the Board of Directors and may demand that a meeting of the Shareholders be convened.
Part IV:	Confidentiality	
Principle 4.1:	Sharia board members should ensure that internal information obtained in the course of their duties is kept confidential.	A confidentiality clause is incorporated in the TOR of the SSC.
Part V:	Consistency	All decisions, pronouncements and resolutions of the SSC have been arrived at on consensus of the members.
Principle 5.1:	The IIFS should fully understand the legal and regulatory framework for issuance of Sharia pronouncements/ resolutions in the jurisdiction where it operates. It should ensure that its Sharia board strictly observes the said framework and, wherever possible, promotes convergence of the Sharia governance standards.	The SSC takes due care in the dissemination of Sharia pronouncements/ resolutions, ensuring that the business intelligence and internal information of the Bank would not be exploited by inappropriate parties.

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Independent Auditors' Report



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HMAJ/UM/JJ

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF AMANA BANK PLC

Report on the audit of the Financial Statements

We have audited the financial statements of Amāna Bank PLC ("The Bank"), which comprise the statement of financial position as at 31 December 2021, and the statement of profit or loss and statement of comprehensive income, statement of changes in equity and, cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements of the Bank give a true and fair view of the financial position of the Bank as at 31 December 2021, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Bank in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: H M A Jayasinghe FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, W R H De Silva FCA ACMA, Ms. Y A De Silva FCA, Ms. K R M Fernando FCA ACMA, N Y R L Fernando ACA, W K B S P Fernando FCA FCMA, Ms. L K H L Fonseka FCA, D N Gamage ACA ACMA, A P A Gunasekera FCA FCMA, A Herath FCA, D K Hulangamuwa FCA FCMA LLB (London), Ms. A A Ludowyke FCA FCMA, Ms. G G S Manatunga FCA, A A J R Perera ACA ACMA, Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA, B E Wijesuriya FCA FCMA, C A Yalagala ACA ACMA

Principals: G B Goudian ACMA, Ms. P S Paranavitane ACMA LLB (Colombo), T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

Key audit matters specific to the Bank

Why significant	How our audit addressed the key audit matter
Provision for credit impairment on financial assets carried at amortised cost Provision for credit impairment on financial assets carried at amortised cost as stated in Note 23 is determined in accordance with the accounting policies described in Note 2.3.3. This was a key audit matter due to: ◆ materiality of the reported provision for credit impairment which involved complex calculations; and ◆ degree of management judgement, significance of assumptions and level of estimation uncertainty associated with its measurement Key areas of significant judgements, estimates and assumptions used by management in the assessment of the provision for credit impairment included the following: ◆ management overlays to incorporate the probable ongoing impacts of COVID-19 and related industry responses such as government stimulus packages and debt moratorium relief measures granted by the Bank; ◆ the incorporation of forward-looking information to reflect current and anticipated future external factors, including judgments related to the ongoing impact of COVID-19, both in the multiple economic scenarios and the probability weighting determined for each of these scenarios.	We assessed the alignment of the Bank's provision for credit impairment computations and underlying methodology including consideration of COVID-19 impacts and related industry responses with its accounting policies, based on the best available information up to the date of our report. Our audit procedures included amongst others the following: ◆ We evaluated the design, implementation and operating effectiveness of controls over estimation of impairment, which included assessing the level of oversight, review and approval of provision for credit impairment policies and procedures by the Board and management. ◆ We checked the completeness and accuracy of the underlying data used in the impairment computation by agreeing details to relevant source documents and accounting records of the Bank. We also checked the underlying calculations. ◆ In addition to the above, the following procedures were performed: ◆ For financing and receivables assessed on an individual basis for impairment: - We assessed the reasonableness and timeliness of Management's internal assessments of credit quality based on the borrower's particular circumstances - We evaluated the reasonableness of key inputs used in the provision for credit impairment made with particular focus on the ongoing impact of COVID-19. Such evaluations were carried out considering value and timing of cash flow forecasts, elevated risk industries, status of recovery action and collateral values ◆ For financial assets assessed on a collective basis for impairment: - We tested the key calculations used in the provision for credit impairment. - We assessed whether judgements, estimates and assumptions used by the Management in the underlying methodology and the management overlays were reasonable. Our testing included evaluating the reasonableness of forward-looking information used, economic scenarios considered and probability weighting assigned to each of those scenarios ◆ We assessed the adequacy of the related financial statement disclosures set out in note 23.

Independent Auditors' Report



Why significant

Information Technology (IT) systems and controls over financial reporting

A significant part of the Bank's financial reporting process is primarily reliant on multiple IT systems with automated processes and internal controls. Further, key financial statement disclosures are prepared using data and reports generated by IT systems, that are compiled and formulated with the use of spreadsheets.

Accordingly, IT systems and related internal controls over financial reporting was considered a key audit matter.

How our audit addressed the key audit matter

Our audit procedures included the following:

- ◆ We obtained an understanding of the internal control environment of the processes relating to financial reporting and related disclosures.
- ◆ We identified and test checked relevant controls of key IT systems related to the Bank's financial reporting process.
- ◆ We involved our internal specialized resources to evaluate the design and operating effectiveness of IT controls, including those related to user access and change management
- ◆ We checked key source data of the reports used to generate key disclosures for accuracy and completeness, including review of the general ledger reconciliations.
- ◆ We also obtained a high-level understanding, primarily through inquiry, of the cybersecurity risks affecting the bank and the actions taken to address these risks. Further, we checked changes if any have been made to security monitoring procedures, given the increase in remote workers including the bank's monitoring on remote workers activities

Other information included in the 2021 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is

a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going

concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- ◆ Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- ◆ Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Bank.
- ◆ Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- ◆ Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- ◆ Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence,

and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examinations, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1884.



19 February 2022
Colombo

Statement of Profit or Loss

Year ended 31 December	Note	2021 Rs.	2020 Rs.
Financing Income	4	7,674,186,731	7,211,643,435
Financing Expenses	5	(3,418,693,290)	(3,757,313,167)
Net Financing Income		4,255,493,441	3,454,330,268
Net Fee and Commission Income	6	401,922,403	328,562,743
Net Trading Income	7	155,105,107	444,376,037
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	8	(7,013,153)	3,260,627
Net Gains / (Losses) from Derecognition of Financial Assets	9	(11,732,213)	928,646
Net Other Operating Income	10	5,226,813	2,302,448
Total Operating Income		4,799,002,398	4,233,760,769
Impairment on Financial Assets	11	(784,952,089)	(513,726,961)
Net Operating Income		4,014,050,309	3,720,033,808
Personnel Expenses	12	1,399,260,032	1,446,138,333
Depreciation of Property, Plant, Equipment and Right-of-Use Assets	26	279,632,013	281,177,308
Amortisation of Intangible Assets	27	58,685,409	70,374,848
Other Operating Expenses	13	831,827,820	767,727,520
Total Operating Expenses		2,569,405,274	2,565,418,009
Operating Profit Before Value Added Tax on Financial Services		1,444,645,035	1,154,615,799
Value Added Tax on Financial Services		(363,632,453)	(393,167,272)
Profit Before Tax		1,081,012,582	761,448,527
Tax Expenses	14	(256,314,684)	(297,753,065)
Profit for the Year		824,697,898	463,695,462
Earnings Per Share - Basic / Diluted	15	0.31	0.17

The Accounting Policies and Notes on pages 201 through 271 form an integral part of the Financial Statements.

Statement of Comprehensive Income

Year ended 31 December	Note	2021 Rs.	2020 Rs.
Profit for the Year		824,697,898	463,695,462
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:			
Financial Assets - Fair Value through Other Comprehensive Income:			
Net Profit / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income		54,018,360	145,849,572
Revaluation Surplus on Property, Plant and Equipment	26	274,905,537	
Deferred Tax Effect on Revaluation Surplus		(14,588,542)	
		260,316,995	-
Re-measurement Gain / (Loss) on Defined Benefit Plans	34	42,661,226	6,062,897
Deferred Tax Effect on Defined Benefit Plans		(10,238,694)	(1,697,612)
		32,422,532	4,365,285
Net Other Comprehensive Income not to be reclassified to Profit or Loss in Subsequent Periods:		346,757,887	150,214,857
Other Comprehensive Income for the Year Net of Tax		346,757,887	150,214,857
Total Comprehensive Income for the Year		1,171,455,785	613,910,319

The Accounting Policies and Notes on pages 201 through 271 form an integral part of the Financial Statements.

Statement of Financial Position

Year ended 31 December

	Note	2021 Rs.	2020 Rs.
Assets			
Cash and Cash Equivalents	17	8,673,811,858	6,859,970,358
Balance with Central Bank of Sri Lanka	18	4,800,026,593	11,410,470,563
Placements with Banks	19	27,302,269,408	11,580,356,721
Placements with Licensed Finance Companies	20	73,341	3,108,069,281
Derivative Financial Assets	21	510,066,210	228,515,144
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	22	64,634,084	55,921,805
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	23	75,816,397,323	62,566,964,280
Financial Assets Measured at Fair Value through Other Comprehensive Income	24	346,009,586	291,991,226
Other Assets - Financial	25	1,213,996,086	1,048,477,201
Property, Plant, Equipment and Right-of-Use Assets	26	2,447,149,785	2,354,607,910
Intangible Assets	27	232,834,506	257,240,323
Other Assets - Non Financial	28	449,563,025	409,782,983
Deferred Tax Assets	33	52,071,523	-
Total Assets		121,908,903,328	100,172,367,795
Liabilities			
Due to Banks	29	9,009,986,183	1,967,893,100
Derivative Financial Liabilities	30	783,199,782	111,881,845
Financial Liabilities at Amortised Cost - Due to Depositors	31	96,157,776,116	83,554,240,988
Other Liabilities - Financial	32	1,696,126,980	1,287,362,598
Current Tax Liabilities		419,795,391	420,490,984
Dividend Payable		6,459,073	6,526,286
Deferred Tax Liabilities	33	-	70,265,535
Retirement Benefit Liability	34	131,081,167	170,664,374
Other Liabilities - Non Financial	35	65,944,501	115,763,735
Total Liabilities		108,270,369,193	87,705,089,445
Shareholders' Funds			
Stated Capital	36	11,079,706,011	10,819,561,398
Statutory Reserve Fund	37	157,693,120	116,458,225
Fair Value Reserve	38	98,898,126	44,879,766
Revaluation Reserve	39	1,076,687,938	817,457,403
Retained Earnings	40	1,225,548,940	668,921,558
Total Equity		13,638,534,135	12,467,278,350
Total Liabilities and Shareholders' Funds		121,908,903,328	100,172,367,795
Commitments and Contingencies	45	67,801,327,449	65,337,219,792
Net Assets Value per Share	41	5.07	4.79

We certify that these Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.

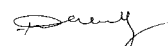


M. Ali Wahid
Chief Financial Officer



Mohamed Azmeer
Chief Executive Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by:



Ali Asghar Akbarally
Chairman



Tishan Subasinghe
Director

The Accounting Policies and Notes on pages 201 through 271 form an integral part of the Financial Statements.

19 February 2022
Colombo

Statement of Changes in Equity

	Note	Stated Capital Rs.	Statutory Reserve Fund Rs.	Fair Value Reserve Rs.	Revaluation Reserve Rs.	Retained Earnings Rs.	Total Rs.
As at 1 January 2020		10,619,450,156	93,273,452	(100,969,806)	818,543,863	423,270,366	11,853,568,031
Profit for the Year		-	-	-	-	463,695,462	463,695,462
Other Comprehensive Income	38	-	-	145,849,572	-	4,365,285	150,214,857
Interim Scrip Dividend 2020		200,111,242	-	-	-	(200,111,242)	-
Share Issue Expenses		-	-	-	-	(200,000)	(200,000)
Transfers to Statutory Reserve Fund	37	-	23,184,773	-	-	(23,184,773)	-
Transferred to Retained Earnings	40	-	-	-	(1,086,460)	1,086,460	-
As at 1 January 2021		10,819,561,398	116,458,225	44,879,766	817,457,403	668,921,558	12,467,278,350
Profit for the Year		-	-	-	-	824,697,898	824,697,898
Other Comprehensive Income	38	-	-	54,018,360	260,316,995	32,422,532	346,757,887
Interim Scrip Dividend 2021		260,144,613	-	-	-	(260,144,613)	-
Share Issue Expenses		-	-	-	-	(200,000)	(200,000)
Transfers to Statutory Reserve Fund	37	-	41,234,895	-	-	(41,234,895)	-
Transferred to Retained Earnings	40	-	-	-	(1,086,460)	1,086,460	-
As at 31 December 2021		11,079,706,011	157,693,120	98,898,126	1,076,687,938	1,225,548,940	13,638,534,135

The Accounting Policies and Notes on pages 201 through 271 form an integral part of the Financial Statements.

Statement of Cash Flows

Year ended 31 December	Note	2021 Rs.	2020 Rs.
Cash Flow from Operating Activities			
Financing Income Received		7,246,032,366	7,211,643,435
Fee and Commission Received		390,190,190	50,075,573
Financing Expenses Paid		(3,353,863,652)	(3,977,767,966)
Foreign Exchange Income Received		155,105,107	497,356,054
Gratuity Payments Made	34	(13,465,655)	(5,664,065)
Payments to Employees and Suppliers		(2,578,176,631)	(2,590,103,305)
Operating Profit before Changes in Operating Assets and Liabilities (Note A)		1,845,821,725	1,185,539,726
(Increase) / Decrease in Operating Assets			
Financing and Receivables to Other Customers		(14,022,678,701)	(5,363,730,242)
Other Financial Assets		229,652,779	(63,080,010)
Other Non Financial Assets		(39,780,042)	223,410,268
Balance with Central Bank of Sri Lanka		6,610,443,970	(7,961,673,232)
Increase / (Decrease) in Operating Liabilities			
Due to Depositors		12,577,708,993	12,199,263,852
Due to Banks		7,042,093,083	864,852,278
Other Liabilities		347,551,327	(223,939,036)
Net Cash Flow from Operating Activities before Income Tax		14,590,813,134	860,643,604
Income Tax Paid		(462,065,809)	(198,638,012)
Net Cash Flow from Operating Activities		14,128,747,325	662,005,592
Cash Flows From / (Used In) Investing Activities			
Acquisition of Property, Plant and Equipment		(83,813,857)	(29,130,963)
Proceeds from Sale of Property, Plant and Equipment		130,000	-
Acquisition of Intangible Assets		(34,279,592)	(90,540,449)
Placements with Licensed Finance Companies		2,969,402,445	(2,960,869,081)
Placements with Banks		(15,155,102,537)	(810,904,622)
Dividend Received from Financial Assets		(15,725,432)	2,302,448
Financial Assets Recognised through Profit or Loss - Measured at Fair Value		5,096,813	20,127,822
Net Cash Flows Used in Investing Activities		(12,314,292,160)	(3,869,014,845)
Cash Flows From / (Used In) Financing Activities			
Rights Issue of Shares		-	-
Share Issue Expenses		(200,000)	(200,000)
Dividend Paid		(67,213)	(365,154)
Net Cash Flows From Financing Activities		(267,213)	(565,154)
Net Increase / (Decrease) in Cash and Cash Equivalents		1,814,187,952	(3,207,574,407)
Cash and Cash Equivalents at the Beginning of the Year		6,860,456,530	10,068,030,937
Cash and Cash Equivalents at the End of the Year		8,674,644,482	6,860,456,530
A. Reconciliation of Operating Profit			
Profit Before Tax		1,081,012,582	761,448,527
Depreciation of Property, Plant, Equipment and Right-of-Use Assets	26	279,632,013	281,177,308
Amortisation of Intangible Assets	27	58,685,409	70,374,848
(Profit) / Loss on Disposal of Property, Plant and Equipment	10	(130,000)	-
Impairment for Financing and Receivables to Other Customers and Financial Assets	11	784,952,089	513,726,961
Provision for Gratuity	34	16,543,674	37,403,708
(Increase) / Decrease in Placement Income Receivable		(428,154,365)	(279,415,816)
Increase / (Decrease) in Profit Payable		25,826,135	(259,776,339)
Other Non Cash Items		39,003,503	71,827,668
Dividend Income (Net)		(5,096,813)	(2,302,448)
Gratuity Payments	34	(13,465,655)	(5,664,065)
(Profit) / Loss on Mark to Market Valuation		7,013,153	(3,260,627)
		1,845,821,725	1,185,539,726

The Accounting Policies and Notes on pages 201 through 271 form an integral part of the Financial Statements.

Notes to the Financial Statements

1. CORPORATE INFORMATION

1.1 General

Amāna Bank PLC ('the Bank') is a licensed commercial bank established under the Banking Act No. 30 of 1988 ('Banking Act') and amendments thereto. It is a public limited liability company incorporated on 5 February 2009 and is domiciled in Sri Lanka. The registered office of the Bank is located at No. 486, Galle Road, Colombo 3. The Bank commenced commercial banking operations on 1 August 2011. The shares of the Bank are listed on the Colombo Stock Exchange. The Bank does not have investments in subsidiaries, associates or joint-ventures.

The Bank's network comprised of 33 (2020 – 32) branches whilst its staff strength was 777 (2020 – 869).

1.2 Principal Activities

The principal activities of the Bank continue to be providing banking and related activities such as accepting customer deposits, personal banking, lease financing, home and property financing, gold facilities, resident and non-resident foreign currency operations, trade financing, import and export financing, equipment and machinery financing, working capital financing and project financing.

1.3 Parent Entity and Ultimate Parent Entity

The Bank does not have an identifiable parent of its own.

1.4 Date of Authorisation of Issue

The Financial Statements of Amāna Bank PLC for the year ended 31 December 2021 were authorised for issue in accordance with a resolution of the Board of Directors on 19 February 2022.

2.1 Basis of Preparation

2.1.1 Basis of Measurement

The Financial Statements are prepared under the historical cost basis, except for, Derivative Financial Instruments, Financial Assets recognised through Profit or Loss, Financial Assets recognised through Other Comprehensive Income, Freehold Land and Building and Retirement Benefit Liability, all of which have been measured at fair value.

The Financial Statements are presented in Sri Lankan Rupees (Rs.), except as otherwise indicated.

2.1.2 Statement of Compliance

The Financial Statements of the Bank which comprise of the Statement of Financial Position, Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Significant Accounting Policies and notes, have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka and are in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Banking Act No. 30 of 1988 and amendments thereto.

2.1.3 Presentation of Financial Statements

The Bank presents its Statement of Financial Position broadly in order of liquidity. An analysis regarding recovery or settlement within 12 months after the Statement of Financial Position date (current) and more than 12 months after the Statement of Financial Position date (non-current) is presented in Note 44.

Financial Assets and Financial Liabilities are offset and the net amount is reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expense is not offset in the Statement of Profit or Loss unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies of the Bank.

The Financial Statements of the Bank provide comparative information in respect of the previous period.

2.1.4 Going Concern

The Board of Directors of the Bank has made an assessment of its ability to continue as a going concern after considering the impact of Covid-19 and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board of Directors is not aware of any material uncertainties that may cast significant doubt upon the Bank's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

Notes to the Financial Statements

2.2 Significant Accounting Judgments, Estimates and Assumptions

The preparation of Financial Statements of the Bank in conformity with Sri Lanka Accounting Standards, requires the management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Estimates and assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected. The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the Bank are as follows:

a. Fair Value of Property, Plant and Equipment

The Freehold Land and Buildings of the Bank are reflected at fair value. The management determined that these constitute class of assets under SLFRS 13, based on the nature, characteristics and risks of the properties. The Bank engages independent valuers to determine fair value of Freehold Land and Building. When current market prices of similar assets are available, such evidence is considered in estimating fair values of these assets using comparable prices adjusted for

specific market factors such as nature, location and condition of the property.

The valuation techniques and assumption used to determine the fair value of Property, Plant and Equipment and the sensitivity on the amounts presented are disclosed in Note 26 to the Financial Statements.

b. Fair value of Financial Instruments

Where the fair values of Financial Assets and Financial Liabilities are recorded in the Statement of Financial Position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of Financial Instruments is described in more detail in Note 42.

c. Impairment Losses on Financing and Receivables to Other Customers

The Bank reviews its individually significant Financing and Receivables to Other Customers at each reporting date to assess whether an impairment loss should be recorded in the Statement of Profit or Loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

Financing and Receivables to Other Customers that have been assessed individually and found not to be impaired and all individually insignificant Financing and Receivables to Other Customers are then assessed collectively, in groups of assets

with similar risk characteristics, to determine whether provision should be made due to Expected Credit Loss (ECL), events for which there is objective evidence, but the effects of which are not yet evident.

The impairment loss on Financing and Receivables to Other Customers is disclosed in more detail in Note 11 and Note 23.4

The Bank's recognition of default corresponds with Banking Act Direction No. 3 of 2008 issued by Central Bank of Sri Lanka, governing Classification of Loans and Advances, Income Recognition and Provisioning and considers Financing and Receivables to Other Customers be defaulted when the customer becomes 90 days past due on his/her contractual payments.

Collateral Valuation

The Bank seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letters of credit/ guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the Bank's approved valuation policy.

To the extent possible, the Bank uses active market data for valuing financial assets, held as collateral. Other financial assets which do not have a readily determinable market value are valued using models. Non-financial collateral, such as real estate, is valued based on data provided by third parties

such as independent professional valuers.

d. Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies.

Details on deferred tax assets are disclosed in Note 33.

e. Defined Benefit Plans

The cost of the defined benefit plan is determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, salary increment rate, age of retirement, and mortality rates. Due to the long term nature of these plans, such estimates are subject to significant uncertainty.

Assumptions used are reviewed at each reporting date and disclosed in Note 34.

f. Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured.

Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.

Commitments and Contingencies are subject to ECL and relevant details are disclosed in Note 45.

2.3 Summary of Significant Accounting Policies

2.3.1 Foreign Currency Transactions and Balances

These Financial Statements are presented in Sri Lankan Rupees (Rs.) which is the Bank's functional and presentation currency.

Transactions in foreign currencies are initially recorded at the spot rate of exchange prevailing at the date of the transactions.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency rate of exchange, at the reporting date. All differences arising on non-trading activities are taken to 'Net Other Operating Income in the Statement of Profit or Loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Promissory Forward Exchange transactions are valued at the forward market rates ruling on the date of the reporting date. The resulting net

unrealised gains or losses are dealt within the Statement of Profit or Loss.

2.3.2 Derivative Financial Instruments

Derivatives are financial instruments that derive their value in response to changes in market rates, financial instrument prices, commodity prices, foreign exchange rates and credit risk indices.

Derivatives are initially recognised at fair value at the date the derivative transaction is entered into and are subsequently re-measured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in Statement of Profit or Loss immediately.

Derivative assets/liabilities represent the Promissory Forward Exchange transactions as at the reporting date.

2.3.3 Non-Derivative Financial Instruments

a. Date of Recognition

All Non-Derivative Financial Assets and Liabilities are initially recognised on the trade date (i.e. the date that the Bank becomes a party to the contractual provisions of the instrument). This includes 'regular way trades': purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

b. Initial Measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial

Notes to the Financial Statements

instruments are measured initially at their fair value plus transaction costs, except in the case of Financial Assets and Financial Liabilities which are recorded at Fair Value through Profit or Loss. Transaction costs in relation to Financial Assets and Financial Liabilities at Fair Value through Profit or Loss are dealt within the Statement of Profit or Loss.

c. 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable markets, the Bank immediately recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in Statement of Profit or Loss. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Statement of Profit or Loss when the inputs become observable, or when the instrument is derecognised.

d. Financial Instruments

(i) Classification of Financial Instruments

The Bank classifies its Financial Assets into the following measurement categories:

Measured at fair value (either through other Comprehensive Income, or through Profit or Loss); and Measured at amortised cost.

The classification depends on the Bank's business model for managing Financial Assets and the contractual terms of the Financial Assets' cash flows.

The Bank classifies its Financial Liabilities at amortised cost unless it has designated liabilities at fair value through Profit or Loss or is required to measure liabilities at fair value through Profit or Loss such as Derivative Liabilities.

(ii) Financial Assets Measured at Amortised Cost

Placements, Financing and Receivables to Other Customers and Other Financial Assets are measured at amortised cost where they have contractual terms that give rise to cash flows on specified dates, that represent solely payments of principal and profits on the principal amount outstanding; and are held within a business model whose objective is achieved by holding to collect contractual cash flows.

These instruments are initially recognised at fair value plus directly attributable transaction costs and subsequently measured at amortised cost. The measurement of credit impairment is based on the three-stage expected credit loss model described below in Note (v) Impairment of Financial Assets.

(iii) Financial Assets Measured at Fair Value through Other Comprehensive Income

Equity instruments

Investment in equity instruments that are neither Trading Financial Assets recognised through Profit or Loss, nor contingent consideration recognised by the Bank in a business combination to which SLFRS 3 'Business Combination' applies, are measured at fair value through other Comprehensive Income,

where an irrevocable election has been made by management. For portfolios where management does not consider an irrevocable election of adopting fair value through Other Comprehensive Income, by default such investments shall be measured at fair value through Profit and Loss.

Amounts presented in Other Comprehensive Income are not subsequently transferred to Profit or Loss. Dividends on such investments are recognised in Profit or Loss.

(iv) Fair Value through Profit or Loss

Fair Value through Profit or Loss comprise:

Financial Investments - For Trading; and Instruments with contractual terms that do not represent solely payments of Principal and Profit.

Financial Instruments held at fair value through Profit or Loss are initially recognised at fair value, with transaction costs recognised in the Statement of Profit or Loss as incurred. Subsequently, they are measured at fair value and any gains or losses are recognised in the Statement of Profit or Loss as they arise.

Where a Financial Asset is measured at fair value, a credit valuation adjustment is included to reflect the credit worthiness of the counterparty, representing the movement in fair value attributable to changes in credit risk.

(a) Financial Investments - For Trading

A Financial Investment is classified as Financial Assets recognised through Profit or Loss if it is acquired or

incurred principally for the purpose of selling or repurchasing in the near term, or forms part of a portfolio of Financial Instruments that are managed together and for which there is evidence of short-term profit taking, or it is a derivative not in a qualifying hedge relationship.

Trading derivatives and trading securities are classified as Financial Assets recognised through Profit or Loss and recognised at fair value. Refer Note 21 & 30 for Trading Derivative Assets and Liabilities, and Note 22 for Trading securities.

(b) Financial Instruments Designated as Measured at Fair Value through Profit or Loss

Upon initial recognition, Financial Instruments may be designated as measured at fair value through Profit or Loss. A Financial Asset may only be designated at fair value through Profit or Loss if doing so eliminates or significantly reduces measurement or recognition inconsistencies (i.e. eliminates an accounting mismatch) that would otherwise arise from measuring Financial Assets or Liabilities on a different basis.

A Financial Liability may be designated at fair value through Profit or Loss if it eliminates or significantly reduces an accounting mismatch or host contract contains one or more embedded derivatives; or Financial Assets and Liabilities are both managed and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Where a Financial Liability is designated at Fair Value through Profit or Loss, the movement in fair value attributable to changes in the Bank's own credit quality is calculated by determining the changes in credit spreads above observable market rates and is presented separately in Other Comprehensive Income.

(v) Impairment of Financial Assets

The Bank applies a three-stage approach to measuring Expected Credit Losses (ECLs) for the following categories of financial assets that are not measured at fair value through profit or loss:

Debt Instruments

- ❖ Instruments measured at Amortised Cost and Fair Value through Other Comprehensive Income;
- ❖ Financing and Receivables commitments; and
- ❖ Financial Guarantee Contracts

ECL is not recognised on equity instruments.

Financial Assets migrate through the following three stages based on the change in credit risk since initial recognition:

Stage 1: 12-months ECL

For exposures where there has not been a significant increase in credit risk since initial recognition and that are not credit impaired upon origination, the portion of the lifetime ECL associated with the probability of default events occurring within the next 12 months is recognised. Bank determines 12 month ECL from customers who are not significantly credit deteriorated (i.e. less than 30 days past due).

Stage 2: Lifetime ECL – not Credit Impaired

For exposures where there has been a significant increase in credit risk since initial recognition but are not credit impaired, a lifetime ECL (i.e. reflecting the remaining lifetime of the Financial Asset) is recognised.

In being consistent with the policies of the Bank, significant deterioration is measured through the rebuttable presumption of 30 days past due in line with the requirements of the standard.

Stage 3: Lifetime ECL – Credit Impaired

Exposures are assessed as credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of that asset have occurred. For exposures that have become credit impaired, a lifetime ECL is recognised and Financing Income is calculated by applying the Effective Rate to the amortised cost (net of provision) rather than the gross carrying amount.

Determining the Stage for Impairment

At each reporting date, the Bank assesses whether there has been a significant increase in credit risk for exposures since initial recognition by comparing the risk of default occurring over the expected life between the reporting date and the date of initial recognition. The Bank considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and also, forward-looking analysis.

Notes to the Financial Statements

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed significant increase in credit risk since origination, then the provision for impairment loss reverts from lifetime ECL to 12-months ECL. Exposures that have not deteriorated significantly since origination, or where the deterioration remains within the Bank's investment grade criteria, or which are less than 30 days past due, are considered to have a low credit risk. The provision for impairment loss for these Financial Assets is based on a 12-months ECL. When an asset is uncollectible, it is written off against the related provision. Such assets are written off after all the necessary procedures have been completed and the amount of the loss has been determined. Subsequent recoveries of amounts previously written off reduce the amount of the expense in the Statement of Profit or Loss.

The Bank assesses whether the credit risk on an exposure has increased significantly on an individual or collective basis. For the purposes of a collective evaluation of impairment, Financial Instruments are grouped on the basis of shared credit risk characteristics, taking into account instrument type, credit risk ratings, date of initial recognition, remaining term to maturity, industry, geographical location of the borrower and other relevant factors.

Measurement of ECLs

ECLs are derived from unbiased and probability-weighted estimates of expected loss, and are measured as follows:

- ◆ Financial Assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls over the expected life of the Financial Asset discounted by the effective rate. The cash shortfall is the difference between the cash flows due to the Bank in accordance with the contract and the cash flows that the Bank expects to receive.
- ◆ Financial Assets that are credit-impaired at the reporting date is calculated as the difference between the gross carrying amount and the present value of estimated future cash flows discounted by the effective rate.
- ◆ Undrawn commitments: as the present value of the difference between the contractual cash flows that are due to the Bank if the commitment is drawn down and the cash flows that the Bank expects to receive.
- ◆ Financial Guarantee Contracts: as the expected payments to reimburse the holder less any amounts that the Bank expects to recover.

For further details on how the Bank calculates ECLs including the use of forward looking information, refer to the Credit quality of Financial Assets section in Note 23. For details on the effect of modifications of Financing and Receivables on the measurement of ECL refer to note on Provision for expected credit loss.

ECLs are recognised using a provision for impairment loss account in Statement of Profit and Loss. The Bank recognises the provision charge in Statement of Profit or Loss, with the corresponding amount recognised in

other Comprehensive Income, with no reduction in the carrying amount of the asset in the Statement of Financial Position, where applicable.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows.

PD : The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.

EAD : The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of capital and financing income, whether scheduled by contract or otherwise, expected draw downs on committed facilities, and accrued financing income from missed payments.

LGD : The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the Bank would expect to receive, including the realisation of any collateral.

Rescheduled and Restructured Advances

The Bank, at times, modifies the contractual cash flows based on borrower's financial difficulties, rather than pursuing legal action or taking possession of any collateral at

the outset. Such credit facilities with modified cash flows are considered as rescheduled or restructured advances. Rescheduling or restructuring credit facilities may involve extending the payment arrangement and the agreement of new facility conditions. Once the terms have been renegotiated, any impairment is measured using the original effective profit rate as calculated before the modification of terms. It is the Bank's policy to monitor rescheduled and restructured credit facilities to ensure that regular repayments occur based on revised terms. Rescheduled and restructured credit facilities are at minimum classified as Stage 2 at the date of the modification of such facilities.

(vi) Recognition and Derecognition of Financial Instruments

A Financial Asset or Financial Liability is recognised in the Statement of Financial Position when the Bank becomes a party to the contractual provisions of the instrument, which is generally on trade date. Financing and Receivables are recognised when cash is advanced (or settled) to the borrowers.

Financial Assets at fair value through Profit or Loss are recognised initially at fair value. All other Financial Assets are recognised initially at fair value plus directly attributable transaction costs.

The Bank derecognises a Financial Asset when the contractual cash flows from the asset expire or it transfers its rights to receive contractual cash flows on the Financial Asset in a transaction in which substantially all the risks and rewards of ownership are transferred.

Any income in transferred Financial Assets that is created or retained by the Bank is recognised as a separate asset or liability.

A Financial Liability is derecognised from the Statement of Financial Position when the Bank has discharged its obligation or the contract is cancelled or expires.

(vii) Offsetting

Financial Assets and Liabilities are offset and the net amount is presented in the Statement of Financial Position when the Bank has a legal right to offset the amounts and intends to settle on a net basis or to realise the asset and settle the liability simultaneously.

e. Critical Accounting Assumptions and Estimates Applicable for Financial Assets

The application of the Bank's accounting policies requires the use of judgements, estimates and assumptions. If different assumptions or estimates were applied, the resulting values would change, impacting the net assets and income of the Bank.

Assumptions made at each reporting date are based on best estimates at that date. Although the Bank has internal control systems in place to ensure that estimates are reliably measured, actual amounts may differ from those estimates. Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

The accounting policies which are most sensitive to the use of judgement, estimates and assumptions are specified below.

(i) Fair value measurement

A significant portion of Financial Instruments are carried on the Statement of Financial Position at fair value. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Where the classification of a Financial Asset or Liability results in it being measured at fair value, wherever possible, the fair value is determined by reference to the quoted bid or offer price in the most advantageous active market to which the Bank has immediate access. An adjustment for credit risk is also incorporated into the fair value as appropriate.

Fair value for a net open position that is a Financial Liability quoted in an active market is the current offer price, and for a Financial Asset the bid price, multiplied by the number of units of the instrument held or issued.

Where no active market exists for a particular asset or liability, the Bank uses a valuation technique to arrive at the fair value, including the use of transaction prices obtained in recent arm's length transactions, discounted cash flow analysis, option pricing models and other valuation techniques, based on market conditions and risks existing at reporting date. In doing so, fair value is estimated using a valuation technique that makes maximum use of

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observable market inputs and places minimal reliance upon entity-specific inputs.

The best evidence of the fair value of a Financial Instrument at initial recognition is the transaction price (i.e. the fair value of the consideration given or received) unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e. without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets. When such evidence exists, the Bank recognises the difference between the transaction price and the fair value in profit or loss on initial recognition (i.e. on day 1).

(ii) Impairment Charges on Financing and Receivables

Judgment is required by management in the estimation of the amount and timing of future cash flows when determining an impairment loss for Financing and Receivables. In estimating these cash flows, the Bank makes judgments about the customer's financial situation and the net realisable value of collateral. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

A collective assessment of impairment takes into account data from the advance portfolio (such as credit quality, levels of arrears, credit utilisation, advances to collateral ratios, etc.), and concentrations of risk and economic data (including levels of Unemployment, Inflation, GDP Growth

Rate, Benchmarked PLR, Exchange Rate, Country Risk and the performance of different individual groups) which is used to arrive at the Economic Factor Adjustment. The impairment loss on Financing and Receivables is disclosed in more detail in Note 23 - Financial Assets at Amortised Cost - Financing and Receivables to Other Customers.

The Bank considers multiple scenarios with different weightages in its ECL model. The applicable scenarios with the respective weightages are as follows:

Scenario	Weightage
Base Case	35%
Best Case	25%
Worst Case	40%

A sensitivity analysis performed by the Bank based on a shift in weightages of 5% each out of Base case and Best case scenarios into the worst case scenario, will increase the collective impairment provision by an estimated Rs. 200 Mn as at 31 December 2021.

2.3.4 Other Assets - Financial

Other Financial Assets are stated at cost less impairment for unrecoverable amount.

2.3.5 Other Assets - Non Financial

Other Non-Financial Assets are valued net of specific provision, where necessary, so as to reduce the carrying value of such assets to their estimated realisable value.

2.3.6 Property, Plant and Equipment and Right-of-Use Assets

Property, Plant and Equipment are tangible items that are held for use in the production or supply of goods or services, for rental to others or for administrative purposes and are expected to be used during more than one period.

(a) Valuation

Freehold Land and Buildings are measured at fair value less accumulated depreciation on buildings and impairment losses recognised at the date of revaluation. Valuations are performed with sufficient frequency to ensure that the carrying amount of a revalued asset does not differ materially from its fair value.

A revaluation surplus is recorded in Statement of Other Comprehensive Income and credited to the asset revaluation surplus in equity. However, to the extent that it reverses a revaluation deficit of the same asset previously recognised in Statement of Profit or Loss, the increase is recognised in Statement of Profit or Loss. A revaluation deficit is recognised in the Statement of Profit or Loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve.

An annual transfer from the asset revaluation reserve to retained earnings is made for the difference between depreciation based on the revalued carrying amount of the asset and depreciation based on the asset's original cost. Additionally, accumulated depreciation as at the revaluation date

is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

(b) Cost

Property, Plant and Equipment other than Freehold Land and Building is stated at cost, excluding the costs of day to day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the Property, plant and equipment when that cost is incurred, if the recognition criteria are met.

(c) Depreciation

The provision for depreciation is calculated by using a straight line method on the cost or valuation of all Property, Plant and Equipment other than freehold land, in order to write off such amounts over the estimated useful lives by equal installments.

Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management.

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

The useful lives of the assets are estimated as follows:

	2021	2020
Freehold Buildings	40 years	40 years
Furniture and Fittings	5 years	5 years
Office and Other Equipment	5 - 6 years	5 - 6 years
Computer Equipment	5 - 6 years	5 - 6 years
Motor Vehicles	4 years	4 years
Computer Servers	5 years	5 years
Improvements to Leasehold Premises	Over the Period of Lease or Useful Life whichever is lower	Over the Period of Lease or Useful Life whichever is lower

(d) De-recognition

An Item of Property, Plant and Equipment is de-recognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the Statement of Profit or Loss in the year the asset is de-recognised.

(e) Right-of-Use Assets

SLFRS 16 supersedes LKAS 17 Leases, IFRIC 4 Determining whether an Arrangement contains a Lease, SIC-15 Operating Leases-Incentives and SIC-27 Evaluating the Substance of Transactions Involving the Legal Form of a Lease. The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to recognise most leases on the Statement of Financial Position.

Lessor accounting under SLFRS 16 is substantially unchanged from LKAS 17. Lessors will continue to classify leases as either operating or finance leases using similar principles as in LKAS 17. Therefore, SLFRS 16 did not have an impact for leases where the Bank is the lessor.

The Bank has lease contracts for various branches. Before the adoption of SLFRS 16, the Bank classified each of its leases (as lessee) at the inception date as either a finance lease or an operating lease.

Upon adoption of SLFRS 16, the Bank applied a single recognition and measurement approach for all leases except for short-term leases and leases of low-value assets. The standard provides specific transition requirements and practical expedients, which have been applied by the Bank.

The Bank also applied the available practical expedients wherein it:

- ◆ Used a single discount rate to a portfolio of leases with reasonably similar characteristics

Notes to the Financial Statements

- ◆ Relied on its assessment of whether leases are onerous immediately before the date of initial application
- ◆ Applied the short-term leases exemptions to leases with lease term that ends within 12 months of the date of initial application
- ◆ Excluded the initial direct costs from the measurement of the right-of-use asset at the date of initial application
- ◆ Used hindsight in determining the lease term where the contract contained options to extend or terminate the lease

2.3.7 Intangible Assets

The Bank's Intangible Assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits attributable to it will flow to the Bank.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

	2021	2020
Computer	10 years	10 years
Software		

De-recognition of Intangible Assets

The carrying amount of an item of intangible asset is de-recognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset is included in the Statement of Profit or Loss in the year the item is de-recognised.

2.3.8 Leasing

The determination of whether an arrangement is a lease, or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

a) Finance Lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases.

The Bank has no agreement that is to be recognised as finance lease as at the reporting date.

b) Operating Lease

All other leases are classified as operating leases. When acting as lessor, the Bank includes the assets subject to operating leases in 'Property, Plant and Equipment' and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired.

2.3.9 Retirement Benefit Liability

(a) Defined Benefit Plan – Gratuity

Based on the Sri Lanka Accounting Standard LKAS 19 - Employee Benefits, the Bank has adopted the actuarial valuation technique to ascertain the retirement benefit liability. An Actuarial Valuation has been carried out as at 31 December 2021 by a qualified actuary using projected unit credit method.

The principal assumptions, which have the most significant effects on the valuation, are the rate of discount, rate of increase in salary, rate of turnover at the selected ages, rate of disability, death benefits and expenses.

The defined benefit plan liability is discounted using rates equivalent to the market yields at the reporting date that are denominated in the currency in which benefits will be paid, and that have a maturity approximating to the terms of the related pension liability.

The Bank recognises the total actuarial gains and losses that arise in calculating the Bank's obligation in respect of the plan in the Statement of Comprehensive Income during the period in which it occurs.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service. The liability is not externally funded.

Details of the key assumptions used in the estimates are contained in Note 34 to the Financial Statements.

(b) Defined Contribution Plan - Employees' Provident Fund and Employees' Trust Fund

Employees are eligible for Employees' Provident Fund Contributions and Employees' Trust Fund Contributions in line with the respective Statutes and Regulations. The Bank contributes 12% and 3% of gross salary, respectively.

2.3.10 Provisions

Provisions are recognised when the Bank has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the Statement of Profit or Loss net of any reimbursement.

2.3.11 Taxes

(a) Current Tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date. Current income tax computation is based on the provisions of the Inland Revenue Act No. 24 of 2017 is the principal enactment as amended by Inland Revenue (Amendment) Act, No.10 of 2021 and any subsequent amendments thereto enacted (or substantively enacted) as at the end of the reporting period.

The provision for Income Tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and amendments thereto at the rates specified in Note 14 to the Financial Statements.

(b) Deferred Tax

Deferred income tax is provided, using the liability method, on temporary differences at the reporting date

between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised, except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit or loss nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the

year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Profit or Loss.

(c) Value Added Tax on Financial Services

The Bank's total value addition is subjected to a 15% Value Added Tax on Financial Services as per Section 25A of the Value Added Tax Act No. 14 of 2002 and amendments thereto.

(d) IRIC Interpretation 23 "Uncertainty over Income Tax Treatment"

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12 Income Taxes. It does not apply to taxes or levies outside the scope of LKAS 12, nor does it specifically include requirements relating to finance costs and penalties associated within certain tax treatments. The Interpretation specifically addresses the following:

- ◆ Whether an entity considers uncertain tax treatments separately
- ◆ The assumptions an entity makes about the examination of tax treatments by taxation authorities
- ◆ How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- ◆ How an entity considers changes in facts and circumstances

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The Bank determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

The Bank applies significant judgement in identifying uncertainties over income tax treatments. Since the Bank operates in a complex environment, it assessed whether the interpretation had an impact on its Financial Statements. Upon adoption of the interpretation, the Bank considered whether it has any uncertain tax positions, particularly those relating to transfer pricing. The Bank determined, based on its tax compliance and transfer pricing study that it is probable that its tax treatments will be accepted by the taxation authorities. The interpretation did not have an impact on the Financial Statements of the Bank.

Except for the changes mentioned above, the Bank has consistently applied the accounting policies for all periods presented in these Financial Statements.

2.3.12 Recognition of Financial Income and Expenses

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Bank and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

(a) Income

Financing income and expenses are recognised in Statement of Profit or Loss using the Effective Profit Rate (EPR).

The EPR is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the Financial Asset or Liability (or, where appropriate, a shorter period) to the carrying amount of the Financial Asset or Liability.

When calculating the EPR, the Bank estimates future cash flows considering all contractual terms of the Financial Instrument, but not future credit losses. The calculation of the EPR includes all fees and points paid or received that are an integral part of the effective profit rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a Financial Asset or Liability.

(b) Fee and Commission Income

Fee and Commission Income and expense that are integral to the EPR on a Financial Asset or Liability are included in the measurement of the EPR.

The Bank earns Fee and Commission Income from a diverse range of services it provides to its customers comprising of fees receivable from customers for issuing Letters of credit, guarantees, account servicing fees, legal fees and other services provided by the Bank and are recognised as the related services are performed.

(c) Dividend Income

Dividend Income is recognised when the Bank's right to receive the payment is established.

(d) Net Trading Income

Results arising from gains and losses on spot and promissory forward transactions.

(e) Short Term Employee Benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided, and are included under Personnel Expenses in the Statement of Profit or Loss. A liability is recognised for the amounts expected to be paid under short-term bonus if the Bank has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee and the obligation can be measured reliably.

2.3.13 Financial Guarantees

In the ordinary course of business, the Bank gives Financial Guarantees, consisting of letters of credit, guarantees and acceptances. Financial Guarantees are initially recognised in the Financial Statements (within 'Other Liabilities') at fair value, being the premium received. Subsequent to initial recognition, the Bank's Liability under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the Statement of Profit or Loss, and the best estimate of expenditure required to settle any financial obligation arising as a result of the guarantee.

Any increase in the Liability relating to Financial Guarantees is recorded in the Statement of Profit or Loss under Impairment on Financial Assets. The premium received is recognised in the Statement of Profit or Loss in 'Net Fee and Commission Income' on a straight line basis over the life of the guarantee.

2.3.14 Segment Reporting

A Segment is a distinguishable component of the Bank that is engaged in providing services (Business Segments) or in providing services within a particular economic environment (Geographical Segment) which is subject to risks and rewards that are different from those of other segments.

In accordance with the Sri Lanka Accounting Standard SLFRS 8 - 'Segmental Reporting', segmental information is presented in respect of the Bank based on Bank's management and internal reporting structure.

The Bank's segmental reporting is based on the following operating segments.

- ◆ Consumer Banking: Individual customers' deposits and consumer financing including overdrafts, asset financing, lease financing, gold facilities, home and property financing.
- ◆ Business Banking: Deposits of corporate and SME customers, trade financing, overdraft, equipment and machinery financing, working capital financing, lease financing and other credit facilities.
- ◆ Treasury: Placements of funds with other banks and financial institutions, equity investments and managing exposures in foreign exchange.

Management monitors the operating results of its business divisions separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss of respective segment.

Details of segment reporting are given in Note 3 to the Financial Statements.

2.3.15 Earnings Per Share

Earnings Per Share is calculated by dividing profit or loss attributable to Ordinary Shareholders of the Bank by the weighted average number of ordinary shares outstanding for the period.

Details of Earnings Per Share are given in Note 15 to the Financial Statements.

2.3.16 Cash Flow Statement

The cash flow statement has been prepared using the direct method of preparing cash flows in accordance with the Sri Lanka Accounting Standard (LKAS 7) - Statement of Cash Flows whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognised. Cash and cash equivalents comprise of short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of change in value.

The cash and cash equivalents include cash in hand and balances with banks.

2.3.17 New Accounting Standards

The following new accounting standards and amendments/improvements to existing standards which have been issued by the Institute of Chartered Accountants of Sri Lanka (CASL) are not effective as at 31 December 2021.

2.3.17.1 Standards issued but not yet effective

The new and amended standards that are issued, but not yet effective to the date of issuance of these financial

statements are disclosed below. Management is in the process of assessing the probable impacts from the below not yet effective standards:

(a) SLFRS 17 - Insurance Contracts

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace IFRS 4 Insurance Contracts (SLFRS 4). SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features.

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2023.

The Bank does not have a material impact from the above standard.

(b) Amendments to LKAS 16 Property, Plant & Equipment: Proceeds before Intended Use

Proceeds before Intended Use, prohibits entities deducting from the cost of an item of property, plant and equipment, any proceeds from selling items produced while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Instead, an entity recognizes the proceeds from selling such items, and the costs of producing those items, in profit or loss.

The amendment is effective for annual reporting periods beginning on or after

Notes to the Financial Statements

1 January 2022 and must be applied retrospectively to items of property, plant and equipment made available for use on or after the beginning of the earliest period presented when the entity first applies the amendment.

(c) Amendments to LKAS 37 Provisions, Contingent Liabilities and Contingent Assets: Onerous Contracts – Costs of Fulfilling a Contract

Provisions, Contingent Liabilities and Contingent Assets (LKAS 37) specify which costs an entity needs to include when assessing whether a contract is onerous or loss-making.

The amendments apply a “directly related cost approach”. The costs that relate directly to a contract to provide goods or services include both incremental costs and an allocation of costs directly related to contract activities. General and administrative costs do not relate directly to a contract and are excluded unless they are explicitly chargeable to the counterparty under the contract.

The amendments are effective for annual reporting periods beginning on or after 1 January 2022. Earlier application is permitted.

(d) Amendments to SLFRS 3 Business Combinations : Updating a Reference to Conceptual Framework

The amendments are intended to replace a reference to the Framework for the Preparation and Presentation of Financial Statements, issued in 1989, with a reference to the Conceptual Framework for Financial Reporting issued in March 2018 without significantly changing its requirements.

An exception was also added to the recognition principle of SLFRS 3 to avoid the issue of potential ‘day 2’ gains or losses arising for liabilities and contingent liabilities that would be within the scope of LKAS 37 or IFRIC 21 Levies, if incurred separately.

At the same time, it was decided to clarify existing guidance in SLFRS 3 for contingent assets that would not be affected by replacing the reference to the Framework for the Preparation and Presentation of Financial Statements.

The amendments are effective for annual reporting periods beginning on or after 1 January 2022 and apply prospectively.

(e) SLFRS 9 Financial Instruments – Fees in the ‘10 per cent’ Test for Derecognition of Financial Liabilities

The amendment clarifies the fees that an entity includes when assessing whether the terms of a new or modified financial liability are substantially different from the terms of the original financial liability. These fees include only those paid or received between the borrower and the lender, including fees paid or received by either the borrower or lender on the other’s behalf. An entity applies the amendment to financial liabilities that are modified or exchanged on or after the beginning of the annual reporting period in which the entity first applies the amendment.

The amendment is effective for annual reporting periods beginning on or after 1 January 2022 with earlier adoption permitted.

(f) Amendments to SLFRS 16 Leases: COVID-19-Related Rent Concessions beyond 30 June 2021

The amendments provide relief to lessees from applying SLFRS 16 guidance on lease modification accounting for rent concessions arising as a direct consequence of the COVID-19 pandemic. As a practical expedient, a lessee may elect not to assess whether a COVID-19 related rent concession from a lessor is a lease modification. A lessee that makes this election accounts for any change in lease payments resulting from the COVID-19 related rent concession the same way it would account for the change under SLFRS 16, if the change were not a lease modification.

The amendment was intended to apply until 30 June 2021, but as the impact of the COVID-19 pandemic is continuing, on 28 June 2021, CA Sri Lanka extended the period of application of the practical expedient to 30 June 2022. The amendment applies to annual reporting periods beginning on or after 1 April 2021.

(g) Amendments to SLFRS 9, LKAS 39, SLFRS 7, SLFRS 4 and SLFRS 16 – Interest Rate Benchmark Reform Phase 1 and 2

IBOR reform Phase 1

A summary of Phase 1 amendments are as follows:

- Highly Probable Requirement:
According to SLFRS 9 and LKAS 39, when a forecast transaction is designated as a hedged item, that transaction must be highly probable

to occur. By the Phase 1 amendments, when determining whether a forecast transaction is highly probable, an entity shall assume that the rate benchmark on which the hedged cashflows are based is not altered as a result of the reform.

- Prospective assessments: A hedging relationship qualifies for hedge accounting only if there is an economic relationship between the hedged item and the hedging instrument (described in SLFRS 9) or the hedge is expected to be highly effective in achieving off-setting (described in LKAS 39). An entity must demonstrate such prospective assessments on a regular basis. By the Phase 1 amendments, when performing prospective assessments, an entity shall assume that the rate benchmark on which the hedged item, hedged risk and/or hedging instrument are based is not altered as a result of the rate benchmark reform.
- LKAS 39 retrospective assessment: To apply hedge accounting under LKAS 39, an entity must demonstrate that the actual results of the hedge are within a range of 80% - 125%. This requirement is commonly known as the 'LKAS 39 retrospective assessment'. By the Phase 1 amendments, an entity is not required to undertake the LKAS 39 retrospective assessment for hedging relationships directly affected by the reform. However, the entity must comply with all other LKAS 39 hedge accounting requirements, including the prospective assessment.
- Separately identifiable risk components: While there are some

differences between SLFRS 9 and LKAS 39 regarding designation of risk components, both Standards require a risk component (or a portion) to be separately identifiable to be eligible for hedge accounting. An entity may designate an item in its entirety or a component of an item as a hedged item in a hedging relationship. SLFRS 9 and LKAS 39 require the component to be separately identifiable to qualify as a hedged item. By the Phase 1 amendments, for hedges of non-contractually specified benchmark component of rate risk, an entity shall apply the separately identifiable requirement only at the inception of such hedging relationships.

IBOR reform Phase 2

The Phase 2 amendments provide temporary reliefs which address the financial reporting effects when an interbank offered rate (IBOR) is replaced with an alternative nearly risk-free rate (RFR). The amendments include the following practical expedients:

- A practical expedient to require contractual changes, or changes to cash flows that are directly required by the reform, to be treated as changes to a floating rate of return, equivalent to a movement in a market rate of financing.
- Permit changes required by IBOR reform to be made to hedge designations and hedge documentation without the hedging relationship being discontinued.
- Provide temporary relief to entities from having to meet the separately identifiable requirement when an RFR instrument is designated as a hedge of a risk component

The effective date of both IBOR reform Phase 1 and Phase 2 amendments is for annual reporting periods beginning on or after 1 January 2021 in the Sri Lankan context.

The requirements under phase 1 amendments have to be applied retrospectively. However, the reliefs only apply to hedging relationships that existed at the beginning of the reporting period in which an entity first applies those requirements or were designated thereafter, and to the amount accumulated in the cash flow hedge reserve that existed at the beginning of the reporting period in which an entity first applies those requirements. It follows that it is not possible to apply the reliefs retrospectively to hedge relationships that were not previously designated as such.

The requirements under phase 2 amendments have to be applied retrospectively. Hedge relationships are not designated retrospectively. However, discontinued hedging relationships must be reinstated if, and only if,

- The hedging relationship was discontinued solely due to changes required by the Reform, and, therefore, the entity would not have been required to discontinue that hedging relationship if the Phase 2 Amendments had been applied at that time
- And
- At the date of initial application of the Phase 2 Amendments, that discontinued hedge relationship continues to meet all the qualifying criteria for hedge accounting, after taking account of the Phase 2 Amendment.

Notes to the Financial Statements

3. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

	Consumer Banking 2021 Rs.	Business Banking 2021 Rs.	Total Banking 2021 Rs.	Treasury 2021 Rs.	Unallocated/ Elimination 2021 Rs.	Total 2021 Rs.
Income						
Financing Income	2,237,818,336	4,137,129,644	6,374,947,980	1,279,185,643	20,053,108	7,674,186,731
Net Fee and Commission Income	188,973,207	195,468,285	384,441,492	15,058,973	2,421,938	401,922,403
Net Trading Gain	-	-	-	155,105,107	-	155,105,107
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	-	-	-	(7,013,153)	-	(7,013,153)
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(11,732,213)	-	(11,732,213)
Net Other Operating Income	-	-	-	5,226,813	-	5,226,813
Total Income	2,426,791,543	4,332,597,929	6,759,389,472	1,435,831,170	22,475,046	8,217,695,688
Less						
Financing Expenses			(3,275,280,336)	(104,409,451)	(39,003,503)	(3,418,693,290)
Impairment on Financial Assets			(773,246,523)	(11,705,566)		(784,952,089)
Total Operating Expenses			(1,802,730,817)	(741,653,106)	(25,021,351)	(2,569,405,274)
Operating Profit Before VAT on Financial Services			908,131,796	578,063,047	(41,549,808)	1,444,645,035
Value Added Tax on Financial Services						(363,632,453)
Profit Before Tax						1,081,012,582
Tax Expenses						(256,314,684)
Profit for the Year						824,697,898
Total Assets	22,398,558,265	53,417,839,057	75,816,397,322	36,486,220,827	9,606,285,189	121,908,903,328
Total Liabilities	78,289,803,510	17,879,793,700	96,169,597,210	8,668,144,987	3,432,626,996	108,270,369,193

	Consumer Banking 2020 Rs.	Business Banking 2020 Rs.	Total Banking 2020 Rs.	Treasury 2020 Rs.	Unallocated/ Elimination 2020 Rs.	Total 2020 Rs.
Income						
Financing Income	2,066,027,574	3,977,079,171	6,043,106,745	1,168,536,690	-	7,211,643,435
Net Fee and Commission Income	169,886,799	137,667,852	307,554,651	6,365,365	14,642,727	328,562,743
Net Trading Gain	-	-	-	444,376,037	-	444,376,037
Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss	-	-	-	3,260,627	-	3,260,627
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	928,646	-	928,646
Net Other Operating Income	-	-	-	2,302,448	-	2,302,448
Total Income	2,235,914,373	4,114,747,022	6,350,661,396	1,625,769,814	14,642,727	7,991,073,936
Less						
Financing Expenses			(3,708,293,011)	(9,698,616)	(39,321,540)	(3,757,313,167)
Impairment on Financial Assets			(514,295,499)	568,538		(513,726,961)
Total Operating Expenses			(1,796,685,375)	(739,165,979)	(29,566,655)	(2,565,418,009)
Operating Profit Before VAT on Financial Services			331,387,511	877,473,757	(54,245,468)	1,154,615,799
Value Added Tax on Financial Services						(393,167,272)
Profit Before Tax						761,448,527
Tax Expenses						(297,753,065)
Profit for the Year						463,695,462
Total Assets	17,774,381,387	44,792,582,894	62,566,964,281	22,123,714,496	15,481,689,018	100,172,367,795
Total Liabilities	73,107,326,380	10,457,964,809	83,565,291,189	411,919,078	3,727,879,178	87,705,089,445

Notes to the Financial Statements

4. FINANCING INCOME

Year ended 31 December	2021 Rs.	2020 Rs.
Financing Income	6,395,001,088	6,043,106,745
Placement Income	1,279,185,643	1,168,536,690
Total	7,674,186,731	7,211,643,435

Accrued Income from Impaired Financial Assets amounting to Rs. 174,281,598/- (2020 - Rs. 25,649,561/-) has been deducted from Financing Income.

5. FINANCING EXPENSES

Year ended 31 December	2021 Rs.	2020 Rs.
Expenses on Due to Other Customers	3,275,280,336	3,708,293,011
Expenses on Due to Banks	104,409,451	9,698,616
Finance Expense on Lease Liability	39,003,503	39,321,540
Total	3,418,693,290	3,757,313,167

6. NET FEE AND COMMISSION INCOME

Year ended 31 December	2021 Rs.	2020 Rs.
Trade Related Services	173,540,443	134,057,183
Other Banking and Financial Services	228,381,960	194,505,560
Total	401,922,403	328,562,743

7. NET TRADING INCOME

Year ended 31 December	2021 Rs.	2020 Rs.
Foreign Exchange Income		
- From Banks	46,471,214	407,649,526
- From Customers	108,633,893	36,726,511
Total	155,105,107	444,376,037

Foreign Exchange Income includes Gains and Losses from Spot and Promissory Forward transactions.

8. NET GAINS / (LOSSES) FROM FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

Year ended 31 December	2021 Rs.	2020 Rs.
Equity Securities	(7,013,153)	3,260,627
Total	(7,013,153)	3,260,627

The above consists of Unrealised Gains and Losses from changes in the Fair Value of Equity Securities.

9. NET GAINS / (LOSSES) FROM DERECOGNITION OF FINANCIAL ASSETS

Year ended 31 December	2021 Rs.	2020 Rs.
Equity and Other Securities	(11,732,213)	928,646
Total	(11,732,213)	928,646

10. NET OTHER OPERATING INCOME

Year ended 31 December	2021 Rs.	2020 Rs.
Income from Dividends	5,096,813	2,302,448
Gain/(Loss) on Disposal of Property, Plant and Equipment	130,000	-
Total	5,226,813	2,302,448

Notes to the Financial Statements

11. IMPAIRMENT ON FINANCIAL ASSETS

The table below shows the ECL charges on Financial Instruments for the Year 2021.

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Cash and Cash Equivalents (Note 17.1)	346,452	-	-	346,452
Placements with Banks (Note 19.1)	351,191	-	-	351,191
Placements with Licensed Finance Companies (Note 20.1)	(385,897)	-	-	(385,897)
Commitments and Contingencies (Note 45.2.1)	11,367,907	82,167	(56,252)	11,393,822
Financing and Receivables to Other Customers (Note 23.4)	523,039,580	(32,752,599)	282,959,540	773,246,521
Total	534,719,233	(32,670,432)	282,903,288	784,952,089

The table below shows the ECL charges on Financial Instruments for the Year 2020.

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Cash and Cash Equivalents (Note 17.1)	(541,500)	-	-	(541,500)
Placements with Banks (Note 19.1)	(980,993)	-	-	(980,993)
Placements with Licensed Finance Companies (Note 20.1)	412,454	-	-	412,454
Commitments and Contingencies (Note 45.2.1)	245,924	29,720	11,892	287,536
Financing and Receivables to Other Customers (Note 23.4)	94,370,610	193,433,096	226,745,757	514,549,463
Total	93,506,496	193,462,816	226,757,649	513,726,961

12. PERSONNEL EXPENSES

Year ended 31 December	2021 Rs.	2020 Rs.
Salaries and Bonus	971,303,839	984,322,330
Defined Contribution Plan - EPF/ETF	118,082,239	125,120,515
Defined Benefit Plan - Gratuity (Note 34)	16,543,674	37,403,708
Other Staff Related Expenses	293,330,280	299,291,780
Total	1,399,260,032	1,446,138,333

13. OTHER OPERATING EXPENSES

Year ended 31 December	2021 Rs.	2020 Rs.
Directors' Emoluments	15,085,908	9,671,516
Auditors' Remuneration		
- Audit Fee and Expenses	4,160,646	4,023,756
- Non Audit Services	2,400,000	2,250,914
Professional Fees	49,807,923	33,390,671
Office Administration and Establishment Expenses	463,576,738	441,681,959
Advertising and Promotion	27,185,693	38,223,987
Deposit Insurance Premium	90,508,222	79,017,785
System Support Fee	120,048,187	94,586,986
Others	59,054,503	64,879,946
Total	831,827,820	767,727,520

Office Administration and Establishment Expenses mainly include Office Rent, Utilities, Security, Janitorial, Maintenance and others.

14. TAX EXPENSES

Year ended 31 December	2021 Rs.	2020 Rs.
Current Tax:		
Tax Expense (Note 14.1)	419,795,391	411,768,293
(Over)/Under Provision in Respect of Previous Year		
Due to Rate Reduction	(46,702,087)	-
Other (Reversal)/Charge	30,385,673	11,731,811
Deferred Tax:		
Deferred Taxation Charged/(Reversal) (Note 33)	(147,164,292)	(125,747,039)
Tax Expense	256,314,685	297,753,065

Notes to the Financial Statements

14.1 Reconciliation of Accounting Profit to Tax Expense

Year ended 31 December	2021 Rs.	2020 Rs.
Accounting Profit before Income Tax	1,081,012,582	761,448,527
Income Tax Rate	24%	28%
At the Statutory Income Tax Rate	260,156,574	213,205,588
Income Exempt from Tax	(14,413,400)	(25,190,458)
Non Deductible Expenses	439,534,503	547,131,290
Deductible Expenses	(265,482,286)	(323,378,127)
Tax Expense	419,795,391	411,768,293

The Effective Income Tax rate for 2021 is 24% (2020 - 39%).

15. EARNINGS PER SHARE

Earnings Per Share is calculated by dividing the Net Profit or Loss for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

The following reflects the income and data on ordinary shares used in the Earnings Per Share computation.

Year ended 31 December	2021 Rs.	2020 Rs.
Amount used as the Numerator:		
Net Profit Attributable to Ordinary Shareholders	824,697,898	463,695,462
Number of Ordinary Shares used as Denominator:		
Weighted Average Number of Ordinary Shares in Issue (Note 15.1)	2,691,151,194	2,691,151,194
Earnings Per Share - Basic / Diluted	0.31	0.17

15.1 Weighted Average Number of Ordinary Shares for Basic and Diluted Earnings per Share

	Outstanding No. of Shares		Weighted Average No. of Shares	
	2021	2020	2021	2020
Number of Shares in Issue as at 1 January	2,601,446,155	2,601,446,155	2,601,446,155	2,601,446,155
Add				
Scrip Dividends	89,705,039	89,705,039	89,705,039	89,705,039
Weighted Average Number of Ordinary Shares for Diluted Earnings per Ordinary Share Calculation	2,691,151,194	2,691,151,194	2,691,151,194	2,691,151,194

The outstanding number of shares for 2020 was adjusted retrospectively due to the scrip dividend paid during the year in accordance with LKAS 33 - Earnings per Share.

16. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

16.1 Analysis of financial instruments by measurement - as at 31 December 2021

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

As at 31 December 2021	Fair Value through Profit or Loss Rs.	Amortised Cost Rs.	Fair Value through Other Comprehensive Income Rs.	Total Rs.
Financial Assets				
Cash and Cash Equivalents	-	8,673,811,858	-	8,673,811,858
Balance with Central Bank of Sri Lanka	-	4,800,026,593	-	4,800,026,593
Placements with Banks	-	27,302,269,408	-	27,302,269,408
Placements with Licensed Finance Companies	-	73,341	-	73,341
Derivative Financial Assets	510,066,210	-	-	510,066,210
Financial Assets recognised through Profit or Loss - Measured at Fair Value	64,634,084	-	-	64,634,084
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	75,816,397,323	-	75,816,397,323
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	346,009,586	346,009,586
Other Assets - Financial	-	1,213,996,086	-	1,213,996,086
Total Financial Assets	574,700,294	117,806,574,609	346,009,586	118,727,284,489
Financial Liabilities				
Due to Banks	-	9,009,986,183	-	9,009,986,183
Derivative Financial Liabilities	783,199,782	-	-	783,199,782
Financial Liabilities at Amortised Cost - Due to Depositors	-	96,157,776,116	-	96,157,776,116
Other Liabilities - Financial	-	1,696,126,980	-	1,696,126,980
Total Financial Liabilities	783,199,782	106,863,889,279	-	107,647,089,061

Notes to the Financial Statements

16.2 Analysis of financial instruments by measurement - as at 31 December 2020

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

As at 31 December 2020	Fair Value through Profit or Loss Rs.	Amortised Cost Rs.	Fair Value through Other Comprehensive Income Rs.	Total Rs.
Financial Assets				
Cash and Cash Equivalents	-	6,859,970,358	-	6,859,970,358
Balance with Central Bank of Sri Lanka	-	11,410,470,563	-	11,410,470,563
Placements with Banks	-	11,580,356,721	-	11,580,356,721
Placements with Licensed Finance Companies	-	3,108,069,281	-	3,108,069,281
Derivative Financial Assets	228,515,144	-	-	228,515,144
Financial Assets recognised through Profit or Loss - Measured at Fair Value	55,921,805	-	-	55,921,805
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	62,566,964,280	-	62,566,964,280
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	291,991,226	291,991,226
Other Assets - Financial	-	1,048,477,201	-	1,048,477,201
Total Financial Assets	284,436,949	96,574,308,404	291,991,226	97,150,736,579
Financial Liabilities				
Due to Banks	-	1,967,893,100	-	1,967,893,100
Derivative Financial Liabilities	111,881,845	-	-	111,881,845
Financial Liabilities at Amortised Cost - Due to Depositors	-	83,554,240,988	-	83,554,240,988
Other Liabilities - Financial	-	1,287,362,598	-	1,287,362,598
Total Financial Liabilities	111,881,845	86,809,496,686	-	86,921,378,531

17. CASH AND CASH EQUIVALENTS

As at 31 December	Note	2021 Rs.	2020 Rs.
Cash in Hand		4,985,324,859	3,786,665,745
Balances with Banks		3,689,319,623	3,073,790,785
Cash and Cash Equivalents before Allowance for Impairment *		8,674,644,482	6,860,456,530
Less: Allowance for Impairment			
- Stage 1	17.1	(832,624)	(486,172)
Total		8,673,811,858	6,859,970,358

* as per Statement of Cash Flows

17.1 Impairment Allowance for Balances with Banks

	2021 Rs.	2020 Rs.
ECL allowance as at 1 January	486,172	1,027,672
Charge/(Write Back) for the year	346,452	(541,500)
Amounts Written Off	-	-
As at 31 December	832,624	486,172

18. BALANCE WITH CENTRAL BANK OF SRI LANKA

As at 31 December	2021 Rs.	2020 Rs.
Statutory Deposit with the Central Bank of Sri Lanka	4,800,026,593	11,410,470,563
	4,800,026,593	11,410,470,563

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2021, the minimum cash reserve requirement was 4.0% (2020 - 2.0%) of Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The statutory deposit with Central Bank of Sri Lanka is not available for financing the Bank's day to day operations and therefore it is not considered as part of Cash and Cash Equivalents.

Notes to the Financial Statements

19. PLACEMENTS WITH BANKS

As at 31 December	Note	2021 Rs.	2020 Rs.
Savings Deposits		159,746	157,617
Term Deposits		27,303,224,332	11,580,962,583
Less: Allowance for Impairment			
- Stage 1	19.1	(1,114,670)	(763,479)
Total		27,302,269,408	11,580,356,721

19.1 Impairment Allowance for Placements with Banks

	2021 Rs.	2020 Rs.
ECL allowance as at 1 January	763,479	1,744,472
Charge/(Write Back) for the year	351,191	(980,993)
Amounts Written Off	-	-
As at 31 December	1,114,670	763,479

20. PLACEMENTS WITH LICENSED FINANCE COMPANIES

As at 31 December	Note	2021 Rs.	2020 Rs.
Savings Deposits		73,341	19,475,867
Term Deposits		-	3,089,006,976
Less: Allowance for Impairment			
- Stage 1	20.1	(10)	(413,562)
Total		73,341	3,108,069,281

20.1 Impairment Allowance for Licensed Finance Companies

As at 31 December	2021 Rs.	2020 Rs.
ECL allowance as at 1 January	413,562	1,108
Charge/(Write Back) for the year	(385,897)	412,454
Transfer	(27,655)	-
As at 31 December	10	413,562

21. DERIVATIVE FINANCIAL ASSETS

As at 31 December	2021 Rs.	2020 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	510,066,210	228,515,144
Total	510,066,210	228,515,144

22. FINANCIAL ASSETS RECOGNISED THROUGH PROFIT OR LOSS - MEASURED AT FAIR VALUE

As at 31 December	2021 Rs.	2020 Rs.
Investment in Equity Securities - Quoted (22.1)	64,634,084	55,921,805
	64,634,084	55,921,805

22.1 Investment in Equity Securities - Quoted

As at 31 December	No. of Ordinary Shares		Carrying Value	
	2021	2020	2021	2020
C.W. Mackie PLC	-	416,670	-	20,000,160
Dialog Axiata PLC	1,619,860	1,850,000	17,656,474	22,940,000
Dipped Products PLC	100,000	-	5,070,000	-
Haycarb PLC	100,000	-	7,680,000	-
Hemas Holdings PLC	184,044	10,300	12,312,544	1,028,970
Tokyo Cement Company PLC	115,000	-	6,877,000	-
Tokyo Cement Company PLC Non Voting	50,000	-	2,485,000	-
Vidullanka PLC	26,400	-	176,880	-
WindForce PLC	507,102	-	9,229,256	-
Nestle Lanka PLC	2,589	3,849	3,146,930	4,907,475
Teejay PLC	-	185,400	-	7,045,200
Total Carrying Value			64,634,084	55,921,805

Notes to the Financial Statements

23. FINANCIAL ASSETS AT AMORTISED COST - FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

As at 31 December	2021	2020
Summary	Rs.	Rs.
Gross Financing and Receivables to Other Customers		
Stage 1	66,727,677,974	51,324,558,537
Stage 2	9,072,714,428	10,132,406,320
Stage 3	2,385,588,140	2,801,545,725
	78,185,980,542	64,258,510,582
Less: Accumulated Impairment		
Stage 1	(876,661,967)	(353,622,387)
Stage 2	(602,428,762)	(635,181,361)
Stage 3	(890,492,490)	(702,742,554)
Total	75,816,397,323	62,566,964,280

23.1 By Product

As at 31 December	2021	2020
	Rs.	Rs.
Overdraft	6,508,768,621	4,636,478,914
Trade Finance	1,172,994,046	1,032,136,628
Lease Receivables	4,958,225,780	5,910,584,973
Staff Facilities	812,258,699	703,572,502
Term Financing:		
- Short Term	21,832,574,068	14,725,757,789
- Long Term	34,029,584,026	29,905,474,807
Gold Facilities	7,979,483,504	5,821,825,258
Others	892,091,798	1,522,679,711
	78,185,980,542	64,258,510,582
Less: Accumulated Impairment		
Stage 1	(876,661,967)	(353,622,387)
Stage 2	(602,428,762)	(635,181,361)
Stage 3	(890,492,490)	(702,742,554)
Total	75,816,397,323	62,566,964,280

23.2 By Currency

As at 31 December	2021 Rs.	2020 Rs.
Sri Lanka Rupees	75,408,983,479	59,057,183,391
United States Dollars	2,776,997,063	5,201,327,191
	78,185,980,542	64,258,510,582
Less: Accumulated Impairment		
Stage 1	(876,661,967)	(353,622,387)
Stage 2	(602,428,762)	(635,181,361)
Stage 3	(890,492,490)	(702,742,554)
Total	75,816,397,323	62,566,964,280

23.3 By Industry

As at 31 December	2021 Rs.	2020 Rs.
Agriculture, Forestry and Fishing	9,545,359,505	8,927,916,871
Construction	12,156,899,462	8,409,068,532
Consumption	15,055,651,354	13,061,732,334
Financial Services	1,065,600,010	545,178,517
Information Technology and Communication Services	1,035,159,849	112,839,809
Infrastructure Development	586,138,066	773,318,380
Manufacturing	10,700,855,546	11,329,996,609
Tourism	537,179,459	481,798,719
Transportation and Storage	2,231,147,449	1,802,040,680
Wholesale and Retail Trade	23,289,672,692	17,943,025,660
Other Services	1,982,317,150	871,594,471
	78,185,980,542	64,258,510,582
Less: Accumulated Impairment		
Stage 1	(876,661,967)	(353,622,387)
Stage 2	(602,428,762)	(635,181,361)
Stage 3	(890,492,490)	(702,742,554)
Total	75,816,397,323	62,566,964,280

Notes to the Financial Statements

23.4 Impairment Allowance for Financing and Receivables to Other Customers

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 as at 31 December 2021 is as follows:

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Impairment Rs.
ECL Allowance as at 1 January 2021 under SLFRS9	353,622,387	635,181,361	702,742,554	1,691,546,302
Charge/(Write Back) for the year	523,039,580	(32,752,599)	282,959,540	773,246,521
Amounts Written Off	-	-	(95,209,604)	(95,209,604)
As at 31 December 2021	876,661,967	602,428,762	890,492,490	2,369,583,219

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 as at 31 December 2020 is as follows:

	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Impairment Rs.
ECL Allowance as at 1 January 2020 under SLFRS9	259,251,777	441,748,265	595,324,476	1,296,324,518
Charge/(Write Back) for the year	94,370,610	193,433,096	226,745,757	514,549,463
Amounts Written Off	-	-	(119,327,679)	(119,327,679)
As at 31 December 2020	353,622,387	635,181,361	702,742,554	1,691,546,302

Based on the requirements of the SLFRS 9, the Bank applies the amortised cost method to measure the Financial Instruments in instances where the Bank's business model is to hold the Financial Asset to collect the contractual cash flows. The characteristics of the contractual cash flows herein refers to repayment of capital and profits/income only (referred to as "SPPI" test under SLFRS 9). Capital is the fair value of the instrument at initial recognition.

Profit/Income is the return within a basic financing arrangement and typically consists of consideration for the credit risk and may also include consideration for other basic risks such as liquidity risk as well as a financing margin.

The Bank manages its Financial Assets to achieve its business objective having carried out the appropriate business model assessment.

24. FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Financial Assets held under the category of Fair Value through Other Comprehensive Income (FVOCI) consists of equity investments. Gains or Losses arising due to changes in fair value are recognised in OCI. Realised Gains or Losses are not recognised to the Statement of Profit or Loss and is also not subject to any impairment assessment. Dividends earned whilst holding FVOCI Financial Assets are recognised in the Statement of Profit or Loss under 'Net Other Operating Income' when the right to receive the dividend is established.

As at 31 December	2021 Rs.	2020 Rs.
Investments in Securities		
Equities - Quoted (24.1)	343,016,586	288,998,226
Equities - Unquoted (24.2)	2,993,000	2,993,000
	346,009,586	291,991,226

24.1 Investment in Equity - Quoted

As at 31 December	No. of Ordinary Shares		Carrying Value	
	2021	2020	2021	2020
Amāna Takaful PLC	27,009,180	27,009,180	343,016,586	288,998,226
Total			343,016,586	288,998,226

24.2 Investment in Equity - Unquoted

As at 31 December	No. of Ordinary Shares		Carrying Value	
	2021	2020	2021	2020
LankaClear (Private) Limited	50,000	50,000	2,000,000	2,000,000
Credit Information Bureau of Sri Lanka	300	300	993,000	993,000
Total Carrying Value			2,993,000	2,993,000

All unquoted investments are recorded at cost and the Bank intends to hold them for the long term.

25. OTHER ASSETS - FINANCIAL

As at 31 December	2021	2020
Refundable Deposits and Other Debtors	459,763,329	186,207,856
Prepaid Staff Costs	306,447,332	283,955,506
Other Receivables	447,785,425	578,313,839
Total	1,213,996,086	1,048,477,201

Notes to the Financial Statements

26. PROPERTY, PLANT, EQUIPMENT AND RIGHT-OF-USE ASSETS

	Freehold Land and Building Rs.	Improvements to Leasehold Premises Rs.	Furniture and Fittings Rs.	Office Equipment Rs.
Cost or Valuation:				
As at 1 January 2020	1,506,001,095	304,318,394	219,028,457	434,376,315
Additions	-	17,710,568	12,442,646	11,252,965
Revaluation	-	-	-	-
Transfer	-	-	-	-
Disposals	-	-	-	-
As at 31 December 2020	1,506,001,095	322,028,962	231,471,103	445,629,280
Additions	399,100	5,813,753	5,003,290	15,108,091
Revaluation	274,905,537	-	-	-
Transfer	-	-	-	-
Disposals	-	(581,898)	-	-
As at 31 December 2021	1,781,305,732	327,260,817	236,474,393	460,737,371
Depreciation				
As at 1 January 2020	6,781,214	191,090,348	162,691,599	364,006,653
Disposals	-	-	-	-
Depreciation Charge for the Year	2,823,727	28,563,804	21,924,811	27,297,936
Transfer	-	-	-	-
As at 31 December 2020	9,604,941	219,654,152	184,616,410	391,304,589
Disposals	-	(581,898)	-	-
Depreciation Charge for the Year	2,600,791	29,004,553	19,768,264	25,156,910
Transfer	-	-	-	-
As at 31 December 2021	12,205,732	248,076,807	204,384,674	416,461,499
Net Book Value:				
As at 31 December 2021	1,769,100,000	79,184,010	32,089,719	44,275,872
As at 31 December 2020	1,496,396,154	102,374,810	46,854,693	54,324,691

26.1 During the year, the Bank acquired Property, Plant, Equipment and Right-of-Use Assets to the aggregate value of Rs.97,268,351/- (2020 - Rs.129,884,091/-). Cash payments amounting to Rs.83,813,857/- (2020 - Rs.29,130,963/-) were made during the year for purchase of Property, Plant and Equipment.

26.2 Property, Plant and Equipment includes fully depreciated assets with a gross carrying amount of Rs. 928,458,931/- (2020 - Rs. 888,872,173/-) which are still in use at the date of the Statement of Financial Position.

	Computer Equipment Rs.	Motor Vehicles Rs.	Computer Servers Rs.	Right-of-Use Assets Rs.	Total Rs.
	331,269,070	24,316,572	174,291,171	715,854,463	3,709,455,537
	49,131,587	-	18,872,421	20,473,904	129,884,091
	-	-	-	-	-
	-	-	-	-	-
	-	-	-	-	-
	380,400,657	24,316,572	193,163,592	736,328,367	3,839,339,628
	27,162,303	-	29,241,200	14,540,614	97,268,351
	-	-	-	-	274,905,537
	-	-	-	-	-
	-	(12,500)	-	-	(594,398)
	407,562,960	24,304,072	222,404,792	750,868,981	4,210,919,118
	224,294,219	11,829,708	121,237,604	121,623,063	1,203,554,408
	-	-	-	-	-
	39,374,598	168,262	34,525,723	126,498,449	281,177,310
	-	-	-	-	-
	263,668,817	11,997,970	155,763,327	248,121,512	1,484,731,718
	-	(12,500)	-	-	(594,398)
	43,274,769	104,123	16,827,246	142,895,357	279,632,013
	-	-	-	-	-
	306,943,586	12,089,593	172,590,573	391,016,869	1,763,769,333
	100,619,374	12,214,479	49,814,219	359,852,112	2,447,149,785
	116,731,840	12,318,602	37,400,265	488,206,855	2,354,607,910

Notes to the Financial Statements

26.3 There were no Property, Plant and Equipment identified as temporarily idle as at the date of the Statement of Financial Position.

26.4 No assets have been pledged by the Bank.

26.5 The Bank measures land and buildings at revalued amounts where valuations are obtained every 3 - 5 years. Gains in fair value will be recognised in Statement of Comprehensive Income and losses in the Statement of Profit or Loss. An independent valuation specialist was engaged to assess the fair value as at 31 December 2021 for the revalued land and buildings. Land and buildings were valued by reference to market-based evidence, using comparable prices adjusted for specific market factors such as nature, location and condition of the property.

The key assumptions used to determine the fair value of the revalued land and buildings and the sensitivity analyses are further discussed below.

The revalued land and buildings consists of a land comprising three office buildings located in 486, Galle Road, Colombo 3, Sri Lanka. Management determined that these constitute one class of asset under SLFRS 13, based on the nature, characteristics and risks of the property.

Valuation Methods, Assumptions and Measurement Hierarchy

Fair value of the land and building is determined at Rs. 1,769,100,000 that falls under Level 3 (Significant unobservable inputs) of the fair value measurement hierarchy. The fair value was determined using the market comparable method. This means that valuations performed by the valuer are based on market prices, significantly adjusted for differences in the nature, location or condition of the specific property. The property's fair values are based on valuations performed by Mr. P.P.T. Mohideen (Chartered Valuation Surveyor and Fellow of the Institute of Valuers of Sri Lanka), an accredited independent valuer and having recent experience in the location and category of the Land and Building.

Key Valuation Assumptions used are:

Significant Unobservable Valuation Input:

Land : Price per perch Rs. 23,500,000

Building : Price per square foot Rs. 3,650 - Rs. 5,000

Significant increases / (decreases) in estimated price per perch and square foot in isolation would result in a significantly higher / (lower) fair value.

Reconciliation of Fair Value of Revalued Land and Buildings:

	2021 Rs.	2020 Rs.
As at 1 January	1,494,194,463	1,141,877,030
Level 3 Revaluation Recognised due to Revaluation Model	274,905,537	-
As at 31 December	1,769,100,000	1,141,877,030

If Freehold Land and Buildings were Measured using the Cost Model, the Carrying Amounts would be as follows:

As at 31 December	2021			2020		
	Cost Rs.	Accumulated Depreciation Rs.	Net Carrying Amount Rs.	Cost Rs.	Accumulated Depreciation Rs.	Net Carrying Amount Rs.
Freehold Land	300,299,702	-	300,299,702	300,299,702	-	300,299,702
Building	67,390,603	(13,158,054)	54,232,549	67,390,603	(12,858,213)	54,532,390
Net Carrying Amount	367,690,305	(13,158,054)	354,532,251	367,690,305	(12,858,213)	354,832,092

26.6 The Details of the Land and Building Owned by the Bank are as follows;

As at 31 December	2021				2020	
	Extent		Valuation		Valuation	
	Land (Perches)	Building (Sq.ft)	Land Rs.	Building Rs.	Land Rs.	Building Rs.
486, Galle Road, Colombo 3	70.80	22,718	1,663,800,000	105,300,000	1,499,000,000	83,269,200

26.7 Cash payments amounting to Rs. 148,567,611/- (2020 - Rs. 131,337,105/-) was paid relating to lease liabilities recognised under SLFRS 16 - Leases.

27. INTANGIBLE ASSETS

	2021 Rs.	2020 Rs.
Computer Software		
Cost:		
As at 1 January	643,911,439	553,370,991
Additions	34,279,592	90,540,448
Disposals	-	-
As at 31 December	678,191,031	643,911,439
Amortisation		
As at 1 January	386,671,116	316,296,268
Amortisation Charge for the Year	58,685,409	70,374,848
Disposals	-	-
As at 31 December	445,356,525	386,671,116
Net Book Value:		
As At 31 December	232,834,506	257,240,323

Notes to the Financial Statements

28. OTHER ASSETS - NON FINANCIAL

As at 31 December	2021 Rs.	2020 Rs.
Stationery Stock	5,639,314	3,562,344
Prepayments and Advances	236,866,301	230,223,633
Tax Receivables	207,057,410	175,997,006
Total	449,563,025	409,782,983

29. DUE TO BANKS

As at 31 December	2021 Rs.	2020 Rs.
Vostro Balances	11,821,094	11,050,204
Balance Due to CBSL (Saubagya Renaissance Facility)	1,113,219,884	1,656,805,663
Balances Due to Banks	7,884,945,205	300,037,233
Total	9,009,986,183	1,967,893,100

30. DERIVATIVE FINANCIAL LIABILITIES

As at 31 December	2021 Rs.	2020 Rs.
Spot and Promissory Forward Foreign Exchange Transactions	783,199,782	111,881,845
Total	783,199,782	111,881,845

31. FINANCIAL LIABILITIES AT AMORTISED COST - DUE TO DEPOSITORS

As at 31 December	2021 Rs.	2020 Rs.
31.1 Total Amount Due to Depositors	96,157,776,116	83,554,240,988

31.2 By Product

As at 31 December	2021 Rs.	2020 Rs.
Demand Deposits	6,575,399,857	5,442,469,913
Savings Deposits	37,390,321,471	32,334,821,670
Time Deposits	52,192,054,788	45,776,949,405
Total	96,157,776,116	83,554,240,988

31.3 By Currency

As at 31 December	2021 Rs.	2020 Rs.
Sri Lanka Rupees	82,962,432,260	75,299,107,807
United States Dollars	12,844,496,000	7,962,510,238
Great Britain Pounds	233,094,778	218,058,202
Others	117,753,078	74,564,741
Total	96,157,776,116	83,554,240,988

32. OTHER LIABILITIES - FINANCIAL

As at 31 December	2021 Rs.	2020 Rs.
Accrued Expenses	781,183,073	399,833,965
Balances Held in Margin	98,980,973	115,540,371
Cheques Pending Realisation	253,793,338	152,480,855
Impairment Provision for ECL - Credit related Commitment and Contingencies (Note 45)	15,956,385	4,562,566
Other Liabilities	146,822,876	120,992,853
Lease Liability	386,994,053	487,600,565
Sundry Creditors	12,396,282	6,351,424
Total	1,696,126,980	1,287,362,598

Notes to the Financial Statements

33. DEFERRED TAX

As at 31 December	2021			2020		
	Deferred Tax Liabilities/(Assets)	Statement of Profit or Loss	Statement of Comprehensive Income	Deferred Tax Liabilities/(Assets)	Statement of Profit or Loss	Statement of Comprehensive Income
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Deferred Tax Liabilities						
Capital Allowances for Tax purposes	82,255,725	(57,136,464)	-	139,392,189	(54,178,023)	-
Capital Gains for Tax purposes	328,772,751	-	14,588,542	314,184,209	-	-
Impact of Adopting SLFRS 16	(12,768,067)	(920,316)	-	(11,847,750)	(17,586,307)	-
Deferred Tax Assets						
Defined Benefit Plans	(31,459,480)	6,087,851	10,238,694	(47,786,025)	(8,887,100)	1,697,612
Provision for Impairment Losses	(418,872,452)	(95,195,363)	-	(323,677,088)	(45,095,608)	-
Total	(52,071,523)	(147,164,292)	24,827,236	70,265,535	(125,747,039)	1,697,612

34. RETIREMENT BENEFIT LIABILITY

	Note	2021 Rs.	2020 Rs.
At 1 January		170,664,374	144,987,628
Expenses Recognised in the Statement of Profit or Loss	34.1	16,543,674	37,403,708
Actuarial Gain	34.2	(42,661,226)	(6,062,897)
Benefits Paid		(13,465,655)	(5,664,065)
At 31 December		131,081,167	170,664,374

34.1 Expenses Recognised in the Statement of Profit or Loss

Year ended 31 December	2021 Rs.	2020 Rs.
Current Service Cost (Net)	2,805,192	22,542,477
Finance Cost	13,738,482	14,861,231

34.2 Expenses Recognised in the Statement of Comprehensive Income

Year ended 31 December	2021 Rs.	2020 Rs.
Recognition of Actuarial (Gain)/Loss	(42,661,226)	(6,062,897)
Components Recognised in the Statement of Comprehensive Income	(42,661,226)	(6,062,897)
Total	(26,117,552)	31,340,811

As at 31 December 2021 the Gratuity Liability of the Bank was actuarially valued under Projected Unit Credit Method by Messrs Piyal S Goonetilleke & Associates, a firm of professional actuaries.

Year ended 31 December	2021	2020
Discount Rate	11.44%	8.05%
Salary Increment Rate	4.00%	4.00%
Age of Retirement	60	55
Mortality	GA 1983 Mortality Table	GA 1983 Mortality Table

Expected average future working life of active participants is 11.9 years (2020 - 10.1 years).

The Retirement Benefit Plan of the Bank was amended due to the increase in retirement age enacted by the Minimum Retirement Age of Workers Act No. 28 of 2021.

As at 17 November 2021, Employees who have Attained the Age of	Retirement Age
Less than 52 years	60 years
53 years	59 years
54 years	58 years
55 years	57 years

The resulting change in the present value of defined benefit obligation was recognised in the Statement of Profit or Loss as a past service income of Rs. 20,684,832/- (2020 – Nil).

Notes to the Financial Statements

34.3 Sensitivity of assumptions employed in actuarial valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the Employment Benefit Liability measurement.

The sensitivity of the Statement of Profit or Loss and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss and employment benefit obligation for the year.

Increase / (decrease) in Discount Rate	Increase / (Decrease) in Salary Increment	Sensitivity Effect on Comprehensive Income Increase/(Reduction) in results for the year (Rs. Mn)		Sensitivity Effect on Employment Benefit obligation Increase/(Decrease) in the Liability (Rs. Mn)	
		2021	2020	2021	2020
1%	-	8.25	10.08	(8.25)	(10.08)
(1%)	-	(9.45)	11.50	9.45	(11.50)
	1%	(11.66)	(12.71)	11.66	12.71
	(1%)	10.25	11.30	(10.25)	(11.30)

34.4 Distribution of Defined Benefit Obligation Over Future Lifetime

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting date.

As at 31 December	2021 Rs.	2020 Rs.
Less than 1 year	13,168,836	17,886,356
Between 1 and 2 years	34,658,643	37,684,148
Between 3 and 5 years	39,017,849	41,803,433
Beyond 5 years	134,679,843	150,246,954
Total Expected Payments	221,525,171	247,620,891

35. OTHER LIABILITIES - NON FINANCIAL

As at 31 December	2021 Rs.	2020 Rs.
Statutory Payable	65,944,501	115,763,735
Total	65,944,501	115,763,735

36. STATED CAPITAL

As at 31 December	2021		2020	
	Number	Rs.	Number	Rs.
Fully Paid Ordinary Shares	2,691,151,194	11,079,706,011	2,601,446,155	10,819,561,398
Total	2,691,151,194	11,079,706,011	2,601,446,155	10,819,561,398

36.1 Fully Paid Ordinary Shares

	2021		2020	
	Number	Rs.	Number	Rs.
Balance as at 1 January	2,601,446,155	10,819,561,398	2,501,390,534	10,619,450,156
Scrip Issue	89,705,039	260,144,613	100,055,621	200,111,242
Balance as at 31 December	2,691,151,194	11,079,706,011	2,601,446,155	10,819,561,398

37. STATUTORY RESERVE FUND

The Statutory Reserve Fund is maintained as required by Section 20 (1) of the Banking Act No. 30 of 1988. A sum equivalent to 5% of the Profit for the year should be transferred to the Reserve until the reserve is equal to 50% of the paid up capital of the Bank and thereafter a sum equivalent to 2% of such profits until the amount of reserve is equal to the paid up capital of the Bank. This Reserve Fund will be used only for the purpose specified in Section 20 (2) of the Banking Act No. 30 of 1988.

	2021 Rs.	2020 Rs.
Balance as at 1 January	116,458,225	93,273,452
Transfers during the Year	41,234,895	23,184,773
Balance as at 31 December	157,693,120	116,458,225

38. FAIR VALUE RESERVE

	2021 Rs.	2020 Rs.
As at 1 January	44,879,766	(100,969,806)
Gain / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income	54,018,360	145,849,572
As at 31 December	98,898,126	44,879,766

Notes to the Financial Statements

39. REVALUATION RESERVE

	2021 Rs.	2020 Rs.
As at 1 January	817,457,403	818,543,863
Revaluation of Freehold Land and Building	260,316,995	-
Transferred to Retained Earnings	(1,086,460)	(1,086,460)
As at 31 December	1,076,687,938	817,457,403

40. RETAINED EARNINGS

	2021 Rs.	2020 Rs.
As at 1 January	668,921,558	423,270,366
Profit for the Year	824,697,898	463,695,462
Transfers to Statutory Reserve Fund	(41,234,895)	(23,184,773)
Transfer from Other Comprehensive Income	32,422,532	4,365,285
Transfer from Revaluation Reserve	1,086,460	1,086,460
Scrip Dividend	(260,144,613)	(200,111,242)
Share Issue Expenses	(200,000)	(200,000)
	1,225,548,940	668,921,558

41. NET ASSETS VALUE PER SHARE

As at 31 December	2021 Rs.	2020 Rs.
Amount used as the Numerator:		
Total Equity Attributable to Equity Holders of the Bank	13,638,534,135	12,748,455,658
Number of Ordinary Shares used as Denominator:		
Total Number of Shares	2,691,151,194	2,601,446,155
Net Assets Value Per Share	5.07	4.90

42. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

Financial instruments comprise financial assets, financial liabilities, derivative financial instruments and off-balance sheet instruments. Fair value' is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk. The information presented herein represents the determination of fair values as at the reporting date.

42.1 Financial Instruments carried at Fair Value

The following is a description of how fair values are determined for financial instruments that are recorded at fair value as at the reporting date. These incorporate the Bank's estimate of assumptions that a market participant would make when valuing the instruments.

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Assets Recognised through Profit or Loss - Measured at Fair Value, Financial Assets Measured at Fair Value through Other Comprehensive Income

The estimated fair values are based on quoted and observable market prices.

Fair Value Hierarchy

SLFRS 13 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources and unobservable inputs reflect the Bank's market assumptions. The fair value hierarchy is as follows:

- Level 1:** Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and debt instruments.
- Level 2:** Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3:** Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity instruments and debt instruments with significant unobservable components.

Notes to the Financial Statements

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

As at 31 December 2021	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Derivative Financial Assets	-	510,066,210	-	510,066,210
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	64,634,084	-	-	64,634,084
Financial Assets Measured at Fair Value through Other Comprehensive Income	343,016,586	-	2,993,000	346,009,586
	407,650,670	510,066,210	2,993,000	920,709,880
Financial Liabilities				
Derivative Financial Liabilities	-	783,199,782	-	783,199,782
	-	783,199,782	-	783,199,782
As at 31 December 2020	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Derivative Financial Assets	-	228,515,144	-	228,515,144
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	55,921,805	-	-	55,921,805
Financial Assets Measured at Fair Value through Other Comprehensive Income	288,998,226	-	2,993,000	291,991,226
	344,920,031	228,515,144	2,993,000	576,428,175
Financial Liabilities				
Derivative Financial Liabilities	-	111,881,845	-	111,881,845
	-	111,881,845	-	111,881,845

42.2 Financial Instruments not carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

As at 31 December	2021		2020	
	Carrying Value Rs.	Fair Value Rs.	Carrying Value Rs.	Fair Value Rs.
Financial Assets				
Cash and Cash Equivalents	8,673,811,858	8,673,811,858	6,860,511,858	6,860,511,858
Balance with Central Bank of Sri Lanka	4,800,026,593	4,800,026,593	11,410,470,563	11,410,470,563
Placements with Banks	27,302,269,408	27,303,384,078	11,581,337,714	11,581,120,200
Placements with Licensed Finance Companies	73,341	73,341	3,107,656,827	3,108,482,843
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	75,816,397,323	67,951,886,926	62,566,964,280	51,276,294,904
Other Assets - Financial	1,213,996,086	1,213,996,086	1,048,477,201	1,048,477,201
	117,806,574,610	109,943,178,882	96,575,418,444	85,285,357,570
Financial Liabilities				
Due to Banks	9,009,986,183	9,009,986,183	1,967,893,100	1,967,893,100
Financial Liabilities at Amortised Cost - Due to Depositors	96,157,776,116	96,157,776,116	83,554,240,988	83,554,240,988
Other Liabilities - Financial	1,696,126,980	1,696,126,980	1,287,362,598	1,287,362,598
	106,863,889,279	106,863,889,279	86,809,496,686	86,809,496,686

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, which includes only instruments with maturities of less than 12 months, the carrying value is a reasonable estimate of fair values.

Financial Assets at Amortised Cost - Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates for financing as of the reporting date with similar credit risks and maturities (Level 3).

Financial Liabilities at Amortised Cost - Due to Depositors

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the relevant investments.

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43. RISK MANAGEMENT

43.1 Introduction

Risk is inherent in the Bank's activities but is managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Bank's continuing profitability and each individual within the Bank is accountable for the risk exposures relating to his or her areas of responsibility. The Bank is mainly exposed to;

1. Credit Risk
2. Liquidity risk
3. Market risk

The report on Risk Management in the Annual Report 2021, may be referred for additional information on management's assessment of risks that the Bank is exposed to.

43.2 Risk Management Structure

The Board of Directors is responsible for the overall risk management approach and for approving the risk management strategies and principles. Risk Management Department (RMD) oversees the risks faced by the Bank in its internal operations and from external environment.

The Board Integrated Risk Management Committee

The Board Integrated Risk Management Committee (BIRMC), is a subcommittee of the Board, meets quarterly or more regularly as required to review and assess the Bank's overall risk and to focus on policy recommendations and strategies in an integrated manner.

Assets and Liabilities Committee

The Bank's Assets and Liabilities Committee (ALCO) regularly reviews and monitors the maintenance of liquidity position of the Bank and the concentration of large deposits in order to avoid undue dependence on individual deposits. Bank monitors liquidity by way of various ratios as required by the Board approved Asset and Liability Management Policy.

Risk Measurement and Reporting Systems

The Bank's risks are measured using a method which reflects the expected loss likely to arise in normal circumstances. These are an estimate of the ultimate actual loss based on statistical models.

Monitoring and controlling risks is primarily performed based on limits established by the Bank. These limits reflect the business strategy and market environment of the Bank as well as the level of risk that the Bank is willing to accept, with additional emphasis on selected industries.

Information compiled from all the businesses is examined and processed in order to analyse, control and identify risks on a timely basis. This information is presented and explained to the Board of Directors, the BIRMC, and the head of each business division.

The report includes aggregate credit exposure, Value at Risk (VaR), liquidity ratios and risk profile changes.

Risk Concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry.

43.3 Credit Risk

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations. The Bank manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and industry concentrations, and by monitoring exposures in relation to such limits.

a) Impairment Assessment

The approach used for the assessment of impairment is elaborated under Accounting Policies (Note No. 2.3.3).

b) Credit related Commitment Risk

The risk arising from transactions relating to contingent liabilities (Letters of Credit, Letters of Guarantees and undrawn amounts under approved authorisations) is included under this caption. Notwithstanding the non-funded nature of these products, the Bank is prone to a resultant financial loss due to the nature of such products, i.e. claim on guarantees, negotiation of LCs and non-utilisation of facilities.

c) Collateral and Other Credit Enhancement

An assessment of the credit risk of an individual at the time of issuing or enhancing a facility shall determine the amount and type of collateral that is required.

In the event of default, the Bank may, as a remedial measure, exercise its charge of the collateral obtained at the time of approval of credit facilities. Hence, the credit risk is eliminated to the extent of the net realisable value of such collateral, which has a weightage depending on nature of the collateral. Management monitors the market value of such collateral and requests additional collateral if required when reviewing the adequacy of the allowance for impairment.

d) Credit Quality by Class of Financial Assets (Gross)

The credit quality of financial assets is managed by the Bank using internal credit ratings. The table below shows the credit quality by class of asset for all financial assets exposed to credit risk, based on the Bank's internal credit rating system. The amounts presented are gross of impairment allowances.

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Financial Assets as at 31 December 2021	Current/Past Due				Stage 3*	Total
	(Stage 1 and Stage 2)					
	High Grade	Standard Grade	Sub-Standard Grade	Un-Rated		
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	8,673,811,858	-	-	-	-	8,673,811,858
Balance with Central Bank of Sri Lanka	4,800,026,593	-	-	-	-	4,800,026,593
Placements with Banks	27,302,269,408	-	-	-	-	27,302,269,408
Placements with Licensed Finance Companies	73,341	-	-	-	-	73,341
Derivative Financial Assets	510,066,210	-	-	-	-	510,066,210
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	41,916,018	22,718,066	-	-	-	64,634,084
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	30,716,011,797	44,948,814,720	135,565,885	-	2,385,588,140	78,185,980,542
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	343,016,586	-	2,993,000	-	346,009,586
Other Assets - Financial	11,036,666	-	-	1,202,959,420	-	1,213,996,086
Total	72,055,211,891	45,314,549,372	135,565,885	1,205,952,420	2,385,588,140	121,096,867,708

**Financial Assets as at
31 December 2020**

Financial Assets as at 31 December 2020	Current/Past Due				Stage 3*	Total
	(Stage 1 and Stage 2)					
	High Grade	Standard Grade	Sub-Standard Grade	Un-Rated		
	Rs.	Rs.	Rs.	Rs.		
Cash and Cash Equivalents	6,859,970,358	-	-	-	-	6,859,970,358
Balance with Central Bank of Sri Lanka	11,410,470,563	-	-	-	-	11,410,470,563
Placements with Banks	11,580,356,721	-	-	-	-	11,580,356,721
Placements with Licensed Finance Companies	3,108,069,281	-	-	-	-	3,108,069,281
Derivative Financial Assets	224,994,757	3,520,387	-	-	-	228,515,144
Financial Assets Measured at Fair Value through Profit or Loss	31,014,170	24,907,635	-	-	-	55,921,805
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	27,341,382,540	34,082,861,105	32,721,212	-	2,801,545,725	64,258,510,582
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	288,998,226	-	2,993,000	-	291,991,226
Other Assets - Financial	10,319,283	-	-	1,038,157,918	-	1,048,477,201
Total	60,566,577,673	34,400,287,353	32,721,212	1,041,150,918	2,801,545,725	98,842,282,881

* Age Analysis of Financing and Receivables to Other Customers - Stage 3

	Stage 3				Total
	Not Due and Less than 30 days	30 to 59 days	60 to 89 days	More than 89 days	
	Rs.	Rs.	Rs.	Rs.	Rs.
As at 31 December 2021	1,205,481,850	46,324,730	42,184,984	1,091,596,576	2,385,588,140
As at 31 December 2020	1,359,454,633	46,860,686	45,188,227	1,350,042,179	2,801,545,725

Notes to the Financial Statements

e) Analysis of Risk Concentration

Maximum exposure to credit risk is reviewed/monitored without taking account of any collateral and other credit enhancements. The concentration risk is monitored by industry. The following table shows the maximum exposure to credit risk for the components of the Statement of Financial Position, including sector.

Industry Analysis

The following table shows the risk concentration by industry for the components of the Statement of Financial Position.

Financial Assets as at 31 December 2021	Government	Financial Services	Agriculture, Forestry and Fishing	Manufacturing	Tourism	Transportation and Storage
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	-	8,673,811,858	-	-	-	-
Balance with Central Bank of Sri Lanka	4,800,026,593	-	-	-	-	-
Placements with Banks	-	27,302,269,408	-	-	-	-
Placements with Licensed Finance Companies	-	73,341	-	-	-	-
Derivative Financial Assets	-	510,066,210	-	-	-	-
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	-	-	25,258,930	-	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	537,179,459	9,545,359,505	12,156,899,462	15,055,651,354	1,065,600,010
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	346,009,586	-	-	-	-
Other Assets - Financial	426,899,162	427,339,764	-	-	-	-
Total	5,226,925,755	37,796,749,626	9,545,359,505	12,182,158,392	15,055,651,354	1,065,600,010

Construction	Wholesale and Retail Trade	Information Technology and Communication Services	Infrastructure Development	Other Services	Consumption	Total
Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
-	-	-	-	-	-	8,673,811,858
-	-	-	-	-	-	4,800,026,593
-	-	-	-	-	-	27,302,269,408
-	-	-	-	-	-	73,341
-	-	-	-	-	-	510,066,210
-	12,312,544	17,656,474	9,406,136	-	-	64,634,084
1,035,159,849	586,138,066	10,700,855,546	2,231,147,449	1,982,317,150	23,289,672,692	78,185,980,542
-	-	-	-	-	-	346,009,586
-	-	-	-	-	359,757,160.00	1,213,996,086
1,035,159,849	598,450,610	10,718,512,020	2,240,553,585	1,982,317,150	23,649,429,852	121,096,867,708

Notes to the Financial Statements

Financial Assets as at 31 December 2020	Government	Financial Services	Agriculture, Forestry and Fishing	Manufacturing	Tourism	Transportation and Storage
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Cash Equivalents	-	6,859,970,358	-	-	-	-
Balance with Central Bank of Sri Lanka	11,410,470,563	-	-	-	-	-
Placements with Banks	-	11,580,356,721	-	-	-	-
Placements with Licensed Finance Companies	-	3,108,069,281	-	-	-	-
Derivative Financial Assets	48,684,735	176,310,022	-	2,781,080	-	-
Financial Assets Measured at Fair Value through Profit or Loss	-	-	-	11,952,675	-	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	545,178,517	8,927,916,871	11,329,996,609	481,798,719	1,802,040,680
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	291,991,226	-	-	-	-
Other Assets - Financial	716,804,923	21,307,596	-	-	-	-
Total	12,175,960,221	22,583,183,721	8,927,916,871	11,344,730,364	481,798,719	1,802,040,680

	Construction Rs.	Wholesale and Retail Trade Rs.	Information Technology and Communication Services Rs.	Infrastructure Development Rs.	Other Services Rs.	Consumption Rs.	Total Rs.
	-	-	-	-	-	-	6,859,970,358
	-	-	-	-	-	-	11,410,470,563
	-	-	-	-	-	-	11,580,356,721
	-	-	-	-	-	-	3,108,069,281
	-	739,307	-	-	-	-	228,515,144
	-	21,029,130	22,940,000	-	-	-	55,921,805
	8,409,068,532	17,943,025,660	112,839,809	773,318,380	871,594,471	13,061,732,334	64,258,510,582
	-	-	-	-	-	-	291,991,226
	-	-	-	-	26,409,176	283,955,506	1,048,477,201
	8,409,068,532	17,964,794,097	135,779,809	773,318,380	898,003,647	13,345,687,840	98,842,282,881

Notes to the Financial Statements

f) Analysis of Maximum Exposure to Credit risk and Collateral and Other Credit Enhancements

The following table shows the maximum exposure to credit risk by class of financial asset and the value of financial assets covered by collateral.

Financial Assets as at 31 December 2021	Maximum Exposure to Credit Risk Rs.	Fixed, Savings and Other deposits Rs.	Stocks in Trade Rs.	Immovable Property, Plant and Equipments Rs.
Balances with Banks	3,689,319,623	-	-	-
Placements with Banks	27,302,269,408	-	-	-
Placements with Licensed Finance Companies	73,341	-	-	-
Derivative Financial Assets	510,066,210	-	-	-
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	64,634,084	-	-	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	78,185,980,542	986,028,524	2,674,863,759	45,914,899,236
Financial Assets Measured at Fair Value through Other Comprehensive Income	346,009,586			
Other Assets - Financial	1,213,996,086			
Total	111,312,348,880	986,028,524	2,674,863,759	45,914,899,236

Financial Assets as at 31 December 2020	Maximum Exposure to Credit Risk Rs.	Fixed, Savings and Other deposits Rs.	Stocks in Trade Rs.	Immovable Property, Plant and Equipments Rs.
Balances with Banks	3,073,790,785			
Placements with Banks	11,580,356,721			
Placements with Licensed Finance Companies	3,108,069,281			
Derivative Financial Assets	228,515,144			
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	55,921,805			
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	64,258,510,582	708,648,387	2,148,290,437	36,595,909,207
Financial Assets Measured at Fair Value through Other Comprehensive Income	291,991,226			
Other Assets - Financial	1,048,477,201			
Total	83,645,632,745	708,648,387	2,148,290,437	36,595,909,207

Motor Vehicles	Gold	Shares & Other	Other Customers	Net Exposure
Rs.	Rs.	Rs.	Rs.	Rs.
-	-	-	-	3,689,319,623
-	-	-	-	27,302,269,408
-	-	-	-	73,341
-	-	-	-	510,066,210
-	-	-	-	64,634,084
6,751,162,134	8,057,081,387	574,733,390	-	13,227,212,112
			-	346,009,586
			-	1,213,996,086
6,751,162,134	8,057,081,387	574,733,390	-	46,353,580,450

Motor Vehicles	Gold	Shares & Other	Other Customers	Net Exposure
Rs.	Rs.	Rs.	Rs.	Rs.
			-	3,073,790,785
			-	11,580,356,721
			-	3,108,069,281
			-	228,515,144
			-	55,921,805
6,773,366,488	5,899,895,360	322,274,071	-	11,810,126,632
			-	291,991,226
			-	1,048,477,201
6,773,366,488	5,899,895,360	322,274,071	-	31,197,248,795

Notes to the Financial Statements

43.4 Liquidity Risk and Funding Management

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

Internal control processes and contingency plans for managing liquidity risk have been developed by the Bank under the Asset and Liability Management Policy of the Bank. This incorporates an assessment of expected cash flows and the availability of liquid funds which could be used if required.

As required by the Provisions of Section 93 of the Monetary Law Act, a cash balance is required to be maintained with Central Bank of Sri Lanka. As at 31 December 2021, the minimum cash reserve requirement was 4.0% (2020 - 2.0%) of the Rupee liabilities of the Domestic Banking Unit. There is no reserve requirement for foreign currency deposit liabilities of the Domestic Banking Unit.

The Bank monitors the mix of deposits closely and concentrates on mobilising zero or low cost deposits such as current accounts and savings accounts as a source of major funding.

Liquid assets are defined for the purposes of the liquidity ratio which are mainly Cash and Cash equivalents and Placements with Banks. Adequate liquid assets are maintained based on the Bank's business model adopted and ensure the Statutory Liquid Asset Ratio is maintained as per regulatory requirements.

a) Liquidity Ratios

As at 31 December	2021	2020
Financing and Receivables to Other Customers to Due to Other Customers Ratio (Net)	78.85%	74.88%
Statutory Liquid Assets Ratio	26.87%	23.31%

b) Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The table below summarises the maturity profile of the undiscounted cash flows (Gross) of the Bank's Financial Assets and Financial Liabilities as at the end of the reporting period.

Statement of Financial Position as at 31 December 2021	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	8,673,811,858	-	-	-	-	8,673,811,858
Balance with Central Bank of Sri Lanka	4,800,026,593	-	-	-	-	4,800,026,593
Placements with Banks	160,010	18,052,109,398	6,750,000,000	2,500,000,000	-	27,302,269,408
Placements with Licensed Finance Companies	73,341	-	-	-	-	73,341
Derivative Financial Assets	11,481,665	498,584,545	-	-	-	510,066,210
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	64,634,084	-	-	-	-	64,634,084
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	50,158,700,056	15,605,889,467	18,316,779,217	10,333,292,040	8,412,199,985	102,826,860,765
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	346,009,586	346,009,586
Other Assets - Financial	713,317,478	417,253,237	34,215,630	49,209,731	-	1,213,996,086
Total Undiscounted Financial Assets	64,422,205,095	34,573,836,647	25,100,994,847	12,882,501,771	8,758,209,571	145,737,747,931
Financial Liabilities						
Due to Banks	1,125,040,978	7,884,945,205	-	-	-	9,009,986,183
Derivative Financial Liabilities	55,104,807	728,094,975	-	-	-	783,199,782
Financial Liabilities at Amortised Cost - Due to Depositors	10,250,185,232	53,210,314,332	16,172,016,870	10,604,929,209	5,920,330,473	96,157,776,116
Other Liabilities - Financial	1,665,454,096	10,250,092	20,422,792	-	-	1,696,126,980
Total Undiscounted Financial Liabilities	13,095,785,114	61,833,604,604	16,192,439,662	10,604,929,209	5,920,330,473	107,647,089,061
Total Net Financial Assets/ (Liabilities)	51,326,419,982	(27,259,767,958)	8,908,555,185	2,277,572,563	2,837,879,099	38,090,658,870

Notes to the Financial Statements

Statement of Financial Position as at 31 December 2020	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Financial Assets						
Cash and Cash Equivalents	6,859,970,358	-	-	-	-	6,859,970,358
Balance with Central Bank of Sri Lanka	11,410,470,563	-	-	-	-	11,410,470,563
Placements with Banks	551,519,351	11,028,837,370	-	-	-	11,580,356,721
Placements with Licensed Finance Companies	19,126,502	3,088,942,779	-	-	-	3,108,069,281
Derivative Financial Assets	21,620,939	206,894,205	-	-	-	228,515,144
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	55,921,805	-	-	-	-	55,921,805
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	29,828,538,108	25,920,116,313	16,569,173,927	7,406,200,972	4,751,464,309	84,475,493,629
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	291,991,226	291,991,226
Other Assets - Financial	294,713,609	719,697,962	34,065,630	-	-	1,048,477,201
Total Undiscounted Financial Assets	49,041,881,234	40,964,488,631	16,603,239,557	7,406,200,972	5,043,455,535	119,059,265,927
Financial Liabilities						
Due to Banks	1,967,893,100	-	-	-	-	1,967,893,100
Derivative Financial Liabilities	52,645,467	59,236,378	-	-	-	111,881,845
Financial Liabilities at Amortised Cost - Due to Depositors	44,687,824,271	17,637,233,599	13,486,759,772	6,070,395,753	1,672,027,593	83,554,240,988
Other Liabilities - Financial	1,281,518,762	5,843,836	-	-	-	1,287,362,598
Total Undiscounted Financial Liabilities	47,989,881,600	17,702,313,813	13,486,759,772	6,070,395,753	1,672,027,593	86,921,378,531
Total Net Financial Assets/ (Liabilities)	1,051,999,634	23,262,174,818	3,116,479,784	1,335,805,219	3,371,427,940	32,137,887,396

c) Contractual Maturities of Commitments & Contingencies

As at 31 December 2021	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Acceptances	1,630,404,851	1,115,504,624		-	-	2,745,909,475
Letters of Credit	2,696,717,406	124,999,555		-	-	2,821,716,961
Guarantees, Bonds	1,320,922,340	1,918,835,969	139,126,155	157,500	-	3,379,041,964
Outward Clearing Receivable	618,210,754			-	-	618,210,754
Promissory Forward Sales	11,681,544,048	6,960,000,000		-	-	18,641,544,048
Promissory Forward Purchases	18,042,293,995	5,370,000,000		-	-	23,412,293,995
Commitments for Unutilised Facilities	5,823,362,958	8,735,044,437		-	-	14,558,407,395
Bills for Collection and Other	1,640,159,242			-	-	1,640,159,242
Total	43,453,615,594	24,224,384,585	139,126,155	157,500	-	67,817,283,834

As at 31 December 2020	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Acceptances	2,935,084,775	282,624,979	-	-	-	3,217,709,754
Letters of Credit	1,074,216,235	7,762,894	-	-	-	1,081,979,129
Guarantees, Bonds	1,726,464,540	1,476,911,450	134,890,191	-	-	3,338,266,181
Outward Clearing Receivable	427,293,224	-	-	-	-	427,293,224
Promissory Forward Sales	13,254,959,196	9,207,527,479		-	-	22,462,486,675
Promissory Forward Purchases	9,864,250,000	13,090,000,000	-	-	-	22,954,250,000
Commitments for Unutilised Facilities	3,558,815,774	5,338,223,661	-	-	-	8,897,039,435
Bills for Collection and Other	2,962,757,961	-	-	-	-	2,962,757,961
Total	35,803,841,705	29,403,050,463	134,890,191	-	-	65,341,782,359

43.5 Market Risk

Market Risk denotes the risk of losses arising out of balance sheet positions due to changes in market prices. Market risk mainly arises from activities undertaken by the Bank's treasury and foreign exchange, equity, commodity and money market portfolios, which mainly contribute towards market risk of the Bank. A Board approved comprehensive limit structure has been adopted by the Bank to mitigate and monitor the market risk of the Bank.

Notes to the Financial Statements

a) Rate Risk

The rate risk arises due to changes in value of financial instruments arising due to changes in market rates. The Bank is exposed to this risk due to the mismatches in maturities of assets and liabilities that mature or are re-priced during a specified time period. In order to manage and mitigate rate risk, the Bank's ALCO reviews the re-pricing of assets and liabilities at ALCO meetings held regularly. Bank's rate risk is limited due to the model adopted where all of its Due to Depositors (customer deposits) have been accepted on Profit and Loss sharing basis.

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31 December 2021	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non-Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	8,673,811,858	8,673,811,858
Balance with Central Bank of Sri Lanka	-	-	-	-	-	4,800,026,593	4,800,026,593
Placements with Banks	160,010	18,052,109,398	6,750,000,000	2,500,000,000	-	-	27,302,269,408
Placements with Licensed Finance Companies	73,341	-	-	-	-	-	73,341
Derivative Financial Assets	-	-	-	-	-	510,066,210	510,066,210
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	-	-	-	-	64,634,084	64,634,084
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	13,287,689,818	35,191,272,555	14,687,017,589	7,251,949,557	5,398,467,804	-	75,816,397,323
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	-	346,009,586	346,009,586
Other Assets - Financial	-	-	-	-	-	1,213,996,086	1,213,996,086
Total Assets	13,287,923,179	53,243,381,953	21,437,017,589	9,751,949,557	5,398,467,804	15,608,544,407	118,727,284,489
Due to Banks	1,125,040,978	7,884,945,205	-	-	-	-	9,009,986,183
Derivative Financial Liabilities	-	-	-	-	-	783,199,782	783,199,782
Financial Liabilities at Amortised Cost - Due to Depositors	3,714,156,730	53,210,314,332	16,172,016,870	10,604,929,209	5,920,330,473	6,536,028,502	96,157,776,116
Other Liabilities - Financial	-	-	-	-	-	1,696,126,980	1,696,126,980
Total Liabilities	4,839,197,708	61,095,259,537	16,172,016,870	10,604,929,209	5,920,330,473	9,015,355,264	107,647,089,061
Rate Sensitivity Gap	8,448,725,471	(7,851,877,585)	5,265,000,720	(852,979,652)	(521,862,670)	6,593,189,143	

Rate Sensitive Assets and Liabilities Maturity Gaps (Contractual Basis) as at 31 December 2020	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Non-Rate Bearing Rs.	Total Rs.
Cash and Cash Equivalents	-	-	-	-	-	6,859,970,358	6,859,970,358
Balance with Central Bank of Sri Lanka	-	-	-	-	-	11,410,470,563	11,410,470,563
Placements with Banks	551,519,351	11,028,837,370	-	-	-	-	11,580,356,721
Placements with Licensed Finance Companies	19,126,502	3,088,942,779	-	-	-	-	3,108,069,281
Derivative Financial Assets	-	-	-	-	-	228,515,144	228,515,144
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	-	-	-	-	-	55,921,805	55,921,805
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	11,790,207,138	27,386,338,354	13,315,526,727	6,192,563,195	3,882,328,866	-	62,566,964,280
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	-	291,991,226	291,991,226
Other Assets - Financial	-	-	-	-	-	1,048,477,201	1,048,477,201
Total Assets	12,360,852,991	41,504,118,504	13,315,526,727	6,192,563,195	3,882,328,866	19,895,346,297	97,150,736,580
Due to Banks	1,967,893,100	-	-	-	-	-	1,967,893,100
Derivative Financial Liabilities	-	-	-	-	-	111,881,845	111,881,845
Financial Liabilities at Amortised Cost - Due to Depositors	39,245,354,358	17,637,233,599	13,486,759,772	6,070,395,753	1,672,027,593	5,442,469,913	83,554,240,988
Other Liabilities - Financial	-	-	-	-	-	1,287,362,598	1,287,362,598
Total Liabilities	41,213,247,458	17,637,233,599	13,486,759,772	6,070,395,753	1,672,027,593	6,841,714,356	86,921,378,531
Rate Sensitivity Gap	(28,852,394,468)	23,866,884,906	(171,233,046)	122,167,442	2,210,301,273	13,053,631,941	

Notes to the Financial Statements

43.6 Foreign Exchange Risk

Foreign Exchange risk which arises due to the changes in foreign exchange rates is managed by the Bank by setting and monitoring dealer, currency, counterparty and settlement limits for On and Off Balance Sheet instruments.

Bank's activities in the Trade Finance business results in Off Balance Sheet financial instruments. In addition, the Bank engages in interbank promissory forward foreign exchange transactions to cover the positions created due to customer transactions. Such transactions are carried out on a matched basis to manage the cash flows of currencies.

The currency risk is managed and monitored against the regulatory limits approved for the Bank by the Central Bank of Sri Lanka. The foreign exchange exposures in individual currencies are managed according to the limits approved by the Board of Directors.

43.7 Currency Risk

Currency risk arises as a result of price fluctuations in assets due to change in exchange rates. The Board of Directors has set limits for currency wise exposures. The currency exposures are monitored on a daily basis as required by the Risk Management policy of the Bank.

The table below indicates the exposures in currencies the Bank carried as at 31 December 2021 and the effect of the gains/losses if the market rates appreciate/depreciate by 5%. The calculation indicates a reasonably practical movement of currency rates against Sri Lankan Rupees.

If market rates appreciate or depreciate by 5% the effect of the same to the exchange gain/(loss) would be:

	2021		2020	
	5% Appreciation Rs.	5% Depreciation Rs.	5% Appreciation Rs.	5% Depreciation Rs.
Australian Dollars	(13,610)	13,610	(191,267)	191,267
Great Britain Pounds	(235,700)	235,700	469,230	(469,230)
Japanese Yen	81,816	(81,816)	160,415	(160,415)
United States Dollars	(2,185)	2,185	(28,982,901)	28,982,901
Other Currencies	2,738,648	(2,738,648)	815,365	(815,365)
Total	2,568,969	(2,568,969)	(27,729,158)	27,729,158

43.8 Equity Price Risk

Equity price risk arises due to changes in individual equity prices.

The Board of Directors of the Bank has laid down sector, portfolio and loss limits to control and mitigate the risks of the equity portfolio. The Bank also adheres to the guidelines issued by Central Bank of Sri Lanka regarding the exposure to a single entity and the total exposure limit for the equity portfolio. The performance of the equity portfolio is monitored by the Equity Investment Committee (EIC), ALCO and the Board of Directors. The Bank engages in transactions only in white-listed equities.

Daily Mark-to-Market of portfolios are carried out based on the weighted average closing prices of the Colombo Stock Exchange.

44. MATURITY ANALYSIS

As at 31 December 2021	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Cash and Cash Equivalents	8,673,811,858	-	-	-	-	8,673,811,858
Balance with Central Bank of Sri Lanka	2,573,915,254	1,376,867,407	420,044,142	275,814,425	153,385,365	4,800,026,593
Placements with Banks	160,010	18,052,109,398	6,750,000,000	2,500,000,000	-	27,302,269,408
Placements with Licensed Finance Companies	73,341	-	-	-	-	73,341
Derivative Financial Assets	11,481,665	498,584,545	-	-	-	510,066,210
Financial Assets Recognised Through Fair Value through Profit or Loss	64,634,084	-	-	-	-	64,634,084
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	13,287,689,818	35,191,272,555	14,687,017,589	7,251,949,557	5,398,467,804	75,816,397,323
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	346,009,586	346,009,586
Other Assets - Financial	713,317,478	417,253,237	34,215,630	49,209,731	-	1,213,996,086
Property, Plant, Equipment And Right-of-Use Assets	-	-	-	-	2,447,149,785	2,447,149,785
Intangible Assets	-	-	-	-	232,834,506	232,834,506
Other Assets - Non Financial	243,243,186	206,319,839	-	-	-	449,563,025
Deferred Tax Assets	-	-	-	-	52,071,523	52,071,523
Total Assets	25,568,326,704	55,742,406,981	21,891,277,361	10,076,973,713	8,629,918,569	121,908,903,328
Liabilities						
Due to Banks	1,125,040,978	7,884,945,205	-	-	-	9,009,986,183
Derivative Financial Liabilities	55,104,807	728,094,975	-	-	-	783,199,782
Financial Liabilities at Amortised Cost - Due to Depositors	10,250,185,231	53,210,314,332	16,172,016,870	10,604,929,209	5,920,330,474	96,157,776,116
Other Liabilities - Financial	1,665,454,096	10,250,092	20,422,792	-	-	1,696,126,980
Current Tax Liabilities	-	419,795,391	-	-	-	419,795,391
Dividend Payable	6,459,073	-	-	-	-	6,459,073
Deferred Tax Liabilities	-	-	-	-	-	-
Retirement Benefit Liability	-	-	-	-	131,081,167	131,081,167
Other Liabilities - Non Financial	65,944,501	-	-	-	-	65,944,501
Total Liabilities	13,168,188,686	62,253,399,995	16,192,439,662	10,604,929,209	6,051,411,641	108,270,369,193
Maturity Gap	12,400,138,018	(6,510,993,014)	5,698,837,699	(527,955,496)	2,526,435,405	13,638,534,135

Notes to the Financial Statements

As at 31 December 2020	Up to 3 Months Rs.	3-12 Months Rs.	1 - 3 Years Rs.	3 - 5 Years Rs.	Over 5 Years Rs.	Total Rs.
Cash and Cash Equivalents	6,859,970,358	-	-	-	-	6,859,970,358
Balance with Central Bank of Sri Lanka	10,759,959,266	380,975,982	144,759,833	79,342,168	45,433,314	11,410,470,563
Placements with Banks	551,519,351	11,028,837,370	-	-	-	11,580,356,721
Placements with Licensed Finance Companies	19,126,502	3,088,942,779	-	-	-	3,108,069,281
Derivative Financial Assets	21,620,939	206,894,205	-	-	-	228,515,144
Financial Assets Recognised Through Fair Value through Profit or Loss	55,921,805	-	-	-	-	55,921,805
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	11,790,207,138	27,386,338,354	13,315,526,727	6,192,563,195	3,882,328,866	62,566,964,280
Financial Assets Measured at Fair Value through Other Comprehensive Income	-	-	-	-	291,991,226	291,991,226
Other Financial Assets	294,713,609	719,697,962	34,065,630	-	-	1,048,477,201
Property, Plant, Equipment And Right-of-Use Assets	-	-	-	-	2,354,607,910	2,354,607,910
Intangible Assets	-	-	-	-	257,240,324	257,240,324
Other Assets - Non Financial	51,216,721	341,803,383	16,762,879	-	-	409,782,983
Deferred Tax Assets	-	-	-	-	-	-
Total Assets	30,404,255,690	43,153,490,036	13,511,115,068	6,271,905,362	6,831,601,640	100,172,367,796
Liabilities						
Due to Banks	1,967,893,100	-	-	-	-	1,967,893,100
Derivative Financial Liabilities	52,645,467	59,236,378	-	-	-	111,881,845
Financial Liabilities at Amortised Cost - Due to Depositors	9,233,254,853	43,526,777,193	16,575,803,718	9,065,910,613	5,152,494,611	83,554,240,988
Other Liabilities - Financial	1,281,518,762	5,843,836	-	-	-	1,287,362,598
Current tax liabilities	-	420,490,984	-	-	-	420,490,984
Dividend Payable	6,526,287	-	-	-	-	6,526,287
Deferred Tax Liabilities	-	-	-	-	70,265,534	70,265,534
Retirement Benefit Liability	-	-	-	-	170,664,374	170,664,374
Other Liabilities - Non Financial	115,763,735	-	-	-	-	115,763,735
Total Liabilities	12,657,602,203	44,012,348,392	16,575,803,718	9,065,910,613	5,393,424,519	87,705,089,446
Maturity Gap	17,746,653,487	(858,858,356)	(3,064,688,650)	(2,794,005,250)	1,438,177,121	12,467,278,350

45. COMMITMENTS AND CONTINGENCIES

45.1 Capital Expenditure Commitments

The Bank does not have significant capital commitments as at the reporting date.

45.2 Contingencies

In the normal course of business the Bank makes various irrevocable commitments and incurs certain contingent liabilities with legal recourse to its customers. Even though these obligations are not recognised on the statement of financial position, they do contain credit risk and therefore form part of the overall risk profile of the Bank.

As at 31 December 2021		Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
	Note				
Commitments on Direct Advances and Indirect Advances					
Commitments for Unutilised Facilities		13,812,855,560	698,602,941	46,948,894	14,558,407,395
		13,812,855,560	698,602,941	46,948,894	14,558,407,395
Contingent Liabilities					
Letters of Credit		2,821,716,961	-	-	2,821,716,961
Guarantees, Bonds		3,343,142,964	21,699,000	14,200,000	3,379,041,964
Outward Clearing Cheques	45.2.2	618,210,754	-	-	618,210,754
Acceptances		2,738,982,675	6,926,800	-	2,745,909,475
Bills for Collection and Others		1,634,516,623	-	5,642,619	1,640,159,242
		11,156,569,977	28,625,800	19,842,619	11,205,038,396
Gross Credit related Commitments and Contingencies		24,969,425,537	727,228,741	66,791,513	25,763,445,791
Impairment for Expected Credit Losses	45.2.1	(15,533,335)	(395,619)	(27,431)	(15,956,385)
Net Credit related Commitments and Contingencies		24,953,892,202	726,833,122	66,764,082	25,747,489,406
Promissory Forward Foreign Exchange Transactions					
Promissory Forward Sales					18,641,544,048
Promissory Forward Purchases					23,412,293,995
					42,053,838,043
Total Commitments and Contingencies					67,801,327,449

Notes to the Financial Statements

45.2.1 Impairment Allowance for Commitment and Contingencies

	2021 Rs.	2020 Rs.
ECL Allowance as at 1 January	4,562,566	4,275,030
Charge/(Write Back) for the year	11,393,822	287,536
Amounts Written Off	-	-
As at 31 December	15,956,388	4,562,566

The table below shows the total Commitment and Contingencies as at 31 December 2020.

As at 31 December 2020	Note	Stage 1 Rs.	Stage 2 Rs.	Stage 3 Rs.	Total Rs.
Commitments on Direct Advances and Indirect Advances:					
Commitments for Unutilised Facilities		7,301,874,329	367,825,362	1,227,339,743	8,897,039,434
		7,301,874,329	367,825,362	1,227,339,743	8,897,039,434
Contingent Liabilities					
Letters of Credit		1,016,626,379	47,393,635	17,959,115	1,081,979,129
Guarantees, Bonds		3,257,834,581	24,601,689	55,829,910	3,338,266,180
Outward Clearing Cheques	45.2.2	427,293,224			427,293,224
Acceptances		3,082,021,198	27,113,951	108,574,606	3,217,709,755
Bills for Collection and Other		2,962,757,961			2,962,757,961
		10,746,533,344	99,109,275	182,363,630	11,028,006,249
Gross Credit related Commitments and Contingencies		18,048,407,673	466,934,637	1,409,703,373	19,925,045,683
Impairment for Expected Credit Losses	45.2.1	(4,165,428)	(313,452)	(83,687)	(4,562,566)
Net Credit related Commitments and Contingencies		18,044,242,245	466,621,185	1,409,619,687	19,920,483,117
Promissory Forward Foreign Exchange Transactions					
Promissory Forward Sales					22,462,486,675
Promissory Forward Purchases					22,954,250,000
					45,416,736,675
Total Commitment and Contingencies					65,337,219,792

45.2.2 Outward Clearing Cheques represent the cheques deposited in current accounts but pending realisation from clearing as at the reporting date.

45.3 Lease Receivables

As at 31 December 2021	Total Future Minimum Payments Rs.	Unearned Finance Income Rs.	Present Value of Minimum Lease Payment Rs.
0 - 1 Year	2,585,599,713	398,343,743	2,187,255,970
1 - 5 Years	3,261,044,389	499,273,320	2,761,771,069
More than 5 Years	10,792,974	1,594,233	9,198,741
	5,857,437,076	899,211,296	4,958,225,780

As at 31 December 2020	Total Future Minimum Payments Rs.	Unearned Finance Income Rs.	Present Value of Minimum Lease Payment Rs.
0 - 1 Year	2,963,136,424	630,550,788	2,332,585,636
1 - 5 Years	4,190,576,722	635,644,310	3,554,932,413
More than 5 Years	25,054,215	1,987,291	23,066,924
	7,178,767,362	1,268,182,389	5,910,584,973

46. RELATED PARTY DISCLOSURES

The Bank carries out transactions in the ordinary course of business on an arm's length basis at commercial rates with its related parties as defined under LKAS 24 - Related Party Disclosures.

The pricing applicable to such transactions is based on the risk profile and the pricing model of the Bank which is in line with what is applied to transactions between the Bank and its non-related customers.

46.1 Parent and Ultimate controlling party

The Bank does not have an identifiable parent of its own.

46.2 Transactions with Key Management Personnel (KMPs)

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director of that entity.

Accordingly the Bank's KMPs include the Board of Directors and selected key employees who meet the criteria above.

Notes to the Financial Statements

Key Management Personnel Compensation

Year ended 31 December	2021 Rs.	2020 Rs.
Short-term Employee Benefits including Director's Emoluments	73,852,732	62,913,320
Total	73,852,732	62,913,320

No other benefits have been paid to KMPs other than those which are statutory in nature.

46.3 Transactions, Arrangements and Agreements involving KMPs & their Close family members (CFMs)

Close members of the family of an individual are those family members who may be expected to influence, or be influenced by, that individual in their dealings with the entity. They may include: the individual's domestic partner and children; children of the individual's domestic partner; and dependents of the individual or the individual's domestic partner.

Statement of Financial Position

	2021 Rs.	2020 Rs.
Financing and Receivables to Other Customers	26,414,299	30,708,102
Due to Depositors	28,471,739	21,844,605

Statement of Profit or Loss

Financing Income	1,428,419	2,523,260
Financing Expenses	1,273,601	1,491,431
Scrip Dividend	1,793	1,600

Terms and Conditions of Transactions with Related Parties

The above mentioned outstanding balances arose from the ordinary course of business. The rates charged from/paid to related parties are at normal commercial rates.

46.4 Transaction, Arrangements & Agreements Involving Entities which are Controlled and Jointly controlled by the KMPs or their CFMs.

In addition to transactions with Key Management Personnel and their Close Family Members, the Bank enters into transactions, arrangements and agreements with entities which are controlled and jointly controlled by the KMPs or their CFMs over the Bank. The transactions below were made in the ordinary course of business on substantially the same terms, including financing/ commission rates and security, as for comparable transactions with unrelated counterparties. The Bank has not made any provision for impairment losses on amounts owed by related parties.

Statement of Financial Position

	2021 Rs.	2020 Rs.
Due to Depositors	-	104,331,986
Statement of Profit or Loss		
Financing Expenses	-	5,942,018

47. EVENTS AFTER REPORTING DATE

There were no events after the reporting date which requires adjustments or disclosures in the Financial Statements.

48. CAPITAL

The Bank maintains an actively managed capital base to cover risks inherent in the business and meet the capital requirements of the local prudential regulator, Central Bank of Sri Lanka. The adequacy of the Bank's Capital is monitored using, among other measures, the rules and ratios established by the Basel Committee on Banking Supervision and adopted by the Central Bank of Sri Lanka.

Capital Management

The Bank's capital management objectives can be summarised as follows:

1. Maintain sufficient capital to meet minimum regulatory capital requirements.
2. Hold sufficient capital to support the Bank's risk appetite.
3. Allocate capital to businesses to support the Bank's strategic objectives.
4. Ensure that the Bank maintains capital in order to achieve rating objectives and withstand the impact of potential stress events.

Notes to the Financial Statements

Regulatory Capital

The Bank manages its capital considering regulatory capital requirements. The Central Bank of Sri Lanka (CBSL) sets and monitors Capital Requirements for Licensed Banks in Sri Lanka based on the Basel Framework. Thus the Bank's operations are directly supervised by the CBSL and the Bank is required to comply with the provisions of the Basel III framework in respect of Regulatory Capital and capital to cover any additional risk. Commercial banks in Sri Lanka with total assets of less than Rs. 500 billion need to maintain a minimum Common Equity Tier 1 Capital Ratio of 7.00% (2020 - 7.00%) and minimum Total Capital Ratio of 12.50% (2020 - 12.50%) for the year 2021. The Bank's Capital Ratios stood at 13.7% (2020 - 15.6%) and 15.7% (2020 - 17.4%) respectively.

Enhancement of Minimum Capital Requirement

In accordance with Central Bank of Sri Lanka's Direction issued regarding enhancement of minimum capital requirement, all locally incorporated licensed commercial banks should raise their capital funds to Rs. 20 billion by 31 December 2022. In this regard, the Board of Directors is in the process of evaluating suitable options to comply with this requirement before the stipulated deadline.

49. MATERIAL LITIGATION AGAINST THE BANK

In the normal course of business, the Bank has recourse to litigation for purposes of recovery of facilities when there are customers who have not honoured the terms and conditions stipulated in their respective facility documentation and where parate procedure is not available. On the other hand, there are actions instituted against the Bank as well. In all these cases Bank obtains professional advise and adjustments are made to the Financial Statements, if required.

The Bank is of the opinion that all such litigation which is currently pending will not have a material impact on the Financial Statements reported herein or the assumption of going concern of the Bank.

50. DIVIDENDS

Year ended 31 December	2021 Rs.	2020 Rs.
Dividends Declared - Scrip	260,144,613	200,111,242
Dividend per Ordinary Share	0.10	0.08

51. COVID-19 PANDEMIC

The new variants of the COVID-19 pandemic continues to impact the global economy as well as the domestic economy as countries look to minimise its effects by adopting an aggressive vaccination drive to their citizens.

As done in 2020, the Bank continued to offer relief to its customers affected by the continuous impact of COVID-19 after CBSL issued various Circulars to ease the borrowers' contractual obligations. Repayment of credit facilities were deferred for periods stipulated in the said Circulars or as agreed mutually with customers taking into consideration their financial difficulties. These relief measures had a direct impact on the Bank's earnings and liquidity position but with appropriate strategies the Bank was able to report an improved performance for the financial year ended 31 December 2021 and demonstrate its stability by recording a healthy balance sheet growth.

The effect of deferred payments offered to customers was updated in the Bank's stress testing analysis on liquidity, earnings & capital adequacy all of which remained healthy and above the stipulated requirements where applicable, as the Bank stood resilient to the shocks of the external environment. The Bank will continue to be vigilant of the external developments and implement suitable strategies to sustain and improve its level of performance.

Management Assessment of Impairment Provisioning for Financial Assets

The impact of COVID-19 continues to be a key element in computing ECL for the financing portfolio of the Bank. The Management has adopted prudent measures under multiple scenario analysis as done last year after taking into consideration the current macro-economic indicators. The financing portfolio has been analysed based on sectors with special emphasis on customers operating in risk elevated industries which are identified as industries with a significant increase in credit risk, where additional buffers were built in to counter any adverse impact to the cash flow generating ability of such customers. Based on potential risk, the Bank proactively downgraded customers to a higher stage when computing ECL, significantly enhancing the impairment provision. Further overlays were maintained when applying the economic factor adjustment for the year. Consequently, the Management is of the view that sufficient buffers are in place to effectively mitigate any risks arising from potential credit losses.

Ten Years at a Glance

For the Year ended 31 December	2021 LKR	2020 LKR	2019 LKR	2018 LKR
Operating Results				
Financing Income	7,674,186,731	7,211,643,435	7,709,286,294	6,883,221,870
Financing Expenses	3,418,693,290	3,757,313,167	4,544,370,605	3,522,889,356
Net Financing Income	4,255,493,441	3,454,330,268	3,164,915,689	3,360,332,514
Net Fee and Commission Income	401,922,403	328,562,743	329,040,746	297,048,806
Net Trading Income	155,105,107	444,376,037	738,397,355	461,155,830
Net Gains/(Losses) from Financial Investments at Fair Value Through Profit or Loss	(7,013,153)	3,260,627	4,862,561	(22,436,152)
Net Gains/(Losses) from Derecognition of Financial Assets	(11,732,213)	928,646	11,150,575	1,892,185
Net Other Operating Income/(Loss)	5,226,813	2,302,448	8,251,376	6,662,241
Total Operating Income	4,799,002,398	4,233,760,769	4,256,618,302	4,104,655,424
Impairment on Financial Assets	784,952,089	513,726,961	288,928,583	476,765,687
Net Operating Income	4,014,050,309	3,720,033,808	3,967,689,719	3,627,889,737
Personnel Expenses	1,399,260,032	1,446,138,333	1,381,445,709	1,246,223,287
Depreciation of Property, Plant, Equipment and Right-of-Use Assets	279,632,013	281,177,308	256,195,369	126,685,717
Amortisation of Intangible Assets	58,685,409	70,374,848	51,025,609	47,939,212
Other Operating Expenses	831,827,820	767,727,520	902,349,033	884,804,269
Total Operating Expenses	2,569,405,274	2,565,418,009	2,591,015,720	2,305,652,485
Operating Profit/(Loss) Before Value Added Tax on Financial Services, NBT & DRL	1,444,645,035	1,154,615,799	1,376,673,999	1,322,237,252
Value Added Tax on Financial Services, NBT & DRL	363,632,453	393,167,272	531,825,986	420,038,265
Profit/(Loss) Before Tax	1,081,012,582	761,448,527	844,848,013	902,198,987
Tax Expenses/(Reversal)	256,314,684	297,753,065	383,916,616	345,753,279
Profit/(Loss) for the Year	824,697,898	463,695,462	460,931,397	556,445,708

	2017 LKR	2016 LKR	2015 LKR	2014 LKR	2013 LKR	2012 LKR
	5,544,237,256	4,039,624,179	2,885,931,540	2,407,652,724	1,768,061,705	1,300,618,090
	2,790,618,052	2,115,335,249	1,405,258,772	1,198,032,200	1,050,007,868	732,071,273
	2,753,619,204	1,924,288,930	1,480,672,768	1,209,620,524	718,053,837	568,546,817
	236,134,326	246,568,285	168,555,950	138,484,328	100,223,308	68,923,319
	388,699,264	257,454,611	390,234,591	287,377,278	219,719,256	621,773,009
	-	-	-	-	-	-
	-	-	-	-	-	-
	9,467,520	4,961,144	27,659,037	33,213,115	21,579,603	(5,353,087)
	3,387,920,314	2,433,272,970	2,067,122,346	1,668,695,245	1,059,576,004	1,253,890,058
	289,782,674	217,177,926	2,817,355	94,680,026	100,820,541	16,093,890
	3,098,137,640	2,216,095,044	2,064,304,991	1,574,015,219	958,755,463	1,237,796,168
	1,095,792,424	1,025,032,323	896,614,338	858,179,900	720,351,418	438,453,212
	148,879,193	162,620,642	150,818,192	150,665,594	121,287,043	125,557,539
	48,967,708	78,634,792	40,881,465	39,373,883	36,995,102	25,472,863
	745,933,727	678,729,131	605,026,871	526,776,102	504,942,745	396,567,577
	2,039,573,052	1,945,016,888	1,693,340,866	1,574,995,479	1,383,576,308	986,051,191
	1,058,564,588	271,078,156	370,964,125	(980,260)	(424,820,845)	251,744,977
	319,245,989	168,266,306	152,248,222	79,288,996	13,184,143	45,941,033
	739,318,599	102,811,850	218,715,903	(80,269,256)	(438,004,988)	205,803,944
	236,490,936	62,171,499	60,086,657	-	(120,971,087)	59,809,292
	502,827,663	40,640,351	158,629,246	(80,269,256)	(317,033,901)	145,994,652

Ten Years at a Glance

As at 31 December	2021 LKR	2020 LKR	2019 LKR	2018 LKR
Assets				
Cash and Cash Equivalents	8,673,811,858	6,859,970,358	10,067,003,265	5,338,090,636
Balance with Central Bank of Sri Lanka	4,800,026,593	11,410,470,563	3,448,797,331	3,543,444,781
Placements with Banks	27,302,269,408	11,580,356,721	10,625,183,324	9,264,699,249
Placements with Licensed Finance Companies	73,341	3,108,069,281	12,053,159	2,427,970,097
Derivative Financial Assets	510,066,210	228,515,144	226,091,973	445,732,740
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	64,634,084	55,921,805	72,789,000	113,249,108
Financial Investments - Held for Trading	-	-	-	-
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	75,816,397,323	62,566,964,280	57,716,960,999	52,853,663,356
Financial Assets Measured at Fair Value through Other Comprehensive Income	346,009,586	291,991,226	146,141,654	186,655,424
Financial Investments - Available for Sale	-	-	-	-
Other Assets - Financial	1,213,996,086	1,048,477,201	888,380,624	585,704,833
Property, Plant, Equipment and Right-of-Use Assets	2,447,149,785	2,354,607,910	2,505,901,129	1,890,194,155
Intangible Assets	232,834,506	257,240,323	237,074,723	238,311,383
Other Assets - Non Financial	449,563,025	409,782,983	633,193,251	382,051,706
Deferred Tax Assets	52,071,523	-	-	-
Total Assets	121,908,903,328	100,172,367,795	86,579,570,432	77,269,767,468
Liabilities				
Due to Banks	9,009,986,183	1,967,893,100	1,103,040,822	1,210,204,847
Derivative Financial Liabilities	783,199,782	111,881,845	56,478,657	1,441,005,622
Financial Liabilities at Amortised Cost - Due to Depositors	96,157,776,116	83,554,240,988	71,614,753,475	61,722,682,595
Other Liabilities - Financial	1,696,126,980	1,287,362,598	1,110,537,746	480,628,881
Current Tax Liabilities	419,795,391	420,490,984	402,511,650	330,606,614
Dividend Payable	6,459,073	6,526,286	6,891,441	3,562,069
Deferred Tax Liabilities	-	70,265,535	194,314,961	221,536,935
Retirement Benefit Liability	131,081,167	170,664,374	144,987,628	127,517,726
Other Liabilities - Non Financial	65,944,501	115,763,735	92,486,021	97,921,864
Total Liabilities	108,270,369,193	87,705,089,445	74,726,002,401	65,635,667,153
Shareholders' Funds				
Stated Capital	11,079,706,011	10,819,561,398	10,619,450,156	10,619,450,156
Reserves	2,558,828,124	1,647,716,952	1,234,117,875	1,014,650,159
Total Equity	13,638,534,135	12,467,278,350	11,853,568,031	11,634,100,315
Total Liabilities and Shareholders' Funds	121,908,903,328	100,172,367,795	86,579,570,432	77,269,767,468
Commitments and Contingencies	67,801,327,449	65,337,219,792	54,012,976,973	46,485,430,714
Share Information				
Earnings/(Loss) per Share - Basic/Diluted	0.31	0.17	0.18	0.22
Net Assets Value per Share	5.07	4.79	4.74	4.65

	2017 LKR	2016 LKR	2015 LKR	2014 LKR	2013 LKR	2012 LKR
	5,859,766,950	5,686,924,056	5,016,458,817	1,627,383,695	2,444,552,371	3,866,793,015
	4,127,811,572	2,816,770,223	2,292,887,937	1,036,425,974	685,320,420	865,294,214
	5,285,796,238	4,662,466,350	3,624,928,993	3,306,210,009	1,737,895,772	825,235,383
	2,112,166,496	20,517	954,528,071	1,172,213,115	661,958,238	1,661,226,754
	127,616,662	59,483,044	61,037,310	23,269,364	21,470,669	104,181,576
	-	-	-	-	-	-
	41,645,557	45,181,589	59,474,357	48,998,818	175,334,631	59,768,906
	42,914,143,571	38,451,662,449	33,073,596,195	25,426,941,810	15,015,318,081	7,165,461,019
	-	-	-	-	-	-
	323,264,501	394,775,149	432,056,080	427,582,574	600,337,971	486,122,612
	388,890,295	307,321,725	315,749,183	295,502,221	519,546,392	553,493,038
	1,795,135,517	1,247,590,879	1,271,732,452	794,829,469	852,960,574	636,709,910
	230,675,871	269,376,298	236,502,947	270,615,476	283,027,619	224,382,174
	333,169,325	227,058,761	257,216,898	306,189,958	240,777,613	232,258,744
	-	146,355,559	145,702,993	161,426,033	159,355,340	36,496,739
	63,540,082,555	54,314,986,599	47,741,872,233	34,897,588,516	23,397,855,691	16,717,424,084
	-	751,963,513	2,955,277,882	-	-	-
	29,924,292	98,341,433	67,405,185	7,844,969	3,130,759	4,978,614
	50,922,561,081	46,915,289,690	38,467,460,755	29,224,330,525	17,983,111,581	13,302,501,452
	680,470,646	566,565,119	341,597,683	557,363,638	290,819,822	304,236,288
	187,075,365	80,814,263	58,684,717	-	-	-
	216,241,918	-	-	-	-	-
	119,241,024	82,606,302	74,070,679	58,202,580	45,071,342	20,648,680
	70,765,834	31,360,761	54,378,732	23,607,873	13,688,807	13,843,550
	52,226,280,160	48,526,941,081	42,018,875,633	29,871,349,585	18,335,822,311	13,646,208,584
	10,619,450,156	5,866,808,141	5,866,808,141	5,866,808,141	5,866,808,141	3,431,611,720
	694,352,239	(78,762,623)	(143,811,541)	(840,569,210)	(804,774,761)	(360,396,220)
	11,313,802,395	5,788,045,518	5,722,996,600	5,026,238,931	5,062,033,380	3,071,215,500
	63,540,082,555	54,314,986,599	47,741,872,233	34,897,588,516	23,397,855,691	16,717,424,084
	27,813,190,776	26,191,124,490	18,272,602,735	14,978,855,627	7,641,018,045	11,121,347,724
	0.29	0.03	0.13	(0.06)	(0.33)	0.16
	4.52	4.63	4.58	4.02	4.99	3.4

Compliance with Disclosure Requirements of Central Bank of Sri Lanka

COMPLIANCE WITH DISCLOSURE REQUIREMENTS OF CENTRAL BANK OF SRI LANKA

The following explains the Disclosure Requirements under the prescribed format issued by the Central Bank of Sri Lanka for the Preparation of Annual Financial Statements of Licensed Commercial Banks.

1. INFORMATION ABOUT THE SIGNIFICANCE OF FINANCIAL INSTRUMENTS FOR FINANCIAL POSITION AND PERFORMANCE

1.1 Statement of Financial Position

1.1.1 Disclosures on categories of financial assets and financial liabilities.	Note 16 to the Financial Statements - Analysis of Financial Instruments by Measurement Basis.
1.1.2 Other Disclosures	
(i) Special disclosures about financial assets and financial liabilities designated to be measured at Fair value through profit or loss, including disclosures about credit risk and market risk, changes in fair values attributable to these risks and the methods of measurement.	Note 42 to the Financial Statements - Fair Value of Financial Assets and Liabilities.
(ii) Reclassifications of financial instruments from one category to another.	Not Applicable.
(iii) Information about financial assets pledged as collateral and about financial or non-financial assets held as collateral.	Not Applicable.
(iv) Reconciliation of the impairment allowance account for credit losses by class of financial assets.	Note 17.1 to the Financial Statements - Impairment Allowance for Balances with Banks Note 19.1 to the Financial Statements - Impairment Allowance for Placements with Banks Note 20.1 to the Financial Statements - Impairment Allowance for Licensed Finance Companies Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers.
(v) Information about compound financial instruments with multiple embedded derivatives.	Not Applicable.
(vi) Breaches of terms of financing agreements.	None.

1.2 Statement of Comprehensive Income

1.2.1 Disclosures on items of income, expense, gains and losses.	Notes 4 - 14 to the Financial Statements.
1.2.2 Other Disclosures	
(i) Total financing income and total financing expense for those financial instruments that are not measured at fair value through profit and loss.	Notes 4 and 5 to the Financial Statements - Financing Income and Financing Expenses respectively.
(ii) Fee income and expense.	Note 6 to the Financial Statements - Net Fee and Commission Income.

(iii) Amount of impairment losses by class of financial assets.	Note 11 to the Financial Statements - Impairment on Financial Assets.
(iv) Financing income on impaired financial assets.	Note 4 to the Financial Statements - Financing Income.
1.3 Other Disclosures	
1.3.1 Accounting policies for financial instruments.	Note 2.3 to the Financial Statements - Summary of Significant Accounting Policies.
1.3.2 Financial liabilities designated as at FVTPL	
(i) If a bank is presenting the effects of changes in that financial liability's credit risk in other comprehensive income (OCI):	
- any transfers of the cumulative gain/loss within equity during the period, including the reasons for the transfers; - if the liability is derecognised during the period, then the amount (if any) presented in OCI that was realised at derecognition; - detailed description of the methodologies used to determine whether presenting the effects of changes in a liability's credit risk in OCI would create or enlarge an accounting mismatch in profit or loss; and	Not Applicable.
(ii) Detailed description, if the effects of changes in a liability's credit risk are presented in profit or loss.	
1.3.3 Investments in equity instruments designated as at FVOCI	
(i) Details of equity instruments that have been designated as at FVOCI and the reasons for the designation;	Notes 2.3.3 d (iii) and 24 to the Financial Statements - Financial Assets Measured at Fair Value Through Other Comprehensive Income and Financial Assets Measured at Fair Value Through Other Comprehensive Income respectively.
(ii) Fair value of each investment at the reporting date;	Note 24 to the Financial Statements - Financial Assets Measured at Fair Value Through Other Comprehensive Income.
(iii) Dividends recognised during the period, separately for investments derecognised during the reporting period and those held at the reporting date;	Not Applicable.
(iv) Any transfers of the cumulative gain or loss within equity during the period and the reasons for those transfers;	Not Applicable.
(v) If investments in equity instruments measured at FVOCI are derecognised during the reporting period,	

Compliance with Disclosure Requirements of Central Bank of Sri Lanka

- reasons for disposing of the investments; - fair value of the investments at the date of derecognition; and - the cumulative gain or loss on disposal.	} Not Applicable.
1.3.4 Reclassifications of financial assets	
(i) For all reclassifications of financial assets in the current or previous reporting period:	
- date of reclassification; - detailed explanation of the change in the business model and a qualitative description of its effect on the financial statements; and - the amount reclassified into and out of each category.	} Not Applicable.
(ii) For reclassifications from FVTPL to amortised cost or FVOCI:	
- the effective profit rate (EPR) determined on the date of reclassification; and - the financing income recognised.	} Not Applicable.
(iii) For reclassifications from FVOCI to amortised cost, or from FVTPL to amortised cost or FVOCI:	
- the fair value of the financial assets at the reporting date; and - the fair value gain or loss that would have been recognised in profit or loss or OCI during the reporting period if the financial assets had not been reclassified.	} Not Applicable.
1.3.5 Information on hedge accounting	Not Applicable.
1.3.6 Information about the fair values of each class of financial asset and financial liability, along with:	
(i) Comparable carrying amounts.	} Note 42 to the Financial Statements – Fair Value of Financial Assets and Liabilities.
(ii) Description of how fair value was determined.	
(iii) The level of inputs used in determining fair value.	
(iv) (a) Reconciliations of movements between levels of fair value measurement hierarchy.	Not Applicable.
(b) Additional disclosures for financial instruments that fair value is determined using level 3 inputs.	Note 42 to the Financial Statements – Fair Value of Financial Assets and Liabilities.
(v) Information if fair value cannot be reliably measured.	Note 24.2 to the Financial Statements – Investment in Equity – Unquoted and Note 42.2 to the Financial Statements – Financial Instruments Not Carried at Fair Value.

2. INFORMATION ABOUT THE NATURE AND EXTENT OF RISKS ARISING FROM FINANCIAL INSTRUMENTS

2.1 Qualitative Disclosures

2.1.1 Risk exposures for each type of financial instrument.	Note 43 to the Financial Statements - Risk Management.
2.1.2 Management's objectives, policies, and processes for managing those risks.	Note 43 to the Financial Statements - Risk Management, and please refer section relating to 'Risk Management' in the Annual Report for additional information.
2.1.3 Changes from the prior period.	Not Applicable.

2.2 Quantitative Disclosures

2.2.1 Summary of quantitative data about exposure to each risk at the reporting date.	Note 43 to the Financial Statements - Risk Management.
2.2.2 Disclosures about credit risk, liquidity risk, market risk, operational risk, rate risk and how these risks are managed.	Note 43 to the Financial Statements - Risk Management and please refer section relating to 'Risk Management' in the Annual Report for additional Information.
(i) Credit Risk	
(a) Maximum amount of exposure (before deducting the value of collateral), description of collateral, information about credit quality of financial assets that are neither past due nor impaired and information about credit quality of financial assets.	Note 43.3 to the Financial Statements - Credit Risk and Note 2.2 c. to the Financial Statements - Impairment Losses on Financing and Receivables to Other Customers.
(b) For financial assets that are past due or impaired, disclosures on age, factors considered in determining as impaired and the description of collateral on each class of financial asset	Note 43.3 to the Financial Statements - Credit Risk.
(c) Information about collateral or other credit enhancements obtained or called.	Note 43 to the Financial Statements - Risk Management and please refer section relating to 'Risk Management' in the Annual Report for additional Information.
(d) Credit risk management practices:	
- Information about credit risk management practices and how they relate to the recognition and measurement of expected credit losses (ECL), including the methods, assumptions and information used to measure ECL.	Note 2.3.3 d. (v) to the Financial Statements - Impairment of Financial Assets.
- Quantitative and qualitative information to evaluate the amounts in the financial statements arising from ECL, including changes and the reasons for those changes.	Note 2.3.3 d. (v), Note 2.3.3 e. (ii) and Note 11 to the Financial Statements - Impairment of Financial Assets, Impairment Charges on Financing and Receivables and Impairment of Financial Assets respectively.

Compliance with Disclosure Requirements of Central Bank of Sri Lanka

- How the Bank determines whether the credit risk of financial instruments has increased significantly since initial recognition, including whether and how financial instruments are considered to have low credit risk, including the classes of financial instruments to which the low credit risk exception has been applied; and the presumption that financial assets with contractual payments more than 30 days past due have a significant increase in credit risk has been rebutted;
- The Bank's definitions of default for different financial instruments, including the reasons for selecting those definitions;
- How instruments are grouped if ECL are measured on a collective basis;
- How the Bank determines that financial assets are credit-impaired;
- The Bank's write-off policy, including the indicators that there is no reasonable expectation of recovery; and
- How the modification requirements have been applied, including how the Bank determines whether the credit risk of a financial asset that has been modified while subject to a lifetime ECL allowance has improved to the extent that the loss allowance reverts to being measured at an amount equal to 12-month ECL and monitors the extent to which the loss allowance on those assets subsequently reverts to being measured at an amount equal to lifetime ECL.

Note 2.2 c., 2.3.3 d. (v) and Note 2.3.3 e. (ii) to the Financial Statements – Impairment Losses on Financing and Receivables to Other Customers, Impairment of Financial Assets and Impairment Charges on Financing and Receivables respectively.

(e) ECL calculations

- Basis of the inputs, assumptions and the estimation techniques used when,
 - estimating 12-month and lifetime ECL;
 - determining whether the credit risk of financial instruments has increased significantly since initial recognition; and
 - determining whether financial assets are credit-impaired.
- How forward-looking information has been incorporated into the determination of ECL, including the use of macro-economic information; and
- changes in estimation techniques or significant assumptions made during the reporting period and the reasons for those changes.

Note 2.3.3 d. (v) and Note 2.3.3 e. (ii) to the Financial Statements – Impairment of Financial Assets and Impairment Charges on Financing and Receivables respectively.

Note 51 to the Financial Statements – COVID-19 Pandemic.

(f) Amounts arising from ECL	
- Provide reconciliation for each class of financial instrument [Financial assets measured at AC, Financial assets mandatorily measured at FVOCI, financing commitments when there is an obligation to extend credit (except those measured at Fair Value through Profit or Loss), Financial guarantee contracts (except those measured at Fair Value through Profit or Loss), Lease receivables within the scope of LKAS 17: Leases, Contract assets within the scope of SLFRS 15: Revenue from contracts with customers etc...] of the opening balance to the closing balance of the impairment loss allowance.	Note 17.1 to the Financial Statements – Impairment Allowance for Balances with Banks, Note 19.1 to the Financial Statements – Impairment Allowance for Placements with Banks, Note 20.1 to the Financial Statements – Impairment Allowance for Licensed Finance Companies, Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers, and Note 45.2.1 to the Financial Statements - Impairment Allowance for Commitment and Contingencies.
- Explain the reasons for changes in the loss allowances in the reconciliation.	Due to the specific credit risks in each of the asset class. Please also refer Note 11 to the Financial Statements - Impairment on Financial Assets, for additional information.
(g) Collaterals	
- Amount that best represents the Bank's maximum exposure to credit risk at the reporting date, without taking account of any collateral held or other credit enhancements;	Note 43.3.3 (f) to the Financial Statements – Analysis of Maximum Exposure to Credit Risk and Collateral and Other Credit Enhancements.
- Narrative description of collateral held as security and other credit enhancements (except for lease receivables), including: • discussion on the nature and quality of the collaterals held; • explanation of any significant changes in quality as a result of a deterioration or changes in the Bank's collateral policies during the reporting period;	Note 2.2 c. to the Financial Statements - Impairment Losses on Financing and Receivables to Other Customers and please refer section relating to 'Risk Management' in the Annual Report for additional Information.
- information about financial instruments for which the Bank has not recognised a loss allowance because of the collateral;	None.
- quantitative information about the collateral held as security and other credit enhancements;	Note 43.3.3 (f) to the Financial Statements - Analysis of Maximum Exposure to Credit Risk and Collateral and Other Credit Enhancements.
- information about the fair value of the collateral and other credit enhancements, or to quantify the exact value of the collateral that was included in the calculation of ECL.	Note 2.2 c. to the Financial Statements - Impairment Losses on Financing and Receivables to Other Customers and please refer section relating to 'Risk Management' in the Annual Report for additional Information.

Compliance with Disclosure Requirements of Central Bank of Sri Lanka

(h) Written-off assets	
- Contractual amount outstanding of financial assets written off during the reporting period that are still subject to enforcement activity.	Note 23.4 to the Financial Statements - Impairment Allowance for Financing and Receivables to Other Customers.
(i) For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 285 to 301 and section relating to 'Risk Management' in the Annual Report for additional information.
(ii) Liquidity Risk	
(a) A maturity analysis of financial assets and liabilities.	Note 43.4 to the Financial Statements - Liquidity Risk and Funding Management and please refer section relating to 'Risk Management' in the Annual Report.
(b) Description of approach to risk management.	Note 43.4 to the Financial Statements - Liquidity Risk and Funding Management and please refer section relating to 'Risk Management' in the Annual Report for additional information.
(c) For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 285 to 301 and section relating to 'Risk Management' in the Annual Report for additional information.
(iii) Market Risk	
(a) A sensitivity analysis of each type of market risk to which the Bank is exposed.	Note 43.5 to the Financial Statements - Market Risk and please refer section relating to 'Risk Management' in the Annual Report for additional information.
(b) Additional information, if the sensitivity analysis is not representative of the Bank's risk exposure.	Not Applicable.
(c) For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 285 to 301 and section relating to 'Risk Management' in the Annual Report for additional information.
(iv) Operational Risk	
For other disclosures, refer Pillar III disclosures of the Banking Act Directions No. 01 of 2016 on Capital Requirements under Basel III for Licensed Banks.	Please refer section on Market Discipline Disclosure Requirements on pages 285 to 301 and section relating to 'Risk Management' in the Annual Report for additional information.

(v) Equity Risk in the Banking Book	
(a) Qualitative Disclosures	
- Differentiation between holdings on which capital gains are expected and those taken under other objectives including for relationship and strategic reasons.	Note 43.8 to the Financial Statements - Equity Price Risk and please refer section relating to 'Risk Management' in the Annual Report
- Discussion of important policies covering the valuation and accounting of equity holdings in the banking book.	Note 2.3 to the Financial Statements - Summary of Significant Accounting Policies and Note 24.2 to the Financial Statements - Investment in Equity – Unquoted.
(b) Quantitative Disclosures	
Value disclosed in the statement of financial position of investments, as well as the fair value of those investments; for quoted securities, a comparison to publicly quoted share values where the share price is materially different from fair value, the types and the nature of investments and the cumulative realised gains/(losses) arising from sales and liquidations in the reporting period.	Notes 22 and 24 to the Financial Statements - Financial Assets Recognised Through Profit or Loss – Measured at Fair Value and Financial Assets Measured at Fair Value Through Other Comprehensive Income, respectively. Also please refer Notes 8 and 9 to the Financial Statements - Net Gains / (Losses) from Financial Assets at Fair Value Through Profit or Loss and Net Gains / (Losses) from Derecognition of Financial Assets, respectively.
(vi) Rate Risk in the Banking Book	
(a) Qualitative Disclosures	
Nature of Rate Risk in the Banking Book and key assumptions.	Notes 43.5, 43.6, 43.7 and 43.8 to the Financial Statements - Market Risk, Foreign Exchange Risk, Currency Risk and Equity Price Risk respectively. You may also refer the section relating to 'Risk Management' in the Annual Report for additional information.
(b) Quantitative Disclosures	
The increase/(decline) in earnings or economic value (or relevant measure used by management) for upward and downward rate shocks according to management's method for measuring rate risk in the banking book broken down by currency (as relevant)	
2.2.3 Information on concentrations of risk	Notes 43.2 and 43.3 to the Financial Statements - Risk Management Structure and Credit Risk respectively. Also please refer section relating to 'Risk Management' in the Annual Report for additional information.

Compliance with Disclosure Requirements of Central Bank of Sri Lanka

3. MARKET DISCIPLINE DISCLOSURE REQUIREMENTS

3.1 Regulatory Requirements on Capital and Liquidity

(i) Key Regulatory Ratios - Capital and Liquidity	Please refer page 285
(ii) Basel III Computation of Capital Ratios	Please refer pages 286 and 287
(iii) Computation of Leverage Ratio	Please refer page 287
(iv) Basel III Computation of Liquidity Coverage Ratio	Please refer page 288
(v) Main Features of Regulatory Capital Instruments	Please refer page 289

3.2 Risk Weighted Assets (RWA)

(i) Summary Discussion on Adequacy/Meeting Current and Future Capital Requirements	Please refer page 289 including Note 48 to the Financial Statements - Capital and section relating to 'Risk Management' in the Annual Report for additional information
(ii) Credit Risk under Standardised Approach: Credit Risk Exposures and Credit Risk Mitigation (CRM) Effects	Please refer page 290
(iii) Credit Risk under Standardised Approach: Exposures by Asset Classes and Risk Weights	Please refer page 291
(iv) Market Risk under Standardised Measurement Method	Please refer page 291
(v) Operational Risk under Basic Indicator Approach/The Standardised Approach/The Alternative Standardised Approach	Please refer page 292

3.3 Linkages Between Financial Statements & Regulatory Exposures

(i) Differences between Accounting and Regulatory Scopes and Mapping of Financial Statement Categories with Regulatory Risk Categories – Bank Only	Please refer pages 293 and 294
(ii) Explanations of Differences between Accounting & Regulatory Exposure Amounts	Please refer pages 295 to 297 and also section relating to 'Risk Management' in the Annual Report for additional information

3.4 Risk Management

(i) Bank Risk Management Approach	Please refer section relating to 'Risk Management' of the Annual Report and Note 43 to the Financial Statements - Risk Management
(ii) Risk Management related to Key Risk Exposures	Please refer section relating to 'Risk Management' of the Annual Report and Note 43 to the Financial Statements - Risk Management

Market Discipline Disclosure Requirements

KEY REGULATORY RATIOS – CAPITAL AND LIQUIDITY

As at 31 December	2021	2020
Regulatory Capital (LKR '000)		
Common Equity Tier 1	12,016,737	11,209,393
Tier 1 Capital	12,016,737	11,209,393
Total Capital	13,764,883	12,450,876
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7.0%)	13.7%	15.6%
Tier 1 Capital Ratio (Minimum Requirement - 8.5%)	13.7%	15.6%
Total Capital Ratio (Minimum Requirement - 12.5%)	15.7%	17.4%
Leverage Ratio (Minimum Requirement - 3%)	7.42%	8.01%
Regulatory Liquidity		
Statutory Liquid Assets (LKR '000) - Domestic Banking Unit	27,508,421	19,440,923
Statutory Liquid Assets (USD '000) - Offshore Banking Unit	4,099	2,524
Statutory Liquid Assets Ratio (Minimum Requirement - 20%)		
Domestic Banking Unit (%)	26.87%	23.31%
Offshore Banking Unit (%)	45.33%	25.08%
Liquidity Coverage Ratio (%) – Rupee (Min Requirement - 100%/90%)	165.18%	482.96%
Liquidity Coverage Ratio (%) – All Currency (Min Requirement - 100%/90%)	118.47%	340.28%

Market Discipline Disclosure Requirements

BASEL III COMPUTATION OF CAPITAL RATIOS

As at 31 December	2021 LKR '000	2020 LKR '000
Common Equity Tier 1 (CET1) Capital after Adjustments	12,016,737	11,209,393
Common Equity Tier 1 (CET1) Capital *	12,016,737	11,209,393
Equity Capital (Stated Capital)/Assigned Capital	11,079,706	10,819,561
Reserve Fund	157,693	116,458
Published Retained Earnings/(Accumulated Retained Losses)	1,225,549	678,838
Published Accumulated Other Comprehensive Income (OCI)	59,339	26,928
General and other Disclosed Reserves	-	-
Unpublished Current Year's Profit/Loss and Gains reflected in OCI	-	-
Ordinary Shares issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-	-
Total Adjustments to CET1 Capital	505,550	432,393
Goodwill (net)	-	-
Intangible Assets (net)	232,835	257,240
Others (Net Deferred Tax Asset & Significant investments in the capital of financial institutions where the bank owns more than 10 per cent of the issued ordinary share capital of the entity)	272,715	175,153
Additional Tier 1 (AT1) Capital after Adjustments	-	-
Additional Tier 1 (AT1) Capital	-	-
Qualifying Additional Tier 1 Capital Instruments	-	-
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-	-
Total Adjustments to AT1 Capital	-	-
Investment in Own Shares	-	-
Others (specify)	-	-
Tier 2 Capital after Adjustments	1,748,146	1,241,483
Tier 2 Capital	1,748,146	1,241,483
Qualifying Tier 2 Capital Instruments	-	-
Revaluation Gains	570,270	570,270
Provisions on Financing and Advances	1,177,876	671,213
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-	-

As at 31 December	2021 LKR '000	2020 LKR '000
Total Adjustments to Tier 2	-	-
Investment in Own Shares	-	-
Others (specify)	-	-
CET1 Capital *	12,016,737	11,209,393
Total Tier 1 Capital	12,016,737	11,209,393
Total Capital	13,764,884	12,450,876
Total Risk Weighted Assets (RWA)	87,952,947	71,646,117
RWAs for Credit Risk	82,377,355	65,886,079
RWAs for Market Risk	265,871	727,486
RWAs for Operational Risk	5,309,720	5,032,552
CET1 Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & Surcharge on D-SIBs) (%)	13.66%	15.65%
of which: Capital Conservation Buffer (%)	2.50%	2.50%
of which: Countercyclical Buffer (%)	-	-
of which: Capital Surcharge on D-SIBs (%)	-	-
Total Tier 1 Capital Ratio (%)	13.66%	15.65%
Total Capital Ratio (including Capital Conservation Buffer, Countercyclical Capital Buffer & Surcharge on D-SIBs) (%)	15.65%	17.38%
of which: Capital Conservation Buffer (%)	2.50%	2.50%
of which: Countercyclical Buffer (%)	-	-
of which: Capital Surcharge on D-SIBs (%)	-	-
* This represents CET1 Capital after applicable adjustments		
- CET1 Capital before adjustments (LKR '000)	12,522,287	11,641,786

COMPUTATION OF LEVERAGE RATIO

	2021 LKR '000	2020 LKR '000
Tier 1 Capital	12,016,737	11,209,393
Total Exposures	161,945,756	140,012,631
On-Balance Sheet Items (excluding Derivatives and Securities Financing Transactions, but including Collateral)	121,403,353	100,951,518
Derivative Exposures	33,104,984	33,200,760
Securities Financing Transaction Exposures	-	-
Other Off-Balance Sheet Exposures	7,437,419	5,860,353
Basel III Leverage Ratio (%) (Tier 1/Total Exposure)	7.42%	8.01%

Market Discipline Disclosure Requirements

BASEL III COMPUTATION OF LIQUIDITY COVERAGE RATIO

As at 31 December	2021		2020	
	Total Un-weighted Value LKR '000	Total Weighted Value LKR '000	Total Un-weighted Value LKR '000	Total Weighted Value LKR '000
Total Stock of High-Quality Liquid Assets (HQLA)	7,346,859	7,314,542	14,529,530	14,497,391
Total Adjusted Level 1A Assets	7,282,225	7,282,225	14,529,530	14,497,391
Level 1 Assets	7,282,225	7,282,225	14,465,252	14,465,252
Total Adjusted Level 2A Assets	-	-	-	-
Level 2A Assets	-	-	-	-
Total Adjusted Level 2B Assets	-	-	-	-
Level 2B Assets	64,634	32,317	64,279	32,139
Total Cash Outflows	113,301,390	15,361,454	97,042,418	10,075,900
Deposits	85,305,361	8,530,536	77,846,507	5,596,896
Unsecured Wholesale Funding	10,705,997	5,404,010	5,543,240	3,205,979
Secured Funding Transactions	-	-	-	-
Undrawn Portion of Committed (Irrevocable) Facilities and Other Contingent Funding Obligations	17,231,150	1,368,026	13,617,285	1,237,638
Additional Requirements	58,882	58,882	35,386	35,386
Total Cash Inflows	12,761,216	9,187,395	9,443,497	5,815,514
Maturing Secured Lending Transactions Backed by Collateral	7,371,019	7,371,019	4,411,658	4,411,658
Committed Facilities	-	-	-	-
Other Inflows by Counterparty which are Maturing within 30 Days	1,781,936	891,005	2,190,780	1,380,128
Operational Deposits	1,757,519	-	2,793,604	-
Other Cash Inflows	1,850,742	925,371	47,455	23,728
Liquidity Coverage Ratio (%) (Stock of High Quality Liquid Assets/Total Net Cash Outflows over the Next 30 Calendar Days) * 100		118.47		340.28

MAIN FEATURES OF REGULATORY CAPITAL INSTRUMENTS

Description of the Capital Instrument	Ordinary Shares
Issuer	Amāna Bank PLC
CSE Security Code	ABL.N0000
Original Date of Issuance	Multiple
Par Value of Instrument	N/A
Perpetual or Dated	Perpetual
Original Maturity Date, if Applicable	N/A
Amount Recognised in Regulatory Capital (in LKR '000 as at 31 December 2021)	12,522,287
Accounting Classification (Equity/Liability)	Shareholders' Equity
Issuer Call subject to Prior Supervisory Approval	
Optional Call Date, Contingent Call Dates and Redemption Amount (LKR '000)	N/A
Subsequent Call Dates, if Applicable	N/A
Coupons/Dividends	
Fixed or Floating Dividend/Coupon	N/A
Coupon Rate and any Related Index	N/A
Non-Cumulative or Cumulative	N/A
Convertible or Non-Convertible	
If Convertible, Conversion Trigger (s)	N/A
If Convertible, Fully or Partially	N/A
If Convertible, Mandatory or Optional	N/A
If Convertible, Conversion Rate	N/A

SUMMARY DISCUSSION ON ADEQUACY/MEETING CURRENT AND FUTURE CAPITAL REQUIREMENTS

Please refer Note 48 to the Financial Statements - Capital on pages 269 and 270 including section relating to 'Risk Management' in the Annual Report on pages 85 to 120.

Market Discipline Disclosure Requirements

CREDIT RISK UNDER STANDARDISED APPROACH – CREDIT RISK EXPOSURES AND CREDIT RISK MITIGATION (CRM) EFFECTS

As at 31 December 2021	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures Post CCF and CRM		RWA and RWA Density	
	On-Balance Sheet Amount LKR '000	Off-Balance Sheet Amount LKR '000	On-Balance Sheet Amount LKR '000	Off-Balance Sheet Amount LKR '000	RWA LKR '000	RWA Density %
Claims on Central Government and CBSL	5,217,072	3,000,000	5,217,072	60,000	-	0
Claims on Foreign Sovereigns and their Central Banks	-	-	-	-	-	-
Claims on Public Sector Entities	-	-	-	-	-	0
Claims on Official Entities and Multilateral Development Banks	-	-	-	-	-	-
Claims on Banks Exposures	31,003,740	37,818,900	31,003,740	1,094,050	10,261,895	32
Claims on Financial Institutions	49,283	-	49,283	-	49,246	100
Claims on Corporates	29,670,180	16,706,863	29,129,855	3,998,675	33,039,656	100
Retail Claims	40,032,151	6,900,895	39,421,434	2,793,083	28,919,530	69
Claims Secured by Residential Property	4,621,964	-	4,621,964	-	3,599,974	78
Claims Secured by Commercial Real Estate	-	-	-	-	-	0
Non-Performing Assets (NPAs)	1,495,096	-	1,495,096	-	1,441,373	96
Higher-risk Categories	122,374	-	122,374	-	305,935	250
Cash Items and Other Assets	9,126,860	618,211	9,126,860	618,211	4,759,746	49
Total	121,338,720	65,044,869	120,187,677	8,564,019	82,377,355	64

Notes:

- As per Banking Act Directions on Classification of Financing and Receivables to Other Customers, Income Recognition and Provisioning
- RWA Density - Total RWA/Exposures Post CCF and CRM.

CREDIT RISK UNDER STANDARDISED APPROACH: EXPOSURES BY ASSET CLASSES AND RISK WEIGHTS

As at 31 December 2021	Post CCF & CRM								
Risk Weight	0%	20%	50%	60%	75%	100%	150%	>150%	Total Credit Exposures Amount LKR '000
Asset Classes	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000	LKR '000
Claims on Central Government and Central Bank of Sri Lanka	5,277,072	-	-	-	-	-	-	-	5,277,072
Claims on Foreign Sovereigns and their Central Banks	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entities	-	-	-	-	-	-	-	-	-
Claims on Official Entities and Multilateral Development Banks	-	-	-	-	-	-	-	-	-
Claims on Banks Exposures	-	19,653,303	12,226,507	-	-	217,980	-	-	32,097,790
Claims on Financial Institutions	-	-	73	-	-	49,210	-	-	49,283
Claims on Corporates	-	-	177,745	-	-	32,950,784	-	-	33,128,529
Retail Claims	591,001	7,442,804	-	6,575,538	16,478,111	11,127,063	-	-	42,214,517
Claims Secured by Residential Property	-	-	1,572,292	-	-	3,049,672	-	-	4,621,963
Claims Secured by Commercial Real Estate	-	-	-	-	-	-	-	-	-
Non-Performing Assets (NPAs)	-	-	441,338	-	-	719,865	333,893	-	1,495,096
Higher-risk Categories	-	-	-	-	-	-	-	122,374	122,374
Cash Items and Other Assets	4,985,325	-	-	-	-	4,759,746	-	-	9,745,071
Total	10,853,398	27,096,107	14,417,955	6,575,538	16,478,111	52,874,320	333,893	122,374	128,751,696

MARKET RISK UNDER STANDARDISED MEASUREMENT METHOD

As at 31 December 2021

2021
LKR '000

(a) RWA for Rate Risk	-
General Rate Risk	-
(i) Net Long or Short Position	-
(ii) Horizontal Disallowance	-
(iii) Vertical Disallowance	-
(iv) Options	-
Specific Rate Risk	-
(b) RWA for Equity	14,384
(i) General Equity Risk	8,080
(ii) Specific Equity Risk	6,304
(c) RWA for Foreign Exchange & Gold	18,850
Capital Charge for Market Risk [(a) + (b) + (c)] * CAR	265,871

Market Discipline Disclosure Requirements

OPERATIONAL RISK UNDER BASIC INDICATOR APPROACH / THE STANDARDISED APPROACH / THE ALTERNATIVE STANDARDISED APPROACH

As at 31 December 2021			Gross Income		
	Capital Charge Factor	Fixed Factor	1st Year LKR '000	2nd Year LKR '000	3rd Year LKR '000
The Basic Indicator Approach	15%		4,244,245	4,232,493	4,797,552
The Standardised Approach					
Corporate Finance	18%	}	}	N/A	
Trading and Sales	18%				
Payment and Settlement	18%				
Agency Services	15%				
Asset Management	12%				
Retail Brokerage	12%				
Retail Banking	12%				
Commercial Banking	15%				
The Alternative Standardised Approach					
Corporate Finance	18%	}	}	N/A	
Trading and Sales	18%				
Payment and Settlement	18%				
Agency Services	15%				
Asset Management	12%				
Retail Brokerage	12%				
Retail Banking	12%	0.035			
Commercial Banking	15%	0.035			
Capital Charges for Operational Risk (LKR '000)					
The Basic Indicator Approach					663,715
The Standardised Approach		}		N/A	
The Alternative Standardised Approach					
Risk Weighted Amount for Operational Risk (LKR '000)					
The Basic Indicator Approach					5,309,720
The Standardised Approach		}		N/A	
The Alternative Standardised Approach					

DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY SCOPES AND MAPPING OF FINANCIAL STATEMENT CATEGORIES WITH REGULATORY RISK CATEGORIES – BANK ONLY

As at 31 December 2021	Explanation Reference #	a Carrying Values as Reported in Published Financial Statements LKR '000	b Carrying Values as under Scope of Regulatory Reporting LKR '000	c Subject to Credit Risk Framework LKR '000	d Subject to Market Risk Framework LKR '000	e Not Subject to Capital Requirements or Subject to Deduction From Capital LKR '000
Assets		121,908,903	122,129,789	120,187,677	64,634	1,604,520
Cash and Cash Equivalents	1	8,673,812	4,985,325	4,985,325	-	-
Balances with Central Bank		4,800,027	4,800,027	4,800,027	-	-
Placements with Banks & Financial Institutions	1	27,302,343	30,089,553	30,089,553	-	-
Derivative Financial Instruments	2	510,066	-	-	-	-
Other Financial Assets Held-For-Trading	3	-	407,651	122,374	64,634	220,643
Financial Assets Designated at Fair Value through Profit or Loss	3	64,634	-	-	-	-
Financing and Receivables to Banks		-	-	-	-	-
Financing and Receivables to Other Customers	4	75,816,397	76,851,819	74,665,355	-	1,151,043
Financial Investments - Available-For-Sale	3	346,010	-	-	-	-
Financial Investments - Held-To-Maturity	3	-	2,993	2,993	-	-
Investments in Subsidiaries		-	-	-	-	-
Investments in Associates and Joint Ventures		-	-	-	-	-
Property, Plant and Equipment		2,447,150	2,447,150	2,447,150	-	-
Investment Properties		-	-	-	-	-
Goodwill and Intangible Assets		232,835	232,835	-	-	232,835
Deferred Tax Assets		52,072	-	-	-	-
Other Assets		1,663,559	2,312,435	3,074,900	-	-

Market Discipline Disclosure Requirements

As at 31 December 2021	Explanation Reference #	a Carrying Values as Reported in Published Financial Statements LKR '000	b Carrying Values as under Scope of Regulatory Reporting LKR '000	c Subject to Credit Risk Framework LKR '000	d Subject to Market Risk Framework LKR '000	e Not Subject to Capital Requirements or Subject to Deduction From Capital LKR '000
Liabilities		108,270,369	107,742,216	-	-	-
Due to Banks	5	9,009,986	-	-	-	-
Derivative Financial Instruments	2	783,200	-	-	-	-
Other Financial Liabilities Held-For-Trading		-	-	-	-	-
Financial Liabilities Designated at Fair Value Through Profit or Loss		-	-	-	-	-
Due to Other Customers	5	96,157,776	95,715,979	-	-	-
Other Borrowings		-	7,800,000	-	-	-
Debt Securities Issued		-	-	-	-	-
Current Tax Liabilities	5	419,795	446,962	-	-	-
Deferred Tax Liabilities		-	-	-	-	-
Other Provisions	5	-	-	-	-	-
Other Liabilities	5	1,899,612	3,779,275	-	-	-
Due to Subsidiaries		-	-	-	-	-
Subordinated Term Debts		-	-	-	-	-
Off-Balance Sheet Liabilities		67,817,282	67,817,282	65,044,869	-	2,772,413
Guarantees		2,827,333	2,827,333	2,827,333	-	-
Performance Bonds		551,363	551,363	551,363	-	-
Letters of Credit		2,821,717	2,821,717	2,821,717	-	-
Other Contingent Items		45,549,886	45,549,886	44,286,049	-	1,263,837
Undrawn Financing Commitments		14,558,407	14,558,407	14,558,407	-	-
Other Commitments		1,508,576	1,508,576	-	-	1,508,576
Shareholders' Equity						
Equity Capital (Stated Capital)/Assigned Capital of which Amount Eligible for CET1		11,079,706	11,079,706	-	-	-
of which Amount Eligible for AT1		-	-	-	-	-
Retained Earnings		1,225,549	-	-	-	-
Accumulated Other Comprehensive Income		98,898	-	-	-	-
Other Reserves		1,234,381	3,307,861	-	-	571,607
Total Shareholders' Equity		13,638,534	14,387,567	-	-	571,607

EXPLANATIONS OF DIFFERENCES BETWEEN ACCOUNTING AND REGULATORY EXPOSURE AMOUNTS

a. Significant Differences between Amounts in Carrying Values Reported in Published Financial Statements and Regulatory Reporting.

	Carrying Values as Reported in Published Financial Statements LKR '000	Carrying Values as under Scope of Regulatory Reporting LKR '000	Difference LKR '000	Remarks
Explanation Reference # 1 :				
Cash and Cash Equivalents and Placements with Banks and Financial Institutions				
Cash and Cash Equivalents	8,673,812	4,985,325		
Placements with Banks and Financial Institutions	27,302,343	30,089,553		
	35,976,155	35,074,878	901,277	
Accrued Profits Receivable on Placements		A	903,225	
Expected Credit Losses - Provisions on Cash and Cash Equivalents and Placements with Banks and Financial Institutions		B	(1,948)	
		C = (A+B)	901,277	
Explanation Reference # 2 :				
Derivative Financial Instruments - Assets and Liabilities				
Derivative Financial Instruments - Assets	510,066	-		
Derivative Financial Instruments - Liabilities	(783,200)	-		
Other Liabilities	-	(273,134)		
	(273,134)	(273,134)	-	Net Unrealized Revaluation Losses on Forex Contracts has been reported under Other Liabilities in regulatory reporting

Market Discipline Disclosure Requirements

	Carrying Values as Reported in Published Financial Statements LKR '000	Carrying Values as under Scope of Regulatory Reporting LKR '000	Difference LKR '000	Remarks
Explanation Reference # 3 :				
Financial Assets Recognised through Profit or Loss - Measured at Fair Value & Financial Assets Measured at Fair Value through Other Comprehensive Income				
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	64,634	-		
Financial Assets Measured at Fair Value through Other Comprehensive Income	346,010	-		
Investments Trading Account	-	407,651		
Investments Held-to-Maturity	-	2,993		
	410,644	410,644	-	
Explanation Reference # 4 :				
Financing and Receivables to Other Customers				
Financing and Receivables to Other Customers	75,816,397	76,851,819	(1,035,422)	Difference between Provision requirements of Sri Lanka Accounting Standards and CBSL
Impairment Provisions as per Sri Lanka Accounting Standards		D	(2,676,030)	
Central Bank of Sri Lanka Regulatory Provisions		E	(1,640,608)	
		F = (D-E)	(1,035,422)	
Explanation Reference # 5 : Due to Banks, Due to Depositors, Tax Liabilities & Other Liabilities				
Due to Banks / Other Borrowings under Regulatory Reporting	9,009,986	7,800,000		
Financial Liabilities at Amortised Cost - Due to Depositors	96,157,776	95,715,979		
Profits Payable	-	637,545		

	Carrying Values as Reported in Published Financial Statements LKR '000	Carrying Values as under Scope of Regulatory Reporting LKR '000	Difference LKR '000	Remarks
(A)	105,167,762	104,153,524	1,014,238	Saubhagya Renaissance Facility balances due to CBSL has been reported under Other Liabilities in regulatory reporting. Margin deposit balance has been reported under other financial liabilities in the published financial statements.
Current Tax Liabilities (B)	419,795	446,962	(27,167)	
Other Liabilities (C)	2,409,678	3,141,730	(732,052)	
D = (A+B+C)	107,997,235	107,742,216	255,019	Relates to Differences between Accounting Standards and CBSL reporting requirements
Derivative Financial Liabilities (E)	273,134	-	273,134	Derivative Financial Instruments - Liabilities reported in Published Financial Statements
F = (D+E)	108,270,369	107,742,216		

NET STABLE FUNDING RATIO UNDER BASEL III - LIQUIDITY STANDARDS

Calculation of Net Stable Funding Ratio (NSFR)

As at 31 December	2021 LKR '000	2020 LKR '000
Total Available Stable Funding	94,702,326	84,486,814
Required Stable Funding - On Balance Sheet Assets	48,338,278	40,229,464
Required Stable Funding - Off Balance Sheet Items	1,181,035	839,839
Total Required Stable Funding	49,519,314	41,069,303
NSFR (Minimum Requirement - 100%/90%)	191%	206%

Market Discipline Disclosure Requirements

Total Available Stable Funding

As at 31 December 2021	Unweighted Amount LKR '000	ASF Factor	Weighted Amount LKR '000
Total Available Stable Funding	-		94,702,326
Liabilities and Capital Assigned a 100% ASF factor	-		15,435,036
Total Regulatory Capital Before Capital Deductions (Excluding Tier 2 Instruments with Residual Maturity of less than One Year)	12,522,287	100%	12,522,287
Any Other Capital Instrument With Effective Residual Maturity of One Year or More	-	100%	-
Secured and Unsecured Borrowings and Liabilities with Effective Residual Maturities of One Year or More	2,912,750		2,912,750
Net Deferred Tax Liabilities	-	100%	-
Minority Interest	-	100%	-
Other Liabilities	2,912,750	100%	2,912,750
Liabilities Assigned a 90% ASF Factor	80,926,747		72,834,072
Non-Maturity Deposits and Term Deposits with Residual Maturity of less than One Year Provided by Retail Customers and SME	80,926,747	90%	72,834,072
Liabilities Assigned a 50% ASF Factor	11,217,476		6,433,217
Funding with Residual Maturity of less than One Year Provided by Non-Financial Corporate Customers	9,114,934	50%	4,557,467
Operational Deposits	2,102,542	50%	1,051,271
Funding with Residual Maturity of less than One Year from Sovereigns, Public Sector Entities (PSES), and Multilateral Development Banks (MDBs)	-	50%	-
Other Funding with Residual Maturity between Six Months and less than One Year not included in the Above Categories, including Funding Provided by Central Banks and Financial Institutions	-	-	824,479
Net Deferred Tax Liabilities	-	50%	-
Minority Interest	-	50%	-
Other Liabilities	1,648,958	50%	824,479
Liabilities Assigned a 0% ASF Factor	11,564,439		-
All Other Liabilities and Equity not included in the Above Categories including Other Funding with Residual Maturity of less than Six Months from Central Banks and Financial Institutions	560,000	0%	-
Other Liabilities without a Stated Maturity	11,004,439	-	-
Net Deferred Tax Liabilities	-	-	-
Minority Interest	-	-	-
Other Liabilities	11,004,439	0%	-
NSFR Derivative Liabilities Net of Derivative Assets (If NSFR Derivative Liabilities are Greater than NSFR Derivative Assets)	-	0%	-
Trade Date Payables arising from Purchases of Financial Instruments, Foreign Currencies and Commodities	-	-	-

Required Stable Funding – On Balance Sheet Assets

As at 31 December 2021	Unweighted Amount LKR '000	ASF Factor	Weighted Amount LKR '000
Required Stable Funding - On Balance Sheet Assets			48,338,278
Assets assigned a 0% RSF factor			-
Cash in Hand	4,985,325	0%	-
Central Bank Reserves (Statutory Reserve Ratio (SRR) including Excess SRR)	4,800,027	0%	-
All Claims on Central Banks with Residual Maturities of less than Six Months	-	0%	-
Trade Date Receivables arising from Sales of Financial Instruments, Foreign Currencies and Commodities	-	0%	-
Assets Assigned a 5% RSF Factor			-
Unencumbered Level 1 Assets	-		-
Qualifying Marketable Securities	-		-
Issued by Sovereigns	-	5%	-
Guaranteed by Sovereigns	-	5%	-
Issued or Guaranteed by Central Banks	-	5%	-
Issued or Guaranteed by BIS, IMF, ECB And European Community or Eligible MDBs	-	5%	-
20% of Derivative Liabilities	-	5%	-
Assets Assigned a 10% RSF Factor			-
Unencumbered Financing to Financial Institutions with Residual Maturities of less than Six Months	-	10%	-
Assets Assigned a 15% RSF Factor			-
Unencumbered Level 2A Assets	-		-
Qualifying Marketable Securities	-		-
Issued or Guaranteed by Sovereigns	-	15%	-
Issued or Guaranteed by Central Banks	-	15%	-
Issued or Guaranteed By PSEs	-	15%	-
Issued or Guaranteed By MDBs	-	15%	-
Qualifying Non-Financial Corporate Debt Securities (including Commercial Paper and Promissory Notes) and Covered Bonds	-	15%	-
Qualifying Investments in Gilt Unit Trust Backed by Government of Sri Lanka (GoSL) Securities	-	15%	-
All Other Unencumbered Financing to Financial Institutions with Residual Maturities of less than Six Months	-	15%	-

Market Discipline Disclosure Requirements

As at 31 December 2021	Unweighted Amount LKR '000	ASF Factor	Weighted Amount LKR '000
Assets Assigned a 50% RSF Factor			9,510,314
Unencumbered Level 2B Assets			33,814
Qualifying Non-Financial Corporate Debt Securities (including Commercial Paper And Promissory Notes)	-	50%	-
Qualifying Non-Financial Common Equity Shares	67,627	50%	33,814
Residential Mortgage Backed Securities (RMBs) with a Credit Rating of at least AA	-	50%	-
HQLA Encumbered for a Period of Six Months or more and less than One Year		50%	-
Unencumbered Financing to Financial Institutions and Central Banks with Residual Maturity between Six Months and less than One Year	-	50%	-
Deposits held at Other Financial Institutions for Operational Purposes	-	50%	-
All Other Non HQLA not included in the above categories with Residual Maturity of less than One Year	18,953,002	50%	9,476,501
Assets Assigned a 65% RSF Factor			1,277,199
Qualifying Unencumbered Residential Mortgages with a Residual Maturity of One Year or More	1,964,922	65%	1,277,199
Other Qualifying Unencumbered Financing Financial Institutions, with a Residual Maturity of One Year or more	-	65%	-
Assets Assigned a 85% RSF Factor			28,384,372
Cash, Securities or Other Assets Posted as Initial Margin for Derivative Contracts	-	85%	-
Other Unencumbered Performing Loans	33,393,379	85%	28,384,372
Unencumbered Securities that are not in Default and do not Qualify as HQLA	-	85%	-
Physical Traded Commodities, including Gold	-	85%	-
Assets Assigned a 100% RSF Factor			9,166,393
All Assets that are Encumbered for a Period of One Year or more	-	100%	-
NSFR Derivative Assets Net of NSFR Derivative Liabilities If NSFR Derivative Assets are greater than NSFR Derivative Liabilities	4,770,750	100%	4,770,750
All Other Assets not included in Above	4,395,643	100%	4,395,643

Required Stable Funding – Off Balance Sheet Items

As at 31 December 2021	Unweighted Amount LKR '000	ASF Factor	Weighted Amount LKR '000
Required Stable Funding - Off Balance Sheet Items			1,181,035
Irrevocable and Conditionally Revocable Credit and Liquidity Facilities to any Client	14,550,191	5%	727,510
Other Contingent Funding Obligations, including Products and Instruments	-		453,526
Unconditionally Revocable Credit and Liquidity Facilities		0%	
Trade Finance-Related Obligations (including Guarantees and Letters of Credit)	9,070,518	5%	453,526
Guarantees Unrelated to Trade Finance Obligations	-	0%	-
Non-Contractual Obligations	-		-
Potential Requests for Debt Repurchases of the Bank'S Own Debt or that of Related Conduits, Securities Investment Vehicles and Other such Financing Facilities	-	5%	-
Structured Products where Customers Anticipate Ready Marketability, such as Adjustable Rate Notes and Variable Rate Demand Notes (VRDNs)	-	5%	-
Managed Funds that are Marketed with the Objective of Maintaining a Stable Value	-	5%	-
Any Other Obligations	-	5%	-

Investor Relations

COMPLIANCE REPORT ON THE CONTENTS OF ANNUAL REPORT IN TERMS OF CONTINUING LISTING REQUIREMENTS OF THE COLOMBO STOCK EXCHANGE

The table below summarises the Bank's degree of compliance with the Listing Rules issued by Colombo Stock Exchange.

Rule No.	Disclosure Requirement	Section Reference	Page Reference
7.6 (i)	Names of persons who during the financial year were Directors of the Entity.	Annual Report of the Board of Directors on the Affairs of the Bank.	163 to 168
7.6 (ii)	Principal activities of the Entity during the year and any changes therein.	Note 1.2 to the Financial Statements - Principal Activities.	201
7.6 (iii)	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held.	Item 3 of Investor Relations.	306
7.6 (iv)	The float adjusted market capitalisation, public holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement.	Annual Report of the Board of Directors on the Affairs of the Bank.	163 to 168
7.6 (v)	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of financial year.	Annual Report of the Board of Directors on the Affairs of the Bank.	163 to 168
7.6 (vi)	Information pertaining to material foreseeable risk factors of the Entity.	Note 43 to the Financial Statements - Risk Management and refer section on 'Risk Management' in the Annual Report.	246 to 262 and 85 to 120
7.6 (vii)	Details of material issues pertaining to employees and industrial relations.	Item 4 of Investor Relations.	306
7.6 (viii)	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties.	Note 26 to the Financial Statements - Property, Plant, Equipment and Right-of-Use Assets.	232 to 235
7.6 (ix)	Number of shares representing the Entity's Stated Capital.	Note 36 to the Financial Statements - Stated Capital.	241
7.6 (x)	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings.	Item 2 of Investor Relations.	304 and 305
7.6 (xi)	Ratios and Market Price information.		
	Equity Ratios	Item 1 of Investor Relations.	304
	Market Value	Item 1 of Investor Relations.	304
	Debt Instruments	Not Applicable.	
	Credit Rating	Corporate Information.	Inner Back Cover

Rule No.	Disclosure Requirement	Section Reference	Page Reference
7.6 (xii)	Significant changes in the Entity's fixed assets and the market value of land, if the value differs substantially from the book value.	Note 26 to the Financial Statements - Property, Plant, Equipment and Right-of-Use Assets.	232 to 235
7.6 (xiii)	Details of funds raised through Public Issues, Rights Issues and Private Placements during the year.	Not Applicable.	
7.6 (xiv)	Information in respect of Employee Share Option Scheme.	Not Applicable.	
7.6 (xv)	Disclosures pertaining to Corporate Governance practices in terms of Rules 7.10.3, 7.10.5 c. and 7.10.6 c. of Section 7 of the Listing Rules.	Exempted under section 7.10 of Continuing Listing Requirements since the Bank complies with Directions laid down in the Banking Act Direction No. 11 of 2007 on Corporate Governance.	
7.6 (xvi)	Related Party transactions exceeding 10% of the Equity or 5% of the total assets of the Entity as per Audited Financial Statements, whichever is lower.	Annual Report of the Board of Directors on the Affairs of the Bank.	163 to 168
9.3.2 (b)	Disclosure of recurrent Related Party transactions exceeding 10% of the gross revenue/income of the Entity as per the latest Audited Financial Statements.	Annual Report of the Board of Directors on the Affairs of the Bank.	163 to 168
9.3.2 (c)	Report of the Related Party Transactions Review Committee setting out the specified disclosures.	Please refer report on Board Related Party Transactions Review Committee.	179 and 180
9.3.2 (d)	Declaration by the Board of Directors on Compliance with Rules pertaining to Related Party Transactions.	Please refer the section - Annual Report of the Board of Directors on the Affairs of the Bank.	163 to 168

Investor Relations

The Ordinary Shares of the Bank are listed on the Main Board of Colombo Stock Exchange with Security Code ABL.N0000.

1. RATIOS AND MARKET VALUE INFORMATION

1.1 Equity Ratios

	2021 LKR	2020 LKR
Dividend Per Share (LKR)*	0.10	0.08
Dividend Pay Out Ratio (%)	31.54	43.16
Net Asset Value Per Share (LKR)	5.07	4.79

* A Scrip Dividend was issued during the year ended 31 December 2021 in proportion of one share for approximately every 29 shares held in the Bank.

1.2 Market Value Per Share

	2021 LKR	2020 LKR
As at 31 December	4.40	3.40
Highest	5.20	4.10
Lowest	2.90	1.70

Market Capitalisation as at 31 December 2021 - LKR 11,841,065,254 (2020 - LKR 8,844,916,927).

2. DISTRIBUTION OF SHAREHOLDERS

Range of Shareholding	As at 31 December 2021			As at 31 December 2020		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1 To 1,000 Shares	1,465	279,247	0.01	1,166	188,722	0.01
1,001 To 10,000 Shares	3,747	11,941,464	0.44	3,553	10,690,707	0.41
10,001 To 100,000 Shares	2,174	59,782,985	2.23	2,051	51,737,337	1.99
100,001 To 1,000,000 Shares	434	102,353,114	3.80	398	88,040,768	3.38
Over 1,000,000 Shares	63	2,516,794,384	93.52	64	2,450,788,621	94.21
	7,883	2,691,151,194	100.00	7,232	2,601,446,155	100.00

2.1 Resident and Non-Resident Shareholding

Shareholder	As at 31 December 2021			As at 31 December 2020		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Resident	7,837	1,100,324,559	38.36	7,189	997,815,980	38.36
Non-Resident	46	1,590,826,635	61.64	43	1,603,630,175	61.64
	7,883	2,691,151,194	100.00	7,232	2,601,446,155	100.00

2.2 Individual and Institutional Shareholding

Shareholder	As at 31 December 2021			As at 31 December 2020		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
Individual	7,729	1,038,424,788	38.59	7,127	1,081,524,684	41.57
Institutional	154	1,652,726,406	61.41	105	1,519,921,471	58.43
	7,883	2,691,151,194	100.00	7,232	2,601,446,155	100.00

Investor Relations

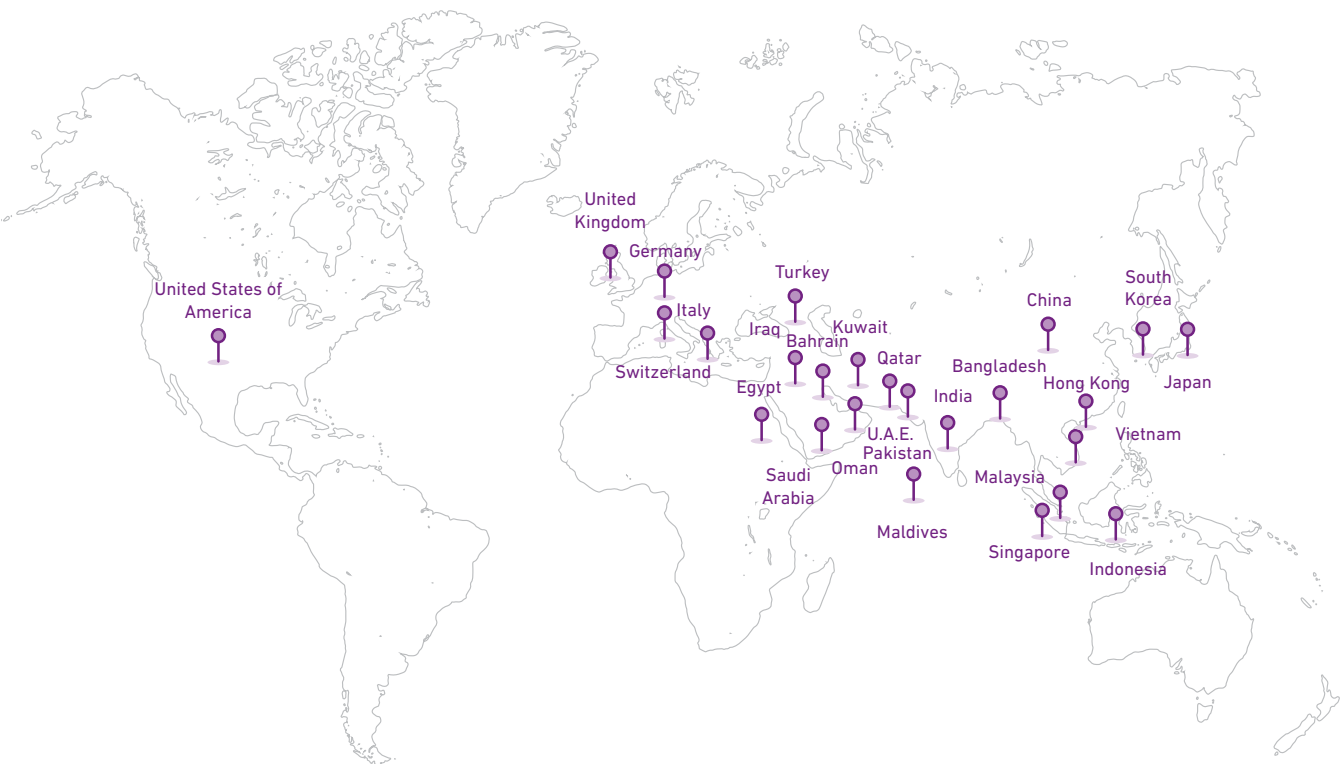
3. TWENTY LARGEST SHAREHOLDERS AS AT 31 DECEMBER

No.	Name of Shareholder	2021	
		No. of Shares	%
1.	IB Growth Fund (Labuan) LLP (Part of Islamic Development Bank Group)	636,457,256	23.65
2.	Mr. Mohamed Haji Omar	223,427,463	8.30
3.	Mr. Hossain Ahmed Ismail	214,733,180	7.98
4.	Bank Islam Malaysia Berhad	194,259,818	7.22
5.	AB Bank Limited	194,259,817	7.22
6.	Islamic Development Bank	170,052,648	6.32
7.	Akbar Brothers (Pvt) Ltd	169,711,053	6.31
8.	Mr. Farook Kassim	107,008,165	3.98
9.	Seylan Bank PLC/Senthilvel Holdings (Pvt) Ltd	92,268,826	3.43
10.	Millennium Capital Investments (Pte) Ltd	75,461,506	2.80
11.	Mr. Shafik Kassim	62,303,952	2.32
12.	Hatton National Bank PLC/ Almas Organisation(Pvt) Ltd	61,391,253	2.28
13.	Mr. Osman Kassim jointly with Mrs. K. Kassim	56,965,517	2.12
14.	Mr. Sattar Kassim	52,339,165	1.94
15.	Mr. Nagi Saleh Mohammed Al Faqih	40,220,672	1.49
16.	Mr. Sathiyamurthy Chandramohan	32,275,861	1.20
17.	Mr. Ahamed Mihilar Mohamed Fazal Jiffry	15,367,827	0.57
18.	ABC International Limited	12,824,274	0.48
19.	Mr. Feroz Omar	7,300,337	0.27
20.	Lanka Commodity Brokers Limited	6,608,804	0.25
	Sub Total	2,425,237,394	90.13
	Other Shareholders (Number of Shareholders - 7,863)	265,913,800	9.87
	Total	2,691,151,194	100.00

No.	Name of Shareholder	2020	
		No. of Shares	%
1.	IB Growth Fund (Labuan) LLP (Part of Islamic Development Bank Group)	615,242,015	23.65
2.	Mr. Hossain Ahmed Ismail	259,884,351	9.99
3.	Mr. Mohamed Haji Omar	232,273,931	8.93
4.	Bank Islam Malaysia Berhad	187,784,491	7.22
5.	AB Bank Limited	187,784,490	7.22
6.	Islamic Development Bank	164,384,227	6.32
7.	Akbar Brothers (Pvt) Ltd	164,054,018	6.31
8.	Mr. Farook Kassim	104,021,227	4.00
9.	Millennium Capital Investments (Pte) Ltd	72,946,123	2.80
10.	Mr. Osman Kassim jointly with Mrs. K. Kassim	63,000,000	2.42
11.	Mr. Shafik Kassim	62,303,953	2.39
12.	Mr. Sattar Kassim	60,196,786	2.31
13.	Hatton National Bank PLC/ Almas Organisation(Pvt) Ltd	42,008,278	1.61
14.	Mr. Nagi Saleh Mohammed Al Faqih	38,879,983	1.49
15.	Mr. Sathiyamurthy Chandramohan	31,199,999	1.20
16.	Hatton National Bank PLC/ Carlines Holdings (Pvt) Ltd	23,625,691	0.91
17.	Mr. Ahamed Mihilar Mohamed Fazal Jiffry	14,855,567	0.57
18.	ABC International Limited	12,396,799	0.48
19.	Mr. Abdul Majeed Mohamedu Risvi	8,938,404	0.34
20.	Mrs. Nabila Qureshi	8,900,042	0.34
	Sub Total	2,354,680,375	90.50
	Other Shareholders (Number of Shareholders - 7,212)	246,765,780	9.50
	Total	2,601,446,155	100.00

4. There were no material issues pertaining to employees and industrial relations that occurred during the year ended 31 December 2021.

Correspondent Banks



1. BANGLADESH

Bank Name : AB BANK LIMITED -
DHAKA, BANGLADESH
SWIFT Code : ABBLBDDH

2. BANGLADESH

Bank Name : INTERNATIONAL
FINANCE INVESTMENT AND
COMMERCE BANK LTD
SWIFT Code : IFICBDDH

3. BAHRAIN

Bank Name : MASHREQBANK PSC -
MANAMA, BAHRAIN
SWIFT Code : BOMLBHBM

4. BAHRAIN

Bank Name : KHALEEJI
COMMERCIAL BANK B.S.C. (C),
BAHRAIN.
SWIFT Code : KHCBBHBM

5. BRUNEI

Bank Name : BANK ISLAM BRUNEI
DARUSSALAM BERHAD, BRUNEI
SWIFT Code : BIBDBNBB

6. CHINA

Bank Name : STANDARD
CHARTERED BANK -
SHANGHAI, CHINA
SWIFT Code : SCBLCNSX

7. CHINA

Bank Name : AXIS BANK LIMITED
SHANGHAI BRANCH, CHINA
SWIFT Code : AXISCNSH

8. EGYPT

Bank Name : MASHREQ BANK -
CAIRO, EGYPT
SWIFT Code : MSHQEGCA

9. GERMANY

Bank Name : STANDARD
CHARTERED BANK, GERMANY
SWIFT Code : SCBLDEFX

10. HONG KONG

Bank Name : STANDARD
CHARTERED BANK LIMITED, HONG
KONG
SWIFT Code : SCBLHKHH

11. INDIA

Bank Name : AB BANK LIMITED -
MUMBAI, INDIA
SWIFT Code : ABBLINBB

12. INDIA

Bank Name : STANDARD
CHARTERED BANK - MUMBAI,
INDIA
SWIFT Code : SCBLINBB

Correspondent Banks

13. INDIA

Bank Name : MASHREQ BANK -
MUMBAI, INDIA
SWIFT Code : MSHQINBB

14. INDIA

Bank Name : AXIS BANK LIMITED -
MUMBAI, INDIA
SWIFT Code : AXISINBB

15. INDIA

Bank Name : DOHA BANK Q.S.C -
MUMBAI, INDIA
SWIFT Code : DOHBINBB

16. INDIA

Bank Name : HDFC BANK LIMITED
INDIA - MUMBAI, INDIA
SWIFT Code : HDFCINBB

17. INDONESIA

Bank Name : STANDARD
CHARTERED BANK - JAKARTA,
INDONESIA
SWIFT Code : SCBLIDJX

18. ITALY

Bank Name : BANCA UBAE SPA -
ROMA, ITALY
SWIFT Code : UBAITRR

19. IRAQ

Bank Name : CIHAN BANK FOR
ISLAMIC INVESTMENT AND
FINANCE, IRAQ
SWIFT Code : CIHBIQBA

20. JAPAN

Bank Name : STANDARD
CHARTERED BANK - TOKYO, JAPAN
SWIFT Code : SCBLJPJT

21. KUWAIT

Bank Name : MASHREQBANK PSC -
KUWAIT, KUWAIT
SWIFT Code : MSHQKWKW

22. KOREA

Bank Name : KOOKMIN BANK -
KOREA REPUBLIC OF
SWIFT Code : CZNBKRSE

23. KOREA

Bank Name : STANDARD
CHARTERED BANK - KOREA
SWIFT Code : SCBLKRSE

24. MALAYSIA

Bank Name : BANK ISLAM
MALAYSIA - BERHAD
SWIFT Code : BIMBMYKL

25. MALAYSIA

Bank Name : MALAYAN BANKING
BERHAD (MAYBANK) - KUALA
LUMPUR, MY
SWIFT Code : MBBEMYKL

26. MALAYSIA

Bank Name : STANDARD
CHARTERED BANK MALAYSIA
BERHAD, MALAYSIA
SWIFT Code : SCBLMYKX

27. MALDIVES

Bank Name : BANK OF CEYLON -
MALE, MALDIVES.
SWIFT Code : BCEYVMV

28. MALDIVES

Bank Name : MALDIVES ISLAMIC
BANK PVT LTD, MALDIVES
SWIFT Code : MADVMVMV

29. NEPAL

Bank Name : SIDDHARTHA BANK
LTD - KATHMANDU
SWIFT Code : SIDDNPKA

30. OMAN

Bank Name : BANK NIZWA, OMAN
SWIFT Code : BNZWOMRX

31. OMAN

Bank Name : ALIZZ ISLAMIC BANK
- OMAN
SWIFT Code : IZZBOMRU

32. PAKISTAN

Bank Name : MEEZAN BANK
LIMITED - KARACHI, PAKISTAN
SWIFT Code : MEZNPCKA

33. PAKISTAN

Bank Name : STANDARD
CHARTERED BANK - KARACHI,
PAKISTAN
SWIFT Code : SCBLPKKX

34. PAKISTAN

Bank Name : FAYSAL BANK
LIMITED - KARACHI, PAKISTAN
SWIFT Code : FAYSPKKA

35. PHILIPPINES

Bank Name : ASIAN DEVELOPMENT
BANK
SWIFT Code : ASDBPHMM

36. QATAR

Bank Name : MASHREQ BANK -
DOHA, QATAR
SWIFT Code : MSHQQAQA

37. QATAR

Bank Name : AL KHALIJ
COMMERCIAL BANK - DOHA, QATAR
SWIFT Code : KLJIQAQA

38. QATAR

Bank Name : ABU DHABI ISLAMIC
BANK - DOHA, QATAR
SWIFT Code : ABDIQAQA

39. QATAR

Bank Name : DOHA BANK - DOHA
SWIFT Code : DOHBQAQA

40. SINGAPORE

Bank Name : STANDARD
CHARTERED BANK SINGAPORE,
SINGAPORE
SWIFT Code : SCBLSGSG

41. SINGAPORE

Bank Name : STANDARD
CHARTERED BANK SINGAPORE,
SINGAPORE (AUD)
SWIFT Code : SCBLSG22

42. SINGAPORE

Bank Name : AXIS BANK LTD,
SINGAPORE
SWIFT Code : AXISSGSG

43. SAUDI ARABIA

Bank Name : BANK AL-JAZIRA -
JEDDAH, SAUDI ARABIA
SWIFT Code : BJAZSAJE

44. SPAIN

Bank Name : ABANCA
CORPORACION BANCARIA, SPAIN
SWIFT Code : CAGLESMM

45. SWITZERLAND

Bank Name : HABIB BANK AG
ZURICH - ZURICH, SWITZERLAND
SWIFT Code : HBZUCHZZ

46. TAIWAN

Bank Name : STANDARD
CHARTERED BANK, TAIWAN
SWIFT Code : SCBLTWTP

47. THAILAND

Bank Name : STANDARD
CHARTERED BANK (THAI) PCL,
THAILAND
SWIFT Code : SCBLTHBK

48. TURKEY

Bank Name : TURKIYE FINANS
KATILIM BANKASI A.S. - ISTANBUL,
TURKEY
SWIFT Code : AFKBTRIS

49. TURKEY

Bank Name : AKTIF YATIRIM
BANKASI A.S. - ISTANBUL ,TURKEY
SWIFT Code : CAYTTRIS

50. UAE

Bank Name : DUBAI ISLAMIC BANK
- DUBAI, UAE
SWIFT Code : DUIBAEAD

51. UAE

Bank Name : STANDARD
CHARTERED BANK - DUBAI, UAE
SWIFT Code : SCBLAEAD

52. UAE

Bank Name : MASHREQBANK PSC
- DUBAI, UAE
SWIFT Code : BOMLAEAD

53. UAE

Bank Name : NOOR ISLAMIC BANK
- DUBAI, UAE
SWIFT Code : NISLAEAD

54. UAE

Bank Name : ABU DHABI ISLAMIC
BANK - ABU DHABI, UAE
SWIFT Code : ABDIAEAD

55. UAE

Bank Name : UNITED ARAB BANK,
UAE
SWIFT Code : UARBAAEA

56. UAE

Bank Name : MCB BANK LIMITED -
DUBAI, UAE
SWIFT Code : MUCBAEAD

57. UAE

Bank Name : AXIS BANK LIMITED,
UAE
SWIFT Code : AXISAEAD

58. UAE

Bank Name : ABU DHABI
COMMERCIAL BANK, UAE
SWIFT Code : ADCBAEAA

59. UAE

Bank Name : SHARJAH ISLAMIC
BANK, UAE
SWIFT Code : NBSHAEAS

60. UK

Bank Name : BANK OF CEYLON -
LONDON, UK
SWIFT Code : BCEYGB2L

61. UK

Bank Name : STANDARD
CHARTERED BANK - LONDON,UK
SWIFT Code : SCBLGB2L

62. UK

Bank Name : QIB (UK) PLC, UK
SWIFT Code : EFHLGB2L

63. USA

Bank Name : MASHREQBANK PSC -
NEW YORK BRANCH, USA
SWIFT Code : MSHQUS33

64. USA

Bank Name : INTERNATIONAL
FINANCE CORPORATION, USA
SWIFT Code : IFCWUS33

65. USA

Bank Name : STANDARD
CHARTERED BANK - NEW YORK,
USA
SWIFT Code : SCBLUS33

66. USA

Bank Name : HABIB AMERICAN
BANK, USA
SWIFT Code : HANYUS33

67. VIETNAM

Bank Name : STANDARD
CHARTERED BANK (VIETNAM)
LIMITED, VIETNAM
SWIFT Code : SCBLNVX

Amana Bank is a participant of the Asian Development Bank's Trade and Supply Chain Finance Program (TSCFP).

Glossary of Banking and Financial Terms

A

Acceptances

Promise to pay created when the drawee of a time draft stamps or writes the words 'accepted' above his signature and a designated payment date.

Accounting Policies

The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting Financial Statements.

Accrual Basis

Recognising the effects of transactions and other events when they occur without waiting for receipt or payment of cash or its equivalent.

Actuarial Gains and Losses

Actuarial gains and losses comprise the effects of differences between the previous actuarial assumptions and what has actually occurred and the effects of changes in actuarial assumptions.

Actuarial Valuation

Fund value as determined by computing its normal cost, actuarial accrued liability, actuarial value of assets and other relevant costs and value.

Amortisation

The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Amortised Cost

Amount at which the Financial Asset or Financial Liability is measured at initial recognition, minus principal payments, plus or minus the cumulative

amortisation using the effective profit rate of any difference between that initial amount and the maturity amount and minus any reduction for impairment, or un-collectability.

Asset and Liability Committee (ALCO)

A risk management committee in a bank that generally comprises the corporate and senior management levels of the institution. The ALCO's primary goal is to evaluate, monitor and approve practices relating to risk due to imbalances in the capital structure. Among the factors considered are liquidity risk, market risk, foreign exchange risk and external events that may affect the Bank's forecast and strategic balance sheet allocations.

B

Bills for Collection

A bill of exchange drawn by an exporter usually at a term, on an importer overseas and brought by the exporter to his bank with a request to collect the proceeds.

C

Capital Adequacy Ratio (CAR)

The ratio between capital and risk weighted assets as defined in the standards developed by the Bank for International Settlement (BIS) and as modified by the Central Bank of Sri Lanka to suit local requirements.

Capital Gain

The gain on the disposal of an asset calculated by deducting the cost of the asset from the proceeds received on its disposal.

Capital Reserve

A reserve identified for specific purposes which is not available for distribution.

Carrying Value

Value of an asset or a liability as per books of the organisation before adjusting for fair value.

Cash Equivalents

Short term highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Collectively Assessed Impairment

Impairment assessment on a collective basis for homogeneous groups of advances that are not considered individually significant and to cover losses which have been incurred but have not yet been identified on advances subject to individual assessment.

Commitments

Credit facilities approved but not yet utilised by customers as at the reporting date.

Contingencies

A condition or situation, the ultimate outcome of which, gain or loss, will be confirmed only by occurrence or non-occurrence of one or more future events.

Contractual Maturity

Contractual maturity refers to the final payment date of a facility or other financial instrument, at which point all the remaining outstanding capital will be repaid and financing charges is due to be paid.

Corporate Governance

The process by which corporate entities are governed. It is concerned with the way in which power is exercised over the management and the direction of the Bank, the supervision of executive actions and accountability to stakeholders.

Correspondent Bank

A bank in a foreign country that offers banking facilities to customers of a bank in another country.

Cost to Income Ratio

Operating expenses excluding impairment charge for loans as a percentage of total operating income.

Credit Ratings

An evaluation of a corporate's ability to repay its obligations or likelihood of not defaulting, carried out by an independent rating agency.

Credit Risk

Credit risk is the risk that the Bank will incur a loss because its customers or counterparties fail to discharge their contractual obligations.

Currency Risk

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.



Deferred Taxation

Sum set aside for income tax in the Financial Statements that may become payable/receivable in a financial year other than the current financial year. It arises because of timing differences

between tax rules and accounting conventions.

Depreciation

The systematic allocation of the depreciable amount of an asset over its useful life.

Derecognition

Removal of a previously recognised financial asset or financial liability from an entity's Statement of Financial Position.

Derivatives

A derivative is a financial instrument or other contract, the value of which changes in response to some underlying variable that has an initial net investment smaller than would be required for other instruments that have a similar response to the variable, and that will be settled at a future date.

Dividend Cover

Profit after tax divided by gross dividends. This ratio measures the number of times dividends is covered by the current year's distributable profits.

Dividend Yield

Dividend earned per share as a percentage of its market value.



Earnings Per Share (EPS)

Profit attributable to ordinary shareholders, divided by the weighted average number of ordinary shares in issue.

Effective Profit Rate (EPR)

The rate that exactly discounts estimated future cash payments or

receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Effective Tax Rate

Income tax expense for the year divided by the profit before tax.

Equity Instrument

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Equity Risk

The risk arising from positions, either long or short, in equities or equity based instruments, which create exposure to a change in the market price of the equities or equity instruments.

Events After the Reporting Date

Events after the reporting date are those events, both favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue.

Expected Credit Losses

The weighted average of credit losses with the respective risks of a default occurring as the weights.

Expected Loss (EL)

A regulatory calculation of the amount expected to be lost on an exposure using a 12 month time horizon and downturn loss estimates. EL is calculated by multiplying the probability of default by the exposure at default and loss given default.

Glossary of Banking and Financial Terms

Exposure at Default (EAD)

EAD is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal & profit and expected drawdowns of committed facilities.

F

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (an exit price).

Fair Value Reserve

A reserve that captures the cumulative net change in the fair value of an asset as long as it is still recognized on the financial statements of an entity.

Financial Assets Measured at Amortised Cost

A financial asset is measured at amortised cost if the asset is held within a business model whose objective is to hold assets to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and profit on the principal amount outstanding.

Financial Assets Measured at Fair Value through Other Comprehensive Income (FVOCI)

FVOCI include debt and equity instruments measured at fair value through other comprehensive income. A debt instrument is measured at FVOCI, if it is held within a business model whose

objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and profit on the principal amount outstanding. Equity investments may be irrevocably classified as FVOCI when they meet the definition of Equity under LKAS 32 Financial Instruments: Presentation, and are not held for trading.

Financial Assets Measured at Fair Value through Profit or Loss (FVTPL)

All financial assets other than those classified at Amortised Cost or FVOCI are classified as measured at FVTPL. These are held for trading or managed and their performance is evaluated on a fair value basis as they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Finance Lease

A lease in which the lessee acquires all the financial benefits and risks attaching to ownership of the asset under lease.

Financial Assets

Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

Financial Guarantee Contracts

A contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Financial Instruments

Any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

Financial Liability

Financial liability is a contractual obligation to deliver cash to another entity or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity.

Foreign Exchange Income

The gain recorded when assets or liabilities denominated in foreign currencies are translated into Sri Lankan Rupees on the reporting date at prevailing rates which differ from those rates in force at inception or on the previous reporting date. Foreign exchange income also arises from trading in foreign currencies.

Forward Exchange Contracts

An agreement between two parties to exchange one currency for another at a future date at a rate agreed upon today.

G

General Provisions

General provisions are established for loans and advances for anticipated losses on aggregate exposures where credit losses cannot yet be determined on an individual facility basis.

Guarantees

A promise made by a third party (Guarantor), who is not a party to a contract between two others, that the guarantor will be liable on behalf of whom the guarantee is issued if the individual fails to fulfil the contractual obligations.

H

High Quality Liquid Assets (HQLA)

Assets that are unencumbered, liquid in markets during a time of stress and, ideally, be central bank eligible. These include, for example, cash and claims on central governments and central banks.

Historical Cost Convention

Recording transactions at the actual value received or paid.

I

Impairment

This occurs when the recoverable amount of an asset is less than its carrying amount.

Impairment Allowances

Management's best estimate of losses incurred on its assets as at the reporting date.

Impairment Charge/(Reversal)

The difference between the carrying value of an asset and the sum of discounted future cash flows generating from the same asset.

Individually Assessed Impairment

Exposure to loss is assessed individually for assets that are individually significant above a certain threshold.

Intangible Asset

An identifiable non-monetary asset without physical substance.

Investing Activities

The acquisition and disposal of long term assets and other investments not included in cash equivalents.

K

Key Management Personnel (KMP)

Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of the Bank.

Key Performance Indicators (KPIs)

KPIs are quantifiable measurements, agreed at the commencement of the year that reflect the critical success factors of the Bank.

L

Lease Liability

A lease liability is a lessee's obligation to make the lease payments arising from a lease, measured on a discounted basis. Under the new lease accounting standard, the lease liability is calculated as the present value of the lease payments over the lease term discounted, typically, using the lessee's incremental cost of funds.

Letter of Credit

Written undertakings by a Bank on behalf of its customer (typically an importer), authorising a third party (e.g. an exporter) to draw drafts on the Bank up to a stipulated amount under

specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

Liquid Assets

Assets that are held in cash or in a form that can be converted to cash readily.

Liquidity Coverage Ratio (LCR)

Ratio of stock of high quality liquid assets available to Total net cash outflows over next 30 calendar days. LCR is expected to improve the banking sector's ability to absorb shocks arising from financial and economic stress, thus, reducing the risk of spill over from the financial sector to the real economy.

Liquidity Risk

Liquidity risk implies the potential for loss to the Bank due to inability to meet its obligation or to fund the increase in assets as they fall due without incurring high cost.

Loss Given Default ('LGD')

The estimated ratio (percentage) of the loss on an exposure to the amount outstanding at default (EAD) upon default of counterparty.

M

Market Capitalisation

Number of ordinary shares in issue multiplied by the market value of each share at the year end.

Market Risk

Market risk denotes the risk of losses arising out of positions in the Statement of Financial Position due to changes in market prices.

Glossary of Banking and Financial Terms

Materiality

The relative significance of a transaction or an event, the omission or misstatement of which could influence the economic decisions of users of Financial Statements.

Moratorium

Moratorium refers to the deferment of capital and/or profit payments which fall due within the respective concession periods. However, moratorium does not mean a waive-off of capital and / or profit permanently. The customer should pay the capital and/or profit payments which fall due within the concession periods at a later date according to the revised repayment plan.

N

Net Assets Value Per Share

Shareholders' funds divided by the number of ordinary shares in issue.

Net Realisable Value

The estimated selling price in the ordinary course of the business, less the estimated cost of completion and the estimated necessary costs to make the sale.

Net Financing Margins (NFM)

Net Financing income expressed as a percentage of average income earning assets.

Net Stable Funding Ratio (NSFR)

The ratio of available stable funding to required stable funding over a one year time horizon, assuming a stressed scenario. Available stable funding would include items such as equity capital,

preferred stock with a maturity of over one year and liabilities with an assessed maturity of over one year.

Non-Performing Advances Ratio

Non-Performing advances expressed as a percentage of the total outstanding advances.

Nostro Account

A foreign currency current account maintained with another Bank, usually but not necessarily a foreign correspondent Bank.

O

Off Balance Sheet Transactions

Transactions that are not recognised as assets or liabilities in the Statement of Financial Position, but which give rise to commitments and contingencies.

Operational Risk

Operational risk refers to the loss resulting from inadequate or failed internal processes, people and systems or from external events.

P

Past Due

A financial asset is past due when a counterparty has failed to make a payment when contractually due.

Probability of Default

Probability of default is an internal estimate for each customer grade of the likelihood that an obligor will default on an obligation.

Projected Unit Credit Method

An actuarial valuation method that sees each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation.

Provisions

A provision is an amount set aside for probable, but uncertain, economic obligations of the Bank.

R

Related Parties

Parties where one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions, directly or indirectly.

Retained Earnings

Retained earnings (RE) is the amount of net income left over for the business after it has paid out dividends to its shareholders.

Return on Average Assets (ROA)

Profit for the year divided by Average Assets.

Return on Equity (ROE)

Profit for the year expressed as a percentage of average ordinary shareholders' equity.

Revaluation Reserve

Part of the shareholders' equity that arises from changes in the current value of property, plant and equipment.

Revenue Reserves

Reserves set aside for future distribution and investment.

Right-of-Use Asset

The right-of-use asset, or ROU asset, is an asset that represents a lessee's right to operate, hold, or occupy a leased property, item, or piece of equipment for the lease term. It is calculated as the initial amount of the lease liability, plus lease payments made before lease commencement, plus initial direct costs, less any lease incentives.

Rights Issue

Issue of shares to the existing shareholders at an agreed price, generally lower than market price.

Risk Weighted Assets

On Balance Sheet assets and the credit equivalent of off Balance Sheet assets multiplied by the relevant risk weighting factors.

S

Scrip Dividend/ Bonus Issue

This is a dividend which shareholders have the option to receive in the form of additional shares instead of cash.

Segment Reporting

Segment reporting indicates the contribution to the revenue derived from business segments.

Shareholders' Funds

Shareholders' funds consist of stated capital plus capital and revenue reserves.

Statutory Reserve Fund

A capital reserve created in accordance with the provisions of the Banking Act No. 30 of 1988 as amended.

T

Tier I Capital

Core capital representing permanent shareholders' equity and reserves created or increased by appropriations of retained earnings or other surpluses.

Tier II Capital

Supplementary capital representing revaluation reserves, general provisions and other capital instruments, which combine certain characteristics of equity and debt such as hybrid capital instruments and subordinated term debts.

Total Capital

Capital base is summation of the core capital (Tier 1) and the supplementary capital (Tier II).

Transaction Costs

Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or financial liability.

U

Undrawn Credit Lines

Credit facilities approved but not yet utilised by the clients as at the end of the reporting period.

V

Value Added

Value added is the wealth created by providing banking services less the cost of providing such services. The value added is allocated among the employees, the providers of capital, to Government by way of taxes and retained for expansion and growth.

Value Added Taxes on Financial Services

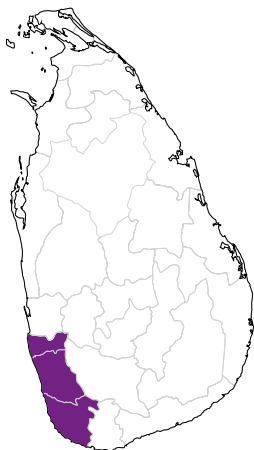
Value Added Taxes on Financial Services is computed based on profit before tax from financial services subject to adjustment for depreciation and emoluments payable to employees and Directors.

Vostro Account

A vostro account is an account the reporting bank holds on behalf of another bank. These accounts are an essential aspect of correspondent banking in which the bank holding the funds acts as custodian for or manages the account of a foreign counterpart.

Branch Network Information

WESTERN PROVINCE



Branches

Main Branch - Colombo 3

No.365, Galle Road, Colombo 3
011-7756000, 011-4718148
mainbranch@amana.lk

Ladies Branch - Colombo 3

No.365, Galle Road, Colombo 3
011-7756381, 011-7756389
ladiesbranch@amana.lk

Beruwala

No.5, China Fort Road, Beruwala.
034-7756250, 034-7756259
beruwala@amana.lk

Dehiwala

No. 28, Galle Road, Dehiwala
011-7756016, 011-2722505
dehiwala@amana.lk

Dematagoda

No.7, Kent Road, Dematagoda,
Colombo 9
011-7756028, 011-7756889
dematagoda@amana.lk

Kirulapone

No. 124, Maya Avenue,
Colombo 6
011-7756029, 011-7756899
kirulapone@amana.lk

Negombo

No.97, Colombo Road,
Negombo
031-7756020, 031-2231765
negombo@amana.lk

Old Moor Street

No.330, Old Moor Street,
Colombo 12
011-7756027, 011-7756879
oms@amana.lk

Panadura

No.145, Galle Road, Pallimulla,
Keselwatte, Panadura.
038-7756032, 038-7756259
panadura@amana.lk

Pettah

No.129, Main Street, Colombo 11
011-7756002, 011-2380688
pettah@amana.lk

Self Banking Centres

Dharga Town

No. 241, Mathugama Road,
Dharga Town

Hill Street, Dehiwala

No.160 A, D.B. Jayathilake
Mawatha,
Hill Street,
Dehiwala

Kalubowila

No. 9 B, S.De.S Jayasinghe
Manwatha,
Kalubowila

Kalutara

No. 437, Galle Road,
Kalutara

Kolonnawa

No. 529, Kolonnawa Road,
Wellampitiya

Maligawatte

No.132/1 A,
Jumma Masjid Road,
Maligawatte

Malwana

No.114/1, Main Street,
Malwana

Mattakkuliya

No. 74, Mutuwella Road,
Colombo 15

Slave Island

No. 113,
Justice Akbar Mawatha,
Colombo 2

Rajagiriya

No. 1576/19, Cotta Road,
Rajagiriya

Ratmalana

No. 360, Galle Road,
Ratmalana

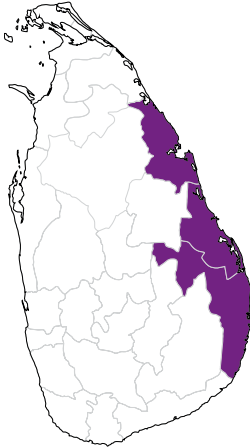
Thihariya

No. 124, Kandy Road,
Thihariya

Wattala

No. 697A,
Negombo Road, Mabola,
Wattala

EASTERN PROVINCE



Branches

Akkaraipattu

No.102,
Main Street, Akkaraipattu
067-7756015, 067-2279319
akkaraipattu@amana.lk

Eravur

No.108/5, Punnakuda Road, Eravur
065-7756019, 065-2241410
eravur@amana.lk

Kalmunai

No.32, Main Street, Kalmunai
067-7756006, 067-2223599
kalmunai@amana.lk

Kalmunai Unity Square

KUS Shopping Complex,
Main Street, Kalmunai
067-7756026, 067-2059779
kalmunaimi@amana.lk

Kattankudy

No.237, Main Street,
Kattankudy
065-7756004, 065-2247399
kattankudy@amana.lk

Kinniya

No.264, Main Street, Kinniya
026-7756025, 026-2236656
kinniya@amana.lk

Nintavur

No.40/5, Main Street,
Nintavur 24
067-7756017, 067-2251591
nintavur@amana.lk

Oddamavadi

Main Street, Oddamavadi-01
065-7756225, 065-2258099
oddamavadi@amana.lk

Sammanthurai

Hajiyar Palace,
Hijra Junction, Viliniyadi 3,
Ampara Road, Sammanthurai.
067-7756012, 067-2261299
sammanthurai@amana.lk

Self Banking Centres

Batticaloa

No.111, Main Street,
Batticaloa

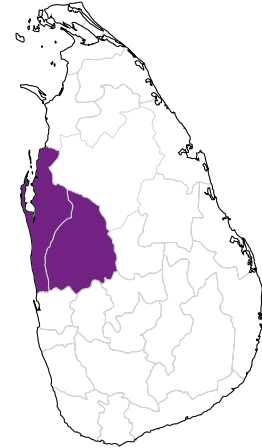
Mutur

No.146, Main Street,
Mutur

Trincomalee

No.255, Central Road,
Trincomalee

NORTH WESTERN PROVINCE



Branches

Kuliyapitiya

No.215 1/1, Main Street,
Kuliyapitiya
037-7756018, 037-2282280
kuliyapitiya@amana.lk

Kurunegala

No.137, Puttalam Road,
Kurunegala
037-7756014, 037-2221925
kurunegala@amana.lk

Puttalam

No. 23, Colombo Road,
Puttalam
032-7756024, 032-2267188
puttalam@amana.lk

Self Banking Centres

Pulichchakulam

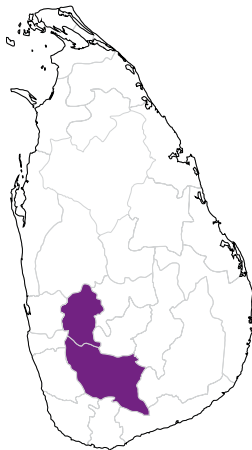
No.5931,Colombo Road,
Pulichchankulam,
Bathulu Oya
Puttalam

Siyambalgaskotuwa

No.326, Kahatagahamada,
Siyambalgaskotuwa

Branch Network Information

SABARAGAMUWA PROVINCE



Branches

Mawanella

No.22B, New Kandy Road,
Mawanella
035-7756013, 035-2248181
mawanella@amana.lk

Ratnapura

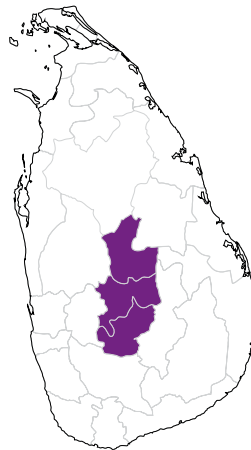
No.131-133, Main Street,
Ratnapura
045-7756023, 045-2230245
ratnapura@amana.lk

Self Banking Centres

Hemmathagama

No. 2122/A,
Mawanella Road,
Hemmathagama

CENTRAL PROVINCE



Branches

Akurana

No.204/1, Matale Road,
Akurana
081-7756010, 081-2304761
akurana@amana.lk

Gampola

No.119, Kandy Road,
Gampola
081-7756011, 081-2350786
gampola@amana.lk

Kandy

No.105, Kotugodella Veediya,
Kandy
081-7756003, 081-2200238
kandy@amana.lk

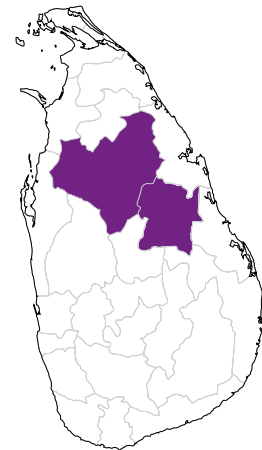
Katugastota

No.93, Kurunegala Road,
Katugastota
081-7756030, 081-7756289
katugastota@amana.lk

Matale

No.392-396,
Main Street, Matale.
066-7756033, 066-7756259
matale@amana.lk

NORTH CENTRAL PROVINCE



Branches

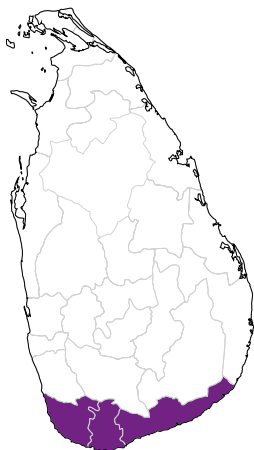
Anuradhapura

36A, Maithripala Senanayake Mawatha,
Anuradhapura.
025-7756034, 025-7756259
anuradhapura@amana.lk

Kaduruwela

No.379, Main Street, Kaduruwela
Polonnaruwa
027-7756022, 027-2227009
kaduruwela@amana.lk

SOUTHERN PROVINCE

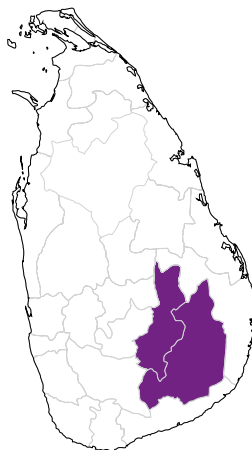


Branches

Galle

No.24, Old Matara Road, Galle
091-7756008, 091-2226610
galle@amana.lk

UVA PROVINCE



Branches

Badulla

No.18/1, Lower Kings Street,
Badulla
055-7756021, 055-2228280
badulla@amana.lk

Notice of Annual General Meeting

NOTICE IS HEREBY GIVEN THAT the Thirteenth Annual General Meeting (AGM) of Amāna Bank PLC will be held on Friday, 25 March 2022 at 3.00 p.m. at the Registered Office, No. 486, Galle Road, Colombo 3, Sri Lanka, as a virtual meeting using a digital platform.

AGENDA

- 1) To receive and consider the Annual Report of the Board of Directors and the Audited Financial Statements of the Bank for the financial year ended 31 December 2021 together with the Report of the Auditors thereon.
- 2) To re-elect Mr. Dilshan Hettiaratchi (Non-Executive, Independent Director) who retires by rotation at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Bank, as a Director.
- 3) To re-elect Mr. Aaron Russell-Davison (Non-Executive, Independent Director) who retires by rotation at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Bank, as a Director.
- 4) To re-elect Mr. Omar Kassim (Non-Executive, Non Independent Director) who retires by rotation at the Annual General Meeting, in terms of Article 29(6) of the Articles of Association of the Bank, as a Director.
- 5) To re-appoint Messrs Ernst & Young, Chartered Accountants as the Auditors for the ensuing year and authorise the Directors to determine their remuneration.
- 6) To re-appoint the Sharia Supervisory Council consisting of:
 - (a) Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani
 - (b) Ash-Sheikh Mohd. Nazri Chik
 - (c) Ash-Sheikh Mufti M. I. M. Rizwe
 - (d) Ash-Sheikh Mufti Muhammad Hassaan Kaleem
- 7) To authorise the Directors to determine contributions to charities for the financial year 2022.
- 8) To consider any other business of which due notice has been given.

By Order of the Board
Amāna BANK PLC



Miss P. S. Watson
Company Secretary

19 February 2022
Colombo.

Notes:

- i. A member is entitled to appoint a proxy to attend and vote instead of him/her at the above-mentioned meeting. A proxy need not be a member of the Bank.
- ii. A Form of Proxy is enclosed for this purpose.
- iii. The Board of Directors, having taken note of the health and safety guidelines issued by the Health Authorities in view of the COVID-19 pandemic and the CSE issuing guidelines to the listed entities to hold Shareholder Meetings virtually, has decided to hold the AGM through a digital platform by using audio-visual tools in conformity with the applicable regulatory provisions.
- iv. Shareholders who wish to participate at the AGM through the online platform are kindly requested to complete and forward the "Registration of Shareholder Information" attached hereto to the email address "agm@amana.lk" with the email subject title "AGM 2021" or post it to the address mentioned below to be received not less than 2 days before holding of the meeting. Shareholders are requested to provide their email addresses in the space provided in the "Registration of Shareholder Information" form in order to forward the web link if they wish to participate at the meeting through the online platform.
- v. The Chairman, certain members of the Board and key essential officials for the administration of formalities to conduct the meeting, will be physically present at the Registered Office.
- vi. Shareholders who wish to appoint a member of the Board of Directors as his/her proxy to represent them at the AGM may do so by completing the Form of Proxy, in such an event the email address of the proxy holder will not be required.
- vii. Shareholders may send their questions/comments on the items listed in the Agenda of the Notice convening the AGM by email to "agm@amana.lk" or by post to Company Secretary, Amāna Bank PLC, Company Secretarial Division, 6th Floor, No. 403, Galle Road, Colombo 3, Sri Lanka not less than 3 days before holding of the meeting.
- viii. The instrument appointing a proxy should be deposited at Amāna Bank PLC, Company Secretarial Division, 6th Floor, No. 403, Galle Road, Colombo 3, Sri Lanka or scanned and emailed to "agm@amana.lk" not less than 24 hours before the date of the meeting.
- ix. Only registered shareholders and registered proxy holders will be permitted to log-in and participate in the AGM virtually.
- x. Login and Password information is strictly confidential and intended only for the specific shareholder and such access information should not be divulged to any other person.
- xi. We advise you to login 15 minutes prior to the meeting to ensure connectivity.
- xii. All individuals participating at the meeting remotely through audio-visual means are required to identify themselves with their name and NIC Number at the time of voting and at the time of speaking at the AGM, during the time allotted for speaking by shareholders as directed by the Chairman.

For any queries regarding the above instructions, you may contact Mrs. Manori Narangoda on +94 11 7757511 between 9.00 a.m. and 5.00 p.m. on working days.

Notes

[illegible]

Form of Proxy

I/We..... of
..... being shareholder/s of
Amāna Bank PLC hereby appoint: of
..... NIC No: or failing him/her

- | | |
|--|----------------|
| 1. Mr. Ali Asghar Akbarally | or failing him |
| 2. Mr. Rajiv Nandlal Divedi | or failing him |
| 3. Mr. Dilshan Hettiaratchi | or failing him |
| 4. Mr. Aaron Russell-Davison | or failing him |
| 5. Mr. Mohammed Ataur Rahman Chowdhury | or failing him |
| 6. Mr. Syed Muhammed Asim Raza | or failing him |
| 7. Mr. Khairul Muzamel Perera Bin Abdullah | or failing him |
| 8. Mr. Tishan Subasinghe | or failing him |
| 9. Mr. Paul Mercer | or failing him |
| 10. Mr. Omar Kassim | or failing him |
| 11. Mr. Mohamed Adamaly | |

as my/our* Proxy to represent and speak for me/us* and vote for me/us* on my/our* behalf at the Thirteenth Annual General Meeting of the Bank to be held on Friday, 25 March 2022 at 3.00 p.m. via a digital platform, at the Registered Office, No. 486, Galle Road, Colombo 3, Sri Lanka and at any adjournment thereof and at every poll which may be taken in consequence thereof.

*Please delete what is inapplicable

Signed this day of 2022.

.....
Signature

Please provide the following details:	
Shareholder's NIC No./Company Registration No. :	
Number of Shares held :	

Form of Proxy

Instructions for the Completion of Form of Proxy

1. The Form of Proxy must be duly completed and signed by the shareholder/s, giving in block capitals, the name and address of shareholder/s and the name, address and NIC of the Proxy holder clearly and legibly. Where necessary delete the inapplicable words indicated by asterisk.
2. The completed Form of Proxy should be deposited at the office of the Company Secretary, Company Secretarial Division, 6th Floor, No. 403, Galle Road, Colombo 3, Sri Lanka not less than 24 hours before the time appointed for the holding of the meeting.
3. If the Proxy has been signed by an Attorney, the relevant Power of Attorney should accompany the completed Proxy for registration, if such Power of Attorney had not been registered with the Bank.
4. In the case of a Company/Corporation, the Proxy must be under its Common Seal (where applicable) which should be affixed and attested in the manner prescribed by its Articles of Association/Act of Incorporation signed by two Directors or a Director and Secretary of the Company with the Company rubber stamp placed on it.

Corporate Information

NAME OF THE INSTITUTION

Amāna Bank PLC

LEGAL FORM

A Public Limited Liability Company incorporated in Sri Lanka on 5 February 2009 under the Companies Act No. 07 of 2007 and listed on the Main Board of the Colombo Stock Exchange and re-registered under the Companies Act No. 07 of 2007 on 28 August 2014. Amāna Bank PLC is a Licensed Commercial Bank under the Banking Act No. 30 of 1988 and amendments thereto

COMPANY REGISTRATION NUMBER

PB 3618 PQ

ACCOUNTING YEAR END

31 December

BUSINESS

Commercial banking and related services

EXTERNAL CREDIT RATING

The Bank is rated by Fitch Ratings Lanka Limited as BB+(lka) With a Stable Outlook

INDUSTRY MEMBERSHIPS

- ◆ The Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI)
- ◆ The Islamic Financial Services Board (IFSB)
- ◆ The Association of Alternate Financial Institutions (AAFI)

REGISTERED OFFICE

No. 486, Galle Road, Colombo 3, Sri Lanka
Tel : +94 11 7756000
Fax : +94 11 2574419

SWIFT

AMNALKLX

WEB

www.amanabank.lk

TAX PAYER IDENTIFICATION NUMBER (TIN)

134036184

BOARD OF DIRECTORS

1. Mr. Ali Asghar Akbarally – Chairman (Non-Executive, Non Independent Director)
2. Mr. Rajiv Nandlal Dvivedi (Non-Executive, Independent Senior Director)
3. Mr. Dilshan Hettiaratchi (Non-Executive, Independent Director)
4. Mr. Aaron Russell-Davison (Non-Executive, Independent Director)
5. Mr. Mohammed Ataur Rahman Chowdhury (Non-Executive, Non Independent Director)
6. Mr. Syed Muhammed Asim Raza (Non-Executive, Non Independent Director)
7. Mr. Khairul Muzamel Perera Bin Abdullah (Non-Executive, Non Independent Director)
8. Mr. Tishan Subasinghe (Non-Executive, Independent Director)
9. Mr. Paul Mercer (Non-Executive, Non Independent Director)
10. Mr. Omar Kassim (Non-Executive, Non Independent Director)
11. Mr. Mohamed Adamaly (Non-Executive, Non Independent Director)

SHARIA SUPERVISORY COUNCIL

1. Ash-Sheikh Dr. Mufti Muhammad Imran Ashraf Usmani - Chairman
2. Ash-Sheikh Mohd. Nazri Chik – Vice Chairman
3. Ash-Sheikh Mufti M. I. M. Rizwe - Member
4. Ash-Sheikh Mufti Muhammad Hassaan Kaleem - Member

BOARD COMMITTEES

Board Audit Committee

1. Mr. Tishan Subasinghe - Chairman
2. Mr. Rajiv Nandlal Dvivedi - Member
3. Mr. Aaron Russell-Davison - Member
4. Mr. Mohammed Ataur Rahman Chowdhury - Member
5. Mr. Omar Kassim - Member

Board Integrated Risk Management Committee

1. Mr. Rajiv Nandlal Dvivedi - Chairman
2. Mr. Mohammed Ataur Rahman Chowdhury – Member
3. Mr. Tishan Subasinghe - Member
4. Mr. Khairul Muzamel Perera Bin Abdullah - Member
5. Mr. Aaron Russell-Davison - Member
6. Mr. Mohamed Azmeer (CEO) - Member
7. Mr. M. M. S. Quvylidh (CRO) – Member

Board Nomination Committee

1. Mr. Dilshan Hettiaratchi - Chairman
2. Mr. Rajiv Nandlal Dvivedi - Member
3. Mr. Mohammed Ataur Rahman Chowdhury - Member
4. Mr. Ali Asghar Akbarally - Member
5. Mr. Tishan Subasinghe - Member

Board Human Resources and Remuneration Committee

1. Mr. Ali Asghar Akbarally - Chairman
2. Mr. Dilshan Hettiaratchi - Member
3. Mr. Aaron Russell-Davison - Member
4. Mr. Mohammed Ataur Rahman Chowdhury - Member
5. Mr. Tishan Subasinghe - Member

Board Related Party Transactions Review Committee

1. Mr. Tishan Subasinghe - Chairman
2. Mr. Rajiv Nandlal Dvivedi - Member
3. Mr. Dilshan Hettiaratchi - Member
4. Mr. Aaron Russell-Davison - Member

Board Technology Committee

1. Mr. Omar Kassim – Chairman
2. Mr. Mohammed Ataur Rahman Chowdhury – Member
3. Mr. Tishan Subasinghe – Member
4. Mr. Mohamed Azmeer (CEO) - Member
5. Mr. Imtiaz Iqbal (COO) - Member
6. Mr. Rajitha Dissanayake (CIO) - Member
7. Mr. M. Ali Wahid (CFO) - Member
8. Mr. Siddeeqe Akbar (VP - Retail Banking and Marketing) – Member
9. Mr. Irshad Iqbal (VP - Business Banking) – Member

COMPANY SECRETARY

Miss Primrose Shireen Watson, FCG

AUDITORS

Messrs Ernst & Young Chartered Accountants No. 201, De Saram Place, Colombo 10, Sri Lanka

LAWYERS

Messrs F J & G de Saram Attorneys-at-Law & Notaries Public No. 216, De Saram Place, Colombo 10, Sri Lanka

For Investor Relations and Clarifications on the Report, Please Contact:

Company Secretarial Division
6th Floor
No. 403, Galle Road, Colombo 3, Sri Lanka
Tel : +94 11 7757511



It's *Your* Bank



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